

ANNUAL REPORT

2 0 2 5 - 2 6

₹LPI



RESERVE BANK OF INDIA

Report of the Central Board of Directors on the working of the Reserve Bank of India
for the year ended March 31, 2026 submitted to the Central Government in terms of
Section 53(2) of the Reserve Bank of India Act, 1934



RESERVE BANK OF INDIA ANNUAL REPORT

2025-26



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

www.rbi.org.in

गवर्नर
GOVERNOR

LETTER OF TRANSMITTAL

Ref. No. SECD.BRDS. 161/02.16.001/2026-27

May 27, 2026
Jyeshtha 6, 1948 (Saka)

The Secretary
Department of Financial Services
Government of India
Ministry of Finance
New Delhi - 110 001

Dear Secretary,

In pursuance of Section 53(2) of the Reserve Bank of India Act, 1934, I have the pleasure in transmitting the following documents:

- (i) A copy of the Annual Accounts for the year ended March 31, 2026 certified by the Bank's Auditors and signed by the Chief General Manager-in-Charge, the Deputy Governors and I; and
- (ii) Two copies of the Annual Report of the Central Board on the working of the Bank during the year ended March 31, 2026.

Sincerely,

Sanjay Malhotra

CENTRAL BOARD / LOCAL BOARDS

GOVERNOR

Sanjay Malhotra

DEPUTY GOVERNORS

Swaminathan J.

Poonam Gupta

Shirish Chandra Murmu

Rohit Jain

DIRECTORS NOMINATED UNDER SECTION 8 (1) (b) OF THE RBI ACT, 1934

Revathy Iyer

Sachin Chaturvedi

DIRECTORS NOMINATED UNDER SECTION 8 (1) (c) OF THE RBI ACT, 1934

Satish Kashinath Marathe

Swaminathan Gurumurthy

Anand Gopal Mahindra

Venu Srinivasan

Pankaj Ramanbhai Patel

Ravindra H. Dholakia

DIRECTORS NOMINATED UNDER SECTION 8 (1) (d) OF THE RBI ACT, 1934

Nagaraju Maddirala

Anuradha Thakur

MEMBERS OF LOCAL BOARDS

WESTERN AREA

EASTERN AREA

Sachin Chaturvedi

NORTHERN AREA

Revathy Iyer

SOUTHERN AREA

(Position as on May 25, 2026)

PRINCIPAL OFFICERS

(As on May 25, 2026)

EXECUTIVE DIRECTORS

Vivek Deep
Radha Shyam Ratho
Ajay Kumar
Neeraj Nigam
P. Vasudevan
R. Lakshmi Kanth Rao
Arnab Kumar Chowdhury
Charulatha S. Kar
Ajit Ratnakar Joshi
Sanjay Kumar Hansda
Indranil Bhattacharyya
Kesavan Ramachandran
Sonali Sen Gupta
Usha Janakiraman
Gunveer Singh
Sudha Balakrishnan (Chief Financial Officer)

CENTRAL OFFICE

Central Vigilance Cell
Consumer Education and Protection Department
Corporate Strategy and Budget Department
Department of Regulation
Department of Supervision
Department of Communication
Department of Currency Management
Department of Economic and Policy Research
Department of External Investments and Operations
Department of Government and Bank Accounts
Department of Information Technology
Department of Payment and Settlement Systems
Department of Statistics and Information Management
Enforcement Department
Financial Inclusion and Development Department
Financial Markets Operations Department
Financial Markets Regulation Department
FinTech Department
Foreign Exchange Department
Financial Stability Department
Human Resource Management Department
Inspection Department
Internal Debt Management Department
International Department
Legal Department
Monetary Policy Department
Premises Department
Rajbhasha Department
Risk Monitoring Department
Secretary's Department

N. Sara Rajendra Kumar, Chief General Manager & CVO
Neena Rohit Jain, Chief General Manager
Suman Nath, Chief General Manager
Jyoti Prakash Sharma, Chief General Manager-in-Charge
Monisha Chakraborty, Chief General Manager-in-Charge
Brij Raj, Chief General Manager
Sanjeev Prakash, Chief General Manager-in-Charge
Rajib Das, Adviser-in-Charge
Sundar Murthi, Chief General Manager-in-Charge
Sangeeta Lalwani, Chief General Manager-in-Charge
Shailendra Trivedi, Chief General Manager-in-Charge
Saurabh Nath, Chief General Manager
Ravi Shankar, Adviser-in-Charge
Minal A. Jain, Chief General Manager-in-Charge
Nisha Nambiar, Chief General Manager-in-Charge
Seshsayee G., Chief General Manager
Dimple Bhandia, Chief General Manager
Suvendu Pati, Chief General Manager
Aditya Gaiha, Chief General Manager-in-Charge
Indranil Chakraborty, Chief General Manager
Navin Nambiar, Chief General Manager-in-Charge
G. P. Borah, Principal Chief General Manager
Rakesh Tripathy, Chief General Manager
Yogesh K. Dayal, Chief General Manager-in-Charge
Unnikrishnan A., Principal Legal Adviser
Rekha Misra, Adviser-in-Charge
K. Nikhila, Chief General Manager-in-Charge
N. Sara Rajendra Kumar, Chief General Manager
Ishan Shukla, Chief General Manager
Yarasi Jayakumar, Chief General Manager & Secretary

COLLEGES

College of Agricultural Banking, Pune
Reserve Bank Staff College, Chennai

OFFICES

Chennai
Kolkata
Mumbai
New Delhi.....

BRANCHES

Ahmedabad
Andhra Pradesh.....
Bengaluru
Bhopal
Bhubaneswar.....
Chandigarh
Dehradun
Gangtok
Guwahati
Hyderabad
Jaipur
Jammu
Kanpur
Lucknow
Nagpur.....
Panaji.....
Patna
Raipur.....
Ranchi
Shimla.....
Thiruvananthapuram

Agartala
Aizawl
Belapur
Imphal
Kochi.....
Kohima
Itanagar
Shillong
Srinagar.....

PRINCIPALS

Jaikish
Mala Sinha

REGIONAL DIRECTORS

Uma Sankar
Sudhanshu Prasad
Suman Ray
Rohit Parshotam Das

Amresh Ranjan
A.O. Basheer
Kaya Tripathi
Sujata Lal
Sarada Prasan Mohanty
Vivek Srivastava
Arvind Kumar
Thotngam Jamang
Sushmita Phukan
Chinmoy Kumar
Ranjeet Shanker
Chandrashekhar Azad
Rajeev Dwivedi
Pankaj Kumar
Sachin Y. Shende
Prabhakar Jha
Sujit Kumar Arvind
Reeny Ajith
Raksha Mishra
Anupam Kishore
Praveen Kumar V R

OFFICERS-IN-CHARGE (O-i-C)

Surendra Nidar, General Manager (O-i-C)
Tongkhopao Lungdim, General Manager (O-i-C)
Jatin Rawal, Chief General Manager
Neredumalli Sridhar, Chief General Manager
Pramod Kumar, General Manager (O-i-C)
Sibo Nekhini, General Manager (O-i-C)
Abhijit Majumdar, General Manager (O-i-C)
Olden Nongpluh, General Manager (O-i-C)
Anoop Kumar Sharma, Assistant General Manager

CONTENTS

	Page No.
PART ONE: THE ECONOMY- REVIEW AND PROSPECTS.....	1
I. ASSESSMENT AND PROSPECTS	1
Assessment of 2025-26	2
Prospects for 2026-27	7
II. ECONOMIC REVIEW	13
The Real Economy.....	14
Price Situation	23
Money and Credit.....	31
Financial Markets	39
Government Finances.....	46
External Sector.....	51
PART TWO: THE WORKING AND OPERATIONS OF THE RESERVE BANK OF INDIA	59
III. MONETARY POLICY OPERATIONS	59
Monetary Policy.....	60
The Operating Framework: Liquidity Management	64
Transmission to Deposit and Lending Rates	67
Sectoral Lending Rates.....	69
IV. CREDIT DELIVERY AND FINANCIAL INCLUSION.....	72
Credit Delivery.....	73
Financial Inclusion.....	74
Financial Literacy	77
V. FINANCIAL MARKETS AND FOREIGN EXCHANGE MANAGEMENT	79
Financial Markets Regulation Department	79
Financial Markets Operations Department.....	81
Foreign Exchange Department	82
VI. REGULATION, SUPERVISION AND FINANCIAL STABILITY	88
Financial Stability Department	88
Department of Regulation	89

CONTENTS

	Page No.
FinTech Department	98
Reserve Bank Innovation Hub (RBIH)	102
Department of Supervision.....	103
Enforcement Department	111
Consumer Education and Protection Department.....	112
Deposit Insurance and Credit Guarantee Corporation.....	113
VII. PUBLIC DEBT MANAGEMENT	115
Debt Management of the Central Government	116
Debt Management of State Governments.....	118
VIII. CURRENCY MANAGEMENT.....	121
Developments in Currency in Circulation	122
Currency Management Infrastructure	123
Expenditure on Security Printing	125
Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL)	126
IX. PAYMENT AND SETTLEMENT SYSTEMS AND INFORMATION TECHNOLOGY ...	127
Department of Payment and Settlement Systems	127
Department of Information Technology.....	133
Reserve Bank Information Technology Private Limited (ReBIT).....	137
Indian Financial Technology & Allied Services (IFTAS).....	137
X. COMMUNICATION, INTERNATIONAL RELATIONS, RESEARCH AND STATISTICS	139
Communication Processes	139
International Relations	142
Government and Bank Accounts	144
Managing Foreign Exchange Reserves	147
Economic and Policy Research	148
Statistics and Information Management.....	150
Legal Issues	152

CONTENTS

	Page No.
XI. GOVERNANCE, HUMAN RESOURCES AND ORGANISATIONAL MANAGEMENT	154
Governance Structure	155
Human Resource Development Initiatives	156
Enterprise-Wide Risk Management	160
Internal Audit/Inspection.....	161
Corporate Strategy and Budget Management	162
External Institutions Funded by the Reserve Bank	163
Rajbhasha	163
Premises Department	165
Annex	166
XII. THE RESERVE BANK’S ACCOUNTS FOR 2025-26	170
Balance Sheet as on March 31, 2026	173
Income Statement for the year ended March 31, 2026.....	174
Schedules forming part of Balance Sheet and Income Statement.....	175
Statement of Significant Accounting Policies for the year ended March 31, 2026.....	178
Notes to Accounts	182
Annex: Chronology of Major Policy Announcements - April 2025 to March 2026	198
Appendix Tables	210

CONTENTS

Page No.

BOXES

II.4.1 : Bank Time Deposits and Mutual Fund Flows Dynamics - A Comparative Analysis	37
III.1 : Second Review of the Flexible Inflation Targeting Framework	61
IV.1 : National Strategy for Financial Inclusion (NSFI): 2025-30	77
V.1 : Use of INR and Local Currencies for Cross-Border Trade	84
VI.1 : Regulatory Communication - A Paradigm Shift	93
VI.2 : FREE-AI in the Financial Sector - Key Recommendations	99
VI.3 : Combating Cyber-Enabled Frauds and Money Mules	110
IX.1 : Payments Vision 2028	130
XI.1 : <i>Utkarsh</i> 2029 - Reserve Bank's Medium-Term Strategy Framework for 2026-29	162

CONTENTS

Page No.

APPENDIX TABLES

1.	Macroeconomic and Financial Indicators.....	210
2.	Growth Rates and Composition of Real Gross Domestic Product (At 2022-23 Prices).. <td>212</td>	212
3.	Gross Savings.....	213
4.	Inflation, Money and Credit	214
5.	Flow of Financial Resources to Commercial Sector	215
6.	Key Fiscal Indicators	216
7.	India's Overall Balance of Payments	217

SELECT ABBREVIATIONS

ACU	- Asian Currency Union	BBA	- Bilateral Borrowing Agreements
AD	- Authorised Dealer/Additional Director/Aggregate Deposit	BBPOUs	- <i>Bharat</i> Bill Payment Operating Units
AD Cat-I	- Authorised Dealer Category-I	BBPS	- <i>Bharat</i> Bill Payment System
ADF	- Asset Development Fund	BCs	- Business Correspondents
AED	- (United) Arab Emirates Dirham	BCBS	- Basel Committee on Banking Supervision
AEs	- Advanced Economies	BC-ICT	- Business Correspondents - Information and Communication Technology
AePS	- <i>Aadhaar</i> Enabled Payment System	BCM	- Business Continuity Management
AFA	- Additional Factor of Authentication	BCP	- Basel Core Principles/Business Continuity Plan
AFS	- Available for Sale	BE	- Budget Estimates
AI	- Artificial Intelligence	BFS	- Board for Financial Supervision
AIFs	- Alternative Investment Funds	BFSI	- Banking, Financial Services and Insurance
AIFIs	- All India Financial Institutions	BG	- Bank Guarantee
AML	- Anti-Money Laundering	BHIM	- <i>Bharat</i> Interface for Money
AML-CFT	- Anti-Money Laundering-Combating the Financing of Terrorism	BIS	- Bank for International Settlements/Bureau of Indian Standards
AMS	- Audit Management System	BISIH	- Bank for International Settlements Innovation Hub
ANBC	- Adjusted Net Bank Credit	BoE	- Bank of England
AO	- Auditee Office	BoG	- Board of Governors
AP	- Authorised Person	BoJ	- Bank of Japan
APBS	- <i>Aadhaar</i> Payment Bridge System	BoP	- Balance of Payments
API	- Application Programming Interface	bps	- Basis Points
APR	- Annual Percentage Rate	BPSS	- Board for Regulation and Supervision of Payment and Settlement Systems
ARCs	- Asset Reconstruction Companies	BQR	- <i>Bharat</i> Quick Response
ARMS	- Audit and Risk Management Sub-Committee	BRBNMPL	- <i>Bharatiya</i> Reserve Bank Note <i>Mudran</i> Private Limited
ASISO	- Automated Sweep-in and Sweep-out	BRICS	- Brazil, Russia, India, China and South Africa
ATBs	- Auction Treasury Bills		
ATM	- Automated Teller Machine		
AUM	- Assets Under Management		
B2B	- Business-to-Business		
B2C	- Business-to-Customer		
BAs	- Business Areas		

SELECT ABBREVIATIONS

BSBDA	- Basic Savings Bank Deposit Account	CERT-In	- Computer Emergency Response Team - India
B-SC	- Building Sub-Committee	CFLs	- Centres for Financial Literacy
BSR	- Basic Statistical Return	CFO	- Chief Financial Officer
CA	- Concurrent Audit	CGA	- Controller General of Accounts
CAB	- College of Agricultural Banking	CGFS	- Committee on the Global Financial System
CAD	- Current Account Deficit/ Cybersecurity Awareness Drive	CGTMSE	- Credit Guarantee Fund Trust for Micro and Small Enterprises
CAFRAL	- Centre for Advanced Financial Research and Learning	CiC	- Currency in Circulation
CAG	- Comptroller and Auditor General	CICs	- Credit Information Companies
CaMS	- Case Management System	CII	- Critical Information Infrastructure
CAS	- Central Accounts Section	CIMS	- Centralised Information Management System
CBDC	- Central Bank Digital Currency	CIs	- Credit Institutions
CBDC-R	- Central Bank Digital Currency-Retail	CMBs	- Cash Management Bills
CBDC-W	- Central Bank Digital Currency-Wholesale	CME	- Capital Market Exposures
CBGN	- Central Bank Governance Network	CMIE	- Centre for Monitoring Indian Economy
CBI	- Central Bureau of Investigation	CMS	- Complaint Management System
CBIA	- Central Banks' Internal Auditors	CODs	- Central Office Departments
CBP	- Capacity Building Programme	CoFT	- Card-on-File Tokenisation
CBSL	- Central Bank of Sri Lanka	COR	- Certificate of Registration
CBUAE	- Central Bank of the United Arab Emirates	CoS	- College of Supervisors
CCB	- Committee of the Central Board	CPFIR	- Central Payments Fraud Information Registry
CCIL	- Clearing Corporation of India Limited	CPI	- Consumer Price Index
CCIR	- Comprehensive Credit Information Repository	CPI-AL	- CPI for Agricultural Labourers
CCP	- Central Counterparty	CPI-IW	- CPI for Industrial Workers
CCS	- Consumer Confidence Survey	CPI-RL	- CPI for Rural Labourers
CDs	- Certificates of Deposit	CPs	- Commercial Papers
CEO	- Chief Executive Officer	CPTS	- Credit Proposal Tracking System
CEOB	- Credit Equivalent of Off-Balance Sheet Exposure	CRA	- Contingent Reserve Arrangement
CEPD	- Consumer Education and Protection Department	CRAR	- Capital to Risk-Weighted Assets Ratio
		CRDC	- Currency Research and Development Centre
		CRR	- Cash Reserve Ratio

SELECT ABBREVIATIONS

CSAA	- Control Self-Assessment Audit	DIPP	- Department of Industrial Policy and Promotion
CSBD	- Corporate Strategy and Budget Department	DIS	- Deposit Insurance System
CSF	- Consolidated Sinking Fund	DISCOMs	- Distribution Companies
CSS	- Centrally Sponsored Schemes	DIT	- Department of Information Technology
CTS	- Cheque Truncation System	DLAs	- Digital Lending Apps
CU	- Capacity Utilisation	DLG	- Default Loss Guarantee
CUG	- Closed User Group	DLT	- Distributed Ledger Technology
CVC	- Central Vigilance Commission	DMS	- Date-Wise Monthly Statement
CVO	- Chief Vigilance Officer	DMT	- Domestic Money Transfer
CVPS	- Currency Verification and Processing Systems	DoC	- Department of Communication
CwP	- Currency with the Public	DoR	- Department of Regulation
DBIE	- Database on Indian Economy	DoS	- Department of Supervision
DBT	- Direct Benefit Transfer	DPI	- Digital Payments Index/Digital Public Infrastructure
DCCBs	- District Central Cooperative Banks	DPIIT	- Department for Promotion of Industry and Internal Trade
DCM	- Department of Currency Management	DPSS	- Department of Payment and Settlement Systems
DCW	- Development Centre Workshops	DQE	- Data Query Engine
DDs	- Demand Drafts	DQI	- Data Quality Index
DEA Fund	- Depositor Education and Awareness Fund	DR	- Disaster Recovery
DEIO	- Department of External Investments and Operations	DSIM	- Department of Statistics and Information Management
DEPR	- Department of Economic and Policy Research	e-BAAT	- Electronic Banking Awareness and Training
DevSecOps	- Development, Security and Operations	EBLR	- External Benchmark-based Lending Rate
DGBA	- Department of Government and Bank Accounts	ECB	- European Central Bank/External Commercial Borrowings
DGF	- Data Governance Framework	ECCTI	- Enterprise Computing and Cybersecurity Training Institute
DGFT	- Directorate General of Foreign Trade	ECF	- Economic Capital Framework
DICGC	- Deposit Insurance and Credit Guarantee Corporation	ECL	- Expected Credit Loss
DIF	- Deposit Insurance Fund	ECLGS	- Emergency Credit Line Guarantee Scheme
		ECS	- Electronic Clearing Service

SELECT ABBREVIATIONS

EDC	- Executive Directors' Committee	FBs	- Foreign Banks
EDDPE	- Expanding and Deepening of Digital Payment Ecosystem	FC	- Finance Commission/Financial Conglomerate
EEFC	- Exchange Earner's Foreign Currency	FCA	- Foreign Currency Assets
EFD	- Enforcement Department	FCB	- Foreign Central Bank
EFIs	- External Funded Institutions	FCI	- Financial Conditions Index/Food Corporation of India
EGRC	- Enterprise Governance Risk and Compliance	FCNR(B)	- Foreign Currency Non-Resident Account (Bank)
EI	- Emotional Intelligence	FCRA	- Foreign Currency (Regulation) Act
EKP	- Enterprise Knowledge Portal	FCY	- Foreign Currency
EMDEs	- Emerging Market and Developing Economies	FDI	- Foreign Direct Investment
EMEs	- Emerging Market Economies	FE	- Final Estimates
EMIs	- Equated Monthly Instalments	FED	- Foreign Exchange Department
EoI	- Expression of Interest	FEMA	- Foreign Exchange Management Act
EPFO	- Employees' Provident Fund Organisation	FEPA	- Financial Education Programme for Adults
ERM	- Enterprise-wide Risk Management	FER	- Foreign Exchange Reserves
ERP	- Enterprise Resource Planning	FETP	- Financial Education Training Programme
e₹	- Digital Rupee	FFMCs	- Full-Fledged Money Changers
e₹-R	- Digital Rupee - Retail	FI	- Financial Information/Financial Inclusion
e₹-W	- Digital Rupee - Wholesale	FIAP	- Financial Inclusion Action Plan
ESG	- Environmental, Social and Governance	FICNs	- Fake Indian Currency Notes
ETCD	- Exchange Traded Currency Derivatives	FIDD	- Financial Inclusion and Development Department
ETP	- Electronic Trading Platform	FIF	- Financial Inclusion Fund
EU	- European Union	FI-Index	- Financial Inclusion Index
EWS	- Early Warning Signals/ Economically Weaker Section	FinTech	- Financial Technology
FACE	- Fintech Association for Consumer Empowerment	FIP	- Financial Inclusion Plan/ Financial Information Provider
FAE	- First Advance Estimates	FIs	- Financial Intermediaries/ Financial Institutions
FAR	- Fully Accessible Route	FIRRI	- Framework for Identification and Reporting of Risk Incidents
FATF	- Financial Action Task Force		
FBIL	- Financial Benchmarks India Private Limited		

SELECT ABBREVIATIONS

FIT	- Flexible Inflation Targeting	G20	- Group of Twenty
FIUs	- Financial Information Users	GCCs	- General Credit Cards
FLCs	- Financial Literacy Centres	GCF	- Gross Capital Formation
FLW	- Financial Literacy Week	GDP	- Gross Domestic Product
FMCBG	- Finance Ministers and Central Bank Governors	GeM	- Government e-Marketplace
FMCG	- Fast Moving Consumer Goods	GFCE	- Government Final Consumption Expenditure
FMI	- Financial Market Infrastructure	GFCF	- Gross Fixed Capital Formation
FMOD	- Financial Markets Operations Department	GFD	- Gross Fiscal Deficit
FMRD	- Financial Markets Regulation Department	GFIN	- Global Financial Innovation Network
Forex/FX	- Foreign Exchange	GFSN	- Global Financial Safety Net
FPI	- Foreign Portfolio Investment	GIFT-City	- Gujarat International Finance Tec-City
FPOs	- Follow-on Public Offers	GII	- Global Innovations Index
FPS	- Fast Payment System	GNDI	- Gross National Disposable Income
FRMS	- Fraud Risk Management System	GNPA	- Gross Non-Performing Asset
FRRR	- Fixed Rate Reverse Repo	Gol	- Government of India
FRSB	- Floating Rate Savings Bond	GPFI	- Global Partnership for Financial Inclusion
FSA	- Financial Stability Assessment	GREEN	- Generation of Renewable Energy, Energy Conservation and Neer Conservation
FSAP	- Financial Sector Assessment Programme	GRF	- Guarantee Redemption Fund
FSB	- Financial Stability Board	GRIHA	- Green Rating for Integrated Habitat Assessment
FSD	- Financial Stability Department	GRQ	- General Review of Quotas
FSDC	- Financial Stability and Development Council	GSCPI	- Global Supply Chain Pressure Index
FSDC-SC	- Financial Stability and Development Council - Sub-Committee	GSDP	- Gross State Domestic Product
FSI	- Financial Sector Issues	G-secs	- Government Securities
FSR	- Financial Stability Report	GST	- Goods and Services Taxes
FSRs	- Financial Sector Regulators	GSTN	- Goods and Services Taxes Network
FSWM	- Financially Sound and Well Managed	GVA	- Gross Value Added
FUs	- Factoring Units	GVC	- Global Value Chain
FVTPL	- Fair Value through Profit and Loss Account	GW	- Gigawatt
FWG	- Framework Working Group		

SELECT ABBREVIATIONS

HFCs	- Housing Finance Companies	IFR	- Investment Fluctuation Reserve
HFIIs	- High Frequency Indicators	IFSC	- Indian Financial System Code/ International Financial Services Centre
HFT	- Held for Trading		
HI	- Hearing Impaired	IFSCA	- International Financial Services Centres Authority
HRMD	- Human Resource Management Department	IFTAS	- Indian Financial Technology and Allied Services
HRM-SC	- Human Resource Management Sub-Committee	IGAS	- Indian Government Accounting Standards
HS	- Harmonised System	IGBs	- Indian Government Bonds
HTM	- Held to Maturity	IGBC	- Indian Green Building Council
IA	- Internal Audit	IGIDR	- Indira Gandhi Institute of Development Research
IaaS	- Infrastructure as a Service	IGR	- Internal Grievance Redress
IAM	- Identity and Access Management	IIBM	- Indian Institute of Bank Management
IBA	- Indian Banks' Association	IIBX	- India International Bullion Exchange
IBCC	- Indian Banking Community Cloud	IIP	- Index of Industrial Production
IBU	- IFSC Banking Unit	ILM	- Internal Loss Multiplier
ICRIER	- Indian Council for Research on International Economic Relations	IMD	- India Meteorological Department
ICT	- Information and Communication Technology	IMEs	- Informal Micro Enterprises
I-CRR	- Incremental Cash Reserve Ratio	IMF	- International Monetary Fund
ID	- International Department	IMFC	- International Monetary and Financial Committee
IDF	- Infrastructure Debt Fund	IMPS	- Immediate Payment Service
IDG	- Inter Departmental Group	IMT	- Instant Money Transfer
IDMD	- Internal Debt Management Department	INB	- Internet Banking
IDR	- Indonesian Rupee	Ind AS	- Indian Accounting Standards
IDRBT	- Institute for Development and Research in Banking Technology	InFiNet	- Indian Financial Network
IFA	- International Financial Architecture	INR	- Indian Rupee
IFA WG	- International Financial Architecture Working Group	IO	- Internal Ombudsman
IFMIS	- Integrated Financial Management Information System	IOs	- International Organisations
		IoRS	- Inter-Operable Regulatory Sandbox
		IOSCO	- International Organisation of Securities Commissions

SELECT ABBREVIATIONS

IPCs	- Irrevocable Payment Commitments	LCSS	- Local Currency Settlement System
IPO	- Initial Public Offering	LEI	- Legal Entity Identifier
IPP	- Instant Payment Platform	LFPR	- Labour Force Participation Rate
IRA	- Investment Revaluation Accounts	LIBOR	- London Inter-Bank Offered Rate
IRACP	- Income Recognition, Asset Classification and Provisioning	LLMs	- Large Language Models
IRD	- Interest Rate Derivatives	LPA	- Long Period Average
IRF	- Inter-Regulatory Forum	LPG	- Liquefied Petroleum Gas
IRS	- Interest Rate Swap	LRS	- Liberalised Remittance Scheme
IS	- Information Systems	LSF	- Late Submission Fee
ISPI	- Index of Supply Chain Pressures for India	LSPs	- Lending Service Providers
IT	- Information Technology	LTS	- Long-Term Support
ITeS	- IT-enabled Services	LTV	- Loan-to-Value
IT-SC	- Information Technology Sub-Committee	M ₃	- Money Supply
ITBs	- Intermediate Treasury Bills	MANI	- Mobile Aided Note Identifier
ITC	- Indian Trade Classification	MAS	- Monetary Authority of Singapore
IWG	- Internal Working Group	MCA	- Ministry of Corporate Affairs
JTCC	- Joint Technical Coordination Committee	MCLR	- Marginal Cost of Funds-based Lending Rate
KCC	- <i>Kisan</i> Credit Card	MCV	- Mobile Coin Van
KFS	- Key Facts Statement	MD	- Master Direction/Managing Director
KRIs	- Key Risk Indicators	MDM	- Mobile Device Management
kWp	- Kilowatt Peak	ME	- Mutual Evaluation
KYC	- Know Your Customer	MIBOR	- Mumbai Interbank Offered Rate
LABs	- Local Area Banks	MIFOR	- Mumbai Interbank Forward Outright Rate
LAES	- Liquidity Adjusted Expected Shortfall	MMIFOR	- Modified MIFOR
LAF	- Liquidity Adjustment Facility	MIS	- Management Information System
LB	- Load Balance	ML	- Machine Learning
LBS	- Lead Bank Scheme	MM	- Money Multiplier
LC	- Letter of Credit	MNBCs	- Miscellaneous Non-Banking Companies
LCR	- Liquidity Coverage Ratio	MoE	- Memorandum of Error
LCS	- Local Currency Settlement	MoF	- Ministry of Finance
		MOOCs	- Massive Open Online Courses

SELECT ABBREVIATIONS

MoSPI	- Ministry of Statistics and Programme Implementation	NDS-OM	Negotiated Dealing System-Order Matching
MoU	- Memorandum of Understanding	NDTL	- Net Demand and Time Liabilities
MPC	- Monetary Policy Committee	NER	- North Eastern Region
MSF	- Marginal Standing Facility	NEER	- Nominal Effective Exchange Rate
MSMEs	- Micro, Small and Medium Enterprises	NEFT	- National Electronic Funds Transfer
MSP	- Minimum Support Price	NEM	- North-East Monsoon
MTF	- Medium Term Framework	NETC	- National Electronic Toll Collection
MTSS	- Money Transfer Service Scheme	NFA	- Net Foreign Assets
MVP	- Minimum Viable Product	NFC	- Non-Food Credit/Near Field Communication
NAB	- New Agreements to Borrow	NGCH	- National Grid Clearing House
NABARD	- National Bank for Agriculture and Rural Development	NGFS	- Network for Greening the Financial System
NACH	- National Automated Clearing House	NGSOC	- Next Generation Security Operation Centre
NAMCABS	- National Mission for Capacity Building of Bankers for Financing MSME Sector	NGTA	- Next Generation Treasury Application
NBBL	- NPCI <i>Bharat</i> BillPay Limited	NHB	- National Housing Bank
NBFC	- Non-Banking Financial Company	NIAP	- Nationwide Intensive Awareness Programme
NBFIs	- Non-Banking Financial Institutions	NIBM	- National Institute of Bank Management
NCCDs	- Non-Centrally Cleared Derivatives	NIPL	- NPCI International Private Limited
NCDs	- Non-Convertible Debentures	NIST	- National Institute of Standards and Technology
NCFE	- National Centre for Financial Education	NLP	- Natural Language Processing
NCIIPC	- National Critical Information Infrastructure Protection Centre	NNML	- Net Non-Monetary Liabilities
NCMC	- National Common Mobility Card	NPA	- Non-Performing Assets
ND	- Nominee Director	NPCI	- National Payments Corporation of India
NDA	- Net Domestic Assets/Non-Disclosure Agreements	NPI	- National Payments Interface
NDDC	- Non-Deliverable Derivative Contract	NPISH	- Non-Profit Institutions Serving Households
NDI	- Non-Debt Instrument	NRB	- Nepal Rastra Bank
NDLD	- New Delhi Leaders' Declaration		

SELECT ABBREVIATIONS

NRC	- Nomination and Remuneration Committee	PAs	- Payment Aggregators
NRE	- Non-Resident (External)	PaaS	- Platform as a Service
NRIs	- Non-Resident Indians	PACs	- Public Awareness Campaigns
NRO	- Non-Resident Ordinary	PADO	- Public Administration, Defence and Other Services
NSFE	- National Strategy for Financial Education	PAN	- Permanent Account Number
NSFI	- National Strategy for Financial Inclusion	PBs	- Payments Banks
NSMs	- Note Sorting Machines	PCA	- Prompt Corrective Action
NSO	- National Statistics Office	PDs	- Primary Dealers
NSSF	- National Small Savings Fund	PDS	- Public Distribution System
NUCFDC	- National Urban Cooperative Finance and Development Corporation Limited	PE	- Performance Evaluation
NZDPU	- Net-Zero Data Public Utility	PFCE	- Private Final Consumption Expenditure
OBC	- Other Backward Classes	PFMIs	- Principles for Financial Market Infrastructure
OBICUS	- Order Books, Inventories and Capacity Utilisation Survey	PFMS	- Public Financial Management System
OD	- Overdraft	PIB	- Press Information Bureau
OECD	- Organisation for Economic Co-operation and Development	PIDF	- Payments Infrastructure Development Fund
OH	- Orthopaedically Handicapped	PIDPI	- Public Interest Disclosure and Protection of Informers
OI	- Overseas Investment	PLFS	- Periodic Labour Force Survey
OID	- Overseas Investment Division	PLI	- Production-Linked Incentive
OIS	- Overnight Index Swap	PMGKAY	- <i>Pradhan Mantri Garib Kalyan Anna Yojana</i>
OLTAS	- Online Tax Accounting System	PMI	- Purchasing Managers' Index
OMO	- Open Market Operation	PML	- Prevention of Money Laundering
OMSS	- Open Market Sales Scheme	PMUY	- <i>Pradhan Mantri Ujjwala Yojana</i>
OoH	- Out-of-Home	PoC	- Proof of Concept
OPEC	- Organisation of Petroleum Exporting Countries	POL	- Petroleum, Oil and Lubricants
ORBIOs	- Offices of the Reserve Bank of India Ombudsmen	POs	- Payment Orders
OTC	- Over-the-Counter	PoS	- Point of Sale
OTP	- One-time Password	PPAC	- Petroleum Planning and Analysis Cell
P2M	- Person-to-Merchant	PPIs	- Prepaid Payment Instruments
P2P	- Peer to Peer	PPP	- Public Private Partnership

SELECT ABBREVIATIONS

PRAVAAH	- Platform for Regulatory Application, Validation And AuthHorisation	RE	- Revised Estimates
PROI	- Person Resident Outside India	ReBIT	- Reserve Bank Information Technology Private Limited
PSBs	- Public Sector Banks	REs	- Regulated Entities
PSL	- Priority Sector Lending	RFA	- Red Flagging of Accounts
PSLCs	- Priority Sector Lending Certificates	RFID	- Radio Frequency Identification
PSOs	- Payment System Operators	RFP	- Request for Proposal
PSPs	- Payment System Participants	RM	- Reserve Money
PSS	- Payment and Settlement Systems	RMAB	- Royal Monetary Authority of Bhutan
PSUs	- Public Sector Undertakings	RMC	- Risk Monitoring Committee
PTPFC	- Public Tech Platform for Frictionless Credit	RMD	- Risk Monitoring Department
PVBs	- Private Banks	ROs	- Regional Offices
PwBD	- Persons with Benchmark Disabilities	RPO	- Recovery Point Objective
QIP	- Qualified Institutional Placement	RPS	- Retail Payment Systems
QR	- Quick Response	RR	- Risk Register
R&D	- Research and Development	RRBs	- Regional Rural Banks
RAW	- Risk Awareness Week	RS	- Regulatory Sandbox
RBI	- Reserve Bank of India	RTGS	- Real Time Gross Settlement
RBIA	- Risk-Based Internal Audit	RTI	- Right to Information
RBI EPF	- Reserve Bank of India Employees' Provident Fund	RTLs	- Risk Tolerance Limits
RBIH	- Reserve Bank Innovation Hub	RTO	- Recovery Time Objective
RB-CRIS	- Reserve Bank-Climate Risk Information System	SAF	- Supervisory Action Framework
RB-IOS	- Reserve Bank-Integrated Ombudsman Scheme	SAKAR	- Supervisory Assessment of KYC/ AML Risks
RBS	- Risk-Based Supervision	SAs	- Statutory Auditors
RBSC	- Reserve Bank Staff College	SAS	- Statistical Analytics System
RCA	- Root Cause Analysis	SAAR	- Seasonally Adjusted Annualised (Growth) Rate
RCCS	- Rural Consumer Confidence Survey	SAARC	- South Asian Association of Regional Cooperation
RDA	- Rupee Drawing Arrangement	SAMWAD	- Secure Audio-video Meetings with Advanced Devices
RDBs	- Rupee Denominated Bonds	SARFAESI	- Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest
		SATARC	- Security Automation, Threat Analysis and Response Centre

SELECT ABBREVIATIONS

SBE	- Scale-Based Enforcement	SMS	- Short Messaging Service
SBS	- Shredding and Briquetting Systems	SNA	- Single Nodal Agency
SCBs	- Scheduled Commercial Banks	SNA-SPARSH	- Single Nodal Agency - <i>Samayochit Pranali Akikrut Sheeghra Hastantaran</i>
SDF	- Special Drawing Facility/ Standing Deposit Facility	SNRR	- Special Non-Resident Rupee
SDMX	- Statistical Data and Metadata Exchange	SOC	- Security Operations Centre
sDQI	- Supervisory Data Quality Index	SOP	- Standard Operating Procedure
SDRs	- Special Drawing Rights	SPDs	- Standalone Primary Dealers
SD-WAN	- Software Defined-Wide Area Network	SPECTRA	- Software Platform for External Commercial Borrowings and Trade Credits Reporting and Approval
SEs	- Supervised Entities	SPMCIL	- Security Printing and Minting Corporation of India Limited
SEACEN	- South East Asian Central Banks	SRO	- Self-Regulatory Organisation
SEBI	- Securities and Exchange Board of India	SRVA	- Special Rupee Vostro Account
SFBs	- Small Finance Banks	S-SC	- Strategy Sub-Committee
SFDB	- SAARCFINANCE Database	SSO	- Single Sign-On
SFMS	- Structured Financial Messaging System	S-SOC	- Sectoral Security Operations Centre
SFMS MI	- SFMS Member Interface	SSCI	- Services Sector Composite Index
SFTP	- Secure File Transfer Protocol	ST	- Scheduled Tribe
SFWG	- Sustainable Finance Working Group	STC	- Short-term Trade Credit
SGBs	- Sovereign Gold Bonds	StCBs	- State Cooperative Banks
SGL	- Subsidiary General Ledger	SWIFT	- Society for Worldwide Interbank Financial Telecommunication
SGrBs	- Sovereign Green Bonds	SWM	- South-West Monsoon
SGSs	- State Government Securities	TAT	- Turn-Around Time
SHGs	- Self-Help Groups	T-Bills	- Treasury Bills
SIP	- Systematic Investment Plan	TEs	- Training Establishments
SLBC	- State Level Bankers' Committee	TF	- Terrorist Financing
SLCC	- State Level Coordination Committee	TFP	- Total Factor Productivity
SLR	- Statutory Liquidity Ratio/Sri Lankan Rupee	TGFIFL	- Technical Group on Financial Inclusion and Financial Literacy
SLS	- State Linked Schemes	TIN	- Tax Information Network
SMCC	- Social Media Command Centre	TOT	- Toll-Operate-Transfer
SMEs	- Small and Medium Enterprises	TPS	- Transactions Per Second

SELECT ABBREVIATIONS

TR	- Trade Repository	VFT	- Value Free Transfer
TReDS	- Trade Receivables Discounting System	VI	- Visually Impaired
TSCAs	- Time-Sensitive Critical Activities	VOICE	- Voicing Opinion to Inspire, Contribute and Excel
UAP	- <i>Udyam</i> Assist Platform	VRR	- Variable Rate Repo/Voluntary Retention Route
UAT	- User Acceptance Test	VRRR	- Variable Rate Reverse Repo
UCBs	- Urban Cooperative Banks	WACR	- Weighted Average Call Rate
UDAY	- <i>Ujjwal</i> DISCOM Assurance Yojana	WADTDR	- Weighted Average Domestic Term Deposit Rate
UDCH	- User Defined Customer Hierarchy	WAFaaS	- Web Application Firewall as a Service
UI/UX	- User Interface/User Experience	WALR	- Weighted Average Lending Rate
UK	- United Kingdom	WAM	- Weighted Average Maturity
ULI	- Unified Lending Interface	WAS	- Weighted Average Spread
UO	- Umbrella Organisation	WAY	- Weighted Average Yield
UPI	- Unified Payments Interface	WB	- World Bank
URC	- <i>Udyam</i> Registration Certificate	WEO	- World Economic Outlook
USA	- United States of America	WG	- Working Group
USD	- US Dollar	WLA	- White Label ATM
USSD	- Unstructured Supplementary Service Data	WLAOs	- White Label ATM Operators
UTs	- Union Territories	WMA	- Ways and Means Advances
UTI	- Unique Transaction Identifier	WPI	- Wholesale Price Index
UTLBCs	- Union Territory Level Bankers' Committees	WPR	- Worker Population Ratio
VAaaS	- Vulnerability Assessment as a Service	WTO	- World Trade Organisation
VAPT	- Vulnerability Assessment and Penetration Testing	XBRL	- eXtensible Business Reporting Language
VC	- Video Conferencing	XML	- eXtensible Markup Language
		ZIs	- Zonal Inspectorates
		ZTCs	- Zonal Training Centres

**This Report can be accessed on Internet
URL: www.rbi.org.in**

PART ONE: THE ECONOMY - REVIEW AND PROSPECTS

I**ASSESSMENT AND PROSPECTS**

I.1 In 2025, the global economy displayed resilience with 3.4 per cent growth (3.3 per cent a year ago) amidst high tariffs, elevated policy uncertainty, rising public debt and geopolitical tensions. These headwinds were largely offset by frontloading of imports, supply-chain realignments, and a surge in artificial intelligence (AI)-related investment. Global financial conditions remained broadly accommodative, barring April and May 2025 reflecting tariff tensions. The outlook¹ for the global economy in 2026 points to a moderate expansion at 3.1 per cent, below its long-term average (2000-19) of 3.7 per cent. The world trade (goods and services combined) volume growth, projected at 2.8 per cent² in 2026, remains highly sensitive to shifts in the geopolitical landscape and energy prices-driven inflation risks. The evolving growth-inflation dynamics, particularly the resurgence of supply shock-driven inflation risks in the aftermath of the West Asia conflict, may require central banks to carefully balance the objective of containing inflation against the need to minimise adverse spillovers on growth, warranting cautious calibration of monetary policy paths.

I.2 India remained the fastest growing major economy, expanding at 7.6 per cent during

2025-26 (7.1 per cent a year ago)³, supported by strong domestic consumption, sustained investment, proactive policy initiatives and sound macroeconomic fundamentals. Inflation remained distinctly low during major part of the year. The financial sector remained resilient on the back of healthy bank and non-bank balance sheets, improved asset quality and capital buffers, enabling double-digit credit growth. On the fiscal front, consolidation efforts continued along with improvement in expenditure quality and containment of revenue expenditure. A modest current account deficit (CAD) and adequate forex reserves provided resilience to the external sector even as portfolio investment exhibited net outflows.

I.3 The domestic economy in 2026-27 is expected to remain resilient, despite challenging external environment characterised by elevated energy and commodity prices, rising logistics costs, volatility in global financial markets and uncertainties surrounding global trade policies. Growth prospects are supported by India's strong macroeconomic fundamentals, including robust domestic demand, relatively lower dependence on exports as a growth driver, and a stable policy environment.

^{1,2} World Economic Outlook, April 2026, International Monetary Fund (IMF).

³ All references to gross domestic product (GDP) data in this Report are based on second advance estimates (SAE) with new base year 2022-23, released by the National Statistics Office (NSO) on February 27, 2026, unless indicated otherwise.

2. Assessment of 2025-26

Global Economy

I.4 Global growth remained resilient at 3.4 per cent in 2025 (3.3 per cent in 2024)⁴, amidst several headwinds such as prolonged geopolitical tensions, trade-related uncertainty and higher debt levels which were counterbalanced by tailwinds like fiscal and monetary support, accommodative financial conditions and surging investment in technology. Global inflation eased to 4.1 per cent in 2025 from 5.8 per cent in the previous year, reflecting the impact of softening energy prices, normalisation of supply chain constraints, even as core and services inflation remained sticky. The disinflationary process, however, remained uneven across countries with relative stickiness in services inflation in major advanced economies.

I.5 World goods and services trade volume grew by 5.1 per cent in 2025, exceeding world GDP growth. Merchandise trade volume expanded by 4.6 per cent (2.7 per cent in 2024)⁵, driven mainly by frontloading of imports in anticipation of higher tariffs and growth in trade of technology related products exempt from the tariff measures. Global services trade volume, on the other hand, grew at a moderate pace of 5.3 per cent (7.8 per cent in 2024) as the post-pandemic surge in travel services had already played out in the preceding years, alongside a muted growth in transportation services due to lower shipping rates.

I.6 Global equity markets remained resilient, supported by AI-related technology stocks.

However, concerns about tariff uncertainty, stretched valuations, potential spillovers on other software services, and escalating geopolitical tensions generated episodes of turbulence. The US dollar depreciated during April 2025 - February 2026, but strengthened on safe-haven demand after the outbreak of the West Asia conflict. Sovereign bond yields remained elevated amid fiscal concerns, with the conflict adding further upward pressure.

Domestic Economy

I.7 Against the backdrop of a steady global growth amidst multiple headwinds, India's GDP growth is estimated at 7.6 per cent for 2025-26, up from 7.1 per cent in the previous year. On the demand side, private final consumption expenditure and fixed investment served as the key growth drivers. Although the imposition of US tariffs initially triggered concerns, their overall impact remained muted, with net exports exerting a modest drag of 0.1 percentage points on growth. On the supply side, a buoyant services sector and a robust manufacturing performance helped offset subdued agricultural activity.

I.8 Growth in gross value added (GVA) in the agriculture and allied sector moderated during 2025-26⁶, reflecting weather-related disruptions in *kharif* crops, although favourable *rabi* conditions provided support. Foodgrain and horticulture production reached record levels. Policy efforts focused on reducing import dependence and improving domestic availability of pulses, alongside the launch of the National Mission on High Yielding Seeds to enhance crop productivity.

⁴ World Economic Outlook, April 2026, IMF.

⁵ Global Trade Outlook and Statistics Update, March 2026, World Trade Organisation (WTO).

⁶ Growth in real GVA in the agriculture and allied sector decelerated to 2.4 per cent in 2025-26 from 4.2 per cent a year ago.

I.9 Industrial sector posted strong growth⁷ in 2025-26, driven by a robust manufacturing sector. The growth was facilitated by steady industrial credit growth and broad sectoral policies like the production linked incentive (PLI) scheme and the National Manufacturing Mission. Manufacturing sector experienced broad-based expansion, with the key sectors like basic metals, motor vehicles, and other transport equipment registering strong growth.

I.10 India ranked third globally⁸ with installed renewable energy capacity⁹ exceeding 250 gigawatts (GW). In the clean mobility domain, electric vehicle (EV) sales have surpassed 25 lakh units in 2025-26, driven by initiatives such as the PM Electric Drive Revolution in Innovative Vehicle Enhancement (PM E-DRIVE) scheme. Concurrently, the automotive sector is progressively adopting low-emission alternatives, including compressed natural gas (CNG), hybrid vehicles and E-20 petrol, underscoring the nation's commitment to sustainable transportation.

I.11 The services sector continued to be the primary driver of aggregate supply, contributing to around 69 per cent of real GVA growth.¹⁰ Within this sector, robust expansion in segments such as 'trade, hotels, transport, communication and services related to broadcasting, storage', as

well as 'financial, real estate, IT, and professional services', reflects the increasing importance of high-value-added activities. Labour market conditions remained stable during January-December 2025. The share of agriculture sector continued to decline in total employment, while that of other services, manufacturing and trade sectors increased.

I.12 The central government achieved its fiscal consolidation goal of reducing the gross fiscal deficit (GFD) below 4.5 per cent of GDP by 2025-26. The GFD stood at 4.4 per cent of GDP¹¹ in 2025-26 (RE), driven by containment of revenue expenditure and higher revenue receipts, mainly from direct taxes and non-tax revenue. States' revenue receipts moderated¹² during April 2025 - February 2026 on account of deceleration in tax revenue growth and a decline in grants from the Centre. Despite the moderation, capital expenditure by state governments recorded robust growth. The Sixteenth Finance Commission (2026-2031) has proposed an allocation of ₹7,91,493 crore in grants for rural and urban local bodies. This includes a substantial 194.3 per cent increase in grants for urban local bodies to address the evolving challenges of urbanisation.¹³

I.13 Headline inflation moderated to 2.1 per cent in 2025-26 from 4.6 per cent in the previous year,

⁷ As per the SAE, the industrial sector recorded real GVA growth of 9.5 per cent in 2025-26 (8.7 per cent a year ago). Real GVA growth in manufacturing stood at 11.5 per cent (9.3 per cent a year ago).

⁸ Renewable Capacity Statistics 2026, International Renewable Energy Agency, March 2026.

⁹ A total of 283.5 GW of capacity from non-fossil fuel sources has been installed in the country as on March 31, 2026. This includes 274.7 GW renewable energy (150.3 GW solar power, 56.1 GW wind power, 11.7 GW bio energy, 5.2 GW small hydro power, and 51.4 GW large hydro power) and 8.8 GW nuclear power capacity [Press Information Bureau (PIB), April 8, 2026].

¹⁰ As per the SAE, real GVA growth in services sector is estimated to have increased to 8.7 per cent in 2025-26 from 7.8 per cent a year ago.

¹¹ In this Chapter, fiscal indicators as per cent of GDP for the central government are calculated using the GDP series (2011-12 base year). The new GDP series (2022-23 base year) is not available for 2026-27 and for the financial years prior to 2022-23.

¹² Provisional accounts data pertain to 22 states.

¹³ Urbanisation in India, *i.e.*, percentage of population residing in urban areas, is projected at 40.7 per cent by 2031 (XVI Finance Commission Report, 2026 and UN World Urbanisation Prospects, 2018).

largely driven by muted price pressures in food and a favourable base effect. Inflation in fuel was driven by price hikes of ₹50 and ₹60 per liquified petroleum gas (LPG) cylinder in April 2025 and March 2026, respectively. Inflation excluding food and fuel remained firm on the back of sustained increase in prices of precious metals (gold and silver), whereas inflation excluding food, fuel and precious metals remained benign on the back of goods and services tax (GST) rationalisation undertaken by the government, soft global commodity prices and broadly muted input cost pressures.

I.14 During 2025-26, with the growth-inflation dynamics opening policy space, the Monetary Policy Committee (MPC) reduced the policy repo rate by 100 basis points (bps), while maintaining a neutral stance since June 2025. Liquidity conditions remained in surplus, with the average daily net absorption under the liquidity adjustment facility (LAF) rising sharply to ₹1.86 lakh crore from ₹1,605 crore a year ago. The Reserve Bank injected durable liquidity through open market operation (OMO) purchases, USD/INR buy/sell swaps, longer-tenor variable rate repo (VRR) operations, and four tranches of cash reserve ratio (CRR) cuts totalling 100 bps - more than offsetting the leakage from currency in circulation and forex operations. The weighted average call rate (WACR) averaged 7 bps below the policy repo rate during the year.

I.15 During the current easing cycle (since February 2025), the transmission of policy repo rate changes to banks' deposit and lending rates remained robust, supported by conducive liquidity conditions. The proportion of external benchmark-

based lending rates (EBLR) linked loans in total outstanding floating rate loans increased, with the concomitant fall in marginal cost of funds-based lending rate (MCLR) linked loans.

I.16 Against the backdrop of elevated uncertainty and volatile capital flows, domestic financial markets also witnessed fluctuations during 2025-26. Government security (G-sec) and corporate bond yields exhibited a hardening bias during the year. Corporate bond issuances remained robust, supported by improved corporate balance sheets. The upward pressure on bond yields and risk premia amidst tariff and geopolitical tensions were limited by the monetary policy easing and OMO purchases by the Reserve Bank, as well as continued thrust on fiscal consolidation by the government. Domestic equities rallied in the first half before declining in the second half as escalation in geopolitical tensions in the Middle East and AI-related valuation concerns weighed on investor sentiment.

I.17 Indian Rupee (INR) traded with a depreciating bias during the year amidst trade related uncertainties, geopolitical tensions, and foreign portfolio investment (FPI) outflows in the equity segment. Efforts to promote local currency settlement gained traction, while the INR-denominated invoicing and settlements are increasing gradually. Operationally, progress continued in strengthening technological capabilities, including the migration of cross-border payments to the ISO 20022 messaging framework.

I.18 India's merchandise trade¹⁴ deficit widened to US\$ 333.2 billion during 2025-26 (US\$ 282.5 billion a year ago). A strong services trade surplus

¹⁴ India's merchandise exports grew by 0.9 per cent (y-o-y) during 2025-26 as against a marginal expansion of 0.1 per cent a year ago, while merchandise imports grew by 7.6 per cent (y-o-y) during this period as compared to an expansion of 6.9 per cent a year ago.

and a steady flow in private transfer receipts helped contain CAD within a sustainable level of 1.0 per cent of GDP during April-December 2025.

I.19 Capital flows witnessed significant volatility during 2025-26. While net foreign direct investment (FDI) inflows rose, other major forms of capital flows such as net foreign portfolio investment (FPI) and net external commercial borrowings (ECBs) fell¹⁵ during the year. In terms of external financing needs, net capital flows fell short of financing CAD during April-December 2025. There was a depletion of foreign exchange reserves (on a BoP basis) to the tune of US\$ 30.8 billion during the period. India's foreign exchange reserves (US\$ 691.1 billion as at end-March 2026) remained adequate in terms of the standard metrics of reserve adequacy, including import cover of about 11 months and external debt cover of 90.3 per cent, thereby providing buffer against adverse global spillovers.

I.20 Bank credit to the commercial sector grew by 15.9 per cent (y-o-y) in 2025-26 (10.9 per cent a year ago). Credit from non-bank sources registered a growth of 13.3 per cent (y-o-y) [15.1 per cent a year ago], underscoring their important role in credit intermediation. Bank credit growth gained momentum across sectors, outpacing deposit growth and leading to a rise in credit-deposit ratio. Profitability of SCBs remained robust along with an improvement in asset quality. The gross non-performing assets (GNPA) ratio declined to a multi-decadal low, while the capital to risk-weighted assets ratio (CRAR) remained comfortably above the regulatory requirements.

Stress test results reaffirmed the resilience of banks, indicating their ability to withstand losses under adverse scenarios while maintaining capital buffers well above the regulatory minimum. Further, asset quality and capital adequacy of the non-banking financial companies (NBFCs) remained robust during the year. The credit and deposit growth of the urban co-operative banks (UCBs) improved during April-December 2025, alongside robust capital buffers and increased profitability.

I.21 The regulatory endeavour during the year¹⁶ has been anchored around two broad objectives: first, harmonisation and consolidation of extant instructions across regulated entities (REs); and second, putting in place clear prudential and conduct-related guardrails for evolving credit intermediation models and instruments. More than 11,000 circulars/instructions were consolidated into 244 master directions (MDs). These MDs have been organised around 30 functions/areas of regulatory instructions across 11 types of REs.

I.22 On the supervisory front, the Reserve Bank continued its endeavour to build a resilient and sound financial system. The supervisory initiatives¹⁷, *inter alia*, include: (a) close engagement with government agencies and various stakeholders to address the rising prevalence of cyber-enabled frauds and money mule activities; (b) successfully implementing cyber range initiative to enhance cyber resilience across the banking sector; (c) conducting sectoral know your customer (KYC)/anti-money

¹⁵ Net FDI inflows stood at US\$ 7.7 billion during 2025-26, higher than US\$ 1.0 billion in 2024-25. Net FPI to India recorded an outflow of US\$ 16.5 billion during 2025-26, driven by equity outflows, as against an inflow of US\$ 3.3 billion in 2024-25.

^{16,17} Details are available in Chapter VI and Annex of this Report.

laundering (AML) risk assessment of the NBFC segment; and (d) strengthening cross-border supervision through enhanced cooperation frameworks and capacity-building initiatives. In its endeavour to strengthen supervision and reduce compliance burden, the Reserve Bank has released 64 draft master directions across nine functional areas, consolidating all existing supervisory instructions, for public comments.

I.23 During 2025-26, the Reserve Bank undertook several innovative initiatives. Multiple Central Bank Digital Currency (CBDC) pilots were launched under direct benefit transfer (DBT) schemes of the Centre and State governments, leveraging the programmability capability of CBDCs. In Gujarat, Puducherry and Chandigarh, public distribution system (PDS) beneficiaries were credited food subsidy through programmable CBDC, redeemable for eligible commodities at fair price shops/identified merchants. On asset tokenisation, the Reserve Bank developed the Unified Markets Interface (UMI), a multi-layer platform to facilitate tokenisation of financial assets while leveraging wholesale CBDC to enhance settlement efficiencies. A pilot on tokenisation of certificates of deposit (CDs) was initiated on UMI. On cross-border payments, the Reserve Bank signed memorandum of understanding (MoU) on digital asset collaboration with the Monetary Authority of Singapore (MAS). Bilateral discussions with MAS and the Central Bank of the UAE (CBUAE) were held for operationalising a cross-border CBDC pilot. The Reserve Bank also joined multilateral BIS-Innovation Hub-led initiatives, viz., Project Rialto, and Phase 2 of Project Mandala, which are focused on enhancing cross-border payments through CBDCs.

I.24 The Report of the Framework for Responsible and Ethical Enablement of Artificial Intelligence (FREE-AI) Committee sets out the framework to guide the use of AI in the financial sector, aiming to harness its potential while safeguarding against associated risks. The Reserve Bank is undertaking an assessment of the Committee's report and recommendations, which will help in shaping the formulation of more specific guidance for the entities in the financial sector. Further, the Government launched 'Bharat Gen' in June 2025, India's first government-funded sovereign multilingual and multimodal large language model (LLM), aimed at developing AI systems tailored to Indian languages, governance and public service applications. The India AI Impact Summit 2026, held in February 2026, concluded with the adoption of the New Delhi Declaration on AI Impact, along with forward-looking commitments and strategic partnerships, marking a significant milestone in global cooperation on AI.

I.25 The Reserve Bank of India - Digital Payments Index (RBI-DPI) grew by 11 per cent (y-o-y) during 2025-26, reflecting rapid adoption and deepening of digital payments across the country. Within the retail segment, the Unified Payments Interface (UPI) volume increased by 30 per cent (42 per cent in 2024-25), surpassing 200 billion transactions. Efforts are underway to further expand UPI's international footprint by linking UPI with fast payment systems of other countries for enabling cross-border remittances and merchant payments. The regulatory measures during the year on digital payments and settlement focused on customer centricity, strengthening the resilience of the payment systems, combating frauds and bringing in further efficiency. The measures, *inter-alia*, include

strengthening *Aadhaar* enabled payment system (AePS), consolidation of directions on payment aggregators, authentication mechanisms for digital payment transactions, and implementation of continuous clearing and settlement on realisation in Cheque Truncation System (CTS).

I.26 The Reserve Bank's Financial Inclusion Index (FI-Index), that measures the extent of financial inclusion in the country, increased from 64.2 in March 2024 to 67.0 in March 2025¹⁸, with improvements witnessed across all three sub-indices, viz., access, usage and quality. The Financial Literacy Week (FLW) 2026 was observed on the theme 'KYC - Your First Step to Safe Banking', to spread awareness among the public on various aspects relating to KYC. The National Strategy for Financial Inclusion (NSFI): 2025-30 was released in December 2025 to further deepen and strengthen the financial inclusion ecosystem.

I.27 During the year, the Reserve Bank made concerted efforts towards enhancing customer protection and extended the coverage of RBI Ombudsman to the customers of rural co-operative banks. The Reserve Bank - Integrated Ombudsman Scheme, 2026 and Master Direction on 'Internal Ombudsman for Regulated Entities' were issued to further strengthen the Ombudsman framework and enhance efficiency in resolution of complaints at the level of the regulated entities. Further, a campaign was launched to cover re-KYC of all accounts where it had fallen due and was leveraged for grievance redressal and promoting awareness on unclaimed deposits.

I.28 A comprehensive review of citizen's charter of the Reserve Bank, including rationalisation of timelines for various services, was undertaken during the year. The revised citizen's charter came into effect from July 1, 2025, reaffirming the Reserve Bank's commitment to improve accessibility, responsiveness, and transparency in service delivery.

3. Prospects for 2026-27

Global Economy

I.29 Geopolitical risk has re-emerged as the dominant drag on global growth in 2026. The adverse impact of outbreak of the conflict in West Asia in end-February 2026 is reflected in the forecasts of global growth and inflation. In IMF's baseline scenario¹⁹, the global economy is projected to grow by 3.1 per cent in 2026 (as against the earlier projection of 3.3 per cent in January 2026), while global merchandise and services trade volume is expected to decelerate to 2.8 per cent in 2026²⁰. Further intensification of the conflict, its prolongation or widening geographical spread, if any, remain the key downside risks to the global economic outlook.

I.30 With continued geopolitical tensions, inflation faces upside risks. The surging energy prices and disruptions in key shipping routes could intensify supply-side pressures. In IMF's baseline scenario, the global inflation is projected higher at 4.4 per cent in 2026 than the earlier projection of 3.8 per cent in January 2026. Financial markets may exhibit higher volatility with tighter macroeconomic conditions and broader risk-off

¹⁸ 'Financial Inclusion Index for March 2025', Reserve Bank's Press Release, July 22, 2025.

¹⁹ IMF's baseline scenario assumes that the war will have limited duration, intensity, and scope, such that the disruptions will fade by mid-2026, consistent with commodity futures prices as of March 10, 2026 (World Economic Outlook, April 2026, IMF).

²⁰ World Economic Outlook, April 2026, IMF.

sentiment. Elevated valuations in technology sectors may undergo reassessment, raising the risk of corrections in equity markets. With increased protectionism and debt sustainability concerns, the escalating geopolitical risk calls for coordinated policy actions across fiscal, monetary and multilateral fronts.

Domestic Economy

I.31 Against the backdrop of a moderate global growth, the outlook for the Indian economy in 2026-27 remains positive, supported by strong macroeconomic fundamentals, although a prolonged West Asia conflict may pose downside risk. The healthy balance sheets of the corporate and banking sectors along with the government's continued thrust on capital expenditure bode well for India's strong growth trajectory. Moreover, implementation of various trade agreements with the key trading partners would provide further momentum to India's growth.

I.32 The outlook for the agriculture sector in 2026-27 remains contingent upon the progress and distribution of the south-west monsoon. The likelihood of *El Niño* conditions poses downside risks to agriculture output. However, the rain-inducing positive Indian Ocean Dipole (IOD) conditions are likely to emerge towards the latter part of the monsoon season, which may partly offset adverse impacts. Moreover, while the monsoon remains critical for Indian agriculture, the sensitivity of agricultural production to rainfall variability has moderated over time with rising irrigation intensity, improved crop management practices, and technological advancements.

While the ongoing geopolitical tensions are likely to exert pressure on the availability and prices of key inputs, particularly fertilisers, the government's continued efforts in ensuring adequate availability of fertiliser and other key inputs through diversified sources and buffer management are expected to mitigate these potential concerns. Initiatives announced in the Union Budget 2026-27, focusing on diversification, targeted promotion of high-value crop cultivation across regions, enhancing commercial viability of fisheries and aquaculture, and a greater push towards technology adoption with the proposed launch of *Bharat-VISTAAR*²¹ would support strong and sustainable growth in the agriculture and allied sectors.

I.33 To reinforce India's manufacturing ambitions, the Union Budget 2026-27 has earmarked seven strategic and frontier sectors - electronics, semiconductors, biopharma, rare earths, chemicals, textiles, and capital goods - for a focused policy push. Complementing this, measures such as PLI and PM E-DRIVE to strengthen energy security are expected to catalyse green tech manufacturing and reduce critical import dependence, while investments in freight corridors, waterways, coastal shipping and last-mile connectivity would deepen regional integration and support industrial expansion. Labour market conditions are expected to improve further, supported by the full-scale implementation of the four labour codes, strengthening domestic demand and productivity. Considering these factors, and on the assumption that the adverse

²¹ *Bharat-VISTAAR* (Virtually Integrated System to Access Agricultural Resources) is a multilingual tool to integrate digital agricultural infrastructure with AI-based advisory systems to enable improved decision-making at the farm-level and enhance farm productivity.

impact of the West Asia conflict would remain contained in the near-term, real GDP growth for 2026-27 is projected²² at 6.9 per cent with risks tilted to the downside.

I.34 Despite uncertainty around globally coordinated action against climate change, India remains focused on its mitigation and adaptation measures, guided by its Nationally Determined Contributions (NDCs) which have been updated for the period 2031-35. The updated quantitative targets include achieving 60 per cent of the installed electric capacity from non-fossil sources, reducing the emission intensity of GDP by 47 per cent (from 2005 levels), and creating carbon sink of 3.5-4.0 billion tonnes of CO₂ equivalent by 2035 (from 2005 levels).

I.35 The central government's thrust on growth-inducing capital spending²³ is expected to continue. On the receipts side, direct taxes are budgeted at 6.9 per cent of GDP in 2026-27, highest in more than a decade. GFD is projected at 4.3 per cent of GDP in 2026-27, reflecting the Centre's continued fiscal consolidation efforts in recent years. The Union Government has set up an Economic Stabilisation Fund (ESF) to provide fiscal space against global headwinds. Fiscal outlook for states remains positive for 2026-27 with their consolidated GFD budgeted at 3.0 per cent of gross state domestic product (GSDP)²⁴. The gross transfers to states have been budgeted to increase by 12.2 per cent in 2026-27, largely on account of transfers under

the centrally sponsored schemes and special assistance to states for capital investment.

I.36 Inflation in 2026-27 is likely to remain aligned with the target on the back of adequate foodgrain stocks, sufficient reservoir levels and stable agricultural prospects despite possible *El Niño* conditions and above-normal summer temperature. However, the evolving upside risks to inflation may emanate from multiple other factors such as spike in global fuel and commodity prices amid geopolitical tensions, potential spillovers to input and wage costs, and volatility in exchange rate. Considering all these factors, CPI inflation for 2026-27 is projected²⁵ at 4.6 per cent with risks tilted to the upside.

I.37 With the growth-inflation outlook remaining delicately poised amid heightened geopolitical risks, the MPC in its April 2026 meeting unanimously decided to keep the policy repo rate unchanged at 5.25 per cent, while remaining vigilant and closely monitoring incoming information and assessing the balance of risks. The MPC also decided to continue with the neutral stance, retaining the flexibility to respond judiciously to incoming information. Further, in its second review, the central government in consultation with the Reserve Bank retained the inflation target of 4 per cent with a tolerance band of +/- 2 per cent for the period beginning April 1, 2026, and ending on March 31, 2031.

²² Monetary Policy Statement, April 2026, Reserve Bank of India.

²³ Effective capital expenditure, *i.e.*, capital expenditure *plus* grants-in-aid for creation of capital assets, is budgeted at 4.4 per cent of GDP in 2026-27, up from 3.9 per cent in 2025-26 (RE).

²⁴ Data pertain to 24 states/union territories which have presented their budgets for 2026-27 as at end-May 2026.

²⁵ Monetary Policy Statement, April 2026, Reserve Bank of India.

I.38 Domestic bond yields could face upward pressure if the global monetary easing cycle stalls or reverses in response to persistent oil price shocks amid fragile conditions in the Middle East. However, the government's commitment to fiscal consolidation, along with the liquidity injection measures by the Reserve Bank, is expected to contain the upward pressure on yields. Equity market dynamics would be conditioned by evolving geopolitical developments, global financial market volatility and foreign portfolio investment flows; a deterioration in risk sentiment alongside strengthening of the US dollar could trigger capital outflows. At the same time, ongoing efforts to expand local currency settlement framework are expected to further advance INR-based cross-border transactions.

I.39 While ongoing geopolitical conflicts and policy uncertainty pose downside risks to India's merchandise exports, implementation of trade agreements with several trade partners and a sharp focus on scaling domestic manufacturing in strategic and frontier sectors would strengthen export competitiveness and reduce critical import dependence. Flagship initiatives under the Union Budget 2026-27 towards this direction include biopharma *SHAKTI*²⁶, India Semiconductor Mission 2.0, expansion of the electronics components manufacturing scheme, development of rare earth corridors, establishment of chemical parks, and targeted support for capital goods and container manufacturing. Further, the establishment of an Infrastructure Risk Guarantee Fund is expected to work

towards de-risking physical/digital infrastructure investments while strengthening India's position as a global hub for digital services.

I.40 Robust outlook for India's services trade balance, in particular software and business services, and inward remittances from non-gulf countries is expected to support current account balance during 2026-27. The Union Budget 2026-27 announcements pertaining to tax holiday²⁷ and safe harbour²⁸ for foreign companies for developing data centres in India, and infrastructural investments to the tune of US\$ 250 billion committed till 2047 in the India AI Summit 2026 augur well for attracting FDI. Additionally, measures such as liberalising FDI norms in the space sector by permitting up to 100 per cent FDI in satellite manufacturing and components, and enhanced limits in launch vehicles and satellite operations, are expected to attract global capital and technology to the sector. In case of FPI, flows would be conditional upon global risk appetite. However, finalisation of the ongoing bilateral and regional trade agreements is expected to boost India's trade and investment opportunities, facilitating capital inflows during 2026-27.

I.41 The AI Impact Summit 2026 marked a major milestone in global cooperation on AI. The declaration, endorsed by 92 countries and international organisations, reflects a broad-based global consensus on leveraging AI for economic growth. Globally, India has been ranked third for AI competitiveness and ecosystem

²⁶ Biopharma *SHAKTI* (Strategy for Healthcare Advancement through Knowledge, Technology, and Innovation) scheme with an outlay of ₹10,000 crore over five years aimed at strengthening India's ecosystem for production of biologics and biosimilars.

²⁷ Tax holiday has been announced till 2047 to any foreign company that provides cloud services to customers globally by using data centre services from India.

²⁸ Safe harbour of minimum 15 per cent on cost has been proposed in case the foreign company is a related entity as against the earlier practice of transfer pricing based on arm's length principle, which was prone to disputes.

vibrancy.²⁹ In March 2024, the government had launched the IndiaAI mission with an outlay of INR 10,372 crore. More than 38,000 graphics processing units (GPUs) for common compute facility were onboarded. Encouraged by the government's initiatives, the private sector is also increasingly investing in AI. India's cumulative private investment in AI reached around US\$ 11 billion during 2013 to 2024.³⁰ According to fDi Markets, India ranked fifth in global greenfield announcements in AI-related sub-sectors such as data processing, and semiconductors and allied components in 2024-25. Additionally, the pre-event roadshow in Paris held in May 2026 for *Bharat Innovates 2026* brought together businesses and innovation groups from India and abroad, aiming to connect Indian start-ups with global investors, companies and research groups.

I.42 The Indian banking system is expected to remain resilient, supported by prudent regulatory reforms, stable credit growth and adequate capital buffers. However, lingering geopolitical tensions and supply chain disruptions may pose near-term risks to corporate earnings and the performance of loan portfolios. Elevated sovereign yields may also exert pressure on financial institutions' investment portfolios. Nonetheless, on balance, supported by sound fundamentals and healthy balance sheets, the domestic financial system has sufficient buffers to withstand adverse shocks.

I.43 In the regulatory space³¹, the Reserve Bank's agenda would be anchored around two priorities: customer protection and strengthening credit ecosystem. On customer protection, the

focus is on strengthening the KYC framework, extending video-based identification to NRI customers, and reviewing responsible business conduct directions. On the credit side, review of directions on interest rates, credit risk management and market mechanisms for transfer and distribution of credit risk has been proposed, along with a new framework for shared loan arrangements. Further, to enable the Boards of the banks to utilise their time effectively, and to facilitate a more focused and qualitative engagement on matters of strategy and risk governance, the Reserve Bank would rationalise the requirements emanating out of its instructions for placing matters before the Boards.

I.44 The supervisory agenda³² of the Reserve Bank during 2026-27 would focus on early identification of emerging risks, strengthening root-cause analysis, and enhancing consistency in supervisory practices across regulated entities. This would involve reviewing the risk-based approach for KYC/AML supervision of SCBs, strengthening data-driven supervision through micro-data analytics, and development of supervisory data quality index (sDQI) for Tier 3 and Tier 4 UCBs. The Reserve Bank will also examine implementation of risk-based supervision framework for select NBFCs and UCBs.

I.45 The Reserve Bank plans to expand the CBDC pilot to cover new use cases under DBT schemes and the domestic retail space, while exploring additional pilots on tokenisation of financial assets and widening participant

²⁹ Stanford Global AI Vibrancy 2025 report; PIB, February 2026.

³⁰ Google has announced the establishment of an AI Hub in Vishakhapatnam with an investment of around US\$ 15 billion and Tata Group has announced an investment of US\$ 11 billion for an AI innovation city in Maharashtra (PIB, February 2026).

^{31,32} Details are available in Chapter VI of this Report.

coverage. On cross-border payments, the Reserve Bank intends to operationalise bilateral CBDC pilots with select use cases and deepen engagement in multilateral projects. The Unified Lending Interface (ULI) will be scaled up through onboarding of more data service providers and lenders, and MuleHunter.ai^{TM 33} will be expanded across more banks with new features such as a Mule Registry.

I.46 Building upon the remarkable growth of digital payments in India and anchored in the theme, ‘Shaping India’s Payment Frontier’, the Reserve Bank’s Payments Vision 2028 document focuses on user empowerment, safeguards against fraud, efficiency of cross-border payment frameworks and promoting ease of doing business, among others. Through its various initiatives, the Vision Document would serve as a roadmap up to December 2028, ensuring that India’s payment systems remain safe, resilient, inclusive and innovative. Accordingly, for 2026-27, the Reserve Bank is exploring the full-scale implementation of the Digital Payments Intelligence Platform (DPIP), and introduction of the ‘switch-on’ and ‘switch-off’ facility for all digital payment modes. Further, the Reserve Bank would also focus on enhancing digital safety by broadening the scope of existing instructions on limiting liability of customers to cover other categories of fraudulent electronic banking transactions and introducing a compensation mechanism for small value fraudulent electronic banking transactions.

I.47 A revised framework for computation of the FI-Index would be put in place, alongside focus on implementation of action points envisaged under National Strategy for Financial Inclusion (NSFI):

2025-30. Further, the Reserve Bank is targeting to widen digital financial inclusion by enabling every eligible account holder in all districts with at least one digital payment mode among UPI, cards, internet/mobile banking, unstructured supplementary service data (USSD) or AePS.

I.48 To enhance the efficacy of the internal grievance redressal mechanism, the Reserve Bank shall be focusing on issuing comprehensive instructions on grievance mechanism at the level of regulated entities. Further, the complaint management system of the Reserve Bank is being upgraded to improve its efficacy for resolution of complaints.

4. Conclusion

I.49 The Indian economy exhibited resilience in 2025-26, amidst several external headwinds, supported by strong private consumption, sustained investment and sound macroeconomic fundamentals. Going forward, India’s growth outlook remains positive, though the West Asia conflict and the attendant risks of elevated energy prices, supply chain disruptions, financial market volatility, uncertainty surrounding global trade policies and weather-related disruptions could pose headwinds to growth and inflation in the short run. However, healthy corporate and bank balance sheets, government’s continued thrust on capital expenditure and the implementation of trade agreements with the key partners are expected to sustain investment and growth momentum. Nevertheless, in a highly uncertain global environment, continuous assessment of the evolving developments is warranted to frame the appropriate policy response on an ongoing basis.

³³ A supervised machine learning model developed by Reserve Bank Innovation Hub (RBIH) for near-real-time identification of mule accounts.

II

ECONOMIC REVIEW

The Indian economy remained robust in 2025-26 on the back of steady domestic demand and buoyant services sector, amidst persisting global uncertainties. Headline inflation moderated, led by deflation in food and strong favourable base effect. Deposit and credit exhibited double digit growth. The central government continued its fiscal consolidation, with an emphasis on capital spending. The external sector remained resilient despite elevated global trade uncertainties. The current account deficit remained well within its sustainable level and forex reserves stood at an adequate level, thus supporting macroeconomic and financial stability.

II.1.1 The global economic growth sustained at 3.4¹ per cent in 2025, despite trade and geopolitical uncertainties, aided by investment in technology, fiscal and monetary support, and accommodative financial conditions. Global inflation cooled down to 4.1² per cent from 5.8 per cent a year ago, although high services costs persist. While trade volumes recovered to 5.1³ per cent from 3.6 per cent on account of front loading and technology exports, fiscal outlook weakened. Market volatility persisted due to geopolitical risks and valuation concerns but surged towards the end of March 2026 following the outbreak of West Asia conflict. The US dollar after persistent weakness in 2025, began to exhibit strength with escalation in geopolitical risk in 2026. Further, sovereign bond yields that softened broadly in 2025, witnessed upward pressure in the current year over energy prices-driven inflation concerns induced by the conflict in West Asia.

II.1.2 Despite heightened global uncertainties, the Indian economy remained strong on the back of steady private consumption and robust investment on the demand side, and buoyant services alongside improving industrial activity

on the supply side. Headline inflation moderated further during 2025-26 on account of sharp contraction in food prices supported by robust agricultural production and softened global commodity prices. However, core inflation faced upward pressures driven by precious metals. Indian financial markets demonstrated resilience, with money market rates evolving in line with the policy repo rate and prevailing liquidity conditions. Equity markets witnessed bi-directional movements in 2025-26, as supportive monetary and fiscal policy measures improved sentiment while negative global cues from geopolitical and tariff uncertainties, and artificial intelligence-related concerns weighed on risk appetite. During 2025-26, the central government continued its fiscal consolidation and emphasis on capital expenditure, even as its total expenditure was contained within the budgeted target. States also prioritised capital expenditure while containing revenue expenditure, thereby improving the quality of expenditure. A modest current account deficit and adequate forex reserves imparted resilience to the external sector amid subdued capital flows during the year.

^{1,2,3} World Economic Outlook, April 2026, International Monetary Fund (IMF).

II.1.3 Against this backdrop, the rest of the chapter is structured into six sections. An analysis of the real economy is presented in section 2 followed by that of inflation and its drivers in section 3. The developments in monetary aggregates and financial markets are presented in sections 4 and 5, respectively. The evolution of government finances (centre and states) is discussed in section 6, and external sector dynamics are covered in section 7.

II.2 THE REAL ECONOMY

II.2.1 The Indian economy remained on a strong and steady growth path, notwithstanding the heightened external shocks in 2025-26, particularly following the imposition of higher US tariffs in April 2025. India continued to be the fastest growing large economy, supported by robust macroeconomic fundamentals and proactive policy measures. Economic activity was bolstered by steady growth in consumption and investment on the demand side, and a buoyant services sector and improvement in industrial activity on the supply side.

Aggregate Demand

II.2.2 Aggregate demand – measured by gross domestic product (GDP) at constant prices – grew by 7.6 per cent in 2025-26 from 7.1 per cent a year ago (Table II.2.1 and Appendix Table 1).⁴ Growth in GDP was anchored by domestic drivers – private final consumption expenditure and fixed investment (Chart II.2.1 and Appendix Table 2).

II.2.3 The imposition of steep tariffs by the US on its trading partners initially raised concerns about a possible drag on the external sector and overall GDP growth. However, the adverse spillovers remained contained, with net exports

Table II.2.1. Real GDP Growth

(Per cent)

Component	2023-24	2024-25	2025-26
1	2	3	4
I. Total Consumption Expenditure	4.9	5.9	7.5
Private	5.8	5.8	7.7
Government	0.6	6.5	6.6
II. Gross Capital Formation	8.7	6.1	6.5
Gross Fixed Capital Formation	7.3	6.4	7.1
Change in Stocks	116.9	1.7	10.4
Valuables	-9.3	1.9	-15.8
III. Net Exports			
Exports	0.7	6.6	6.5
Imports	-1.0	5.3	6.4
IV. GDP	7.2	7.1	7.6

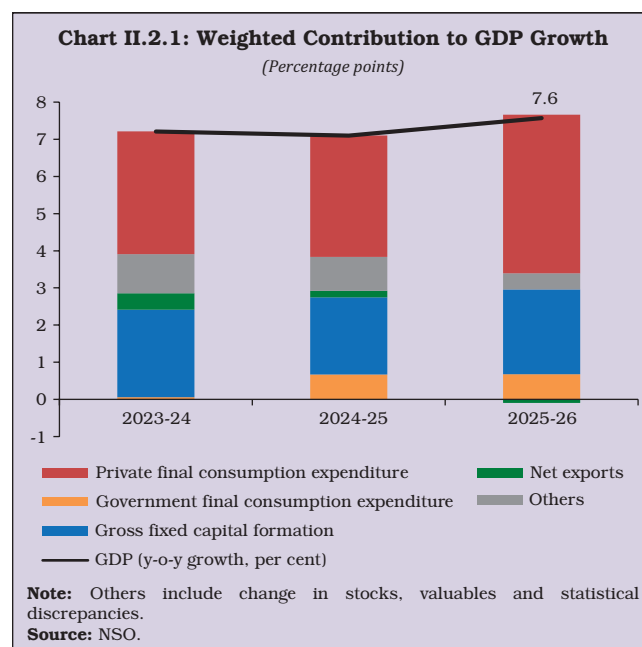
Note: Figures are based on the 2022-23 base series.

Source: NSO.

exerting only a marginal drag of 0.1 percentage points in 2025-26.

Consumption

II.2.4 During 2025-26, private final consumption expenditure – the mainstay of aggregate demand – grew by 7.7 per cent, strengthening from 5.8



⁴ Refer to footnote 3 of Chapter I of this Report.

per cent a year ago. The growth momentum was buoyed by steady rural consumption and improvement in urban demand, which may be partly attributable to the income tax cuts and goods and services tax (GST) rationalisation.⁵ Government final consumption expenditure remained steady at 6.6 per cent.

Investment and Saving

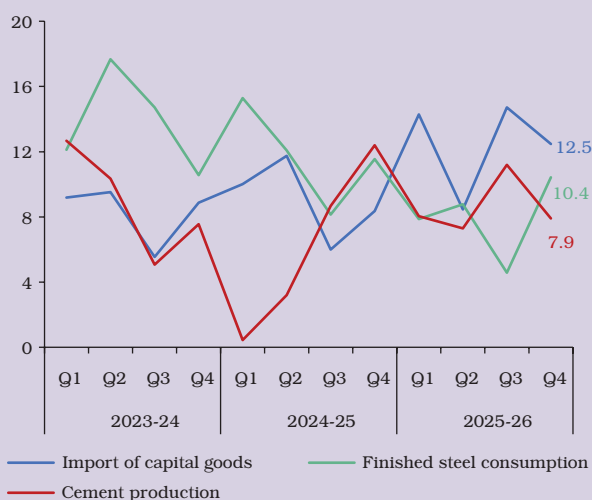
II.2.5 The gross domestic investment rate, measured by the ratio of gross capital formation (GCF) to GDP at current prices, remained broadly stable at 34.3 per cent in 2024-25.⁶ Gross fixed capital formation – a primary component of GCF – expanded at a robust pace of 7.1 per cent in 2025-26 (6.4 per cent a year ago), as reflected in the sustained performance of its key coincident indicators (Chart II.2.2). Government-led capital expenditure continued to play a counter-cyclical

role, helping to crowd in private investment. India's sovereign credit rating upgrade in August 2025 further reinforced investor confidence. Corporate earnings also improved during the year.⁷ While corporate sales growth was subdued at the start of 2025-26, it picked up by Q3 amid strengthening demand.

II.2.6 Gross domestic savings rose to 34.2 per cent of gross national disposable income (GNDI) in 2024-25 from 32.3 per cent in 2023-24. The net household financial saving increased to 7.0 per cent of GNDI in 2024-25 from 5.8 per cent a year earlier, as the decline in household financial liabilities more than offset the moderation in gross financial saving (Appendix Table 3). Gross household financial saving moderated to 11.8 per cent of GNDI in 2024-25 from 12.1 per cent in 2023-24, while household financial liabilities fell sharply to 4.8 per cent of GNDI in 2024-25 from 6.4 per cent in the previous year. Instrument-wise, household financial saving is dominated by deposits, followed by provident and pension funds, insurance, with a gradual increase in investment in shares and debentures (Table II.2.2).

II.2.7 The saving-investment gap narrowed during 2024-25, with the household sector remaining the primary net supplier of funds with its surplus funds rising to 7.8 per cent of GDP in 2024-25 from 6.4 per cent in 2023-24 (Chart II.2.3). The resource gap of private corporations narrowed amid higher savings and lower investment, while fiscal consolidation reduced general government dissaving to 4.6 per cent of GDP from 5.3 per cent of GDP in the preceding year. The narrowing of

Chart II.2.2: Indicators of Fixed Investment Demand
(Growth, per cent, y-o-y)



Sources: Joint Plant Committee, Office of Economic Adviser, NSO, and Directorate General of Commercial Intelligence and Statistics (DGCI&S).

⁵ Several high frequency indicators such as growth in tractor and passenger vehicle sales, declining rural and urban unemployment rates, higher *kharif* output and steady personal loan growth helped to sustain demand throughout the year.

⁶ The gross domestic investment rate reported here is based on the commodity flow (asset-based) approach.

⁷ During Q1 to Q3:2025-26, average operating profits of private non-financial sector increased steadily to 9.4 per cent from 5.7 per cent during the corresponding period of last year.

Table II.2.2: Financial Saving of Household Sector

(Per cent of GNDI)

Item	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25
1	2	3	4	5	6	7	8	9	10	11
A. Gross Financial Saving	10.7	10.4	11.9	11.8	11.4	15.2	10.9	11.2	12.1	11.8
<i>of which:</i>										
1. Currency	1.4	-2.1	2.8	1.4	1.4	1.9	1.1	-	-	-
2. Deposits	4.6	6.3	3.0	4.2	4.3	6.2	3.5	-	-	-
3. Shares and Debentures	0.2	1.1	1.0	0.9	0.5	0.5	0.9	-	-	-
4. Claims on Government	0.5	0.7	0.9	1.1	1.3	1.3	1.1	-	-	-
5. Insurance Funds	1.9	2.3	2.0	2.0	1.7	2.8	2.0	-	-	-
6. Provident and Pension Funds	2.1	2.1	2.1	2.1	2.2	2.5	2.3	-	-	-
B. Financial Liabilities	2.7	3.0	4.3	4.0	3.8	3.7	3.8	6.0	6.4	4.8
C. Net Financial Saving (A-B)	7.9	7.3	7.5	7.8	7.6	11.6	7.2	5.2	5.8	7.0

GNDI: Gross National Disposable Income.

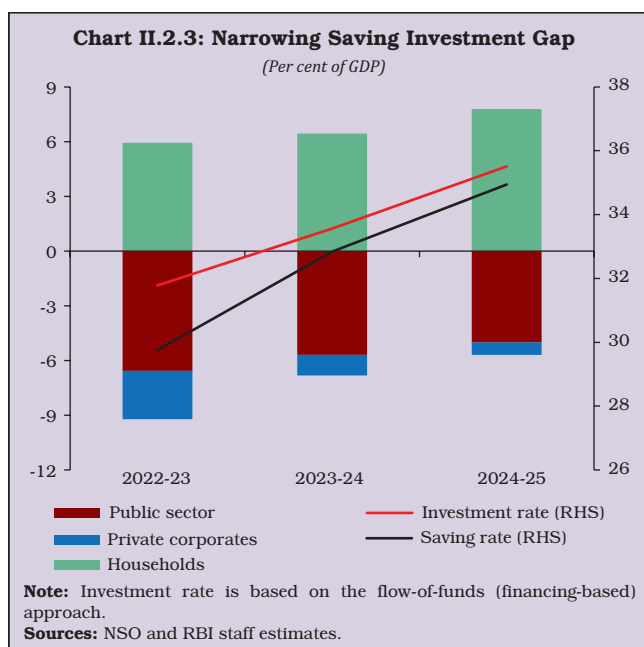
-: Not available.

Notes: 1. Figures may not add up to total due to rounding off of the numbers.

2. Data from 2022-23 onwards are as per the revised base year 2022-23.

Sources: NSO and RBI staff estimates.

the savings-investment gap at the economy-wide level indicates a reduced dependence on external capital and vulnerability to external shocks.



Aggregate Supply

II.2.8 Aggregate supply – measured by real gross value added (GVA) at basic prices – expanded by 7.7 per cent in 2025-26 (7.3 per cent a year ago). GVA growth was driven by a buoyant services sector and a marked improvement in industrial activity, despite some moderation in the agricultural sector (Table II.2.3).

Agriculture and Allied Activities

II.2.9 Agriculture and allied sector growth moderated in 2025-26, reflecting weather-related disruptions in *kharif* crops, although favourable *rabi* conditions provided some support. The above normal⁸ south-west monsoon (Chart II.2.4.a) helped replenish reservoir levels to all-time high (Chart II.2.4.b).^{9,10} Due to higher reservoir levels¹¹

⁸ As per India Meteorological Department (IMD), normal rainfall range is 96-104 per cent of long-period average (LPA).

⁹ Monsoon set in over Kerala on May 24, 2025, arriving eight days ahead of its normal onset date (June 1), marking the earliest arrival since 2009.

¹⁰ Reservoir levels reached 91.4 per cent of the full capacity on October 9, 2025.

¹¹ Reservoir levels at 47 per cent of the full capacity as on March 27, 2026, were higher by 10.5 per cent over previous year and 21.0 per cent over 10-year average.

Table II.2.3: Real GVA Growth

(Per cent)			
Sector	2023-24	2024-25	2025-26
1	2	3	4
I. Agriculture, Livestock, Forestry and Fishing	2.6	4.2	2.4
II. Industry	11.3	8.7	9.5
II.1 Mining and Quarrying	2.4	11.7	4.1
II.2 Manufacturing	12.7	9.3	11.5
II.3 Electricity, Gas, Water Supply and Other Utility Services	10.7	2.9	1.5
III. Services	7.4	7.8	8.7
III.1 Construction	9.9	7.3	7.1
III.2 Trade, Hotels, Transport, Communication and Services Related to Broadcasting, Storage	10.1	6.6	10.1
III.3 Financial, Real Estate, IT, Professional Services and Ownership of Dwellings	5.5	10.0	9.9
III.4 Public Administration, Defence and Other Services	6.8	5.0	5.8
IV. GVA at Basic Prices	7.2	7.3	7.7

Note: Figures are based on the 2022-23 base series.
Sources: NSO and RBI staff estimates.

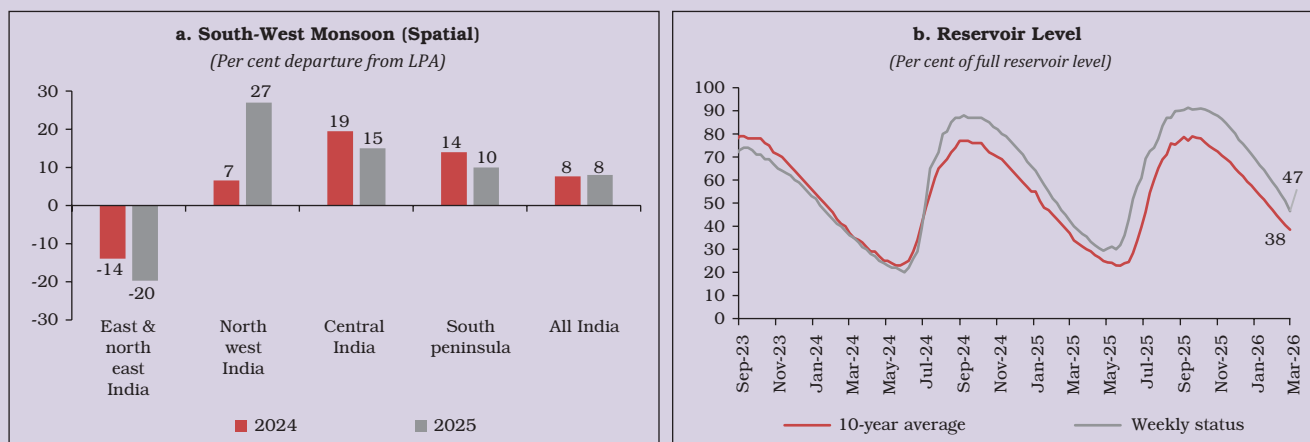
and above normal post-monsoon rainfall¹², *rabi* sowing ended with higher area than last year.¹³ Also, the sowing for summer (*zaid*) season has been progressing well.

II.2.10 As per the second advance estimates (SAE), total foodgrains (*kharif* and *rabi*) production is estimated at a record level in 2025-26. This year is marked with the record production of *kharif* rice, wheat, maize, *kharif* groundnut, rapeseed and mustard and sugarcane (Table II.2.4).

II.2.11 As per the first advance estimates, the production of horticultural crops during 2025-26 increased to a record level, mainly driven by banana, tomato and plantation crops¹⁴.

II.2.12 The government announced an increase in minimum support prices¹⁵ for major *kharif* and *rabi* crops, ensuring a minimum return of 50 per cent over the cost of production.¹⁶ The wheat

Chart II.2.4: Rainfall and Reservoir Levels



LPA: Long-period average.

Sources: India Meteorological Department (IMD) and Central Water Commission (CWC), GoI.

¹² The post-monsoon rainfall in 2025 (October 1 - December 31) was 11 per cent above its LPA.

¹³ The final area sown under *rabi* crops (as on January 30, 2026) was 2.4 per cent higher than last year. Acreage under all major crops has been higher than last year.

¹⁴ The production of horticultural crops during 2025-26 is placed at 3,708 lakh tonne which is marginally higher (0.03 per cent) than the final estimates of 2024-25.

¹⁵ The increase was in the range of 1.0-13.9 per cent for *kharif* marketing season 2025-26 and 4.0-10.1 per cent for *rabi* marketing season 2026-27.

¹⁶ Actual paid out cost *plus* value of family labour (A2+FL).

Table II.2.4: Agricultural Crop Production 2025-26*

(Lakh tonne)			
Crops	2024-25 Final Estimate	2025-26 SAE	2025-26 SAE Variation over 2024-25 Final Estimate (per cent)
1	2	3	4
1. Foodgrains	3,386.3	3,486.6	3.0
Rice	1,389.0	1,406.5	1.3
Wheat	1,179.5	1,202.1	1.9
Coarse Cereals	588.2	639.3	8.7
Pulses	229.7	238.7	3.9
<i>Tur</i>	36.2	34.6	-4.7
Gram	111.1	117.9	6.1
Lentil	16.5	17.3	4.8
<i>Urad</i>	18.9	17.1	-9.5
<i>Moong</i>	18.7	20.7	10.4
2. Oilseeds	416.6	410.0	-1.6
3. Sugarcane (Cane)	4,546.1	5,002.0	10.0
4. Cotton #	297.2	290.9	-2.1
5. Jute & Mesta ##	88.0	83.4	-5.2

*: *Kharif* and *Rabi* crops (excluding summer crops).

#: Lakh bales of 170 kg each.

##: Lakh bales of 180 kg each.

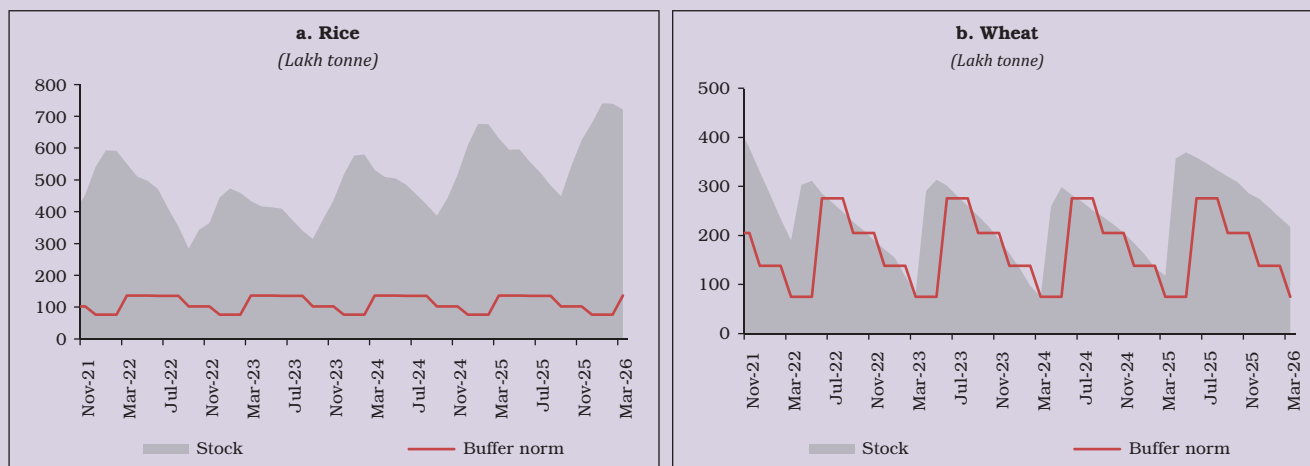
Source: Ministry of Agriculture and Farmers Welfare, GoI.

procurement in *rabi* marketing season 2025-26 has been at a four-year high and rice procurement in *kharif* marketing season 2025-26 has also been robust.

II.2.13 As at end-March 2026, the overall public stock of foodgrains held by Food Corporation of India is more than four times the buffer requirement, mainly due to high stock of rice (Chart II.2.5).¹⁷ The government has allotted 52 lakh tonne of rice from the excess stock for ethanol blending. Similarly, the export restrictions for wheat and wheat products have been partially relaxed.¹⁸ Going forward, the likelihood of *El Niño*¹⁹ during the upcoming *kharif* season needs to be closely monitored.

Industrial Sector

II.2.14 Industrial sector GVA growth surged to 9.5 per cent in 2025-26. Manufacturing activity, which accounts for 80 per cent of the industrial sector, picked up in 2025-26 as reflected in higher

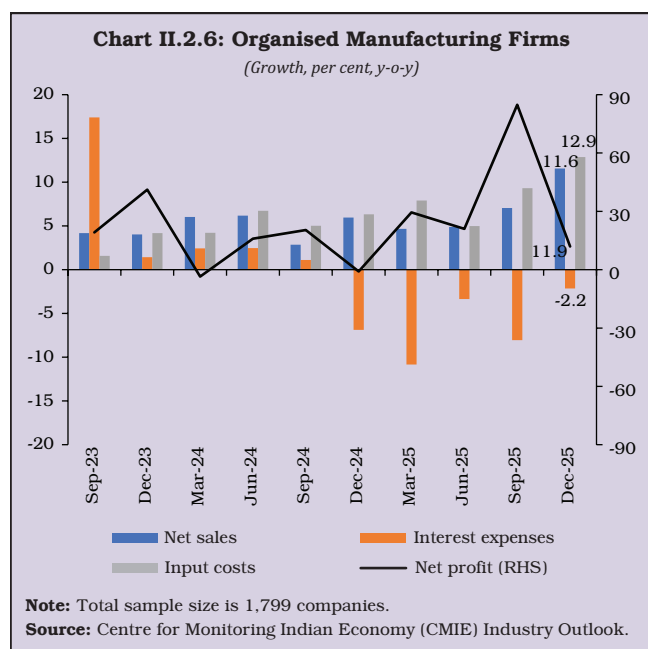
Chart II.2.5: Comfortable Monthly Position of Stock and Buffer Norm

Source: Food Corporation of India, Ministry of Consumer Affairs, Food and Public Distribution, GoI.

¹⁷ The total stock stood at 939 lakh tonne with the rice stock of 721.2 lakh tonne (5.3 times the buffer norms) and wheat stock at 217.9 lakh tonne (2.9 times the buffer requirement).

¹⁸ 'Government approves wheat export and allows additional wheat product and sugar export', Press Information Bureau (PIB), February 13, 2026.

¹⁹ As per National Oceanic and Atmospheric Administration (NOAA), in May-July 2026, *El Niño* is likely to emerge (82 per cent chance) and persist through at least the end of 2026.



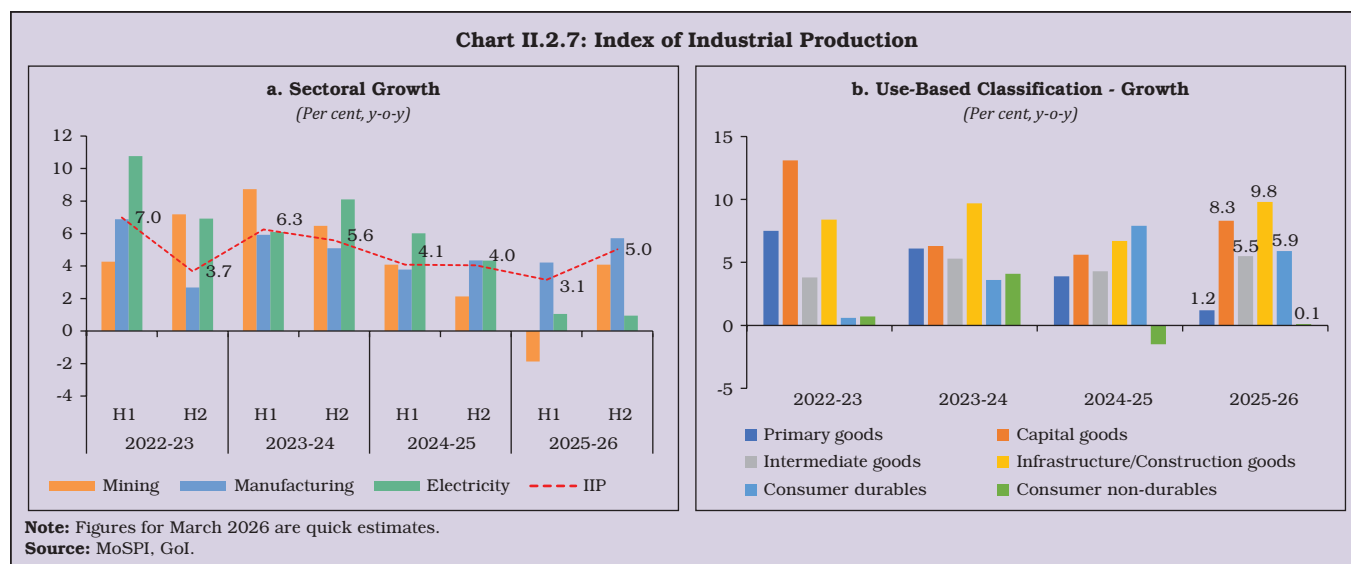
sales growth and profitability in H1:2025-26 (Chart II.2.6).

II.2.15 Industrial output, as measured by the index of industrial production (IIP), moderated during H1:2025-26 due to mining and electricity (Chart II.2.7a). In H2:2025-26, IIP recovered with a rebound in mining activity and further

strengthening of the manufacturing sector. Overall, the manufacturing sector posted strong growth with 16 of 23 industry groups recording expansion in 2025-26. As per use-based classification, all categories of industries recorded growth (Chart II.2.7b).

II.2.16 Renewable energy (including large hydro), which accounts for nearly one fourth of power generation, grew by 18.4 per cent y-o-y in 2025-26 (Chart II.2.8). By end-March 2026, India's non-fossil energy capacity reached 283 gigawatt (53.2 per cent of the total installed power capacity), enabling India to meet its COP26 target of 50 per cent non-fossil capacity well ahead of 2030.²⁰ Investments have shifted towards renewables, with most new project spending concentrated in this sector away from conventional capacity.

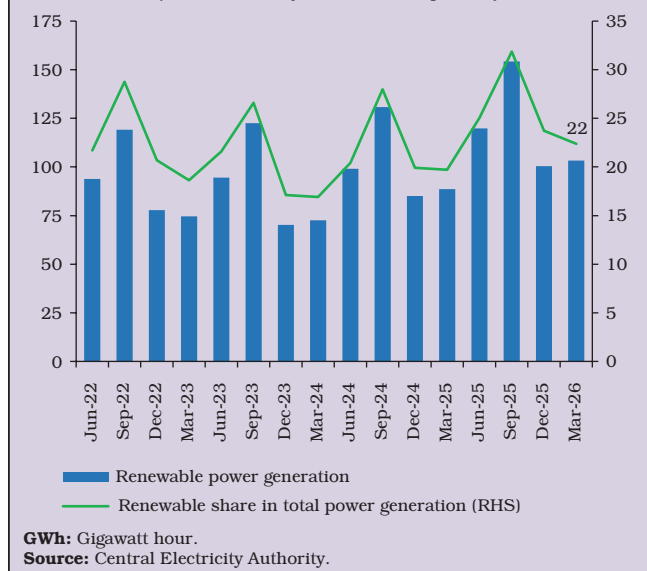
II.2.17 After remaining subdued during H1:2025-26, both capacity utilisation and private capex showed early signs of revival, indicating improving business confidence and upbeat demand conditions in the second half of the year.



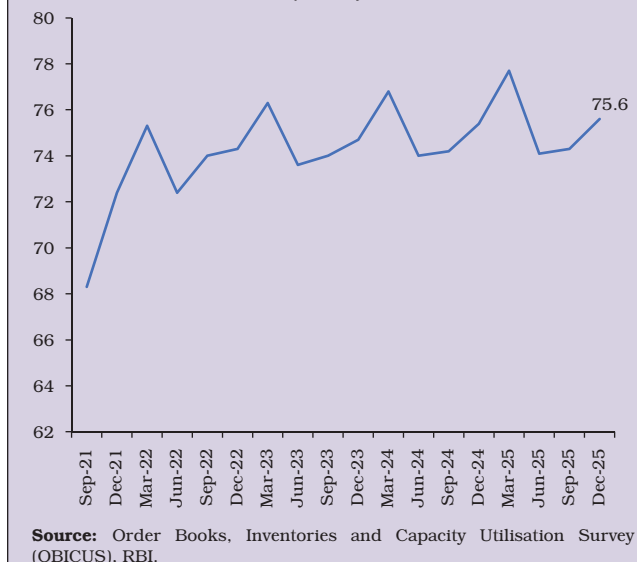
²⁰ Non-fossil energy comprises renewable energy (including large hydro) and nuclear energy.

Chart II.2.8: Renewable Power Generation

(Thousand GWh, left scale; Per cent, right scale)

**Chart II.2.9: Manufacturing Capacity Utilisation**

(Per cent)



Manufacturing capacity utilisation increased to 75.6 per cent in Q3:2025-26, expanding for the second successive quarter, supported by sequential growth in new orders and stable inventory levels (Chart II.2.9).

II.2.18 Private sector net fixed asset growth recovered in 2025-26, with growth rising to 11.5 per cent in H1:2025-26, driven by telecommunications, metals, construction, and automobiles. The production linked incentive (PLI) scheme gave a fillip to private sector investment with the scheme attracting an actual investment of over ₹2.2 lakh crore, leading to incremental production/sales of over ₹20.4 lakh crore and employment generation of over 14.4 lakh as at end-December 2025.²¹

Services Sector

II.2.19 Services sector growth strengthened to 8.7 per cent in 2025-26, on the back of broad-based expansion across trade, transport and

hotels and restaurants; and financial, real estate and professional services. High frequency indicators of services sector reflected a mixed picture in 2025-26. In H2:2025-26, following GST 2.0 reforms, commercial vehicle sales and vehicle registrations surged. Other indicators such as retail automobile sales (passenger vehicle, tractor, two-wheeler and three-wheeler), domestic air cargo, port cargo, railway freight traffic, foreign tourist arrivals, and GST E-way bills intra-state also improved as compared to H2:2024-25. While air passenger traffic and toll collection (value) moderated, hotel occupancy indicator showed contraction during the same period (Table II.2.5).

II.2.20 India's construction sector showed mixed trends in 2025-26 with moderating steel consumption and improving cement production as compared to 2024-25 (Table II.2.5). During Q3:2025-26, housing launches accelerated,

²¹ 'PLI scheme with ₹1.9 lakh crore outlay drives strong industry participation across 14 strategic sectors', PIB, February 20, 2026.

Table II.2.5: High Frequency Indicators - Growth Rate

(Per cent, y-o-y)

Indicators	2024-25				2025-26			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	2	3	4	5	6	7	8	9
Domestic Air Passenger Traffic	5.6	7.3	11.4	12.0	5.3	-1.9	1.7	0.6
Transport								
Commercial Vehicle Sales	3.7	-10.6	1.3	1.8	-0.6	8.4	21.8	19.0
Vahan Total Registration	10.1	3.1	11.7	0.7	5.2	2.0	19.9	23.4
Toll Collection-Volume	5.6	7.6	9.8	15.1	16.2	10.7	2.6	-4.9
Toll Collection-Value	9.5	10.3	12.7	17.2	19.7	17.5	12.2	6.7
International Air Passenger Traffic	14.2	10.3	10.0	8.6	7.0	6.8	7.6	-2.5
Domestic Air Cargo	7.1	7.7	4.6	3.5	6.6	4.9	6.8	12.5
International Air Cargo	18.4	21.8	15.0	1.5	4.7	3.6	7.3	5.7
Railways Freight Traffic: Freight Originating*	5.1	-0.4	1.5	0.1	2.4	4.0	3.2	2.9
Port Cargo	3.9	6.2	-1.6	7.9	5.6	5.9	13.0	4.3
Domestic Trade								
GST E-Way Bill	16.0	16.8	16.9	19.4	20.5	23.1	19.4	15.7
GST E-Way Bill Intra-State	17.5	17.0	13.8	19.5	20.9	25.9	23.7	19.3
GST E-Way Bill Inter-State	13.2	16.5	23.0	19.1	19.7	18.0	11.5	9.2
GST Revenue	10.2	9.2	8.7	10.7	12.4	8.4	4.8	7.7
Construction								
Steel Consumption	15.3	12.1	8.1	11.6	7.9	8.8	4.6	10.4
Cement Production	0.5	3.2	8.7	12.4	8.1	7.3	11.2	8.2
Tourism and Hospitality								
Hotel Occupancy Rate	-2.4	2.1	1.8	1.2	1.4	-2.0	0.8	-3.6
Foreign Tourist Arrivals*	5.5	1.6	-0.3	-10.0	-18.3	-10.8	-1.4	5.2
PMI								
Services PMI	60.5	59.6	58.7	58.0	59.3	61.4	58.9	58.0
Services Future Outlook	63.2	62.2	63.8	62.2	59.4	60.1	57.1	62.8
Composite PMI	61.0	59.9	59.0	58.7	60.0	61.8	59.3	58.1
Composite Future Outlook	63.8	62.3	63.6	63.1	60.6	60.4	57.6	62.0



Contraction

Expansion

PMI: Purchasing Managers' Index.

*: Data for Q4:2025-26 are up to January 2026.

Note: All PMI values are reported in index form (>50: Expansion; <50: Contraction; and =50: No change).

Sources: Airports Authority of India; Federation of Automobile Dealers Associations (FADA); Society of Indian Automobile Manufacturers (SIAM); National Payments Corporation of India; Vahan Registration Portal; Ministry of Railways, GoI; Indian Ports Association; Goods and Services Tax Network (GSTN); Joint Plant Committee, Office of Economic Adviser, GoI; HVS Anarock, and Ministry of Tourism, GoI and S&P Global.

supported by GST-led cost reductions while sales declined after registering modest growth

in the previous quarter. Sales adjusted inventory overhang²², after stabilising in recent quarters,

²² Time in months it would take to sell the current inventory.

inched up in Q3:2025-26, but remained below the two-year pre-COVID-19 average of 32 months (Chart II.2.10).

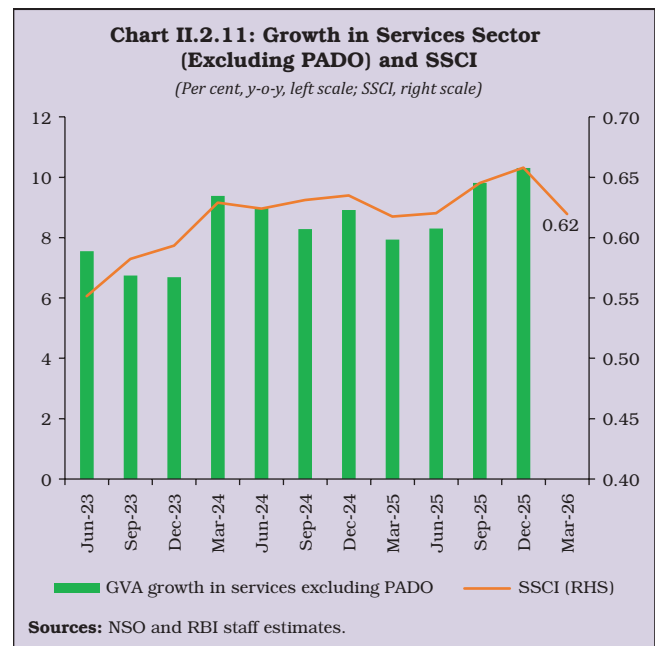
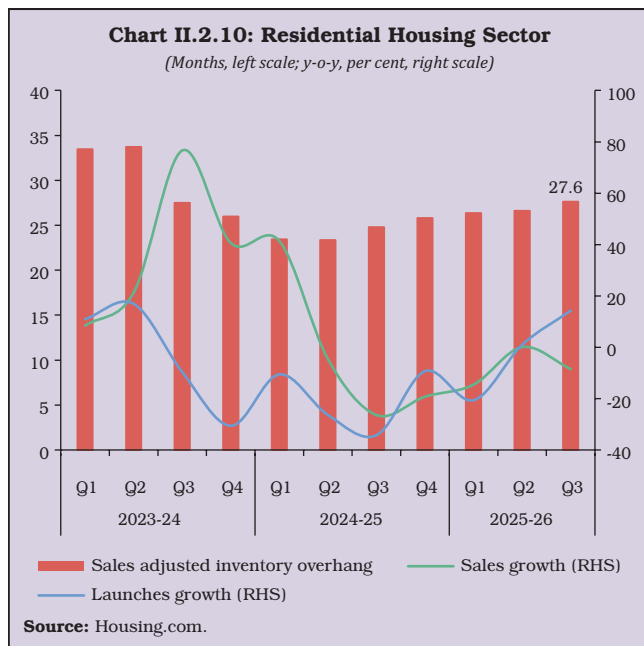
II.2.21 The services sector composite index (SSCI)²³, which monitors activity in construction, trade, transport, and financial services, and serves as a coincident indicator of GVA growth in the services sector [excluding public administration, defence, and other services (PADO)], moderated in March 2026, after showing a sequential improvement in the preceeding three quarters. The moderation in SSCI is driven by weak growth in trade and transport indicators in Q4:2025-26 (Chart II.2.11).

Employment

II.2.22 Employment conditions remained steady in 2025. According to the annual periodic labour force survey (PLFS) report for January-

December 2025, the labour force participation rate (LFPR), worker population ratio (WPR), and the unemployment rate (UR) showed marginal decline (Chart II.2.12a).²⁴ LFPR and WPR moderated in rural areas, whereas urban LFPR remain unchanged and WPR increased (Chart II.2.12b). The share of regular wage/salaried and casual labour increased, while the share of self-employed declined in total employed (Chart II.2.12c).

II.2.23 Recently enacted labour reforms are expected to improve labour market flexibility and reduce compliance burden while ensuring universal social security coverage, statutory minimum wages, and enhanced health and safety provisions, thereby encouraging formal job creation, worker well-being and enterprise expansion.



²³ SSCI is constructed by extracting and combining high-frequency data from key indicators across three major sub-sectors of the services sector, viz., construction; trade, hotels, transport, communication and broadcasting services; and financial, real estate and professional services. These indicators are combined using a dynamic factor model to generate the final index.

²⁴ All PLFS indicators are in the usual status (principal status+subsidiary status) and for persons aged 15 years and above.

Chart II.2.12: Labour Market Indicators – PLFS



Source: MoSPI, GoI.

Conclusion

II.2.24 India's economic activity exhibited marked resilience in 2025-26, driven by a steady momentum in private consumption, uptick in fixed investment, strong performance of manufacturing activity and upbeat performance in services. Moreover, the recently concluded India-EU free trade agreement (FTA), along with discussions on the India-US trade deal and several other trade agreements are expected to support exports over the medium-term. However, moderation in agricultural and allied sector activity due to weather-related events, coupled with global

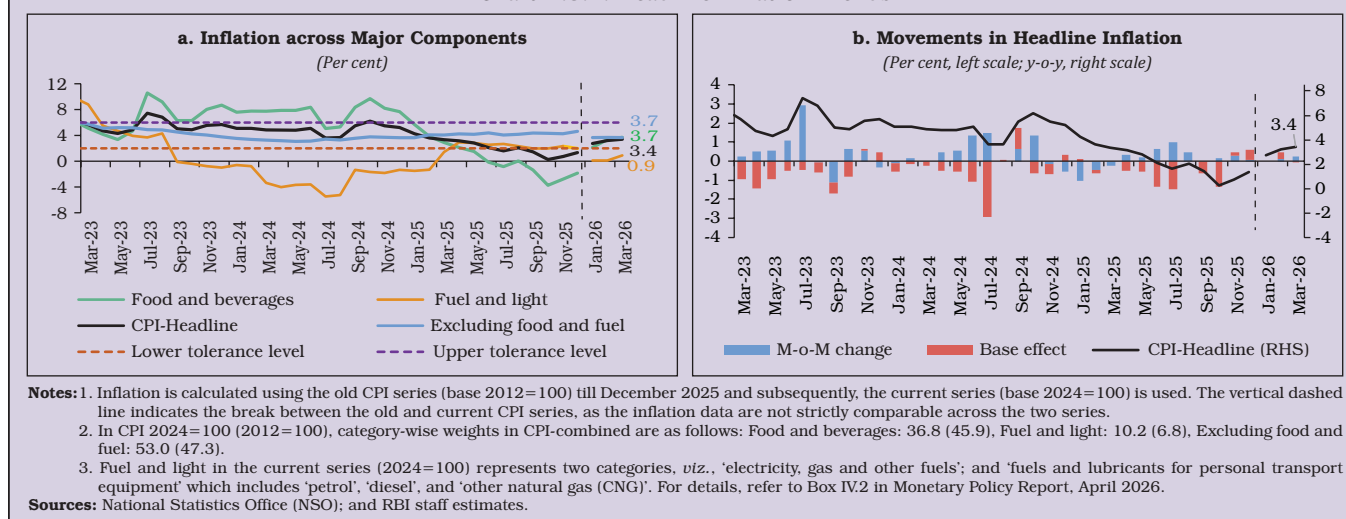
headwinds such as persistent geopolitical tensions, uncertain trade environment and volatility in financial markets continue to pose downside risks to growth outlook.

II.3 PRICE SITUATION

II.3.1 Inflation dynamics during 2025-26 was characterised by a sustained period of moderation, marking a distinct break from the previous years. Headline inflation moderated to 2.1 per cent during 2025-26, aided by deflation in food and strong favourable base effect (Chart II.3.1)²⁵. Rationalisation and simplification of GST rates in September 2025 also helped limit price

²⁵ MoSPI has released the CPI base 2024=100 series since January 2025, with a linking factor of 0.53 for headline inflation. However, due to changes in methodology, sample size and collection techniques, the new series is not strictly comparable to the old series. In this section therefore, discussion about CPI inflation till December 2025 pertains to the CPI series with base 2012=100, and for subsequent months as per the base 2024=100.

Chart II.3.1: Headline Inflation Trends



pressures across several goods and services. Core inflation, *i.e.*, Consumer Price Index (CPI) excluding food and fuel, on the other hand, faced upward pressures emanating from precious metals. Towards the end of the year, however, as the conflict in West Asia broke out, the increase in domestic liquefied petroleum gas (LPG) prices pushed up inflation in the fuel and light component.

II.3.2 On February 12, 2026, the Ministry of Statistics and Programme Implementation (MoSPI), Government of India (GoI), released a new CPI series with base year 2024=100. The revised structure follows the United Nation's Classification of Individual Consumption According to Purpose (COICOP) 2018, with the weights being derived from the Household Consumption Expenditure Survey (HCES) 2023-24. Under the new structure, the erstwhile six groups as per the CPI base year 2012=100 have now been reconstituted into 12 divisions. Notably, the weight of 'food and beverages' declined from 45.9 per cent to 36.8 per cent in the new series, reflecting evolving consumption patterns

of consumers towards more non-food items, as well as a reclassification of prepared meals to a new division 'restaurants and accommodation services'. Additionally, 'housing' and 'fuel and light' groups have been clubbed together into 'housing, water, electricity, gas and other fuels division', whereas 'transport and communication' group has been segregated into 'transport' and 'information and communication' divisions (Table II.3.1).

II.3.3 While average inflation moderated sharply, volatility, as measured by standard deviation, increased marginally in 2025-26 as inflation ranged from 0.3 to 3.4 per cent (Table II.3.2). The intra-year distribution of inflation exhibited a slight negative skewness indicating a slightly longer tail towards lower inflation outcomes.

Constituents of CPI Inflation

Food

II.3.4 Prices of food and beverages contracted by 0.8 per cent in 2025-26 (April-December 2025), year-on-year (y-o-y), as compared to an increase of 7.6 per cent in the corresponding period of the preceding year. In Q4:2025-26, inflation in food

Table II.3.1: Change in CPI Weighting Structure

S. No.	Divisions	CPI 2024 = 100	S. No.	Groups	CPI 2012 = 100
1	2	3	4	5	6
1	Food and beverages	36.8	1	Food and beverages	45.9
2	Pan, tobacco and intoxicants	3.0	2	Pan, tobacco and intoxicants	2.4
3	Clothing and footwear	6.4	3	Clothing and footwear	6.5
4	Housing, water, electricity, gas and other fuels	17.7	4	Housing	10.1
5	Furnishings, household equipment and routine household maintenance	4.5	5	Fuel and light	6.8
6	Education services	3.3	6	Miscellaneous	28.3
7	Health	6.1		<i>of which:</i>	
8	Information and communication	3.6	6.1	Household goods and services	3.8
9	Transport	8.8	6.2	Health	5.9
10	Recreation, sport and culture	1.5	6.3	Transport and communication	8.6
11	Personal care, social protection and miscellaneous goods and services	5.0	6.4	Recreation and amusement	1.7
12	Restaurants and accommodation services	3.3	6.5	Education	4.5
			6.6	Personal care and effects	3.9
Total		100	Total		100

Note: Each CPI series follows the classification that it was published with, and the weighting structure across similar categories are not strictly comparable.
Sources: NSO; and RBI staff estimates.

and beverages averaged higher at 3.1 per cent (CPI 2024=100). In October 2025, CPI food and beverages recorded the steepest deflation in the CPI series at 3.7 per cent (y-o-y) before inching up to 1.8 per cent deflation in December. The secular decline in inflation from a peak of 9.7 per cent in October 2024 was primarily driven by muted price

pressures in vegetables, pulses and cereals, and a strong favourable base effect (Chart II.3.2). Favourable supply-side factors, *i.e.*, comfortable foodgrain stocks stemming from higher domestic and steady wholesale market arrivals, supportive trade policies, proactive supply management by the government, and largely conducive weather

Table II.3.2: CPI Headline Inflation – Key Summary Statistics

(Per cent)

	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6	7	8	9	10	11
Mean	4.5	3.6	3.4	4.8	6.2	5.5	6.7	5.4	4.6	2.1
Standard deviation	1.0	1.2	1.1	1.8	1.1	0.9	0.7	0.9	0.9	1.0
Skewness	0.2	-0.2	0.1	0.5	-0.7	-0.1	-0.1	1.5	0.0	-0.3
Kurtosis	-1.6	-1.0	-1.5	-1.4	-0.7	-1.0	-0.6	1.6	-1.2	-1.0
Median	4.3	3.4	3.5	4.3	6.5	5.6	6.7	5.1	4.8	2.1
Maximum	6.1	5.2	4.9	7.6	7.6	7.0	7.8	7.4	6.2	3.4
Minimum	3.2	1.5	2.0	3.0	4.1	4.2	5.7	4.3	3.3	0.3

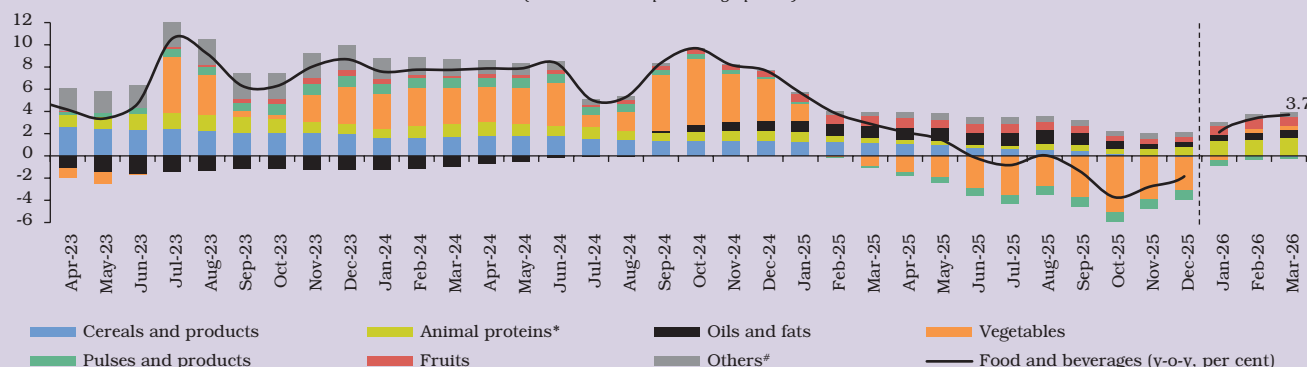
Notes: 1. Skewness and kurtosis are unit-free. Annual inflation is the average of the monthly inflation rates during the year and therefore, may vary from the annual inflation calculated from the average index for the year.

2. Monthly inflation rates pertain to the old CPI series (base 2012=100) till December 2025, subsequently, to the current series (base 2024=100).

Sources: NSO; and RBI staff estimates.

Chart II.3.2: Moderation in Food Inflation in Recent Period

(Contribution in percentage points)



*: Includes egg, milk and products and meat and fish.

#: Includes sugar, confectionery and desserts; ready-made food and other food products; beverages; and services for processing primary goods for food.

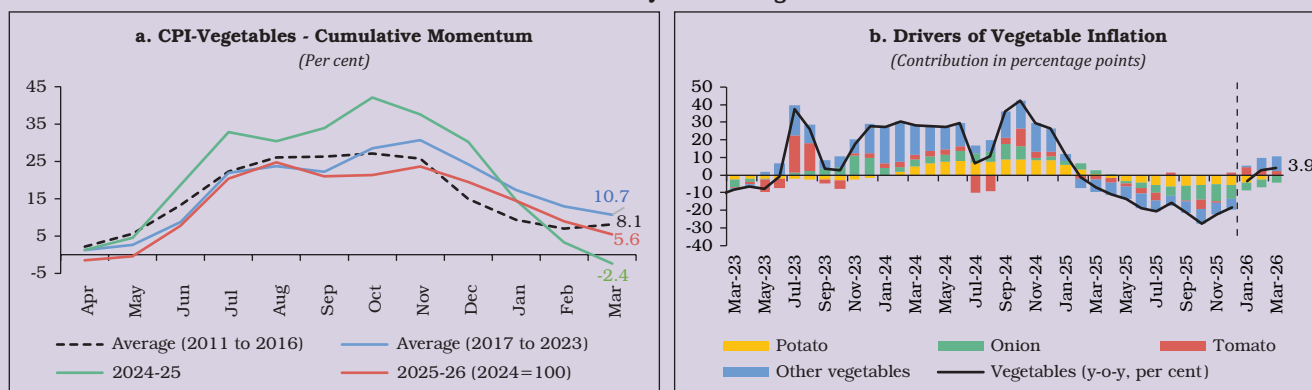
Note: Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.**Sources:** NSO; and RBI staff estimates.

conditions contributed to moderation in food inflation.

II.3.5 Vegetables experienced an unusually low and delayed summer price build-up following an extended period of winter price easing, in contrast to seasonal and historical patterns. Vegetable prices recorded a 19.4 per cent (y-o-y) decline during April-December 2025, followed by a pick-up of 0.8 per cent Q4:2025-26 (Chart II.3.3a).

II.3.6 Tomato, onion and potato (TOP) prices remained benign throughout the year. A low

summer build-up in prices was followed by a sharp decline in September-October 2025 as production and market availability remained robust. A deflation of 31.3 per cent during the first three quarters and 12 per cent during Q4:2025-26 was recorded in this category, particularly driven by onion, on account of steady arrivals from higher production in 2024-25 (26.7 per cent over 2023-24), lower exports and supply-side measures including targeted retail sales from government's buffer stocks (Chart 11.3.3b). Prices of vegetables excluding TOP also recorded a contraction of 11.4

Chart II.3.3: Seasonality in CPI- Vegetables Prices**Notes:** 1. In chart b, inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. In CPI 2024=100 (2012=100), category-wise weights in CPI-vegetables are as follows: Potato: 14.8 (16.3), Onion: 13.8 (10.7), Tomato: 9.7 (9.5), and Other vegetables: 61.6 (63.5).

Sources: NSO; and RBI staff estimates.

per cent in April-December 2025 (y-o-y) followed by an increase of 8 per cent (y-o-y) in Q4:2025-26, largely due to unfavourable base effects.

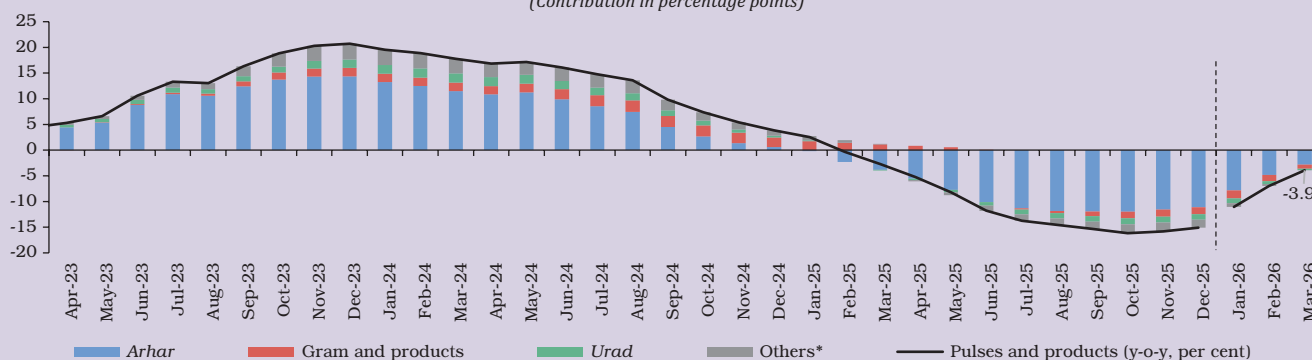
II.3.7 Pulses, the primary source of plant-based protein, recorded deflation of 13 per cent during the first three quarters against a 11.4 per cent price increase in the previous year, followed by deflation of 7.9 per cent in Q4:2025-26. Inflation in pulses moderated sequentially for 17 months till October 2025 amidst higher availability from robust production in 2024-25 (5.9 per cent higher over 2023-24), large imports of key pulses (yellow peas, *arhar* and *urad*), stock disclosure requirements and retail sales of *Bharat Dal* by the central government²⁶ (Chart II.3.4).

II.3.8 Cereals recorded a modest price increase of 2.4 per cent during April-December 2025 as compared to 7.6 per cent in the previous year, driven by a broad-based decline in prices of rice, wheat and other cereals and products. In Q4:2025-26, cereals prices contracted by 0.2 per cent driven by wheat (Chart II.3.5). Wheat

recorded deflation after 50 months in December 2025 led by record production (higher by 4.1 per cent in 2024-25), comfortable buffer stocks (1.7 times the norm as on March 16, 2026), and continued export restrictions till February 2026. Record rice production (higher by 9 per cent in 2024-25) and high buffer stocks (9.7 times the norm as on March 16, 2026) kept rice inflation subdued.

II.3.9 Unlike overall benign food inflation through the year driven by the staples, 'fruits' and 'oils and fats' witnessed upside price pressures. Decline in coconut production by 5 per cent due to higher temperature and unseasonal rains in 2024-25 led to higher coconut prices, leading to an average fruit inflation of 10.6 per cent during April-December 2025 and 7.9 per cent during Q4. Oils and fats inflation remained in double-digits for 12 consecutive months till October 2025 and recorded a 15 per cent increase in prices (y-o-y) in 2025-26 (April-December) from 1.9 per cent during the corresponding period a year ago, followed by a 7.3 per cent increase in prices

Chart II.3.4: CPI-Pulses Deflation Led by Arhar
(Contribution in percentage points)



*: Includes moong, masur, peas and other pulses products.

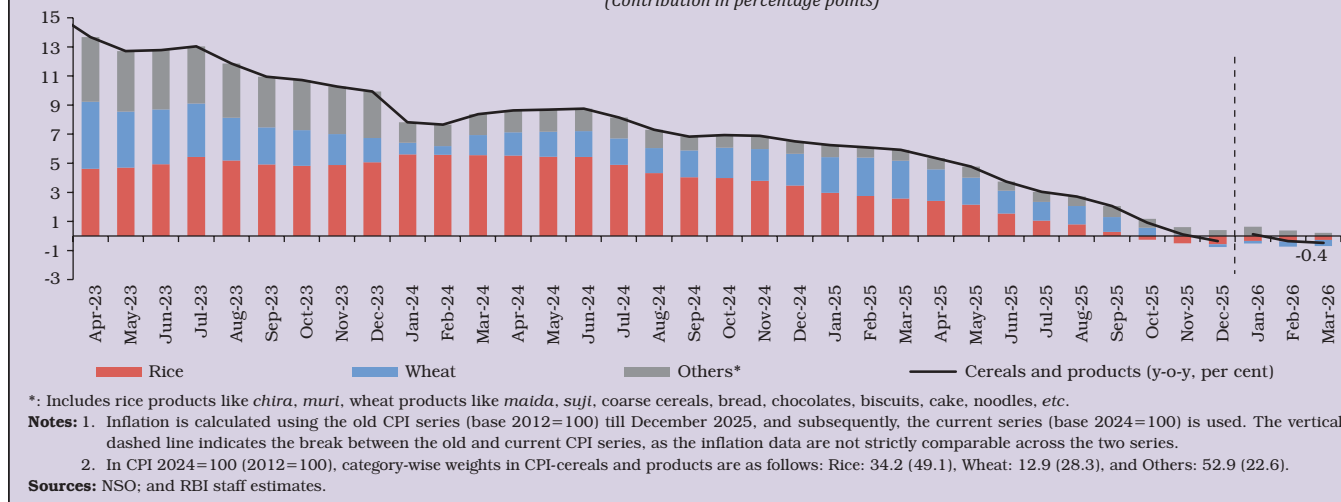
Notes: 1. Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. In CPI 2024=100 (2012=100), category-wise weights in CPI-pulses and products are as follows: *Arhar*: 32.4 (33.4), *Gram and products*: 19.9 (13.3), *Urad*: 11.2 (11.5), and *Others*: 36.4 (41.8).

Sources: NSO; and RBI staff estimates.

²⁶ In April 2024, Gol directed all states and union territories to enforce weekly stock disclosure and verification for five major pulses - *tur*, *urad*, *chana*, *masur* and *moong* - and imported yellow peas by all stockholding entities.

Chart II.3.5: CPI-Cereals Inflation Remained Low
(Contribution in percentage points)



(y-o-y) in Q4:2025-26. This was due to higher international palm oil prices on account of higher bio-diesel mandates in key producer countries. Furthermore, a domestic production shortfall in 2024-25 led to price pressures in mustard oil, which recorded a 41-month high inflation of 24.2 per cent in August 2025. Production shortfall in soybean during the 2025-26 *kharif* season may pose some upside risks despite higher *rabi* output of mustard and rapeseed (as per second advance estimates of 2025-26). Prices of fats like *ghee* and butter remained largely stable through the year and recorded a decline in October 2025 due to reduced GST rates on retail prices.

II.3.10 Among other food items, prices of spices remained in deflation for 18 consecutive months till December 2025, driven primarily by *jeera* (cumin) and dry chillies. Inflation in animal proteins was subdued in 2025-26 as weather conditions remained favourable for cattle and poultry, although prices picked up in meat and fish during January-March 2026.

Fuel

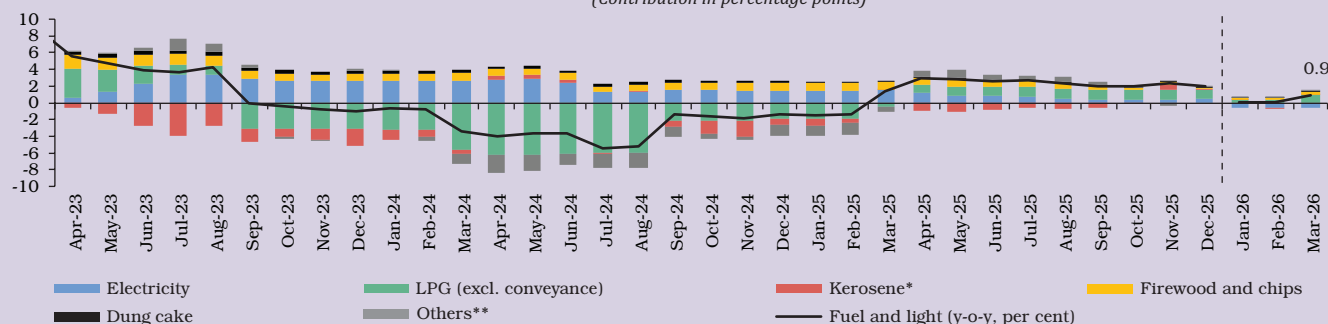
II.3.11 Fuel inflation increased to 2.4 per cent during April-December 2025 from a deflation of 3.2 per cent during the corresponding period a year ago, due to a price hike of ₹50 per LPG cylinder in April 2025. Consequently, the fuel group's contribution to headline inflation increased to 8.8 per cent in April-December 2025 from (-) 4.3 per cent a year ago (Chart II.3.6). In March 2026, inflation in fuel rose to 0.9 per cent from 0.1 per cent in January and February each, on account of ₹60 hike per LPG cylinder in March 2026.

Core Inflation (Inflation Excluding Food and Fuel)²⁷

II.3.12 Core inflation remained range bound, averaging 4.3 per cent during April-December 2025, compared with 3.4 per cent in the corresponding period a year ago (Appendix Table 4). Under the revised series (2024=100), core inflation remained broadly stable at 3.7

²⁷ In the CPI 2012=100 series, CPI excluding food and fuel was estimated by excluding 'Food and Beverages' and 'Fuel and Light' groups from CPI-headline. In the CPI 2024=100 series, 'Fuel and Light' represents two categories, viz., 'electricity, gas and other fuels'; and 'fuels and lubricants for personal transport equipment' which includes 'petrol', 'diesel', and 'other natural gas (CNG)'.

Chart II.3.6: Fuel Inflation Led by LPG
(Contribution in percentage points)



*: Includes kerosene public distribution system (PDS) and kerosene from other sources.

** Includes diesel (excl. conveyance), coal, charcoal, and coke until December 2025 based on the old base (2012=100) while it includes coal, charcoal, petrol, diesel, CNG, biogas and gobar gas for January-March 2026 based on the revised base (2024=100).

Notes: 1. Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. In CPI 2024=100 (2012=100), category-wise weights in CPI-fuel are as follows: Electricity: 43.4 (33.0), LPG: 37.0 (18.8), Kerosene: 0.2 (8.0), Firewood and chips: 16.3 (30.2), Dung cake: 2.7 (6.5), and Others: 0.4 (3.5).

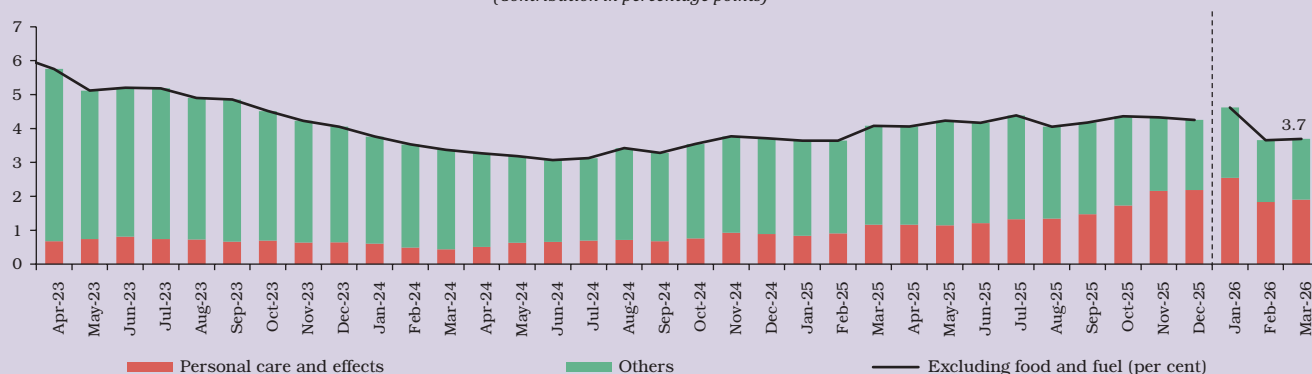
Sources: NSO; Petroleum Planning and Analysis Cell (PPAC); Bloomberg; and RBI staff estimates.

per cent during January to March 2026. The persistence in core inflation was largely driven by elevated inflation in 'personal care and effects' including gold and silver precious metals, which accounted for nearly half of the core inflation in the second half of 2025-26 (Chart II.3.7).

II.3.13 The rise in inflation in personal care and effects was primarily driven by a surge in prices of precious metals – gold and silver, reflecting heightened global safe-haven demand amid geopolitical uncertainty and the

evolving global monetary policy trajectory and expectations. Excluding gold and silver, core inflation moderated in the second half of 2025-26 supported by GST rationalisation measures-led price corrections, particularly in motor vehicles and related components (Chart II.3.8). Inflation in clothing and footwear fell to 2.2 per cent during April to December 2025, from 2.7 per cent in the corresponding period a year ago, reflecting lower domestic and international cotton prices and subdued export demand for textiles and wearing apparel. Inflation in household goods

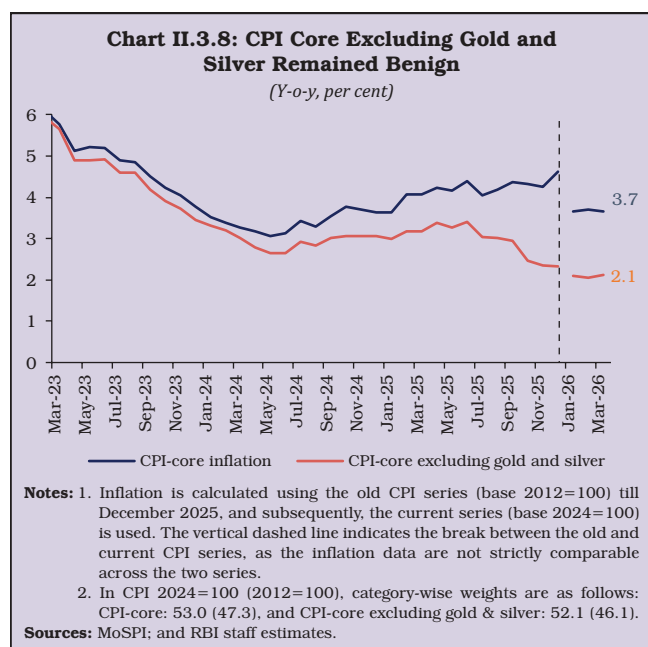
Chart II.3.7: CPI Excluding Food and Fuel Inflation Led by Personal Care
(Contribution in percentage points)



Notes: 1. Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. The group 'Personal care and effects' in CPI 2012=100 series has been renamed as 'Personal care, social protection and miscellaneous goods and services' division in CPI 2024=100 series.

Sources: NSO; and RBI staff estimates.



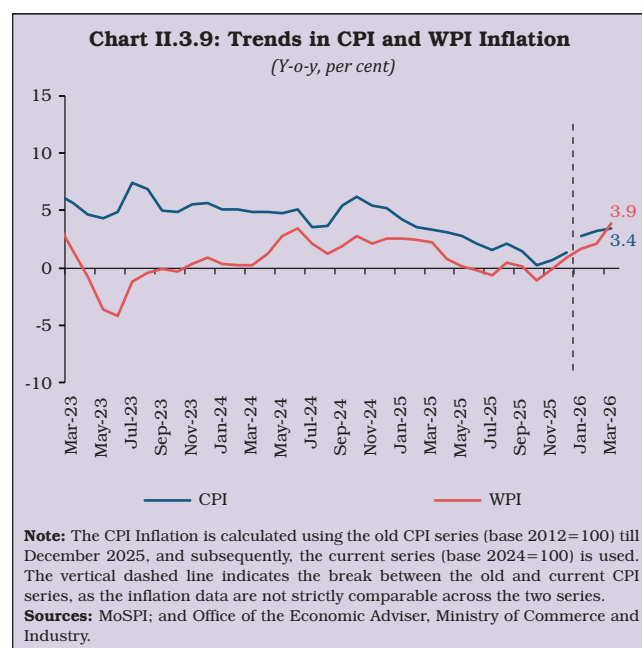
and services, health, and education remained broadly stable during 2025-26.

Other Indicators of Inflation

II.3.14 From a sectoral perspective, inflation measured by the CPI for industrial workers (CPI-IW) moderated to 3.1 per cent during 2025-26 from 3.4 per cent a year ago, driven by lower food inflation. The base of CPI-agricultural labourers/rural labourers (AL/RL) series was revised in July 2025, from 1986-87 to 2019=100. The revised CPI basket based on Household Consumption Expenditure Survey (2011-12) shows significant reduction in the weight of food and non-alcoholic beverages group and a sharp increase in the miscellaneous group, indicating changes in the consumption pattern of rural households²⁸.

II.3.15 Wholesale price index (WPI) inflation moderated to 0.7 per cent during 2025-26 from 2.3 per cent a year ago, majorly due to deflation in

primary articles and fuel and power. WPI primary articles (weight of 22.6 per cent) experienced a deflation of 1.1 per cent during 2025-26 from an inflation of 5.2 per cent a year ago, driven by favourable supply and weather conditions. Furthermore, fuel and power deflation deepened to 2.9 per cent during 2025-26 from 1.3 per cent a year ago, mirroring the easing of global energy prices. Inflation in manufactured products (weight of 64.2 per cent) increased to 2.3 per cent during 2025-26 from 1.7 per cent a year ago, led by manufacture of chemical, fabricated metal, paper and food products. Reflecting the overall decline in inflation, the gross domestic product (GDP) deflator-based inflation decreased to 0.9 per cent during April-December 2025 from 2.5 per cent in the corresponding period of the previous year²⁹. Although there have been periods of divergence between WPI and CPI in the past, the two have moved in tandem in the recent period (Chart II.3.9).



²⁸ The weight of food and non-alcoholic beverages group reduced to 57.9 per cent from 69.2 per cent earlier in the CPI-AL series. Their weight in CPI-RL series was reduced to 56.6 per cent from 66.8 per cent. In the new base 2019=100, the average inflation of CPI-AL and RL series during May 2025 to March 2026 stands at 1.0 per cent and 1.1 per cent, respectively.

²⁹ GDP deflator-based inflation estimates are based on GDP data 2022-23 series.

II.3.16 Minimum support prices (MSPs) in 2025-26 were increased in the range of 1.0-13.9 per cent for the *kharif* crops and 4.0-10.1 per cent for the *rabi* crops. *Ragi* witnessed the maximum MSP increase among the *kharif* crops while safflower recorded the highest increase among the *rabi* crops.

Conclusion

II.3.17 Headline inflation remained benign during 2025-26 on account of robust foodgrains production, softened global commodity prices — particularly food and energy — and supply management measures undertaken by the government. Towards the end of the financial year, some price pressures started emerging due to outbreak of West Asia conflict. Looking ahead, the challenges on account of uncertainties emanating from prolonged geopolitical conflicts, rising energy prices, input costs, currency fluctuations, evolving trade policies and weather conditions — especially possibility of *El Niño* and below normal monsoon — warrant continuous vigil and careful monitoring of the evolving dynamics.

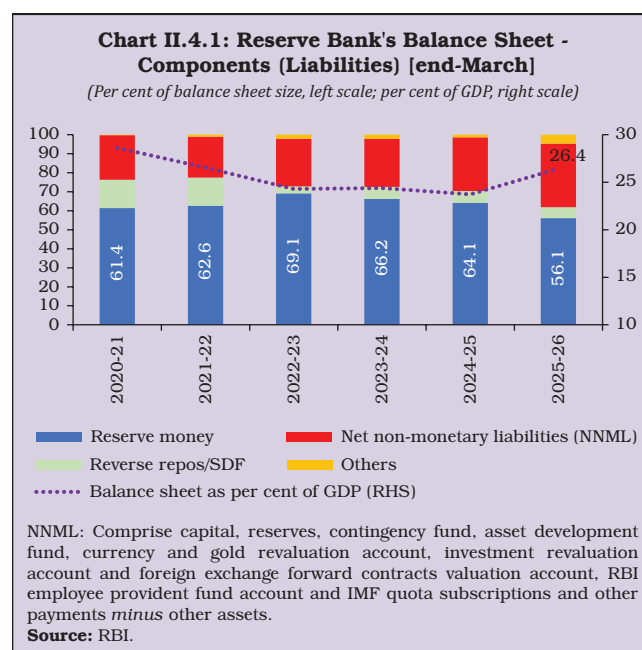
II.4 MONEY AND CREDIT³⁰

II.4.1 The Reserve Bank's balance sheet expanded during the year, primarily driven by revaluation gains arising from elevated gold prices and rupee depreciation. Currency in circulation (CiC) grew in double digits, contributing to higher growth in reserve money (RM) adjusted for the first-round impact of changes in the cash reserve ratio (CRR)³¹. Bank credit growth remained

subdued in the first half amidst increased reliance on non-bank channels for financing commercial sector. As the year progressed, credit growth gained significant momentum across sectors, outpacing deposit growth during H2:2025-26.

Reserve Money

II.4.2 Reserve money represents the stock of monetary liabilities in the central bank's balance sheet (Chart II.4.1). Risk buffers and revaluation accounts [forming the bulk of net non-monetary liabilities (NNML)], along with surplus liquidity placed by banks with the Reserve Bank under the reverse repos/standing deposit facility (SDF) are the other major components of the balance sheet. As at end-March 2026, the Reserve Bank's balance sheet size stood at 26.4 per cent of GDP³² (23.7 per cent a year ago).



³⁰ With effect from December 15, 2025, definition of last reporting fortnight has been changed to the last day of the month under the Banking Laws (Amendment) Act, 2025. Accordingly, in this Section, growth and other ratios from December 2025 onwards are based on end-of-month data for the current year while data for the corresponding month of the previous year pertain to the last Friday/last reporting fortnight (as per old definition) as the case may be.

³¹ CRR was reduced by 100 basis points (bps) to 3.0 per cent of net demand and time liabilities (NDTL) in a staggered manner during the year. The reduction was carried out in four equal tranches of 25 bps each with effect from the fortnights beginning September 6, October 4, November 1 and November 29, 2025.

³² GDP figures from 2022-23 onwards are based on the new series (2022-23 base year).

II.4.3 Adjusted for the first-round impact of change in CRR, the RM³³ growth accelerated to 10.8 per cent in 2025-26 from 5.8 per cent a year ago (Chart II.4.2 and Appendix Table 4). CiC - the major constituent of RM with a share of 81.4 per cent - expanded at 11.4 per cent during 2025-26 from 5.8 per cent a year ago, driven by higher cash withdrawal resulting from welfare measures taken by several state governments (*viz.*, compensation for crop damage and direct benefit transfers), higher consumption-driven cash withdrawals after recent GST and income tax rate cuts alongside increased cash demand amidst easing interest rates and rising prices of precious metals. Growth in bankers' deposits with the Reserve Bank (15.8 per cent share in RM), *i.e.*, balances maintained by banks to meet their CRR requirements and

settlement obligations, declined by 18.2 per cent during the year, reflecting the reduction in CRR by 100 bps.

II.4.4 The currency-GDP ratio increased marginally alongside rising usage of digital payments. Retail digital payments grew by 15.1 per cent in value terms and 26.9 per cent in volume terms during 2025-26 (Chart II.4.3).

II.4.5 On the sources side (assets), RM comprises net domestic assets (NDA)³⁴ and net foreign assets (NFA)³⁵ of the Reserve Bank. During 2025-26, NFA expanded by ₹8.2 lakh crore, driven by expansion in both FCA and gold. Although net sales to authorised dealers were higher than a year ago, FCA expanded on account of revaluation gains. The share of gold in NFA increased to 17.2 per cent as at end-March

Chart II.4.2: RM - Components (Liabilities)
(Growth, per cent)

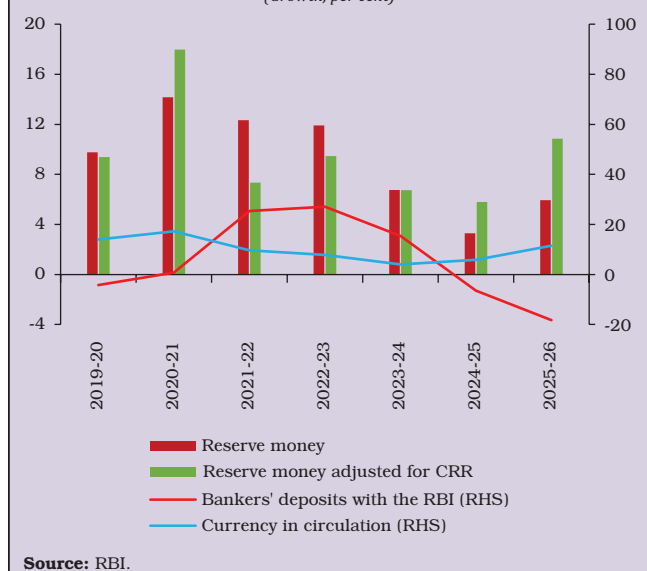
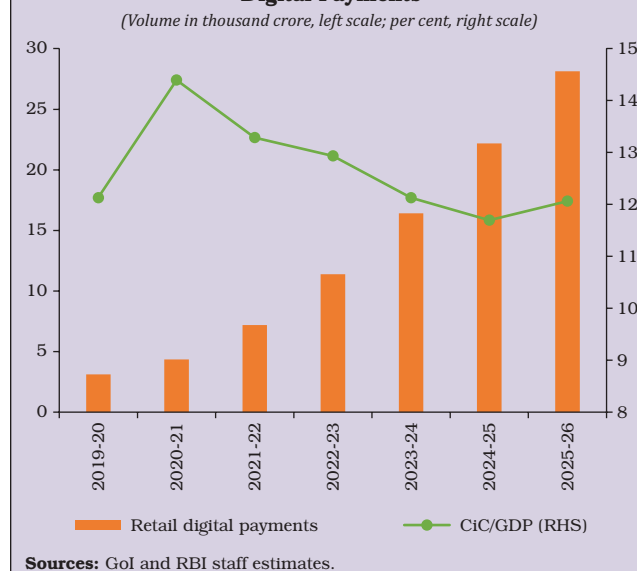


Chart II.4.3: Currency in Circulation and Digital Payments
(Volume in thousand crore, left scale; per cent, right scale)



³³ Comprises currency in circulation, bankers' deposits with the Reserve Bank and 'other' deposits with the Reserve Bank, on the liabilities side.

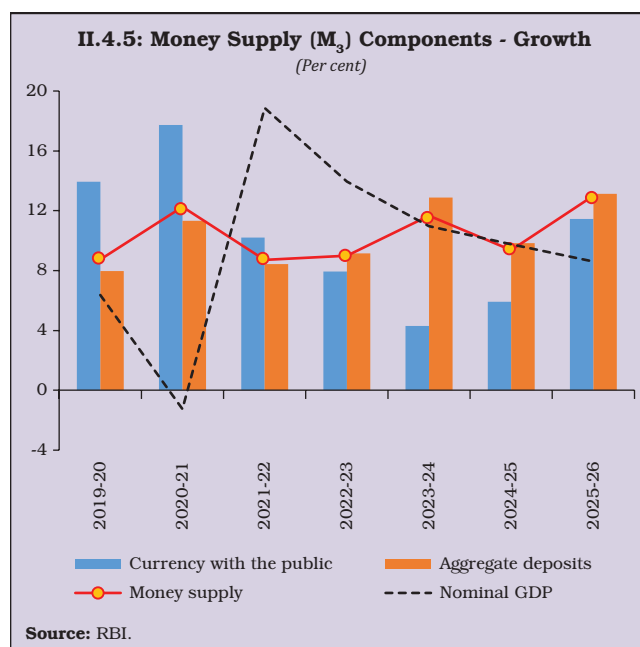
³⁴ Comprises net Reserve Bank credit to banks, government and commercial sector (mainly primary dealers).

³⁵ Consists of gold and foreign currency assets (FCA). FCA includes special drawing rights (SDRs) transferred from the Government of India (GoI). The remaining SDR holdings with the GoI and reserve tranche position (RTP) in the IMF, which represents India's quota contribution to the IMF in foreign currency, are not a part of the Reserve Bank's balance sheet.

2026 from 12.0 per cent a year ago, mainly due to revaluation gains from increase in gold prices. The Reserve Bank's net credit to the government expanded during the year owing to the liquidity injection through purchase of G-secs *via* open market operations (Chart II.4.4).

Money Supply

II.4.6 Money supply - in terms of broad money (M_3) - mainly consists of currency with the public (CwP) and aggregate deposits (AD) of banks on the components side (liabilities). M_3 recorded a growth of 13.0 per cent as on March 31, 2026 as compared with 9.4 per cent a year ago (Chart II.4.5). On the components side, expansion in M_3 was driven by AD, its largest constituent (86.6 per cent share) with sustained growth in time deposits (10.6 per cent *vis-à-vis* 9.8 per cent a year ago), notwithstanding considerable



moderation in interest rates. Demand deposits remained volatile, largely mirroring the variations in currency with the public, which grew by 11.4

Chart II.4.4: Reserve Money - Sources (Assets)

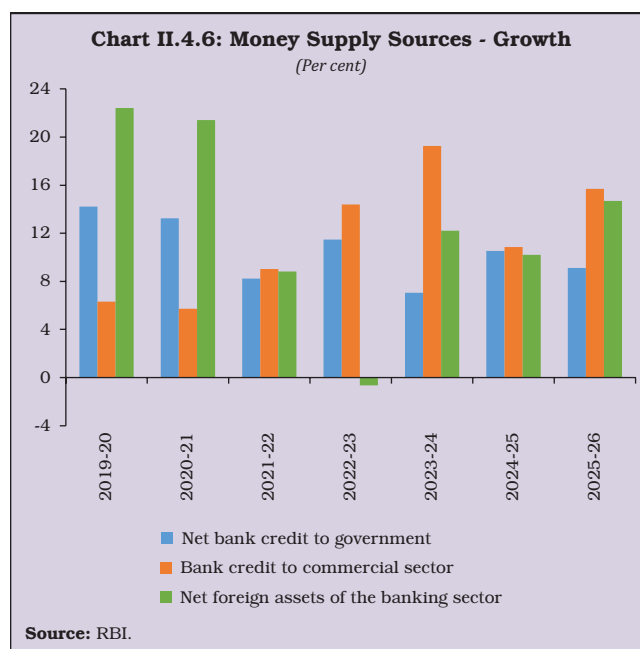


per cent in 2025-26 *vis-à-vis* 5.9 per cent in the previous year.

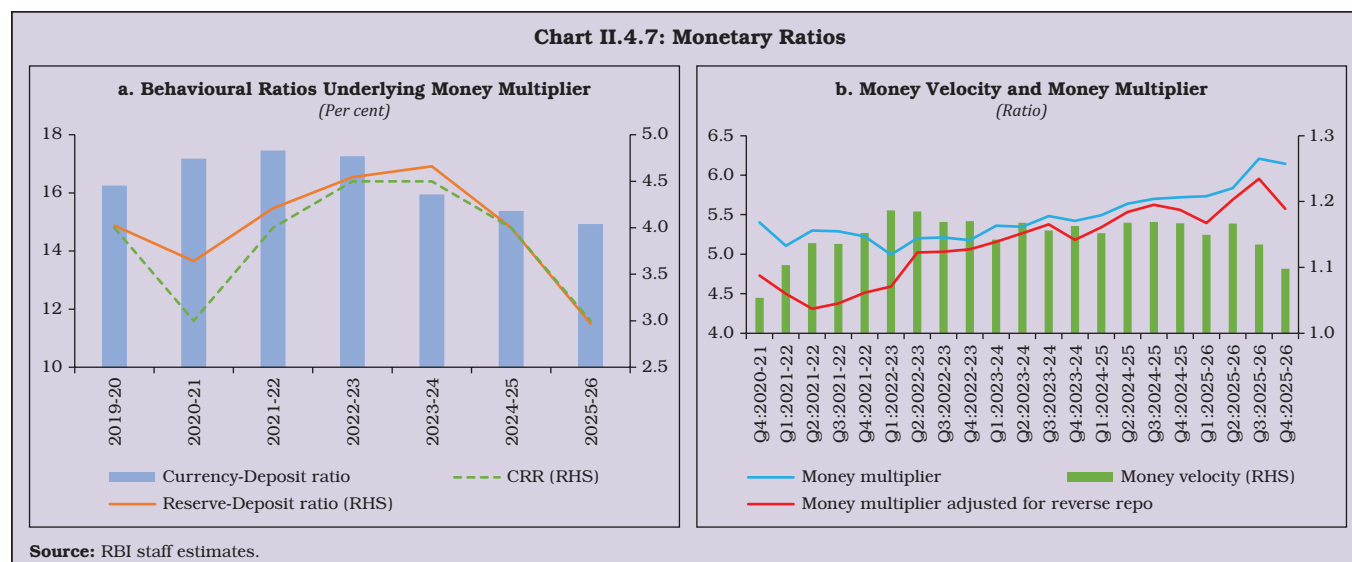
II.4.7 On the sources side (assets), expansion in M_3 was mainly driven by bank credit to the commercial sector (the largest constituent of M_3), which grew by 15.7 per cent in 2025-26 as compared with 10.8 per cent during the previous year (Chart II.4.6). Net bank credit to government increased by 9.1 per cent in 2025-26 (10.5 per cent a year ago), owing to purchases of G-secs by the Reserve Bank. Accordingly, excess holdings of statutory liquidity ratio (SLR) securities³⁶ of scheduled commercial banks (SCBs) declined to 8.2 per cent of NDTL as on March 31, 2026 (10.3 per cent a year ago). The net foreign assets of the banking sector increased, mirroring the expansion in NFA of the Reserve Bank's balance sheet during the year.

Key Monetary Ratios

II.4.8 Transaction velocity of money, *i.e.*, the ratio of nominal GDP to M_3 , declined during 2025-26 with greater financial deepening and monetisation

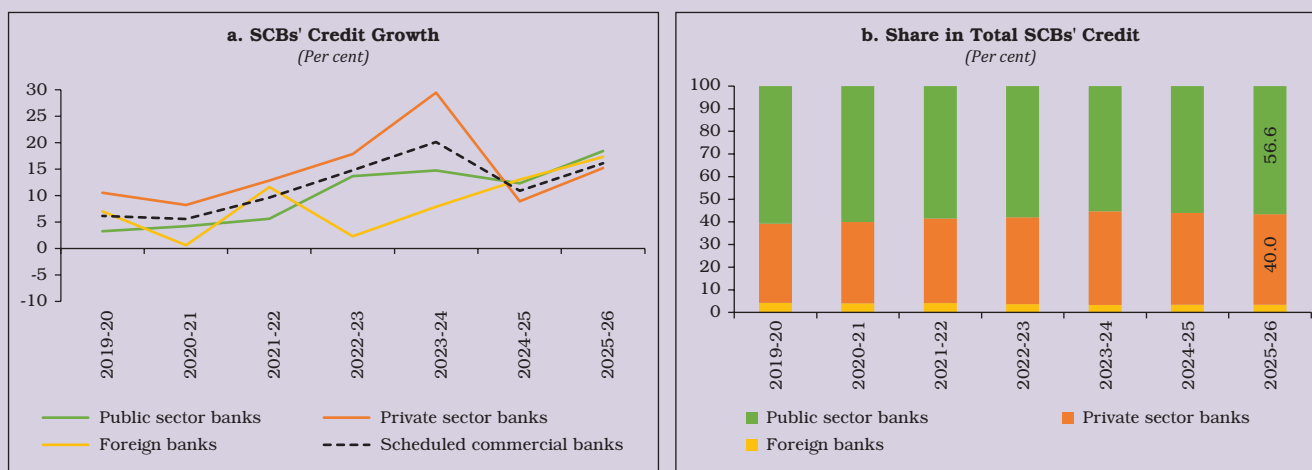


of the economy. Currency-deposit ratio moderated further from 15.4 per cent as on March 21, 2025 to 14.9 per cent as on March 31, 2026, reflecting, *inter alia*, an increasing shift in public preference towards digital modes of payments. The reserve-deposit ratio declined during the year due to reduction in CRR (Chart II.4.7a). The combined



³⁶ Excess holdings of SLR securities provide collateral buffers to banks for availing funds under the liquidity adjustment facility (LAF) and are also a component of the liquidity coverage ratio (LCR).

Chart II.4.8: Bank Group-wise Credit



Source: RBI.

impact of moderation in both currency-deposit ratio and reserve-deposit ratio resulted in an improvement in the money multiplier to 6.1 as on March 31, 2026 from 5.7 a year ago (Chart II.4.7b).

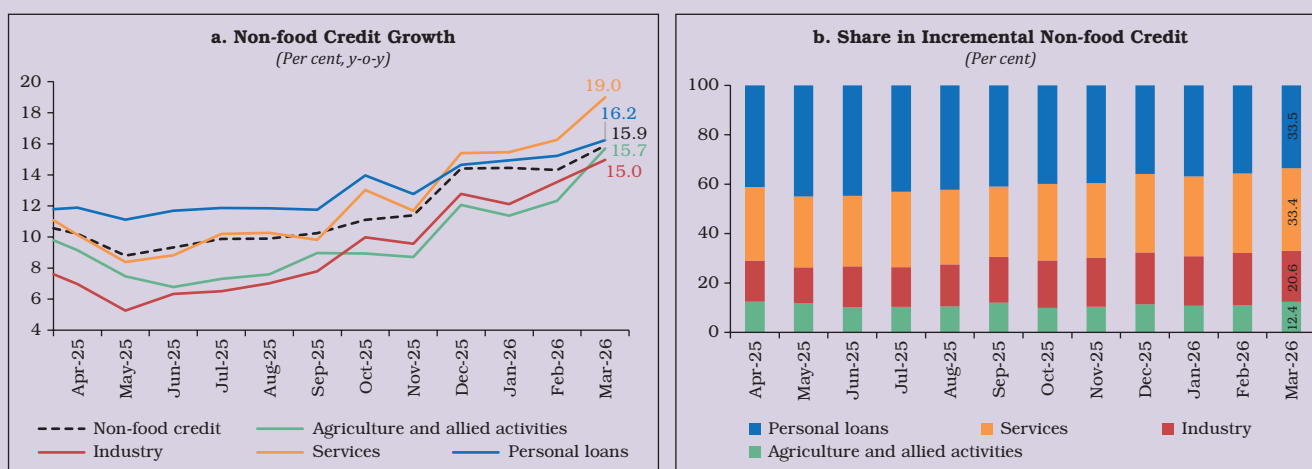
Credit

II.4.9 Double digit growth in bank credit was sustained during 2025-26, led by services and retail sectors (Chart II.4.8a). Public sector banks

(PSBs) registered higher credit growth than that of private sector banks (PVBs) for the second consecutive year resulting in rise in PSBs' share in total credit (Chart II.4.8b).

II.4.10 Key sectors witnessed an uptick in credit growth with overall non-food credit³⁷ growth at 15.9 per cent as at end-March 2026 (Chart II.4.9). Industrial credit continued to expand at

Chart II.4.9: Uptick in SCBs' Non-food Credit Growth



Source: RBI.

³⁷ Non-food credit data are based on fortnightly Section 42 return and covers all SCBs. Sectoral non-food credit data are based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all SCBs. Please refer to footnote 1 of this Section.

a robust pace since May 2025, on the back of sturdier credit growth in micro, small and medium enterprises (MSMEs). Industrial sub-segments such as 'infrastructure', 'all engineering', 'basic metal and metal product', 'chemical and chemical products', and 'petroleum, coal products and nuclear fuels' marked resilient y-o-y growth. Services sector credit sustained robust double-digit growth, largely supported by healthy credit

growth in 'trade', 'commercial real estate', and sharp resumption of credit to NBFCs³⁸ since October 2025. Personal loans continued to remain the major driver of overall non-food credit growth. Housing loans, which account for nearly half of the personal loans, recorded healthy growth and segments such as vehicle loans and loans against gold jewellery showed buoyant growth (Table II.4.1).

Table II.4.1: Sectoral Credit Growth - SCBs

(Per cent, y-o-y)

Sector	2024-25 [#]	2025-26											
		Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar
1	2	3	4	5	6	7	8	9	10	11	12	13	14
Non-food Credit	10.9	10.2	8.8	9.3	9.9	9.9	10.2	11.1	11.4	14.4	14.4	14.3	15.9
I. Agriculture & Allied Activities	10.4	9.2	7.5	6.8	7.3	7.6	9.0	8.9	8.7	12.1	11.4	12.3	15.7
II. Industry (Micro & Small, Medium and Large)	8.2	7.0	5.3	6.3	6.5	7.0	7.8	10.0	9.6	12.8	12.1	13.5	15.0
II.1. Micro & Small	8.9	9.2	13.7	19.2	20.9	20.8	22.0	25.9	24.6	30.4	31.2	30.4	33.1
II.2. Medium	18.5	18.1	16.9	13.2	15.0	13.3	14.5	17.6	15.7	20.4	22.3	21.0	21.7
II.3. Large	6.9	5.0	1.5	2.0	1.6	2.4	3.0	4.6	4.6	6.9	5.5	7.8	8.9
II.3.1 Infrastructure	2.8	0.3	-1.3	0.8	3.4	3.5	5.0	4.6	4.3	7.2	6.4	7.9	9.5
II.3.2 Basic Metal & Metal Product	12.8	14.3	10.6	11.0	9.5	8.9	9.1	13.1	11.8	14.2	13.8	15.2	19.4
II.3.3 Chemicals & Chemical Products	7.4	6.0	4.7	6.3	5.5	6.7	8.3	12.2	11.1	14.8	15.1	19.1	14.9
II.3.4 Textiles	8.3	8.5	6.8	8.6	6.0	6.4	7.1	9.1	8.1	11.8	10.0	8.2	8.9
II.3.5 All Engineering	22.0	21.7	20.4	22.1	23.0	19.8	22.4	25.1	22.6	30.4	35.9	36.0	32.2
II.3.6 Food Processing	5.1	6.5	7.8	8.1	5.2	6.1	7.7	10.2	6.5	11.7	9.6	10.2	14.0
III. Services	12.0	10.1	8.4	8.8	10.2	10.3	9.8	13.0	11.7	15.4	15.5	16.3	19.0
III.1. Trade	15.6	13.9	10.4	10.7	12.8	12.3	11.7	13.8	14.2	17.5	16.1	14.4	16.2
III.2. Commercial Real Estate	13.7	17.3	14.8	14.9	15.7	13.2	15.5	14.1	12.6	15.4	16.2	17.4	19.9
III.3. NBFCs	7.4	4.5	1.0	3.1	3.0	3.7	3.9	10.9	9.5	15.1	17.8	20.9	26.3
IV. Personal Loans	11.7	11.9	11.1	11.7	11.9	11.9	11.8	14.0	12.8	14.6	14.9	15.2	16.2
IV.1. Consumer Durables	-1.0	-1.0	-3.7	-2.8	-5.8	-5.8	-6.1	1.0	-5.9	-5.1	-4.0	-9.8	-5.3
IV.2. Housing	10.7	9.8	9.0	9.6	9.6	9.7	10.1	11.0	9.9	11.1	11.1	11.0	11.5
IV.3. Credit Card Outstanding	10.6	10.6	8.5	7.2	5.6	4.4	3.7	7.7	2.4	1.0	1.5	1.7	3.5
IV.4. Vehicle Loans	8.6	8.8	8.7	9.2	8.9	8.7	7.3	12.5	12.4	16.7	17.1	17.1	18.6
IV.5. Loans against Gold Jewellery	121.1	138.0	132.7	140.9	136.4	130.2	125.6	128.5	125.3	126.1	128.8	127.9	123.1
IV.6. Other Personal Loans	7.5	8.5	7.2	7.1	7.6	7.6	7.4	9.9	8.9	11.5	11.6	12.1	13.0

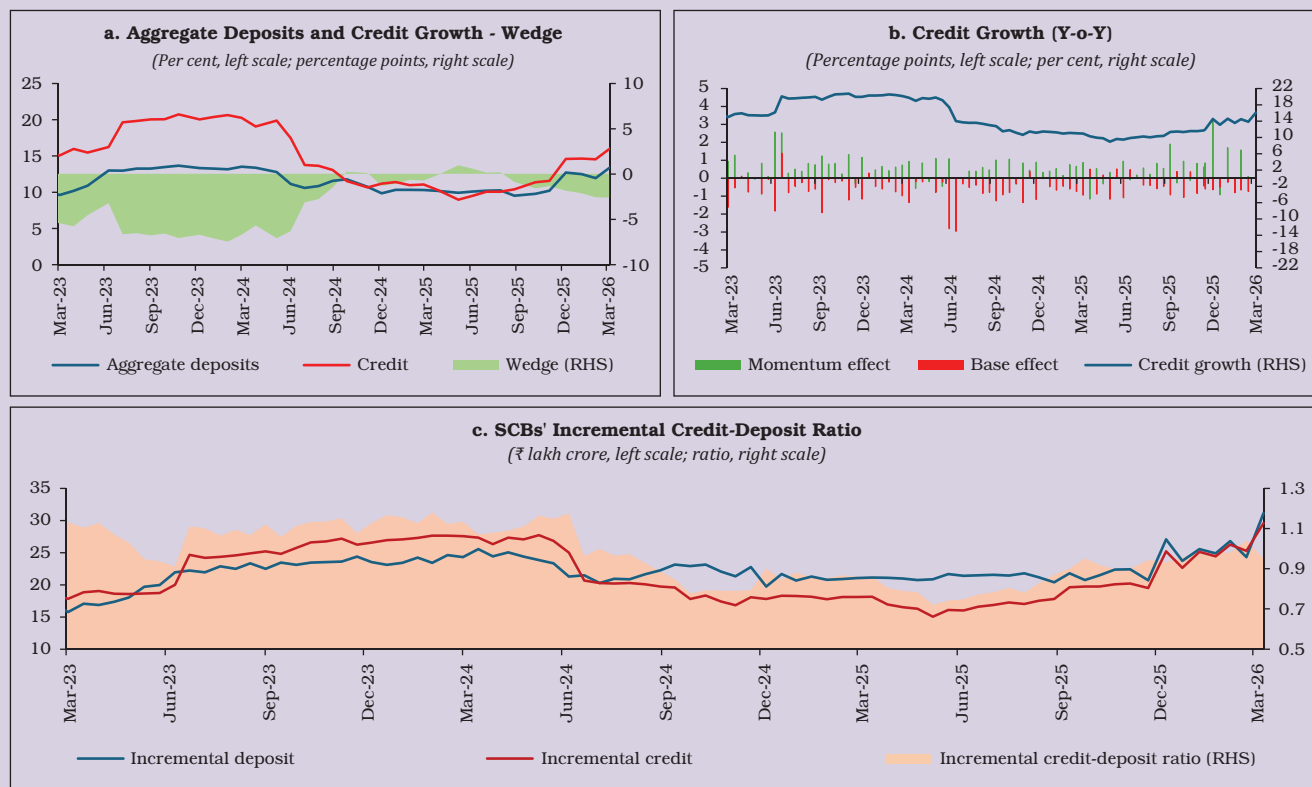
[#]: March 2025 over March 2024.

Note: Data are provisional.

Source: RBI.

³⁸ Risk weight for bank credit to NBFCs was increased by additional 25 percentage points in November 2023, which was later restored to the earlier position with effect from April 2025.

Chart II.4.10: SCBs' Deposits and Credit



Source: RBI.

II.4.11 SCBs' deposit growth broadly remained below that of credit growth during 2025-26. Although deposit growth showed some improvement in recent months, the wedge between deposit and credit growth persisted (Chart II.4.10). Consequently, the incremental credit-deposit ratio remained elevated. To

bridge the funding gap, banks took recourse to sizeable issuances of certificates of deposit³⁹. In this context of sustained funding pressures, the evolving dynamics between bank deposits and alternate savings instruments such as mutual funds have been examined (Box II.4.1).

Box II.4.1

Bank Time Deposits and Mutual Fund Flows Dynamics — A Comparative Analysis

Time deposits with banks and mutual funds serve as important channels for mobilising domestic savings for investment to support economic activity. While time deposits with banks are regarded as safe and capital-protected instruments, the debt mutual funds provide market-linked returns from fixed-income securities and the

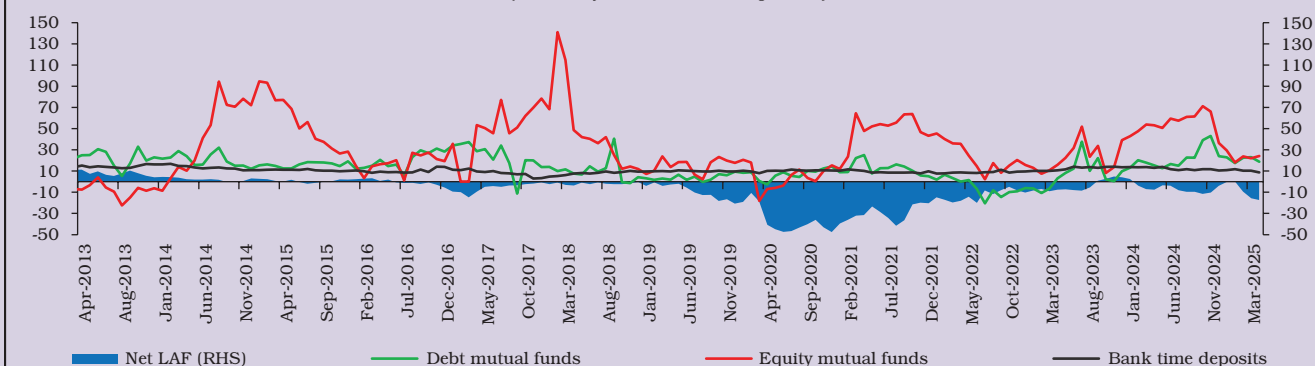
equity mutual funds may offer long-term capital gains with higher market risk. Recent evidence suggests that mutual funds have emerged as a major alternative investment avenue in India (Gupta *et al.*, 2025). For instance, during 2020-21 to 2024-25, on an average, outstanding bank time deposits grew by 10.7 per cent, while the assets under

(Contd...)

³⁹ See Section 5 of Chapter II for details.

Chart 1: Growth in Bank Time Deposits and Investments in Mutual Funds

(Per cent, left scale; ₹ lakh crore, right scale)



LAF: Liquidity Adjustment Facility.

Sources: RBI, SEBI, CEIC and RBI staff calculations.

management (AUM) of debt mutual funds increased by 5.3 per cent and the AUM of equity mutual funds expanded by 32.4 per cent (Chart 1).

Against this backdrop, the question arises whether bank time deposits and mutual funds (debt and equity) instruments act as complements (substitutes) and what role the state of liquidity conditions plays in determining investor preferences. This question is examined for the sample period 2013-14 to 2024-25 using monthly data, applying empirical methodology akin to Im *et al.* (2025). Growth in debt and equity mutual funds AUM is explained by growth in outstanding bank time deposits, controlling for relative returns, and lags for growth in gold prices, BSE Sensex returns, 3-month treasury yields, India VIX (*i.e.*, volatility index), growth in outstanding small savings, and growth in index of industrial production.

The analysis indicates that bank time deposits and debt mutual funds act as complementary avenues in

both surplus and deficit liquidity regimes. One plausible explanation for this complementarity is that within India's bank-centric and evolving debt market, bank time deposits and debt mutual funds predominantly serve distinct investor segments. This structural segmentation minimises direct competition between the two instruments, fostering concurrent allocation rather than substitution. The analysis finds no statistically significant relationship between bank time deposits and equity mutual fund flows.

References:

1. Gupta, M., Kumar, S., Borad, A., Seet, S. K. & Kedia, P. (2025), 'Equity Mutual Funds: Transforming India's Savings Landscape', *RBI Monthly Bulletin*, August, 79(8), 81-94.
2. Im, J., Li, Y., & Wang, A. (2025), 'What Drives the Substitution between Bank Deposits and Money Market Funds?', *FEDS Notes (November)*, Board of Governors of the Federal Reserve System.

II.4.12 Against the backdrop of deposit growth lagging credit expansion, the total flow of financial resources to the commercial sector increased to ₹47.0 lakh crore during 2025-26 from ₹36.2 lakh crore a year ago, supported by credit from both banks and non-bank sources (Appendix Table 5). The increase in flow from non-bank sources was mainly driven by corporate bond issuances and foreign direct investment to India. As on March 31, 2026, total outstanding credit to the commercial

sector grew by 15.0 per cent (y-o-y), with non-bank sources registering a growth of 13.3 per cent (y-o-y).

Conclusion

II.4.13 During the year, the currency-GDP ratio increased with currency demand remaining at elevated levels. Amidst persistent wedge between deposit and credit growth, bank credit expanded in double digits and was largely broad-based, led by services and retail sectors.

II.5 FINANCIAL MARKETS

II.5.1 Global financial markets remained volatile in 2025-26 amidst concerns emanating from surging fiscal deficit, debt repayment, varied growth-inflation outcomes and trade tariff impositions. Notwithstanding global headwinds, Indian financial markets demonstrated resilience, with money market rates evolving in line with the policy repo rate and prevailing liquidity conditions. After declining in the first quarter, sovereign bond yields hardened amidst oversupply of state government securities, delay in signing of India-US trade deal, and surge in crude oil prices due to tensions in the Middle East. Corporate bond yields exhibited a hardening bias, accompanied by a broadening of spreads, amidst divergent corporate earnings performance. Indian equity markets remained volatile during the year, navigating global uncertainties while buoyed by stronger-than-expected gross domestic product (GDP) growth and supportive fiscal and monetary policies. The Indian Rupee (INR) traded with a depreciating bias amidst escalating geopolitical tensions and portfolio investment outflows.

Money Market

II.5.2 During 2025-26, money market rates moved in tandem with the policy repo rate and the evolving liquidity conditions. The weighted average call rate (WACR) moved in line with the repo rate, and its average spread over the repo rate was (-) 7 bps during 2025-26 as against 6 bps during 2024-25. Volatility in the WACR measured by coefficient of variation⁴⁰ increased to 4.8 per cent in 2025-26 from 2.2 per cent in the previous year.

II.5.3 During April to early July 2025, due to large surplus liquidity, the WACR hovered around the standing deposit facility (SDF) rate, floor of the policy corridor. Since mid-July 2025, following Reserve Bank's absorption of liquidity through variable rate reverse repo (VRRR) auctions, the WACR increased and traded closer to the policy repo rate. However, the WACR moved near marginal standing facility (MSF) rate, ceiling of the policy corridor during mid-December 2025 to January 2026 amidst moderation in liquidity surplus. The WACR eased in February, while remaining elevated at end-March following the seasonal effect. The collateralised market segments – triparty repo and market repo – followed the WACR movements (Chart II.5.1a).

II.5.4 For the longer tenor money market instruments, following the overnight trends, yields softened for 3-month treasury bills (T-bills), certificates of deposit (CDs) and commercial papers (CPs) during H1:2025-26. However, in H2, CD rates remained elevated owing to higher issuances by banks to meet funding requirements in the face of higher offtake in credit. CP rates also followed an upward trend in H2 (Chart II.5.1b).

II.5.5 The average daily volume in the money market⁴¹ increased by 16 per cent to ₹6.4 lakh crore during 2025-26 from ₹5.5 lakh crore in the previous year. The quarterly volumes in the call money market mostly depicted an increasing trend since Q2, which could partly be attributed to the extension of market timings.⁴²

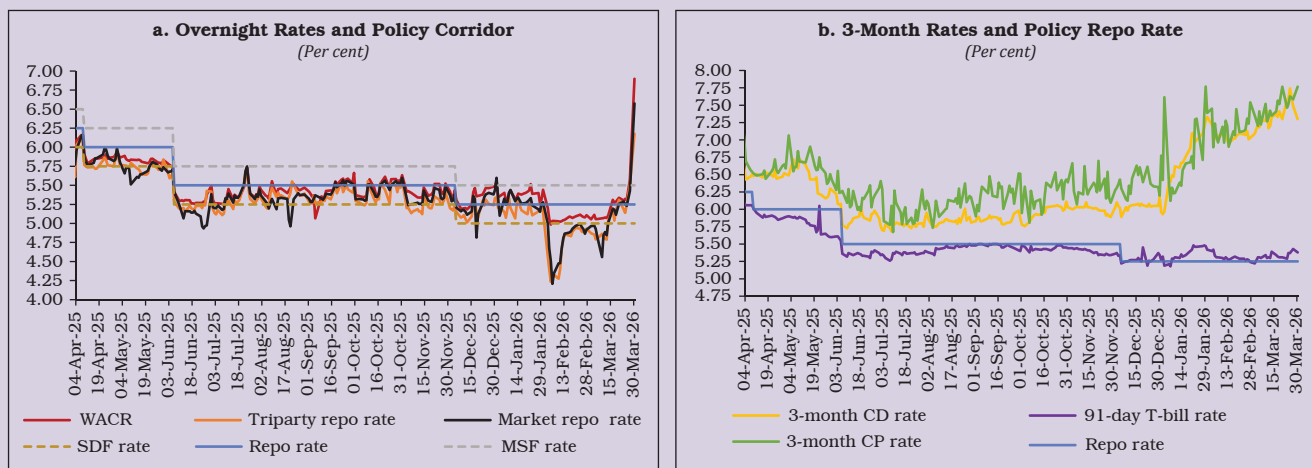
II.5.6 Money market continued to be dominated by the collateralised segments in 2025-26, with

⁴⁰ Coefficient of variation is measured as a ratio of standard deviation to the mean.

⁴¹ Call money, triparty repo and market repo of both overnight and term segments, excluding Saturdays.

⁴² Effective July 1 and August 1, 2025, the trading hours for the call money market, and triparty repo and market repo were extended to 7 pm and 4 pm, respectively.

Chart II.5.1: Money Market Rates Tracked Policy Repo Rate



the average share of triparty repo and market repo at around 67 per cent and 30 per cent, respectively. The share of call money market increased marginally to 3 per cent during the year (Chart II.5.2).

II.5.7 In the longer-term segments, the average daily spread of CD rates and CP rates over T-bill rates trended downwards until September 2025, while they increased afterwards (Chart II.5.3). In

the primary market, the CD issuances increased to ₹5.3 lakh crore in Q4:2025-26 from ₹2.3 lakh crore in Q1. Total CD issuances aggregated ₹13.5 lakh crore in 2025-26 as against total issuances of ₹11.9 lakh crore in the previous year.

II.5.8 As the liquidity remained largely in surplus and interest rates favourable, new issuances of CPs depicted a steady trend during H1:2025-26. However, CP issuances declined in H2:2025-

Chart II.5.2: Collateralised Segments Dominate Money Market (Per cent)

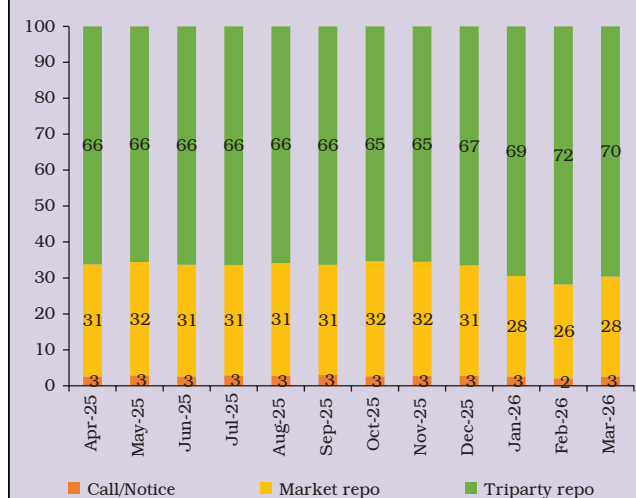
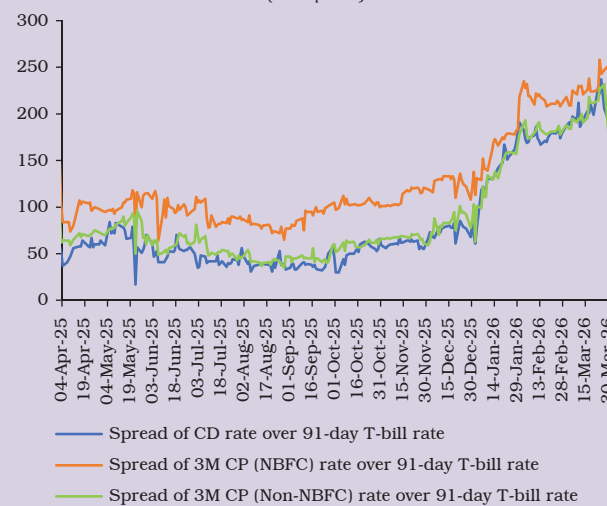


Chart II.5.3: CP and CD Rate Spreads Increased in H2:2025-26 (Basis points)



26, as higher rates led to a shift towards bank borrowings. Total issuances of CPs increased to ₹16.9 lakh crore during 2025-26 from ₹15.7 lakh crore in the previous year.

Government Securities Market

II.5.9 During Q1:2025-26, domestic G-sec yield curve steepened as short and medium-term yields traded with a softening bias while long-term yields traded range bound amid monetary policy easing and liquidity infusion measures undertaken by the Reserve Bank. Open market operation (OMO) purchase auctions for an aggregate amount of ₹2.39 lakh crore were conducted during the quarter. However, yields hardened after the monetary policy stance was changed to 'neutral' in June 2025, as further rate cut expectations faded (Chart II.5.4).

II.5.10 G-sec yields hardened during Q2:2025-26 after a better-than-expected Q1:2025-26

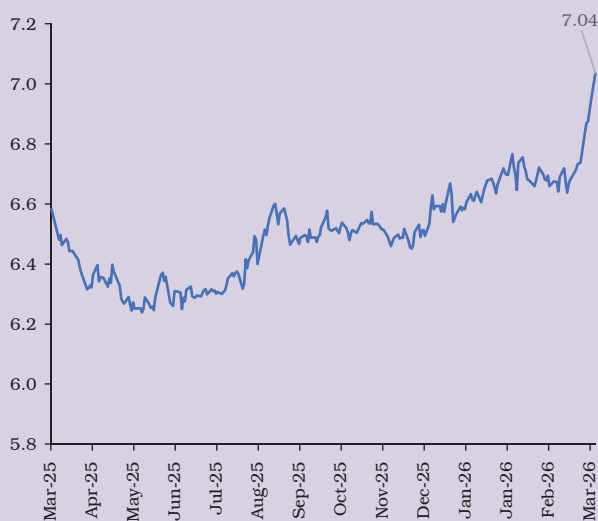
GDP data amid fiscal concerns emanating from the implementation of higher US tariffs and GST rationalisation. However, the upside in yields was capped as oversupply related concerns ebbed after clarity emerged that revenue loss on account of goods and services tax (GST) rationalisation would be limited and government's market borrowings for H2:2025-26 remained largely on expected lines.

II.5.11 During Q3:2025-26, yields exhibited two-way movements as better-than-expected Q2:2025-26 GDP data and reduced expectations of further easing post 25-bps rate cut in the December 2025 monetary policy committee meeting⁴³ provided an upward bias. However, the Reserve Bank's liquidity injection measures helped ameliorate this upward pressure on yields. OMO purchases for an aggregate amount of ₹1.81 lakh crore were conducted during the quarter, of which ₹1.50 lakh crore were through auctions.

II.5.12 During Q4:2025-26, yields traded with a hardening bias amidst higher-than-expected gross market borrowings announced in the Union Budget 2026-27 and a sharp increase in crude oil prices following the escalation of the Middle East conflict. On the final trading session of 2025-26, the 10-year generic G-sec yield crossed the 7 per cent mark for the first time since July 2024. OMO purchases for an aggregate amount of ₹4.57 lakh crore were conducted during the quarter, of which ₹3.5 lakh crore were through auctions.

II.5.13 With the introduction of the fully accessible route (FAR)⁴⁴ with effect from April 1, 2020, foreign

Chart II.5.4: 10-year Generic G-Sec Yield
(Per cent)



Source: Bloomberg.

⁴³ Details relating to monetary policy operations are covered in Chapter III of this Report.

⁴⁴ Under FAR, certain categories of central government securities are open fully for non-resident investors without any restrictions, apart from being available to domestic investors as well.

Table II.5.1: FPI Investment in Debt Instruments (End-March)

(Amount in ₹ thousand crore)

Route/ Channel of Investment	2024			2025			2026		
	Limit	FPI Holding*	Utilisation (per cent of Limit)	Limit	FPI Holding*	Utilisation (per cent of Limit)	Limit	FPI Holding*	Utilisation (per cent of Limit)
1	2	3	4	5	6	7	8	9	10
General Route [^]	1,172.6	187.1	16.0	1,295.3	187.2	14.5	1,470.7	186.6	12.7
VRR [^]	250.0	175.4	70.1	250.0	205.2	82.1	250.0	188.8	75.5
FAR [#]	3,866.2	173.8	4.5	4,337.0	306.2	7.1	4,751.2	313.3	6.6

[^]: Includes central government securities (G-secs), state government securities (SGSs) and corporate bonds.[#]: Available only for the specified securities included under the route.

*: For VRR, it indicates investment limit allotted to FPIs.

Sources: CCIL and NSDL.

portfolio investors (FPIs) have three channels of investment - the general route⁴⁵; the voluntary retention route (VRR); and fully accessible route (FAR) [Table II.5.1]. In aggregate, FPIs invested ₹16.1 thousand crore in debt instruments in 2025-26.

Corporate Bond Market

II.5.14 Although corporate bond yields declined during 2025-26, they exhibited a hardening bias (Table II.5.2).

II.5.15 The spread on AAA-rated 3-year corporate bond yields over G-sec yields of corresponding maturity inched up during 2025-26 amidst mixed corporate earnings results. The average daily

secondary market turnover in the corporate bond market increased to ₹7.1 thousand crore during 2025-26 from ₹6.2 thousand crore during the previous year (Chart II.5.5).

II.5.16 Primary issuances of listed corporate bonds on domestic stock exchanges declined to ₹9.1 lakh crore during 2025-26 from ₹9.9 lakh crore during the previous year, along with a moderation in mobilisation through overseas

Table II.5.2: Corporate Bond Yields*

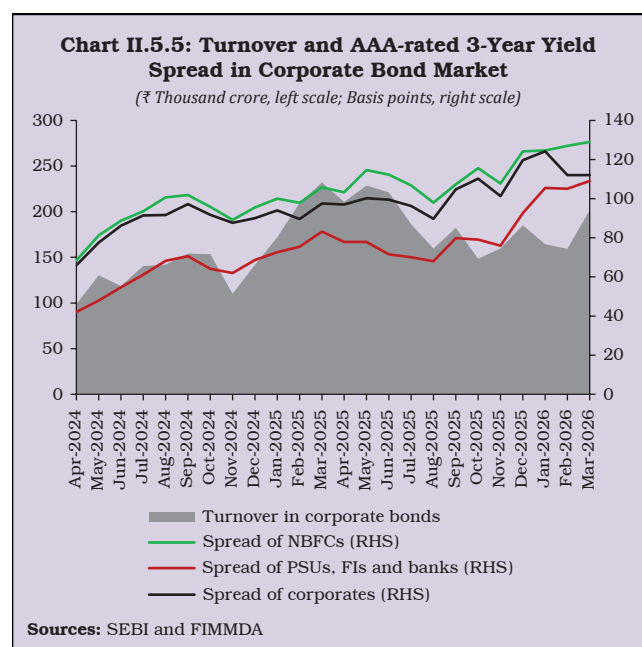
(Per cent)

Entity	March 2025	March 2026	Change (bps)
1	2	3	4 (=3-2)
(i) PSUs, FIs and Banks	7.48	7.33	-15
(ii) NBFCs	7.70	7.53	-17
(iii) Corporates	7.62	7.36	-26

*: AAA-rated 3-year bonds.

Note: Yields are computed as monthly averages.

Source: FIMMDA.

⁴⁵ Erstwhile medium-term framework (MTF).

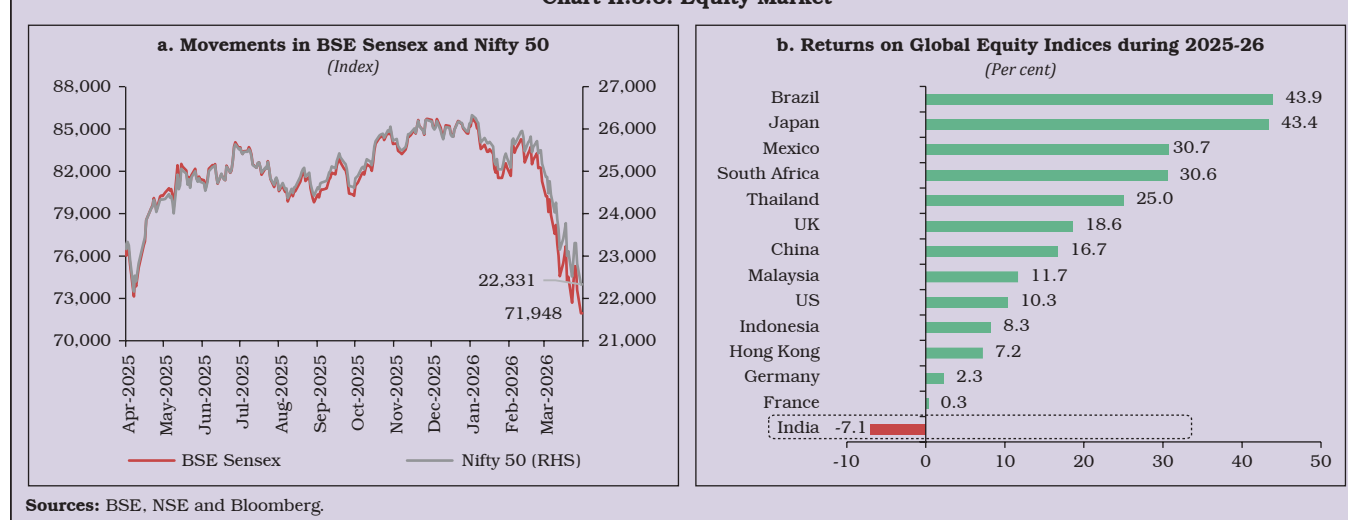
issuances. Private placements remained the preferred channel, accounting for 99 per cent of total resources mobilised through the domestic bond market. Investments by FPIs in corporate bonds increased during the year. However, the utilisation of the approved limits by FPIs decreased to 15.0 per cent as at end-March 2026 from 15.8 per cent a year ago on account of an increase in absolute limits.

Equity Market

II.5.17 In 2025-26, Indian equity market witnessed bi-directional movements. It increased in the first half of the year amidst supportive monetary and fiscal policy measures, while it declined in the second half as escalation in geopolitical tensions in the Middle East and artificial intelligence (AI) related concerns weighed on investor sentiment. Overall, the BSE Sensex declined by 7.1 per cent to close at 71,948 at end-March 2026 (Chart II.5.6). Resource mobilisation in the primary markets through public and rights issues, preferential allotments and qualified institutional placements (QIPs) remained strong.

II.5.18 In Q1:2025-26, Indian equity markets witnessed two-way movements driven by unfavourable factors such as tariff announcements by the US, escalation of India-Pakistan conflict and geopolitical tensions in the Middle East, while investor sentiment was bolstered by a record surplus transfer by the Reserve Bank to the Government of India and the front loading of monetary policy easing by the Reserve Bank in June, among others. In Q2, markets declined as negative cues from elevated tariff uncertainty and hike in H1B visa fees by the US outweighed improved investor sentiment surrounding India's sovereign rating upgrade by a major global credit rating agency, the announcement of GST reforms and the release of strong macroeconomic data. In Q3, markets gained amidst optimism surrounding corporate earnings results for Q2 and positive global cues from policy rate cut by the US Federal Reserve and increasing investments in technology including AI. Markets declined in Q4 as renewed tariff uncertainties, escalation in geopolitical tensions in the Middle East and persistent AI related concerns outweighed improved sentiment surrounding

Chart II.5.6: Equity Market



announcement of India-EU trade deal, and higher GDP growth projections for 2025-26 and Q1 and Q2 of 2026-27 in the monetary policy statements.

II.5.19 Overall, BSE 150 Midcap decreased marginally by 1.0 per cent while BSE 250 SmallCap decreased by 6.5 per cent in 2025-26. Performance of sectoral indices was mixed during this period (Chart II.5.7a). FPIs made net sales of ₹2.7 lakh crore in the domestic equity market during 2025-26 as against net sales of ₹2.6 lakh crore during the previous year. Domestic institutional investors (DIIs) made net purchases of ₹8.5 lakh crore in 2025-26 as against ₹6.1 lakh crore during the previous year (Chart II.5.7b).

Primary Market Resource Mobilisation

II.5.20 In the primary segment of the equity market, resource mobilisation through QIPs and preferential allotments stood at ₹2.2 lakh crore during 2025-26, same as the previous year. Resource mobilisation through initial public offers (IPOs), follow-on public offers (FPOs) and rights issues increased to ₹2.3 lakh crore during

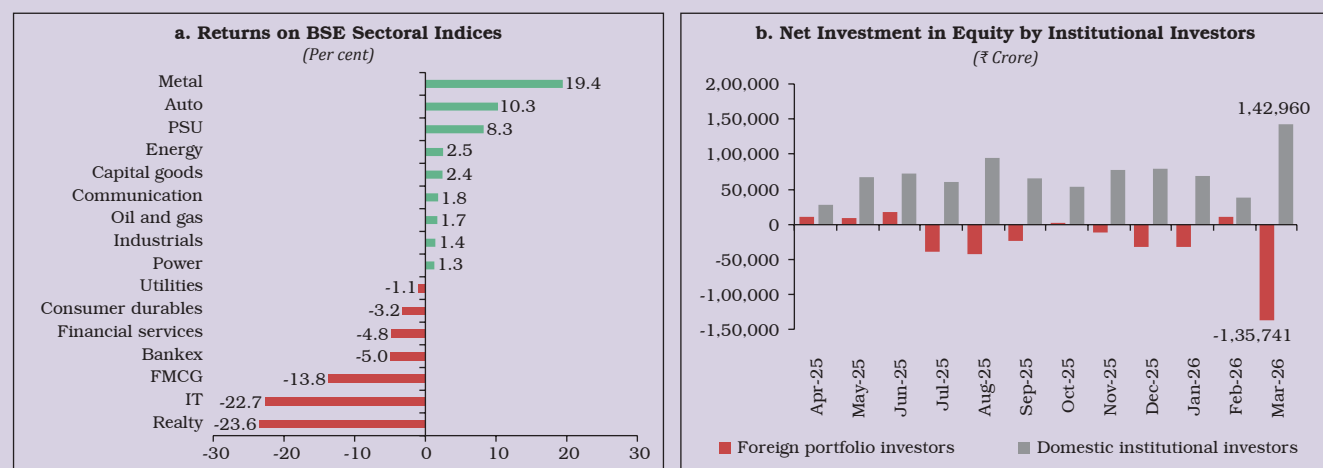
2025-26 from ₹2.1 lakh crore during the previous year (Chart II.5.8a). FPIs were net purchasers in the primary market during the year. Average monthly contribution to mutual funds through the systematic investment plan (SIP) route increased to ₹29.1 thousand crore in 2025-26 from ₹24.1 thousand crore during the previous year (Chart II.5.8b).

Foreign Exchange Market

II.5.21 The INR traded with a depreciating bias during 2025-26 and closed lower by 9.9 per cent. During H1:2025-26, INR gained initially amidst softening in the US dollar index and suspension of reciprocal tariffs by the US, touching the year's high of ₹83.75 per USD on May 2, 2025. It, however, came under pressure later amidst flaring up of border tensions, tariff related concerns and FPI outflows in the equity segment. The INR closed H1 at ₹88.79 per USD, lower by 3.8 per cent (Chart II.5.9).

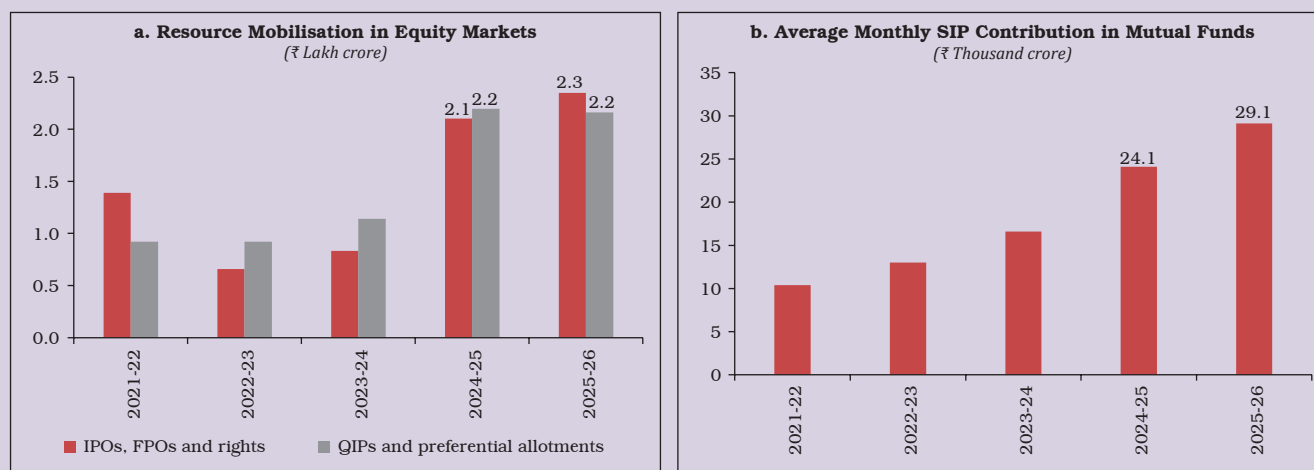
II.5.22 During H2:2025-26, after trading range bound initially, the INR came under pressure later amidst multiple headwinds including continued trade related uncertainties and widening

Chart II.5.7: Broader Markets and Institutional Flows



Sources: SEBI, NSDL and Bloomberg.

Chart II.5.8: Resource Mobilisation



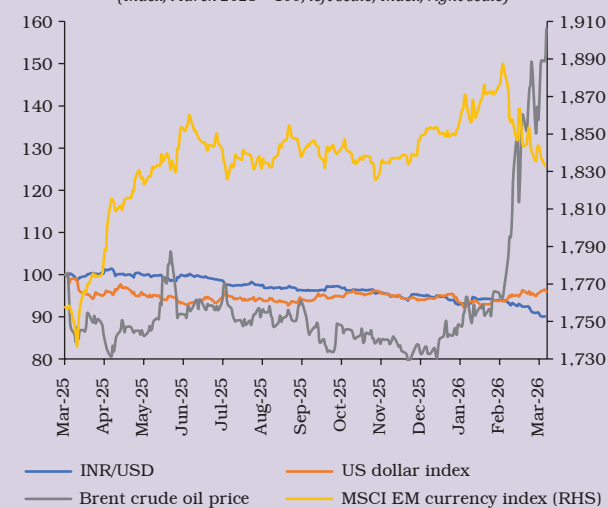
Sources: SEBI and AMFI.

merchandise trade deficit among others. INR pared some of its losses amid positive developments on the trade front during February. However, it witnessed a renewed bout of pressure in March amid worsening risk sentiments due to the outbreak of conflict in the Middle East and consequent surge in crude oil prices. FPI outflows and strengthening in the dollar index also weighed on the INR. For H2:2025-26, the INR closed lower by 6.4 per cent at ₹94.83 per USD.

II.5.23 During 2025-26, the forward premia traded range bound till November 2025 largely tracking interest rate differential. However, they rose during December 2025 and remained elevated thereafter amid escalation in geopolitical tensions. The 40-currency nominal effective exchange rate (NEER) and real effective exchange rate (REER) depreciated (y-o-y) by 6.9 per cent and 7.5 per cent, respectively, during 2025-26.

Conclusion

II.5.24 During 2025-26, Indian financial markets demonstrated resilience and orderly movements despite volatility in global financial markets. Overnight money market rates largely remained aligned with the policy repo rate and the evolving liquidity conditions. G-sec yields softened during Q1 but later hardened amid fiscal concerns, rising crude oil prices and lower expectations of further easing post-December 2025 rate cut. The INR witnessed depreciating bias in the latter half of the year due to trade related uncertainty and portfolio equity outflows. Indian equity markets are expected to be driven by evolving geopolitical developments, global financial market volatility and foreign portfolio investment flows.

Chart II.5.9: Movement in Rupee, US Dollar, Crude Oil Price and EM Currency Index
(Index, March 2025 = 100, left scale; Index, right scale)

Source: Bloomberg.

II.6 GOVERNMENT FINANCES

II.6.1 The Union Government reaffirmed its commitment to fiscal discipline by reducing the gross fiscal deficit (GFD)⁴⁶ to below 4.5 per cent of GDP in 2025-26 (RE), as announced in the Union Budget for 2021-22, and setting it at 4.3 per cent in 2026-27(BE). The Centre's debt-to-GDP ratio is budgeted to decline to 55.6 per cent in 2026-27 from 56.1 per cent in 2025-26 (RE).

Central Government Finances in 2025-26

II.6.2 The Central Government contained its GFD at 4.4 per cent of GDP in 2025-26 (RE), lower than 4.8 per cent in 2024-25. During 2025-26, the fiscal consolidation was attributable to higher-than-budgeted non-tax revenue and rationalisation of expenditure (Table II.6.1 and Chart II.6.1).

II.6.3 Revenue expenditure rose by 7.4 per cent in 2025-26 (RE) over 2024-25, primarily driven by elevated interest payments and major subsidies.

Table II.6.1: Central Government's Fiscal Performance

(Amount in ₹ lakh crore)

Item	2021-22	2022-23	2023-24	2024-25	2025-26 (RE)	2026-27 (BE)
1	2	3	4	5	6	7
I. Non-Debt Total Receipts	22.1 (9.4)	24.6 (9.1)	27.9 (9.3)	30.8 (9.3)	34.1 (9.5)	36.5 (9.3)
II. Gross Tax Revenue	27.1 (11.5)	30.5 (11.4)	34.7 (11.5)	38.0 (11.5)	40.8 (11.4)	44.0 (11.2)
(a) Direct Tax	14.1 (6.0)	16.6 (6.2)	19.6 (6.5)	22.2 (6.7)	24.2 (6.8)	27.0 (6.9)
(b) Indirect Tax	13.0 (5.5)	13.9 (5.2)	15.1 (5.0)	15.7 (4.8)	16.6 (4.6)	17.1 (4.3)
III. Net Tax Revenue	18.0 (7.6)	21.0 (7.8)	23.3 (7.7)	25.0 (7.6)	26.7 (7.5)	28.7 (7.3)
IV. Non-Tax Revenue	3.7 (1.5)	2.9 (1.1)	4.0 (1.3)	5.4 (1.6)	6.7 (1.9)	6.7 (1.7)
V. Non-Debt Capital Receipts	0.4 (0.2)	0.7 (0.3)	0.6 (0.2)	0.4 (0.1)	0.6 (0.2)	1.2 (0.3)
VI. Total Expenditure	37.9 (16.1)	41.9 (15.6)	44.4 (14.8)	46.5 (14.1)	49.6 (13.9)	53.5 (13.6)
VII. Revenue Expenditure	32.0 (13.6)	34.5 (12.8)	34.9 (11.6)	36.0 (10.9)	38.7 (10.8)	41.3 (10.5)
VIII. Capital Expenditure	5.9 (2.5)	7.4 (2.8)	9.5 (3.2)	10.5 (3.2)	11.0 (3.1)	12.2 (3.1)
IX. Revenue Deficit	10.3 (4.4)	10.7 (4.0)	7.7 (2.5)	5.6 (1.7)	5.3 (1.5)	5.9 (1.5)
X. Gross Fiscal Deficit	15.8 (6.7)	17.4 (6.5)	16.5 (5.5)	15.7 (4.8)	15.6 (4.4)	17.0 (4.3)

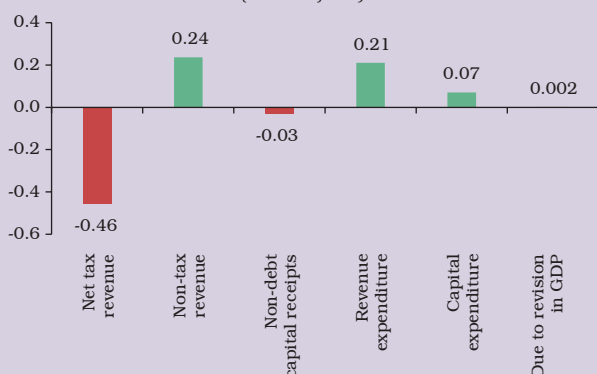
BE: Budget Estimates. RE: Revised Estimates.

Note: Figures in parentheses are as per cent of GDP.

Source: Union Budget documents.

⁴⁶ In this Chapter, fiscal indicators (as per cent of GDP) of the central government, the state governments and the general government are calculated using the GDP series (2011-12 base year).

Chart II.6.1: Contribution to Fiscal Consolidation in 2025-26 RE vis-à-vis BE
(Per cent of GDP)



BE: Budget Estimates. RE: Revised Estimates.

Note: Negative contribution denotes decline in receipts or increase in expenditure or a downward revision in GDP from BE to RE as these contribute to slippage from the budgeted fiscal deficit. Conversely, positive contribution denotes higher receipts or lower expenditure from BE to RE, as these contribute to attainment of budgeted fiscal deficit target.

Sources: Union Budget documents and RBI staff estimates.

Chart II.6.2: Performance of Major Taxes
(Per cent of GDP)



Note: Goods and Services Tax (GST) is the sum of Central GST, Integrated GST, and GST compensation cess. GST compensation cess has been discontinued by the Centre since February 1, 2026⁴⁷.

Source: Union Budget documents.

The expenditure on major subsidies exceeded its budgeted amount by ₹46,327 crore, mainly attributable to higher food and fertiliser subsidies.

II.6.4 Capital expenditure in 2025-26 (RE) remained at 3.1 per cent of GDP, in line with the budget estimates, despite undershooting by ₹25,335 crore. Effective capital expenditure remained broadly unchanged in 2025-26 (RE) [3.9 per cent of GDP] as in 2024-25 (4.0 per cent of GDP).

II.6.5 In 2025-26 (RE), gross tax revenue expanded by 7.4 per cent, largely driven by accelerated growth in revenue from corporation tax, and double-digit growth in excise duty and customs. It stood at 11.4 per cent of GDP, broadly in line with 2024-25 (Chart II.6.2).

II.6.6 Net tax revenue increased by 7.0 per cent in 2025-26 (RE). Non-tax revenue recorded robust growth of 24.4 per cent in 2025-26 (RE),

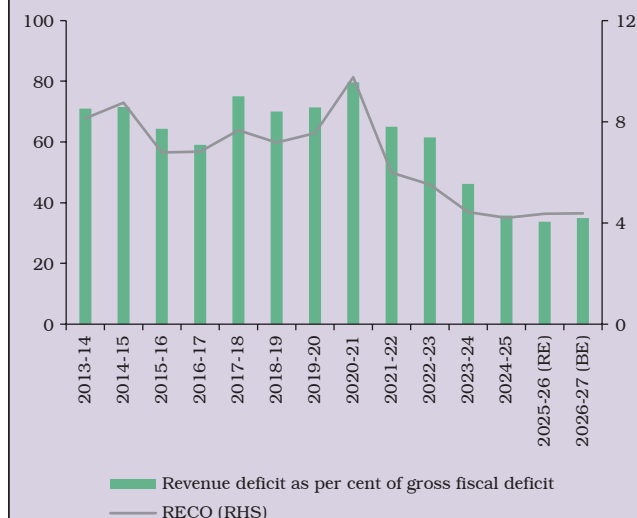
exceeding its budget estimates by ₹84,662 crore. Non-debt capital receipts recovered strongly in 2025-26 (RE) [growth of 53.1 per cent], after contracting in 2024-25. Overall, total non-debt receipts grew by 10.7 per cent in 2025-26 (RE).

Central Government Finances in 2026-27

II.6.7 The Central Government has been consistently reducing the GFD as per cent of GDP since it reached its peak in 2020-21 (9.2 per cent of GDP) [Table II.6.1 and Appendix Table 6]. With GFD for 2026-27 budgeted at 4.3 per cent of GDP, the fiscal consolidation witnessed in the post-pandemic period is expected to continue.

II.6.8 Capital expenditure is budgeted to grow by 11.5 per cent in 2026-27. Revenue expenditure to capital outlay (RECO) ratio and revenue deficit, as per cent of GFD, broadly exhibited a declining trend in recent years, indicating an improvement in quality of public expenditure (Chart II.6.3).

⁴⁷ GST Newsletter, GST Council Secretariat, December 2025, and Press Information Bureau (PIB), September 3, 2025.

Chart II.6.3: Quality of Expenditure*(Per cent, left scale; ratio, right scale)*

Sources: Union Budget documents and RBI staff estimates.

Chart II.6.4 Trends in Tax Revenue - Centre*(Per cent of GDP)*

Source: Union Budget documents.

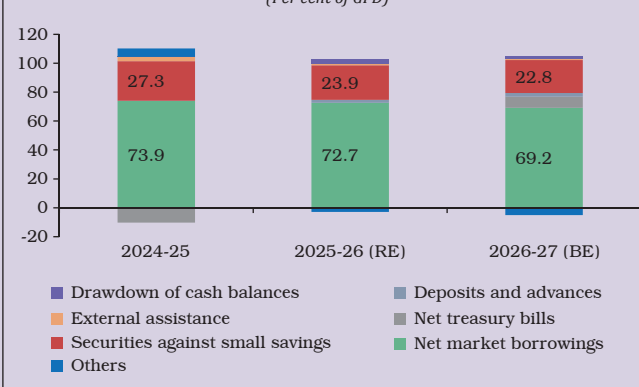
II.6.9 Gross tax revenue is budgeted to decline marginally to 11.2 per cent of GDP in 2026-27. Indirect taxes are budgeted lower at 4.3 per cent of GDP in 2026-27, partly due to discontinuation of GST compensation cess (Chart II.6.4).

II.6.10 Gross market borrowings for 2026-27 are budgeted at ₹17.2 lakh crore, higher than ₹14.6 lakh crore in 2025-26 (RE). Net market borrowings stand at ₹11.7 lakh crore (3.0 per cent

of GDP) for 2026-27 (BE) [Chart II.6.5a]. Market borrowings, and small savings continue to be the major sources of financing GFD (Chart II.6.5b).

State Finances in 2025-26

II.6.11 For 2025-26, states had budgeted a GFD of 3.3 per cent of GDP (Table II.6.2). As per provisional accounts data of 22 states, during April-February 2025-26, states' GFD as a share of the budget estimates rose to 77.1 per cent

Chart II.6.5 Market Borrowings and GFD Financing**a. Market Borrowings and GFD***(Per cent of GDP)***b. Sources of GFD Financing***(Per cent of GFD)*

Note: Gross and net market borrowings are exclusive of switching operations and buyback of securities across years.

Source: Union Budget documents.

Table II.6.2: Fiscal Position of States/UTs

(Amount in ₹lakh crore)

Item	2021-22	2022-23	2023-24	2024-25 (RE)	2025-26 (BE)
1	2	3	4	5	6
I. Non-debt Receipts	32.5 (13.8)	36.6 (13.6)	39.5 (13.1)	46.0 (14.0)	51.8 (14.5)
II. Revenue Receipts	32.3 (13.7)	36.5 (13.6)	39.3 (13.0)	45.8 (13.9)	51.3 (14.4)
III. Non-debt Capital Receipts	0.2 (0.1)	0.1 (0.04)	0.2 (0.1)	0.2 (0.1)	0.5 (0.1)
IV. Revenue Expenditure	33.3 (14.1)	37.1 (13.8)	40.2 (13.4)	47.7 (14.4)	52.1 (14.6)
V. Capital Expenditure	5.8 (2.4)	6.7 (2.5)	8.1 (2.7)	9.9 (3.0)	11.4 (3.2)
a. Capital Outlay	5.3 (2.3)	6.0 (2.2)	7.5 (2.5)	9.1 (2.7)	10.6 (3.0)
b. Loans and Advances by States	0.4 (0.2)	0.7 (0.3)	0.6 (0.2)	0.8 (0.3)	0.8 (0.2)
VI. Total Expenditure	39.1 (16.5)	43.8 (16.3)	48.3 (16.0)	57.7 (17.4)	63.6 (17.8)
VII. Fiscal Deficit	6.5 (2.8)	7.2 (2.7)	8.8 (2.9)	11.6 (3.5)	11.8 (3.3)
VIII. Revenue Deficit	1.0 (0.4)	0.6 (0.2)	0.9 (0.3)	1.9 (0.6)	0.8 (0.2)
IX. Primary Deficit	2.3 (1.0)	2.6 (1.0)	3.7 (1.2)	6.0 (1.8)	5.5 (1.5)

BE: Budget Estimates. RE: Revised Estimates.

Note: Figures in parentheses are per cent of GDP.**Source:** Budget documents of State governments.

from 64.3 per cent a year ago. This uptick reflects subdued revenue performance, driven primarily by a slowdown in states' GST (SGST) collection and contraction in grants from the Centre. Revenue expenditure grew at a slower pace than a year ago, while capital expenditure recorded strong growth during the same period.

State Finances in 2026-27

II.6.12 As per information available for 24 states/UTs for 2026-27, their consolidated GFD-GSDP ratio is budgeted at 3.0 per cent (Table II.6.3). The gross transfers to states have been budgeted to increase by 12.2 per cent in 2026-27 (BE), largely on account of transfers under centrally

sponsored schemes and special assistance to states for capital investment. The scheme of 50-year interest free loans for capital expenditure to states would be continued in 2026-27, with total

Table II.6.3: State Government Finances 2026-27*: Key Deficit Indicators

(Per cent of GSDP)

Item	2024-25	2025-26 (RE)	2026-27 (BE)
1	2	3	4
Revenue Deficit	0.3	0.4	-0.1
Gross Fiscal Deficit	3.0	3.5	3.0
Primary Deficit	1.5	1.9	1.4

*: Data pertain to 24 states that have presented their final budgets for 2026-27.

Note: Negative in deficit indicators denote surplus.**Source:** Budget documents of state governments.

outlay of ₹2 lakh crore - an increase of 33.3 per cent over 2025-26 (RE) levels.

II.6.13 The Sixteenth Finance Commission (FC-XVI) report for 2026-27 to 2030-31 has ensured continuity in Centre-State fiscal relations while reinforcing incentives for performance and fiscal discipline. It retains states' share at 41 per cent in the divisible tax pool.

II.6.14 The FC-XVI has moderately rebalanced the horizontal devolution formula while preserving its equity-focused core (Table II.6.4). Greater emphasis has been placed on population, while the weights assigned to area, income distance and demographic performance have been trimmed. While the weight assigned to forest cover has been retained, the tax effort criterion has been removed. The Commission has introduced a new criterion, states' contribution to GDP with a weight of 10 per cent, reflecting India's growth ambitions and the need to recognise states' role in driving national economic performance.

II.6.15 Post-devolution, revenue deficit grants have been discontinued to promote fiscal discipline and sustainable state budgets. The Commission concluded that existing revenue deficits largely reflect gaps in revenue mobilisation and expenditure management. It, therefore, emphasised that continued gap-filling transfers weaken fiscal adjustment incentives, as expectations of central support can dilute efforts to enhance own revenues and rationalise spending.

General Government Finances

II.6.16 The general government's GFD moderated from 7.8 per cent of GDP in 2024-25 (RE) to 7.2 per cent in 2025-26 (BE). The debt-to-GDP ratio is budgeted for a marginal uptick to 81.9 per cent in 2025-26 (BE), partly attributable to higher states liabilities. External liabilities remain low at 2.5 per cent of GDP in 2025-26 (BE), implying limited exchange rate risk (Chart II.6.6a).

Table II.6.4: Horizontal Devolution Criteria

(Per cent to total)

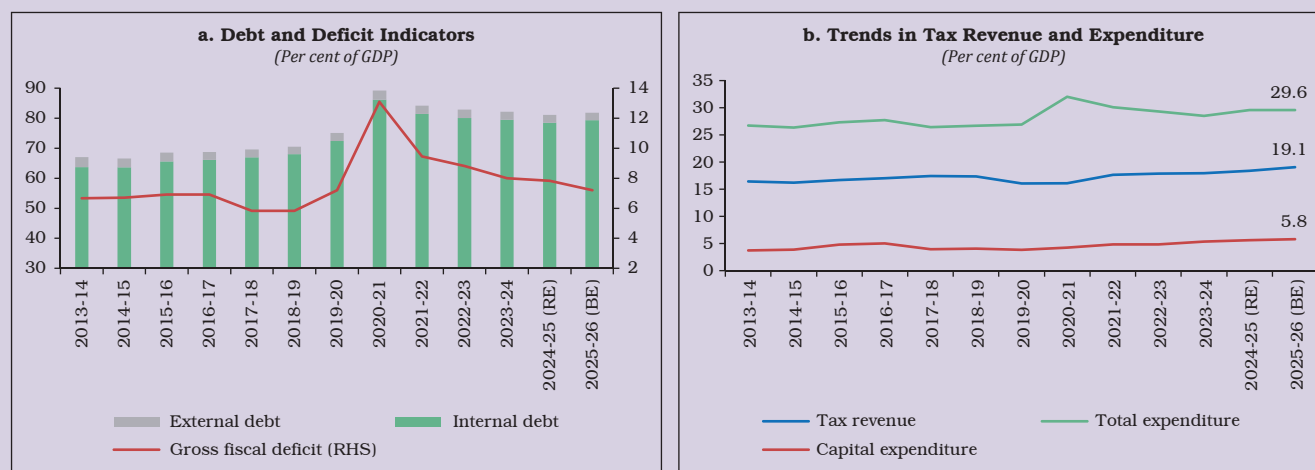
Dimension	Criteria	FC -XIII	FC -XIV	FC -XV	FC-XVI
		(2010-11 to 2014-15)	(2015-16 to 2019-20)	(2020-21 to 2025-26)	(2026-27 to 2030-31)
1	2	3	4	5	6
Need and Cost Disability	Population	25	27.5	15	17.5
	Area	10	15	15	10
	Forest Cover	-	7.5	10	10
Equity	Income Distance/Per Capita GSDP Distance	-	50	45	42.5
	Fiscal Capacity	47.5	-	-	-
Performance	Tax effort	-	-	2.5	-
	Fiscal Discipline	17.5	-	-	-
	Demographic Performance	-	-	12.5	10
	Contribution to GDP	-	-	-	10

-: Not applicable.

Note: For FC-XIII, the population criterion was based on 1971 census data. For FC-XIV, 17.5 per cent weight was assigned to 1971 census data and 10 per cent weight to 2011 census data. From FC-XV onwards, the population criterion is based on 2011 census data.

Source: Finance Commission Reports.

Chart II.6.6: General Government's Fiscal Indicators



Sources: Union Budget documents and RBI.

II.6.17 The general government's reduction in GFD was supported by increase in tax revenues at 19.1 per cent of GDP in 2025-26 (BE) from 18.4 per cent in the previous year. However, ratio of total expenditure to GDP remained the same at 29.6 per cent in both years. Capital expenditure is budgeted higher at 5.8 per cent of GDP in 2025-26 (BE) [5.6 per cent in 2024-25] (Chart II.6.6b).

Conclusion

II.6.18 The Union Budget 2026-27 continued with the post-pandemic fiscal consolidation path, which augurs well for medium-term growth. The GFD is budgeted at 4.3 per cent of GDP in 2026-27, down from 4.4 per cent of GDP in 2025-26 (RE). Notably, the thrust on capital expenditure is maintained, which is budgeted to grow at 11.5 per cent in 2026-27. The Sixteenth Finance Commission has ensured continuity in Centre-State fiscal relations with a renewed emphasis on performance-linked incentives and long-term fiscal responsibility.

II.7 EXTERNAL SECTOR

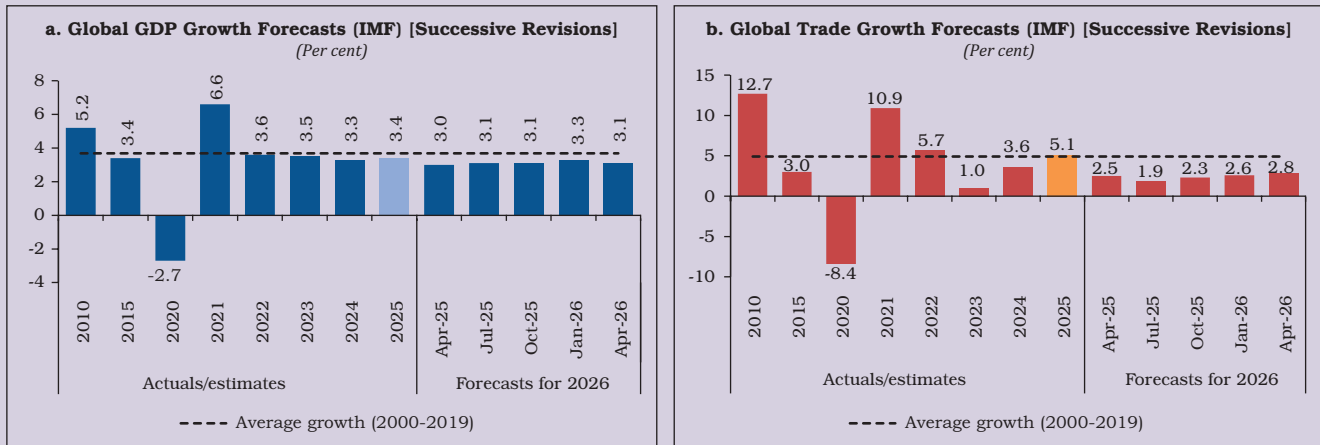
II.7.1 Amidst heightened global policy uncertainty and geopolitical tensions, India's external sector remained broadly resilient due to efforts towards diversification of exports, a sustained surplus in services trade and steady inward remittances. With net capital flows falling short of current account deficit (CAD), foreign exchange reserves declined on a balance of payments (BoP) basis during April-December 2025.

Global Economic Conditions

II.7.2 Global GDP growth increased marginally to 3.4 per cent in 2025 (Chart II.7.1a). Global inflation eased, thus prompting major central banks to cut policy rates. With contained inflationary pressures and stable demand, global trade volume (goods and services) rose by 5.1 per cent in 2025 (3.6 per cent in 2024) [Chart II.7.1b]. In 2026, however, with the ongoing West Asia conflict, global GDP growth is expected to weaken to 3.1 per cent⁴⁸. The conflict-led disruptions in critical trade routes and the

⁴⁸ World Economic Outlook, April 2026, International Monetary Fund (IMF).

Chart II.7.1: Real GDP and World Trade* Volume Growth



*: Goods and services.

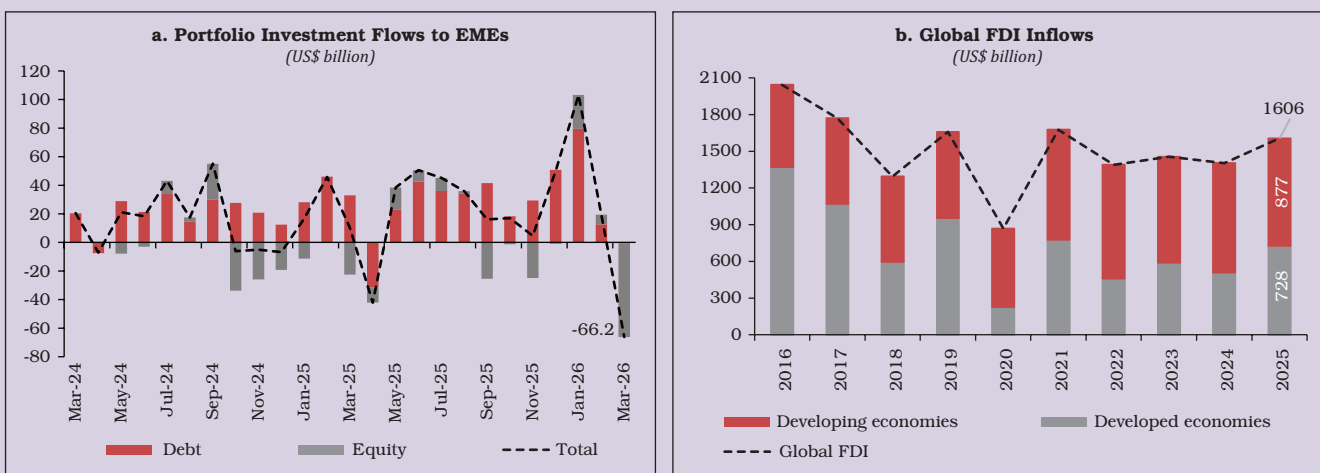
Source: WEO, April 2026, IMF.

continuing global trade policy uncertainties have clouded the outlook for global merchandise trade going forward. A slower growth in transportation and travel segments under services trade is also expected. Consequently, global trade volume growth could decline in 2026.

II.7.3 Emerging market economies (EMEs) recorded robust net portfolio inflows during 2025-26, supported by the debt segment. Net

outflows were recorded in the equity segment owing to persistent global uncertainty exacerbated by conflict in West Asia (Chart II.7.2a). Global foreign direct investment (FDI) rose in 2025, with net inflows to developed economies increasing by 43 per cent, driven by Europe and financial hubs⁴⁹ (Chart II.7.2b). In contrast, net FDI inflows to developing economies declined by 2 per cent in 2025.

Chart II.7.2: Portfolio Investment Flows to EMEs and Global FDI Trends



Sources: Institute of International Finance; and UNCTAD.

⁴⁹ Global Investment Trends Monitor, January 2026, United Nations Conference on Trade and Development (UNCTAD).

Merchandise Trade

II.7.4 Despite tariff related uncertainty, India's merchandise exports and imports (in value terms) expanded at higher pace in 2025-26 than in 2024-25 (Table II.7.1).

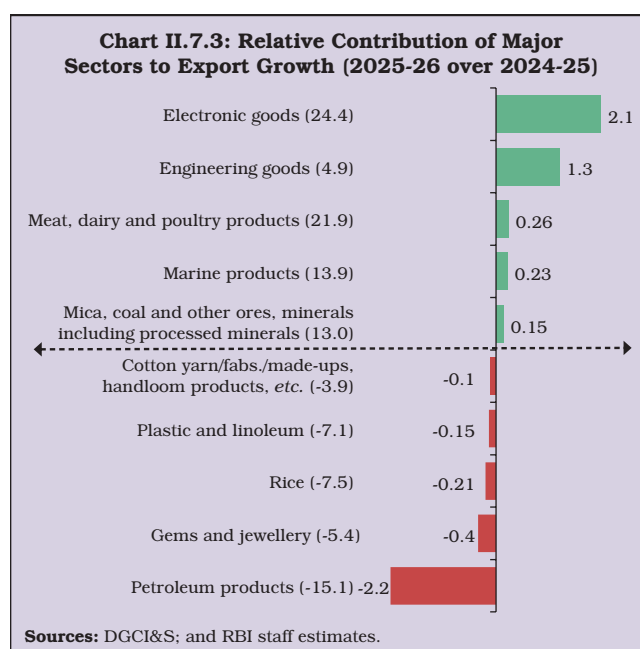
II.7.5 The expansion in merchandise exports in 2025-26 was led by growth in electronic goods; engineering goods; meat, dairy and poultry products; marine products; and mica, coal and other ores, minerals including processed minerals while petroleum products; gems and jewellery; rice; plastic and linoleum; and cotton and handloom products witnessed a contraction (Chart II.7.3).

Table II.7.1: India's Merchandise Trade

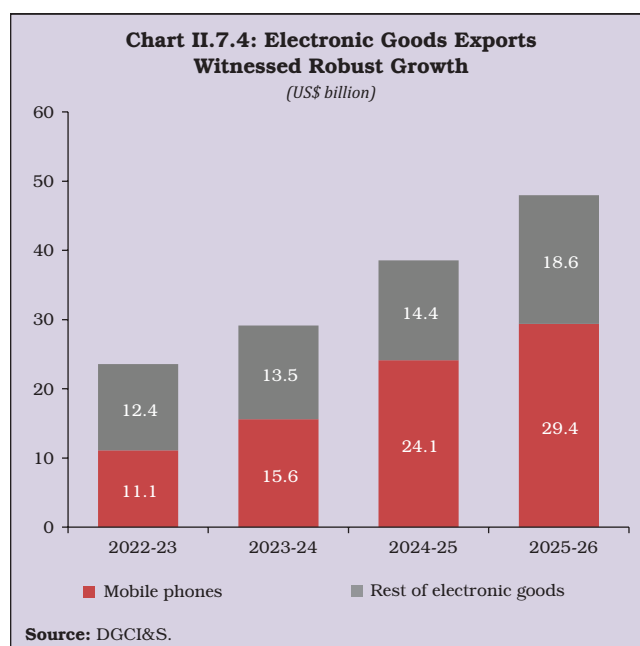
	Value in US\$ Billion				Growth Rate (Y-o-Y, per cent)			
	2022-23	2023-24	2024-25	2025-26	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6	7	8	9
Exports								
Q1	121.0	103.9	114.0	111.6	26.6	-14.1	9.8	-2.2
Q2	110.7	107.2	99.6	107.9	7.8	-3.2	-7.0	8.3
Q3	104.6	105.6	108.7	110.2	-2.1	1.0	3.0	1.4
Q4	114.8	120.4	115.3	112.0	-1.9	4.9	-4.3	-2.8
Annual	451.1	437.1	437.7	441.7	6.9	-3.1	0.1	0.9
Imports								
Q1	183.5	159.7	172.2	180.3	44.5	-13.0	7.8	4.7
Q2	189.0	169.4	186.7	196.0	28.1	-10.4	10.2	5.0
Q3	176.1	174.7	187.5	204.2	5.4	-0.8	7.3	8.9
Q4	167.3	170.2	173.9	194.5	-2.5	1.7	2.2	11.9
Annual	716.0	674.0	720.2	775.0	16.8	-5.9	6.9	7.6
Trade Balance								
Q1	-62.6	-55.8	-58.1	-68.7				
Q2	-78.3	-62.2	-87.1	-88.0				
Q3	-71.5	-69.1	-78.7	-94.0				
Q4	-52.6	-49.7	-58.6	-82.5				
Annual	-264.9	-236.9	-282.5	-333.2				

Note: Quarterly figures may not add up to annual figures due to rounding off of numbers.

Source: DGCI&S.



II.7.6 Among India's top export commodities, exports of electronic goods recorded fastest growth, though lower than last year. This growth was largely driven by exports of mobile phones, which constitute around 61 per cent of electronic goods exports and were exempted from the tariffs imposed by the US (Chart II.7.4).

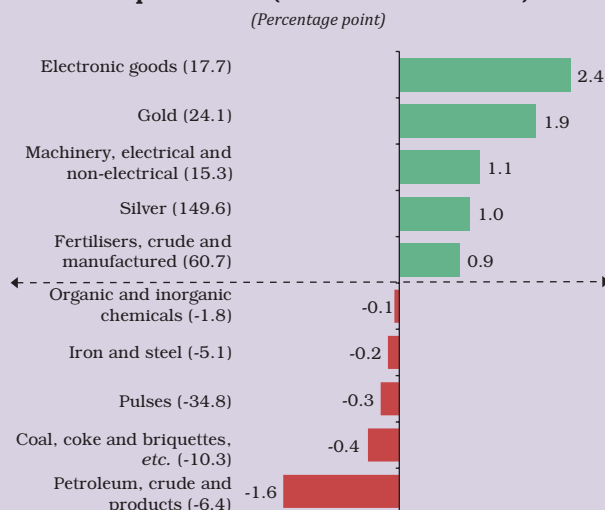


II.7.7 Growth in India's merchandise exports to the US moderated during 2025-26 due to the heightened tariffs. The positive growth in exports to the US during April-August 2025 was driven by front-loading in anticipation of higher tariffs, along with rise in exports in the sectors exempted from the tariffs imposed by the US. Thereafter, barring November 2025, exports to the US witnessed contraction since September 2025. In a major trade reconfiguration, China became the largest trading partner of India overtaking the US in 2025-26.

II.7.8 The expansion in merchandise imports in 2025-26 was led by electronic goods, gold, and machinery, electrical and non-electrical. Petroleum, crude and products; coal, coke and briquettes; pulses; iron and steel; and organic and inorganic chemicals contributed negatively to import growth (Chart II.7.5).

II.7.9 Despite an increase in the volume, the value of petroleum, oil and lubricants imports (22.4 per cent of total merchandise imports during 2025-26) declined in 2025-26 due to contraction in oil prices (Chart II.7.6a). The share of Russia and Iraq in India's crude oil imports declined

Chart II.7.5: Relative Contribution of Major Sectors to Import Growth (2025-26 over 2024-25)



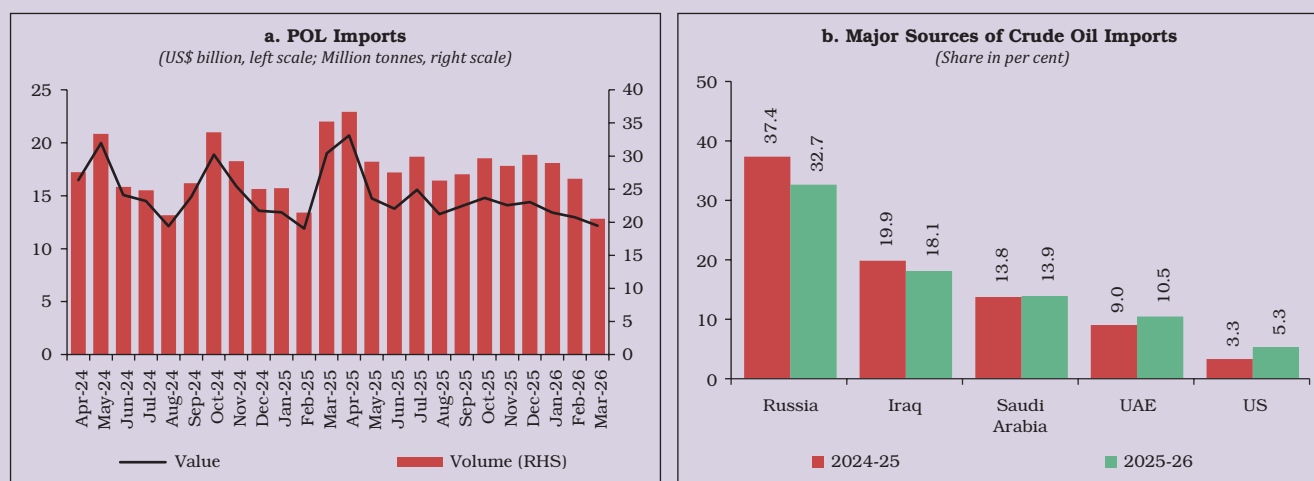
Note: Figures in parentheses are growth rate of respective commodities.
Sources: DGCI&S; and RBI staff estimates.

during the year, while that of Saudi Arabia, the UAE and the US increased (Chart II.7.6b).

II.7.10 Value of gold imports increased in 2025-26, with the effect of contraction in gold import volume offset by higher international prices (Chart II.7.7).

II.7.11 Merchandise trade deficit widened in 2025-26, with oil deficit remaining the largest contributor (Chart II.7.8a). Among the major trading partners,

Chart II.7.6: Petroleum, Oil and Lubricants (POL)



Source: DGCI&S.

Chart II.7.7: Gold Imports
(US\$ billion, left scale; tonne, right scale)



trade deficit with China and Switzerland widened, while trade surplus improved with respect to Spain in 2025-26 (Chart II.7.8b).

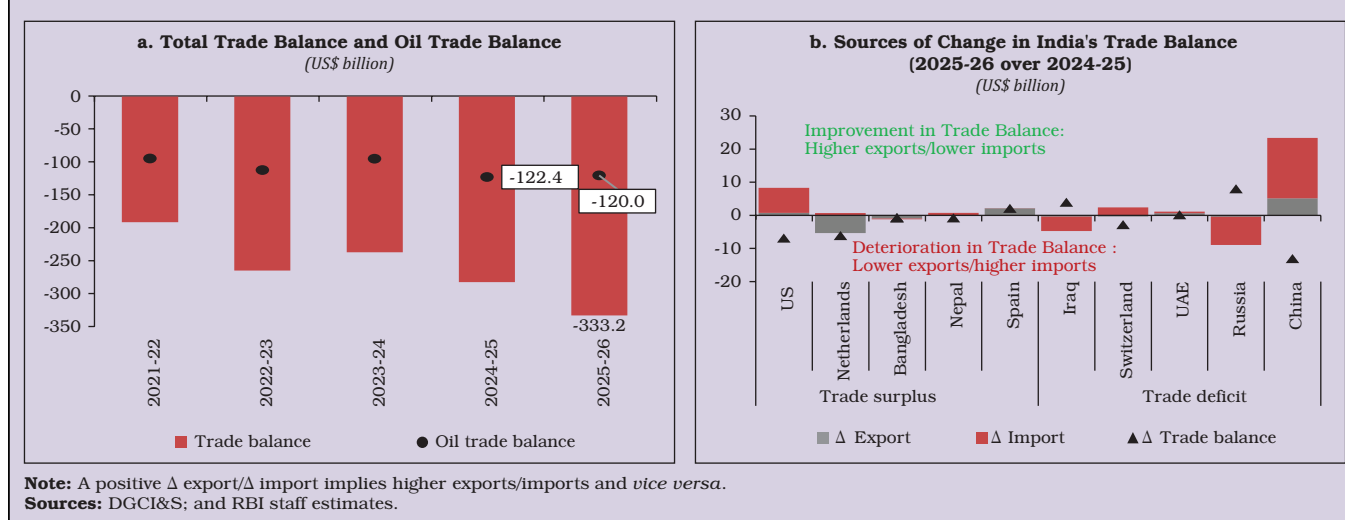
II.7.12 As of April 2026, India has signed 24 trade agreements. Accelerating the trade diversification efforts with new trade alliances,

India signed a Comprehensive Economic and Trade Agreement (CETA) with the United Kingdom on July 24, 2025, Comprehensive Economic and Partnership Agreement (CEPA) with Oman on December 18, 2025 and India-New Zealand Free Trade Agreement (FTA) on April 27, 2026. These agreements are yet to be enforced. The FTA negotiations with the European Union were also concluded on January 27, 2026.

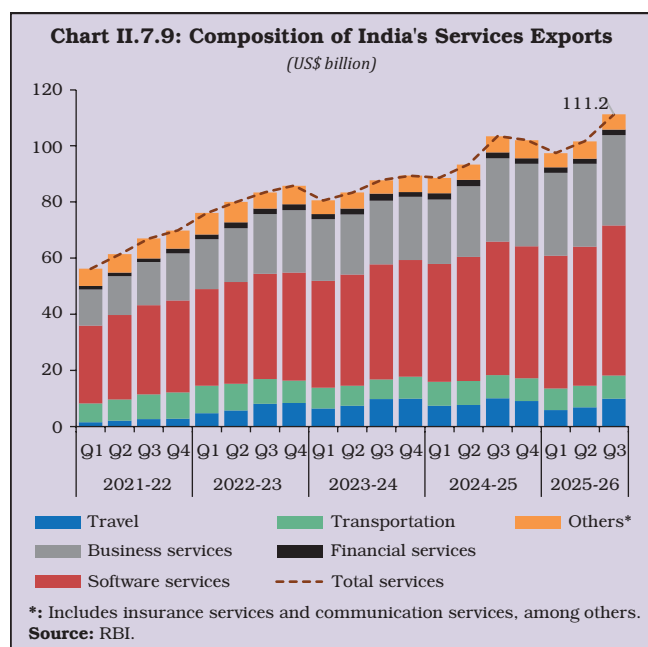
Invisibles

II.7.13 Receipts from India's trade in invisibles - consisting of cross-border transactions in services, income, and transfers - remained buoyant during 2025-26 (up to December 2025). Net services exports grew strongly by 15.3 per cent (y-o-y) during April-December 2025, driven by software and business services (accounting for 77.8 per cent of services exports) [Chart II.7.9]. Amongst other key services, transportation receipts contracted by 7.3 per cent (y-o-y), largely due to a decline in sea freight⁵⁰. Travel services

Chart II.7.8: India's Merchandise Trade Deficit Widened



⁵⁰ In the post-pandemic period (2021-22 to 2024-25), the share of sea transport averaged around 66.0 per cent in total transportation services exports for India. Within sea transport, the share of sea freight receipts stood at around 71.0 per cent. The contraction in sea freight during April-December 2025 was on account of continued global trade policy uncertainties and geopolitical tensions.



exports also contracted, reflecting a fall in foreign tourist arrivals during the period. Going forward, robust global IT spending, as projected by Gartner⁵¹, bodes well for India's software services exports.

II.7.14 Private transfer receipts, mainly representing remittances by Indians working overseas, posted a robust growth of 10.1 per cent (y-o-y) during April-December 2025 (16.2 per cent during April-December 2024). The average cost of sending US\$ 200 as remittance to India stood at 5.3 per cent in Q3:2025, same as a year ago, below the global average cost of 6.4 per cent, but still above the sustainable development goal (SDG) target of 3 per cent by 2030.

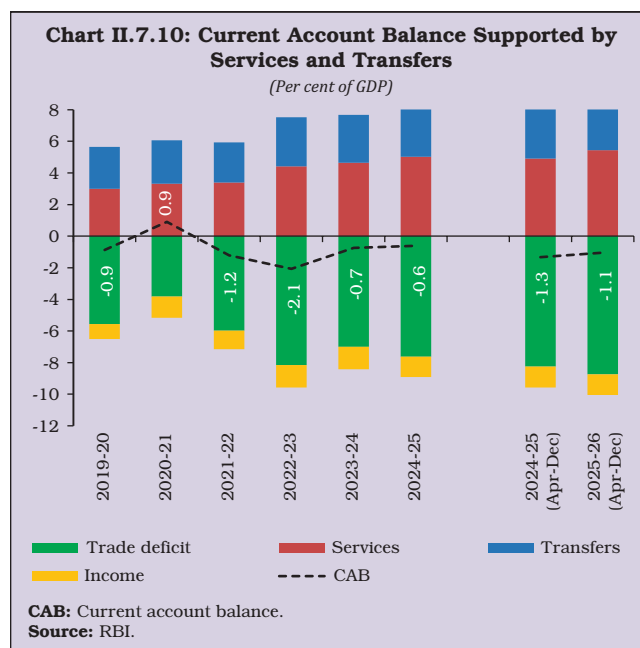
II.7.15 Net outgo in the primary income account⁵² stood at US\$ 37.2 billion during April-December 2025, higher than US\$ 36.5 billion during April-December 2024. This reflects the rise in payment

of dividends and reinvested earnings owing to inward FDI during the same period.

II.7.16 The buoyancy in net services receipts and workers' remittances largely offset the expansion in merchandise trade deficit, thus containing CAD at US\$ 30.2 billion (1.1 per cent of GDP) during April-December 2025 as compared with US\$ 36.7 billion (1.3 per cent of GDP) during the corresponding period a year ago (Chart II.7.10).

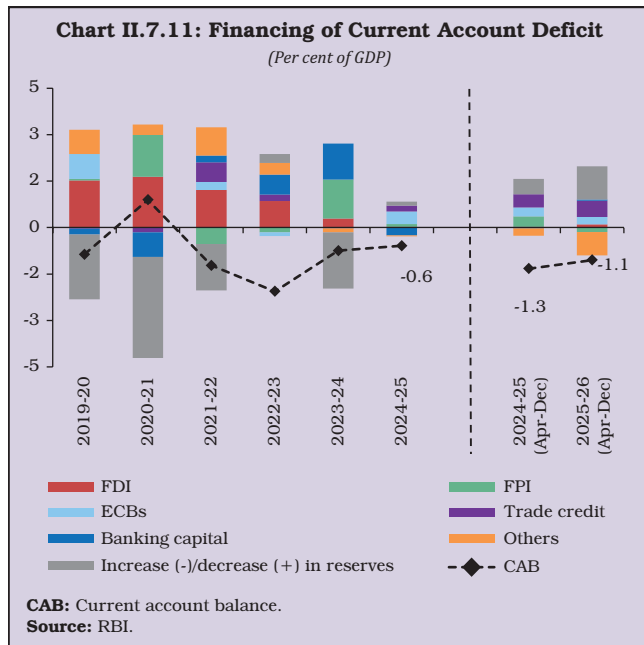
External Financing

II.7.17 The global environment for international investment remained challenging. Against this backdrop, net capital flows during April-December 2025 moderated (y-o-y) and fell short of CAD, leading to a depletion of foreign exchange reserves by US\$ 30.8 billion on a BoP basis (excluding valuation effects) during the period (Chart II.7.11 and Appendix Table 7).



⁵¹ 'Gartner Forecasts Worldwide IT Spending to Grow 13.5 per cent in 2026, Totaling \$6.31 Trillion', Press Release, Gartner Inc., April 22, 2026.

⁵² Income on cross-border investments and compensation of employees that domestic resident entities earn from/pay to the rest of the world.



II.7.18 Within capital flows, FDI stood higher, both on gross and net basis, during 2025-26 (Table II.7.2). Globally, India ranked second in terms of greenfield FDI announcements during 2025-26, after the US, according to fDi Markets⁵³.

II.7.19 Services sector accounted for the major share of FDI equity flows into India during 2025-26, followed by manufacturing.⁵⁴ Major source countries, viz., Singapore, the US, Mauritius, Japan, the Netherlands and the UAE contributed about four-fifths of the flows. Outward FDI by India also increased during this period, with Singapore, the US, the UAE and Mauritius being the major destinations. Financial, insurance and business services; manufacturing; and wholesale/retail trade, restaurants and hotels were the main sectors for India's outward FDI.

II.7.20 During 2025-26, foreign portfolio investment (FPI) registered net outflows of US\$ 16.5 billion driven by the equity segment (Table II.7.2). In March 2026 alone, net FPI outflows were to the tune of US\$ 13.1 billion, triggered by the outbreak of the West Asia conflict on February 28, 2026. The debt segment witnessed modest inflows in 2025-26 of US\$ 2.1 billion, reflecting preference for safer assets amidst uncertain

Table II.7.2: Capital Flows

(US\$ billion)

Item	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5
1. Net FDI (1.1 - 1.2)	28.0	10.2	1.0	7.7
1.1 Net Inward FDI (1.1.1 - 1.1.2)	42.0	26.8	29.1	40.9
1.1.1 Gross Inflows	71.4	71.3	80.6	94.5
1.1.2 Repatriation/Disinvestment	29.3	44.5	51.5	53.6
1.2 Net Outward FDI	14.0	16.7	28.2	33.3
2. Net FPI to India	-4.8	44.6	3.3	-16.5
3. Net ECB to India	-4.1	3.5	18.5	12.0
4. Non-Resident Deposits	9.0	14.7	16.2	14.4
4.1 Non-Resident External (Rupee) Account	2.5	4.2	4.7	7.9
4.2 Non-Resident Ordinary Account	4.0	4.2	4.4	5.5
4.3 Foreign Currency Non-Resident (B) Account	2.4	6.4	7.1	0.9

Note: Data for net FPI to India in column 5 is sourced from NSDL. FPI data for previous financial years are based on BoP.

Sources: RBI; and NSDL.

⁵³ fDi Markets is the leading online database tracking greenfield FDI in real-time across all markets and sectors globally since 2003.

⁵⁴ Services sector, comprising computer, financial, communication and business services, accounted for around 44 per cent in total FDI equity flows during 2025-26 as compared with an average share of 38 per cent during 2021-22 to 2024-25.

Table II.7.3: External Vulnerability Indicators (End-March)

(Per cent, unless indicated otherwise)

Indicator	2013	2023	2024	2025	End-Dec 2025
1	2	3	4	5	6
1. External Debt to GDP Ratio [#]	22.4	19.6	19.2	19.8	20.4
2. Ratio of Short-term Debt (Original Maturity) to Total Debt	23.6	20.6	19.1	18.3	19.7
3. Ratio of Short-term Debt (Residual Maturity) to Total Debt	42.1	44.0	43.4	41.2	43.2
4. Ratio of Concessional Debt to Total Debt	11.1	8.2	7.4	6.9	7.0
5. Ratio of Reserves to Total Debt	71.3	92.7	96.6	90.8	89.8
6. Ratio of Short-term Debt (Original Maturity) to Reserves	33.1	22.2	19.7	20.1	21.9
7. Ratio of Short-term Debt (Residual Maturity) to Reserves	59.0	47.4	44.9	45.4	48.1
8. Reserve Cover of Imports (in Months)*	7.0	9.6	11.3	11.0	10.8
9. Debt Service Ratio (Debt Service to Current Receipts) [@]	5.9	5.3	6.7	6.6	5.8
10. External Debt (US\$ billion)	409.4	623.9	668.9	736.4	765.5
11. Net International Investment Position (NIIP) [US\$ billion]	-326.7	-367.0	-361.3	-329.1	-260.5
12. NIIP/GDP Ratio	-17.8	-11.6	-10.5	-9.0	-7.1
13. CAB/GDP Ratio [@]	-4.8	-2.1	-0.7	-0.6	-1.1

[#]: Ratios from 2023 onwards are based on new series of GDP estimates with base year 2022-23.
^{*}: Based on merchandise imports of latest four quarters, published in BoP statistics.
[@]: Figures corresponding to column 6 pertains to April-December 2025.
Sources: RBI and Government of India.

global environment. Equity sell-offs were largely contributed by information technology, financial services and fast-moving consumer goods sectors. Inflows were primarily recorded in capital goods, metals and mining, and telecommunication sectors.

II.7.21 During 2025-26, net ECB inflows to India moderated from a year ago. Besides on-lending/sub-lending, ECBs were used for refinancing of earlier ECBs, import of capital goods and new projects. Net inflows under non-resident deposits also moderated during 2025-26 from a year ago, due to a decline in net inflows under FCNR(B) deposits.

Key Vulnerability Indicators

II.7.22 India's key external sector vulnerability indicators, such as the external debt to GDP ratio, debt service ratio and net IIP to GDP ratio, remained contained at end-December 2025

(Table II.7.3). Robust foreign exchange reserves provided a strong buffer for mitigating external risks and spillovers. Reserves provided a cover of around 11 months of merchandise imports⁵⁵ (on BoP basis), while reserves to total external debt stood at around 90 per cent at end-December 2025.

Conclusion

II.7.23 Despite a widening merchandise trade deficit, India's external sector vulnerability remained low during 2025-26, supported by sustained growth in services exports and private transfer receipts. Although net capital flows fell short of external financing requirements with portfolio flows exhibiting net outflows, strong buffers in the form of ample foreign exchange reserves and modest external debt liabilities continued to impart strength to the external sector, contributing to overall macroeconomic and financial stability.

⁵⁵ As at end-March 2026, the import cover for goods and services was around nine months.

PART TWO: THE WORKING AND OPERATIONS OF THE RESERVE BANK OF INDIA

III

MONETARY POLICY OPERATIONS

Aided by sharp moderation in headline inflation to historical lows, the Monetary Policy Committee (MPC) continued with the easing cycle initiated in February 2025 and reduced the policy repo rate by a cumulative 100 basis points (bps) to 5.25 per cent during 2025-26. During the year, the policy stance was changed from neutral to accommodative in April 2025, but reverted to neutral in June 2025. Monetary policy focused on maintaining congenial financial conditions during the year through a mix of policy rate cuts and reduction in the cash reserve ratio (CRR) along with several measures that injected durable liquidity. These measures facilitated robust credit offtake and improved policy transmission to the banking sector.

III.1 Headline inflation in terms of the consumer price index (CPI) trended down mainly due to food price deflation during 2025-26 and reached an all-time low in the series (2012=100, base year) in October 2025 (see Section 3 of Chapter II). In view of the inflation-growth dynamics, the MPC continued with its easing cycle by reducing the policy rate cumulatively by 100 bps in 2025-26 – 25 bps cut in April 2025, followed by a larger 50 bps reduction in June 2025, and a further 25 bps cut in December 2025 – lowering the repo rate to 5.25 per cent. The policy stance shifted from neutral to accommodative in April 2025, before reverting to neutral in June 2025.

III.2 During the year, system liquidity improved and remained largely in surplus. To ease potential liquidity stress, the CRR was reduced by 100 bps to 3.0 per cent of net demand and time liabilities (NDTL) in a staggered manner during September-November 2025. In line with the lower policy repo rate, short-term money market rates softened. Transmission of policy rate changes to banks' deposit and lending rates was steady during the

year, aided by the external benchmark regime for loan pricing introduced in October 2019.

III.3 Against this backdrop, section 2 reviews the implementation status of the agenda set for 2025-26 along with major developments during the year, while section 3 outlines the agenda for 2026-27. Concluding observations are provided in the last section.

2. Agenda for 2025-26

III.4 The Department had set out the following goals for 2025-26:

- Review of monetary policy framework (Paragraph III.5);
- Revisiting optimal level of system liquidity for effective monetary policy transmission (Paragraph III.6);
- Spatial and cross-sectional analysis of National Sample Survey Organisation's household consumption expenditure data (Paragraph III.6); and

- Expanding coverage of sectoral deployment of credit of non-banking financial companies (NBFCs) - inclusion of housing finance companies (HFCs) [Paragraph III.6].

Implementation Status

III.5 A discussion paper on review of the monetary policy framework was placed on the Reserve Bank's website on August 21, 2025. Based on the feedback received, cross-country experience and other practical considerations, a recommendation was submitted to the Government of India (GoI). On March 25, 2026, GoI, in its Gazette notification, retained the CPI headline inflation target at 4 per cent with the upper tolerance level of 6 per cent and the lower tolerance level of 2 per cent for the period April 1, 2026 to March 31, 2031.

III.6 A study on estimating optimal level of system liquidity in India was completed. Spatial and cross-sectional analysis of National Sample Survey Organisation's household consumption expenditure data was also completed. Collection of credit deployment data from HFCs has been started for a comprehensive overview of sectoral credit dynamics of the non-bank sector.

Major Developments

Monetary Policy

III.7 Notwithstanding a challenging global backdrop through 2025, monetary policy in India continued with the easing cycle initiated in February 2025 in a decisive manner, with a cumulative reduction of 125 bps in the policy repo rate between February and December 2025.

III.8 The first MPC meeting of 2025-26 held in April 2025 noted that despite global economic

challenges and trade related uncertainties, the domestic economy witnessed steady improvement, supported by a revival in manufacturing sector, strong rural demand and gradual recovery in urban consumption. Real gross domestic product (GDP) growth for 2025-26 was projected at 6.5 per cent. Headline CPI inflation had eased in January-February 2025 due to a sharp decline in food prices. Assuming a normal monsoon, CPI inflation was projected at 4.0 per cent for 2025-26 with Q1 at 3.6 per cent, Q2 at 3.9 per cent, Q3 at 3.8 per cent; and Q4 at 4.4 per cent. With growth still recovering amidst global uncertainty and increasing confidence on inflation durably aligning with the 4 per cent target, the MPC decided to remain growth supportive by unanimously voting to reduce the policy rate by 25 bps and changing the stance to accommodative from neutral.

III.9 In the June 2025 meeting, the CPI inflation projections for 2025-26 were revised downwards by 30 bps to 3.7 per cent with Q1 at 2.9 per cent; Q2 at 3.4 per cent; Q3 at 3.9 per cent; and Q4 at 4.4 per cent; in the wake of continuous decline in headline inflation due to softening food inflation. Real GDP growth projection for 2025-26 was retained at 6.5 per cent despite trade policy uncertainty, although free trade agreement with the United Kingdom (UK) and progress in trade deals with other countries were expected to be growth supportive, going forward. The continued moderation in CPI inflation created space for further policy easing to support growth, prompting the MPC, with a 5-1 majority to frontload and reduce the policy repo rate by 50 bps to 5.50 per cent. After cumulative rate cuts of 100 bps since February 2025, the MPC acknowledged limited policy space for further rate cuts. Accordingly, the MPC changed the stance from accommodative to neutral.

III.10 During the August 2025 meeting, it was observed that global growth was weak and disinflation momentum was fading, with some advanced economies (AEs) registering an uptick in inflation. In the Indian context, real GDP growth projection for 2025-26 was retained at 6.5 per cent. Headline CPI inflation declined for the eighth consecutive month due to softer food prices, though core inflation edged up to 4.4 per cent in June 2025, partly reflecting higher gold prices. Considering favourable south-west monsoon, strong *kharif* sowing and adequate stock of food grains, the CPI inflation projection for 2025-26 was again revised downwards by 60 bps to 3.1 per cent with Q2 at 2.1 per cent; Q3 at 3.1 per cent and Q4 at 4.4 per cent; with risks evenly

balanced. The MPC observed that the significant decline in headline inflation was mainly driven by volatile food prices while core inflation remained stable around 4 per cent. Considering the persisting tariff uncertainties and ongoing policy transmission, the MPC, while closely monitoring incoming data and the evolving growth-inflation dynamics, decided unanimously to keep the repo rate unchanged at 5.50 per cent and continued with the neutral stance.

III.11 With the impending review of the monetary policy framework due in March 2026, the Reserve Bank issued a discussion paper on August 21, 2025, inviting public comments on key aspects of the extant framework (Box III.1).

Box III.1

Second Review of the Flexible Inflation Targeting Framework

India's flexible inflation targeting (FIT) framework was formally adopted in May 2016.¹ Section 45ZA of the Reserve Bank of India (RBI) Act, 1934 mandates that the central government, in consultation with the Reserve Bank, determine the inflation target in terms of the consumer price index (CPI) every five years. Accordingly, on August 5, 2016, the inflation target of 4 per cent based on headline CPI with a tolerance band of 2-6 per cent was notified for the period up to March 31, 2021. The target was subsequently reviewed in March 2021 and retained for a further five-year period up to March 31, 2026, which was again extended till March 31, 2031.

At the time of the first review, the Reserve Bank had published the Report on Currency and Finance 2020-21 with the theme, 'Reviewing the Monetary Policy Framework', which discussed various aspects of the FIT regime in India during the first five years of its operationalisation,

i.e., 2016-2021. In alignment with emerging international best practices on monetary policy framework reviews, the Reserve Bank initiated a public consultation process in August 2025 for the second review with the release of a Discussion Paper. The consultation sought stakeholder feedback on four core aspects of the FIT framework: (a) choice of headline *versus* core inflation as the nominal anchor; (b) appropriateness of the 4 per cent target; (c) adequacy of the ± 2 per cent tolerance band; and (d) relative merits of point *versus* range targeting.

The responses indicated broad-based support for the existing FIT framework highlighting its overall effectiveness. There was a strong consensus in favour of retaining headline CPI inflation as the formal target, and the role of core inflation as a complementary guide also found favour with a few respondents. The respondents

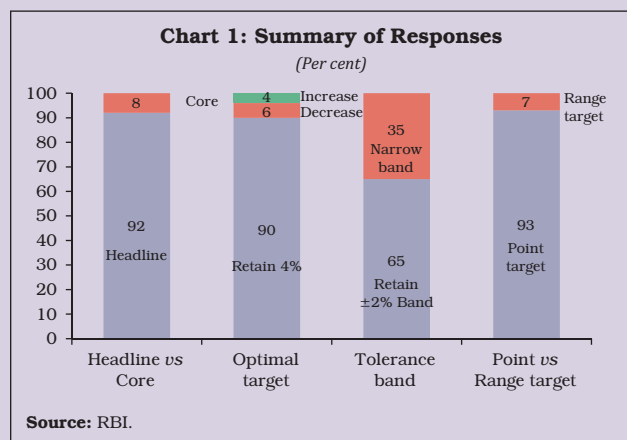
(Contd.)

¹ This was implemented through amendments to the RBI Act, 1934 - with the insertion of Chapter III-F: Monetary Policy and Section 45Z.

strongly supported maintaining the target at 4 per cent although about one-third respondents favoured a narrower band to leverage existing policy credibility and build on it. Overall, the feedback favoured continuation of the extant framework, complemented by calibrated refinements to enhance policy analysis and communication (Chart 1).

Based on a comprehensive assessment - including empirical analysis, cross-country experience, stakeholder feedback on the Discussion Paper, and other practical considerations - the Reserve Bank submitted its recommendations to the Government of India for determining the inflation target for the next five years. On March 25, 2026, the central government, in its Gazette notification, retained the CPI headline inflation target at 4

Source: RBI.



per cent with the upper tolerance level of 6 per cent and the lower tolerance level of 2 per cent for the period April 1, 2026 to March 31, 2031.²

III.12 During the October 2025 meeting, it was noted that despite weak global growth, economic activity in India was robust with real GDP registering a growth of 7.8 per cent in Q1:2025-26. Although geopolitical tensions and global financial market volatility posed downside risks, ongoing structural reforms, including goods and services tax (GST) rationalisation, were expected to mitigate their impact. In view of these developments, projection of real GDP growth for 2025-26 was revised upwards by 30 bps to 6.8 per cent. Headline inflation remained subdued and undershot earlier projections, supported by GST rationalisation and benign food prices. Accordingly, CPI headline inflation for 2025-26 was further revised downwards to 2.6 per cent with Q2 at 1.8 per cent; Q3 at 1.8 per cent; and Q4 at 4.0 per cent. CPI inflation for Q1:2026-27 was projected at 4.5 per cent. With the effects of earlier monetary and fiscal measures still unfolding, the MPC unanimously decided to keep

the repo rate unchanged at 5.50 per cent. The MPC decided to retain the neutral stance though two members were in favour of changing it to accommodative.

III.13 When the MPC met in December 2025, the economy was in a rare goldilocks period, with real GDP growth in Q2:2025-26 at a six-quarter high of 8.2 per cent and average headline inflation moderating to 1.7 per cent, even below the 2 per cent lower tolerance threshold. The global economy also performed better than expected, aided by the end of the US government shut down and progress on trade agreements. The real GDP growth for 2025-26 was revised upwards to 7.3 per cent, with Q1 and Q2 of 2026-27 projected at 6.7 and 6.8 per cent, respectively. Concomitantly, CPI inflation for 2025-26 was revised downwards to 2.0 per cent with Q3 at 0.6 per cent; and Q4 at 2.9 per cent. Projections for Q1 and Q2 of 2026-27 were placed at 3.9 per cent and 4.0 per cent, respectively. Expecting both core and headline

² Gazette notification S.O.1580 (E) dated March 25, 2026.

inflation to remain around 4 per cent in 2026-27, the MPC noted that the growth-inflation balance continued to provide the policy space to support the growth momentum. Accordingly, the MPC unanimously voted to reduce the policy repo rate by 25 bps to 5.25 per cent and decided to continue with the neutral stance, though one member was in favour of changing it to accommodative.

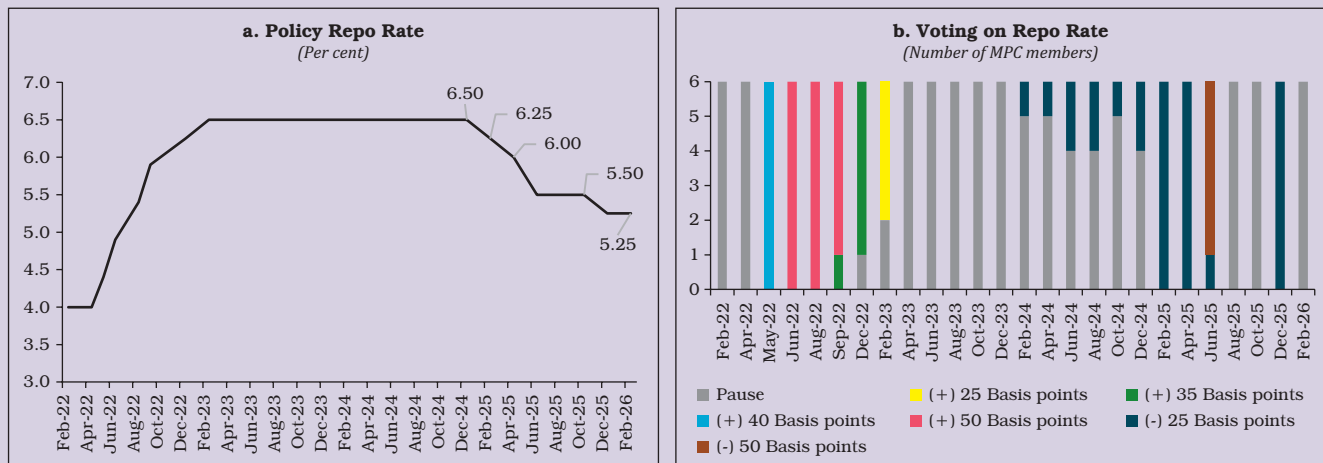
III.14 In its February 2026 meeting, the MPC noted that the near-term domestic inflation and growth outlook remained positive, though external headwinds had intensified since the December 2025 meeting. Nonetheless, the successful completion of several landmark trade deals would boost the economic outlook. Headline inflation during November-December 2025 remained below the tolerance band of the inflation target and the outlook for CPI inflation in Q1:2026-27 and Q2 continued to be benign. On the growth front, economic activity was assessed to remain resilient with the first advance estimates suggesting continued growth momentum and favourable growth outlook. Based on the domestic macroeconomic conditions and the outlook, the

MPC viewed that the current policy rate was appropriate and hence voted unanimously to continue with the existing policy rate. The MPC also agreed to retain the neutral stance although one member was in favour of changing it to accommodative

III.15 The MPC's rate decisions during 2025-26 were marked by unanimity barring the June 2025 policy when one member preferred a lower 25 bps rate cut as against the majority decision of a 50 bps cut (Chart III.1) The MPC continued to remain data driven in its decisions.

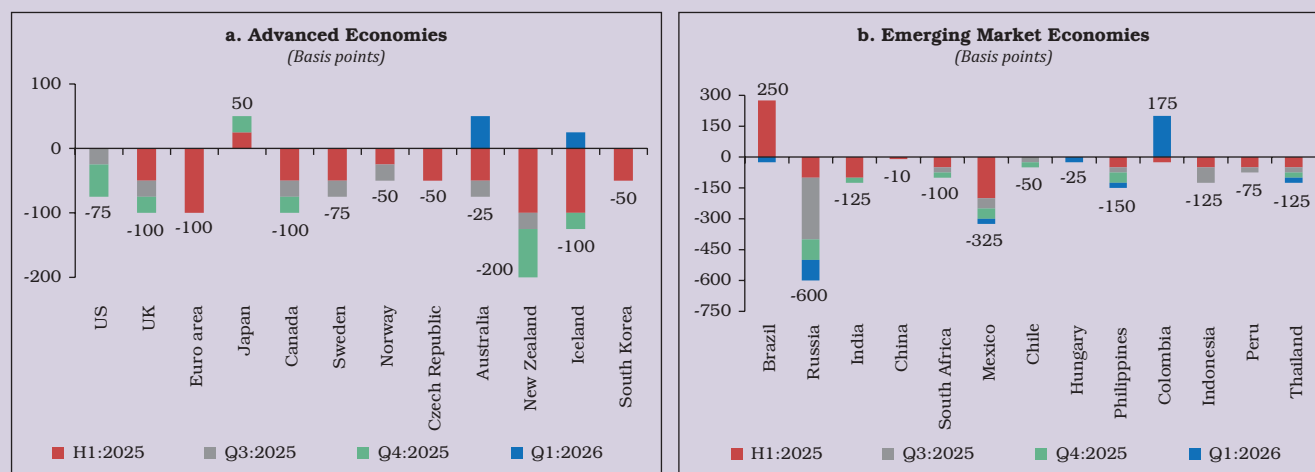
III.16 Globally, central banks continued with monetary policy easing during 2025, although the pace and extent became increasingly divergent, reflecting country-specific growth-inflation dynamics (Chart III.2). While policy stances became progressively less restrictive, central banks remained vigilant and data dependent, adopting a cautious approach in calibrating future policy paths. Unlike India, most central banks navigated an unfavourable growth-inflation trade-off, characterised by growth outcomes below historical averages and inflation levels persisting

Chart III.1: Monetary Policy Committee (MPC) Rate Action



Source: RBI.

Chart III.2: Policy Rate Easing



Source: Central banks' websites.

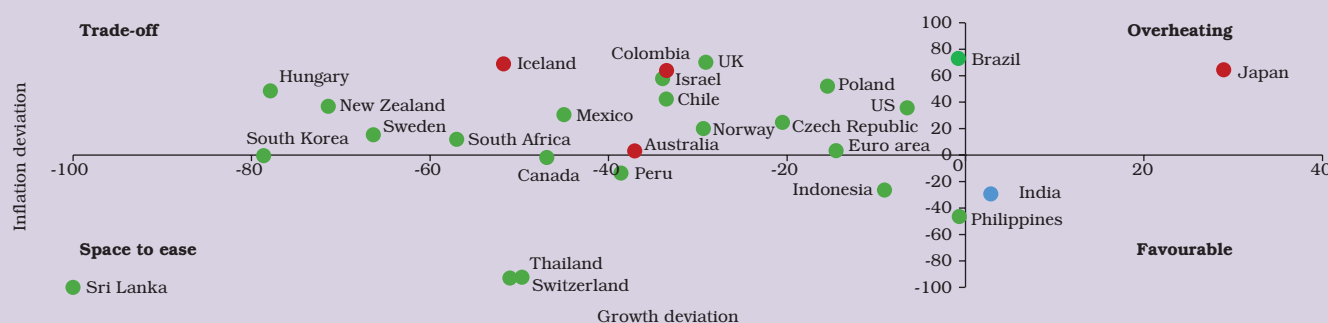
above targets (Chart III.3). Nevertheless, the easing cycle continued across most jurisdictions.

The Operating Framework: Liquidity Management

III.17 In view of the liquidity pressures arising mainly from volatile capital flows and an increase in currency in circulation (CiC) during the year, the Reserve Bank undertook several liquidity augmenting measures including term repo, open market operations (OMOs), long-term forex swaps and CRR reduction. The Reserve Bank

reviewed the liquidity management framework against the backdrop of structural changes in the financial system, including 24x365 payment systems and 'Just-in-Time' fund releases for centrally sponsored schemes. The review retained the weighted average call rate (WACR) as the operating target of monetary policy and the symmetric policy corridor of 50 bps around the policy repo rate. The 14-day variable rate repo and reverse repo auctions were discontinued as the main liquidity management operations. Transient liquidity was sought to be managed

Chart III.3: Inflation vs Growth Deviation Across Countries (Per cent)



Notes:

- Growth deviations (in per cent) are computed as the difference between annual GDP growth for 2025 and the historical average over the period 2000-2019, and then divided by the historical average. Inflation deviations (in per cent) are measured as the difference between annual CPI inflation for 2025 and the midpoint of the respective inflation target and then divided by the midpoint of the inflation target.
- Countries currently in tightening phase are shown in red, viz., Australia, Colombia, Iceland and Japan. All other countries/regions are in easing cycle including Brazil, Canada, Chile, Czech Republic, Euro Area, Hungary, India, Indonesia, Israel, Mexico, New Zealand, Norway, Peru, the Philippines, Poland, Romania, Russia, South Africa, South Korea, Sri Lanka, Sweden, Switzerland, Thailand, Türkiye, UK, and US.

Sources: World Economic Outlook Database, October 2025; and RBI staff estimates.

primarily through variable rate repo and reverse repo auctions of 7-day and other tenors (from overnight to 14-days).

Drivers and Management of Liquidity

III.18 Changes in GoI cash balances, expansion in CiC, and volatile capital flows emerged as the major drivers of liquidity during 2025-26 (Table III.I). The withdrawal of liquidity from the banking system due to increase in currency demand and the Reserve Bank's forex market operations was more than offset by the injection of primary liquidity through the Reserve Bank's durable liquidity augmenting measures.

III.19 System liquidity improved in 2025-26 with average daily surplus of ₹1.86 lakh crore (Chart III.4). Amidst surplus liquidity conditions, banks' recourse to the marginal standing facility

(MSF) declined during the year. During the year, absorption through the standing deposit facility (SDF) constituted 84.9 per cent (₹2.02 lakh crore) of average total absorption under the liquidity adjustment facility (LAF) of ₹2.38 lakh crore. Banks' holdings of elevated SDF balances, *inter alia*, reflected their higher demand for precautionary liquidity.

III.20 In Q1:2025-26, liquidity conditions remained comfortable on account of durable liquidity measures. As a result, average daily net absorption under the LAF stood at ₹2.03 lakh crore in the quarter. With a significant improvement in liquidity conditions, the Reserve Bank discontinued the daily variable rate repo (VRR) auctions, effective June 11, 2025. As overnight rates hovered near the SDF rate amidst ample surplus liquidity, the Reserve Bank resumed

Table III.1 Liquidity - Key Drivers and Management

(₹ crore)

Item	2024-25	2025-26*	Q1:2025-26	Q2:2025-26	Q3:2025-26	Q4:2025-26*
1	2	3	4	5	6	7
Drivers						
(i) CiC [withdrawal (-) / return (+)]	-2,12,987	-4,43,215	-96,779	22,727	-1,25,022	-2,44,141
(ii) Net Forex Purchases (+) / Sales (-)	-2,91,233	-4,69,454	3,892	-1,45,483	-3,28,665	802
(iii) GoI Cash Balances [build-up (-) / drawdown (+)]	93,729	-1,66,865	-2,09,383	-1,34,720	74,298	1,02,940
(iv) Excess Reserves [build-up (-) / drawdown (+)]	816	19,015	19,080	-4,704	17,884	-13,245
Management						
(i) Net OMO Purchases (+) / Sales (-)	2,59,346	8,77,567	2,39,213	10	1,81,435	4,56,909
(ii) Required Reserves [including both change in NDTL and CRR / I-CRR]	20,837	1,53,720	-25,190	40,865	1,67,530	-29,484
(iii) Term Repo Auctions	1,82,964	1,62,235	25,731	-	-	1,36,504
Memo Items:						
(i) Long Term Forex Swaps Buy/Sell (+)/ Sell/Buy (-)	2,19,245^	2,26,885^	-	-	46,147^	1,80,738^
(ii) Daily Net Absorption (-) / Injection (+) as at end- period	-1,30,261	-2,58,380	-3,07,793	-56,274	-28,123	-2,58,380

*: Data are up to March 30, 2026.

^: Approximate values.

- : Nil.

CiC: Currency in Circulation.

GoI: Government of India.

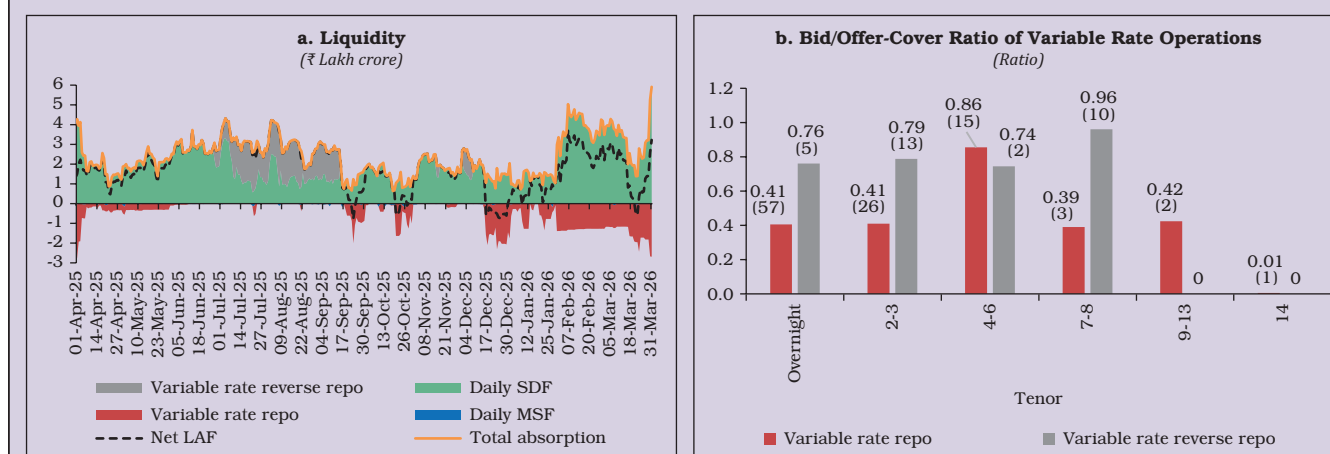
I-CRR: Incremental Cash Reserve Ratio.

Notes: 1. Inflow (+)/Outflow (-) to and from the banking system.

2. Data pertain to the last available observation in the respective period.

Source: RBI.

Chart III.4: Liquidity Operations



Note: Figures in parentheses indicate number of operations.
Sources: RBI and CCIL.

variable rate reverse repo (VRRR) auctions on June 27, 2025, to mop up surplus liquidity, after a gap of nearly eight months.³

III.21 Surplus liquidity conditions continued in Q2:2025-26 with a brief period of liquidity deficit during September 22-24, 2025 owing to the build-up of Gol cash balances and Reserve Bank's forex operations. The Reserve Bank conducted 22 VRRR auctions to absorb surplus liquidity, while 14 VRR auctions were held to address intermittent liquidity tightness.

III.22 The liquidity surplus moderated in Q3:2025-26, with average net absorption under the LAF declining to ₹1.21 lakh crore. Except for a brief period, system liquidity remained in surplus during October-November 2025 due to higher government spending, notwithstanding a significant increase in CiC in October 2025 and capital outflows in November 2025. The Reserve Bank conducted 26 VRR operations to alleviate

transient liquidity tightness.⁴ System liquidity turned into deficit in the second half of December 2025 due to advance tax payments and capital outflows.

III.23 Liquidity conditions turned into surplus and expanded during Q4:2025-26 with a pick-up in government spending and durable liquidity operations of the Reserve Bank. Eighteen VRR operations were conducted to ease intermittent phases of liquidity tightness.⁵ Moreover, the Reserve Bank has conducted OMO purchases of Gol securities for an aggregate amount of ₹1 lakh crore in two tranches of ₹50,000 crore each, on March 9, 2026 and March 13, 2026. During 2025-26, two-way fine-tuning operations were the key instrument to manage frictional liquidity. During this period, the market was more responsive to short-term operations *vis-à-vis* the longer-term operations as reflected in much higher bid-cover ratios for short-term operations (Chart III.4).

³ Overall, the Reserve Bank conducted two main and 45 fine-tuning VRR auctions to inject liquidity and one 7-day VRRR auction to absorb liquidity in Q1.

⁴ Seven fine-tuning VRRR auctions were also conducted to absorb excess liquidity.

⁵ Additionally, two 90-day term repo auctions were also conducted to inject liquidity.

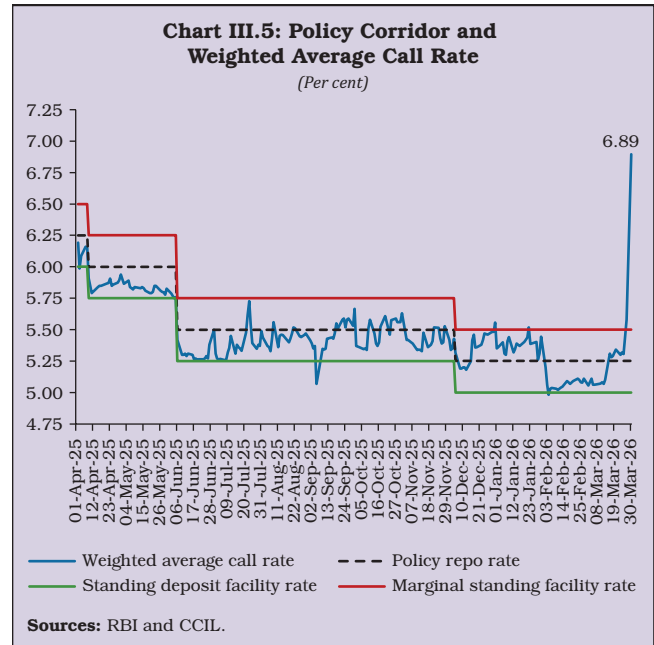
III.24 In view of the intermittent tightening liquidity conditions and the outlook, the Reserve Bank undertook a slew of durable liquidity augmenting measures during the year (Table III.2).

III.25 Reflecting the liquidity dynamics, the WACR - the operating target of monetary policy - remained broadly within the LAF corridor during 2025-26.⁶ It moderated in line with the cumulative 125 bps reduction in the policy repo rate since February 2025. Overall, the WACR, on average, remained 7 bps below the policy repo rate in 2025-26, while it remained 6 bps above the repo rate during the corresponding period of the previous year (Chart III.5).

III.26 Overnight rates in the collateralised segment moved generally in tandem with the

Table III.2: Reserve Bank's Durable Liquidity Injection Measures (2025-26)

Period	Measure	Amount (₹ crore)
1	2	3
April 2025	OMO Purchases (5) Term VRR Auction (1)	1,20,000 25,731
May 2025	OMO Purchases (4)	1,19,203
September- November 2025	CRR Cuts (4)	2,50,000*
December 2025	OMO Purchases (3) Forex Swap (1)	1,50,000 46,147*
January 2026	OMO Purchases (4) Forex Swap (1) Term VRR Auctions (2)	2,00,000 90,304* 1,36,504
February 2026	OMO Purchase (1) Forex Swap (1)	50,000 90,434*
March 2026	OMO Purchases (2)	1,00,000
	Total	13,78,323
*: Approximate values.		
Note: Figures in parentheses indicate number of operations.		
Source: RBI.		



WACR (Table III.3). Yields on 3-month T-Bills moderated during 2025-26, supported by comfortable liquidity conditions and policy rate cuts. Rates on certificates of deposit (CDs) and commercial papers (CPs) issued by NBFCs also moderated until Q3; however, they hardened significantly during Q4:2025-26 due to a range of market-specific factors. In the bond market, yields at shorter tenors declined relatively more than longer-end yields. G-sec yields hardened since Q2 amidst uncertainty over the India-US trade deal, receding expectations of further monetary easing, demand-supply mismatches and geopolitical tensions. Spreads in the money and bond markets generally increased during the year, except in Q1.

Transmission to Deposit and Lending Rates

III.27 Transmission of monetary policy to the credit market has been steady in 2025-26. In

⁶ Temporary liquidity tightness and surplus resulted in overnight rates breaching the ceiling (MSF rate) and the floor (SDF rate) of the policy corridor, respectively, on a few occasions during the year.

Table III.3: Interest Rates

(Per cent)

Indicator		Average for				
		Mar-2025	Jun-2025	Sep-2025	Dec-2025	Mar-2026
1		2	3	4	5	6
Rates	WACR	6.32	5.40	5.45	5.36	5.29
	Tri-party Repo	6.17	5.31	5.38	5.19	5.09
	Market Repo	6.32	5.24	5.43	5.27	5.13
	3-Month T-Bill	6.46	5.40	5.47	5.29	5.33
	3-Month CP	7.80	6.19	6.52	6.48	7.60
	3-Month CD	7.54	5.92	5.86	6.05	7.35
	AAA Corporate Bond - 5-year	7.43	6.81	6.92	7.06	7.53
	G-Sec Yield - 5-year	6.56	6.02	6.22	6.30	6.46
	G-Sec Yield - 10-year	6.66	6.27	6.51	6.57	6.76
Spreads (bps)	CP - T-Bill	134	84	105	119	227
	AAA 5-year - G-Sec 5-year	87	79	70	76	107
<i>Memo Items:</i>						
Liquidity	Net LAF (₹ crore)	-1,14,640	2,81,592	1,56,400	82,046	1,66,407
Global Indicators	US 10-year G-sec Yield (Per cent)	4.27	4.38	4.12	4.14	4.24
	Crude Oil Price (Indian Basket) [US \$ per barrel]	73	70	70	62	124
Sources: CCIL, RBI and Bloomberg.						

response to the cumulative 100 bps reduction in the policy repo rate, banks have reduced their marginal cost of funds-based lending rate (MCLR) and external benchmark-based lending rates (EBLRs) during the year. Consequently,

the weighted average lending rates (WALRs) on fresh and outstanding rupee loans of scheduled commercial banks (SCBs) declined by 95 bps and 78 bps, respectively, during 2025-26 (Table III.4).

Table III.4: Transmission from the Policy Repo Rate to Deposit and Lending Rates of SCBs

(Basis points)

Period (April-March)	Repo Rate	Term Deposit Rates		Lending Rates			
		WADTDR - Fresh Deposits	WADTDR - Outstanding Deposits	1-year MCLR (Median)	EBLR	WALR - Fresh Rupee Loans	WALR - Outstanding Rupee Loans
1	2	3	4	5	6	7	8
2024-25	-25	8	15	20	-25	-2	-6
2025-26	-100	-65	-49	-60	-100	-95	-78
<i>Memo Items:</i>							
February 2019 to March 2022 (Easing Cycle)	-250	-259	-188	-155	-250	-232	-150
May 2022 to January 2025 (Tightening Cycle)	250	259	206	175	250	182	115
February 2025 to March 2026 (Easing Cycle)	-125	-55	-47	-60	-125	-93	-88
WADTDR: Weighted Average Domestic Term Deposit Rate. MCLR: Marginal Cost of Funds-based Lending Rate. Note: Data on EBLR pertain to 32 domestic banks. Source: RBI.				WALR: Weighted Average Lending Rate. EBLR: External Benchmark-based Lending Rate.			

III.28 The weighted average domestic term deposit rates (WADTDRs) on fresh and outstanding deposits (including retail and bulk deposits) declined by 65 bps and 49 bps, respectively, during 2025-26.

III.29 Across bank groups, the decline in the WALR on both fresh and outstanding loans was highest in the case of foreign banks (FBs), reflecting a higher share of external benchmark-linked loans. This decline was higher for private banks (PVBs) compared to public sector banks (PSBs) during the easing cycle (Chart III.6).

External Benchmark-based Loan Rates

III.30 The introduction of EBLR system, for loan pricing in select sectors⁷ has strengthened the pace of transmission. Banks are extending EBLR-linked loans in non-mandated sectors too. The share of EBLR-linked loans in outstanding floating rate rupee loans of SCBs has increased over time (Table III.5).

Table III.5: Outstanding Floating Rate Rupee Loans of SCBs Across Interest Rate Benchmarks

(Per cent to total)

Month	MCLR	EBLR	Others*	Total
1	2	3	4	5
March 2024	39.2	56.6	4.2	100.0
March 2025	34.9	61.7	3.4	100.0
December 2025	32.0	65.4	2.6	100.0

*: Include benchmark prime lending rate, base rate and other internal benchmarks.

Note: Data pertain to 74 SCBs.

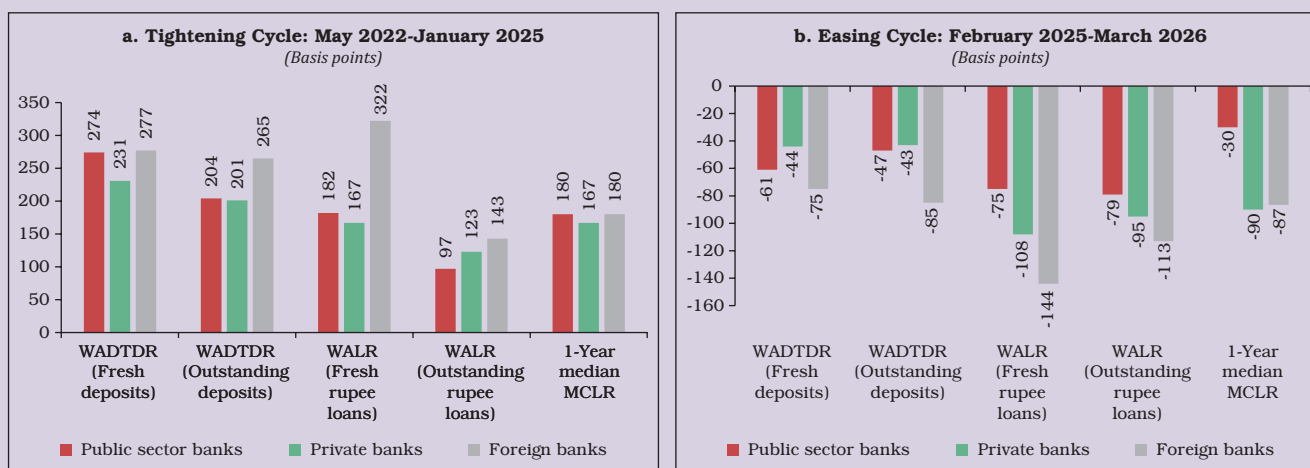
Source: RBI.

III.31 The share of EBLR-linked loans in total outstanding floating rate loans of PSBs stood at 50.6 per cent, whereas the corresponding share for PVBs was 89.2 per cent as of December 2025 (Chart III.7). The predominance of such loans in PVBs' loan portfolios has contributed to faster transmission to the WALR on outstanding rupee loans for PVBs *vis-à-vis* PSBs.

Sectoral Lending Rates

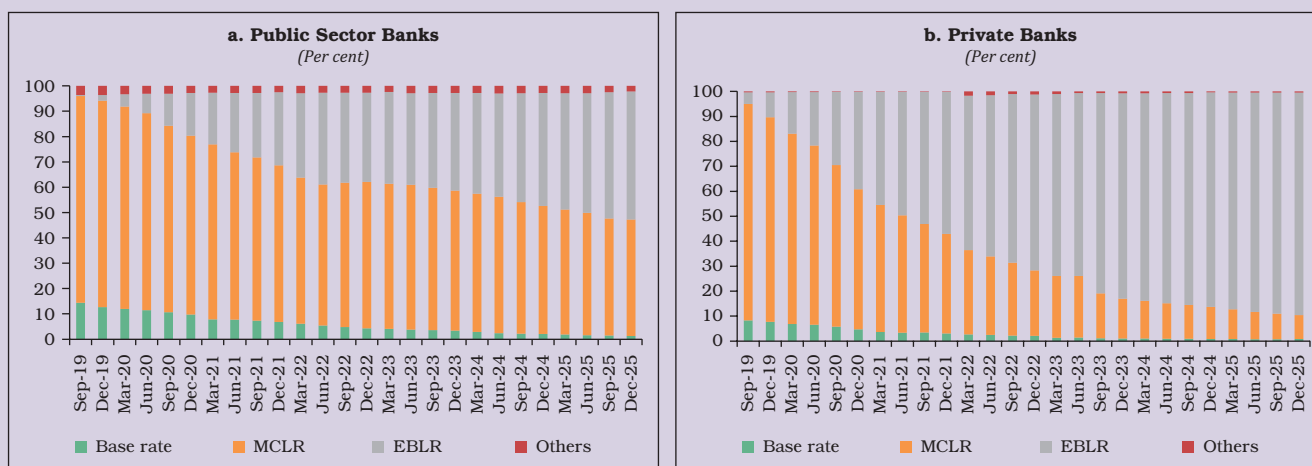
III.32 The WALR on fresh rupee loans moderated across all sectors during 2025-26

Chart III.6: Transmission to Lending and Deposit Rates Across Bank-Groups



Source: RBI.

⁷ Housing, vehicle, education, other personal loans and micro, small and medium enterprise (MSME) loans.

Chart III.7: Share of Various Benchmark-based Loans in Total Outstanding Floating Rate Loans

Source: RBI.

(Table III.6). The highest decline was observed in rupee export credit, followed by education, professional services, MSMEs, trade, large industry, and housing loans.

III.33 For outstanding loans, the decline in WALR was broad based and was highest in trade segment, followed by housing, and education loans (Table III.7).

III.34 Lending rates of NBFCs are typically higher than those of banks due to differences in funding structures and borrower risk profiles. Consequently, the extent of monetary policy transmission differs between NBFCs and SCBs (Chart III.8).

3. Agenda for 2026-27

III.35 During 2026-27, the Department will focus on strengthening macroeconomic forecasting

Table III.6: Sector-wise WALR of SCBs (Excluding RRBs) - Fresh Rupee Loans

(Per cent)

End-Month`	Agriculture	Industry (Large)	MSMEs	Infrastructure	Trade	Professional Services	Personal Loans				Rupee Export Credit
							Housing	Vehicle	Education	Other Personal Loans	
1	2	3	4	5	6	7	8	9	10	11	12
Mar-25	10.02	8.33	9.69	8.56	8.45	9.19	8.55	10.37	10.41	10.87	8.07
Jun-25	9.61	7.36	9.18	8.59	7.98	8.48	7.87	10.27	9.55	10.62	7.31
Sep-25	9.59	7.08	9.03	7.65	7.86	8.19	7.89	9.74	9.61	10.55	8.04
Dec-25	9.54	7.03	8.84	7.47	7.50	8.57	7.63	9.41	9.60	10.28	7.17
Mar-26	9.81	7.41	8.72	7.76	7.51	8.15	7.63	9.57	9.14	10.07	6.78
Variation (Percentage Points)											
2024-25	-0.16	-0.06	-0.30	-0.18	-0.08	-0.39	-0.10	1.16	-0.04	0.27	0.86
2025-26	-0.21	-0.92	-0.97	-0.80	-0.94	-1.04	-0.92	-0.80	-1.27	-0.80	-1.29

Note: Variation is difference between WALRs on annual basis.

Source: RBI.

Table III.7: Sector-wise WALR of SCBs (Excluding RRBs) - Outstanding Rupee Loans

(Per cent)

End-Month	Agriculture	Industry (Large)	MSMEs	Infrastructure	Trade	Professional Services	Personal Loans				Rupee Export Credit
							Housing	Vehicle	Education	Other Personal Loans	
1	2	3	4	5	6	7	8	9	10	11	12
Mar-25	10.21	8.45	10.02	9.01	9.13	9.41	8.73	9.96	10.31	11.31	8.52
Jun-25	10.06	8.09	9.55	8.83	8.72	9.21	8.16	9.83	9.75	11.08	8.01
Sep-25	9.94	7.80	9.40	8.52	8.58	8.72	7.98	9.78	9.64	10.88	7.86
Dec-25	9.81	7.63	9.27	8.20	8.26	8.55	7.79	9.63	9.43	10.74	7.73
Mar-26	9.72	7.57	9.17	8.10	8.13	8.48	7.74	9.64	9.35	10.63	7.60
Variation (Percentage Points)											
2024-25	0.05	-0.24	-0.28	-0.09	-0.32	-0.14	-0.21	0.48	-0.15	0.44	0.56
2025-26	-0.49	-0.88	-0.85	-0.91	-1.00	-0.93	-0.99	-0.32	-0.96	-0.68	-0.92

Note: Variation is difference between WALRs on annual basis.

Source: RBI.

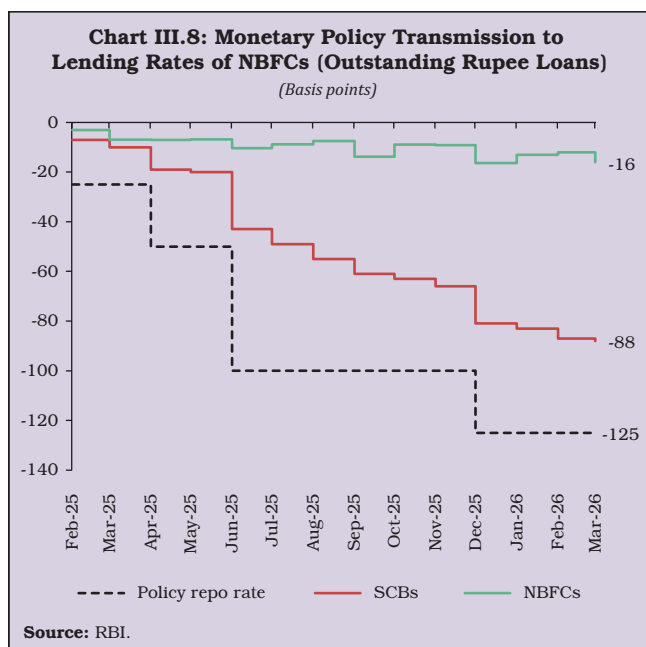
and policy analysis. Accordingly, the Department has set the following goals:

- Reviewing and improving GDP growth forecasting;
- Reviewing and improving inflation forecasting;
- Sectoral deployment of credit to include non-bank sources;

- Estimating the natural real rate of interest;
- Estimating potential GDP and its growth rate; and
- Reviewing the quarterly projection model.

4. Conclusion

III.36 During 2025-26, monetary policy operations were conducted in a challenging yet evolving macroeconomic environment marked by a sharp moderation in inflation, improving growth momentum amidst heightened global uncertainty. While remaining data dependent, the MPC responded in a timely and calibrated manner, easing monetary policy through rate cuts and liquidity injections that facilitated liquidity conditions conducive for effective transmission. Overall, monetary policy actions during the year remained growth supportive even as the Reserve Bank reinforced the growth-inflation balance, strengthened transmission, and enhanced the effectiveness of monetary policy, while remaining agile and flexible in responding to evolving domestic and global developments.



IV

CREDIT DELIVERY AND FINANCIAL INCLUSION

The Reserve Bank continued with its efforts to strengthen credit delivery and deepen financial inclusion in the country as envisaged under the National Strategy for Financial Inclusion (NSFI). The Financial Inclusion Index (FI-Index) improved to 67.0 in March 2025 from 64.2 a year ago.

IV.1 The Reserve Bank continued with its focus on ensuring availability of banking services to all sections of society across the country, including strengthening the credit delivery system to cater to the needs of the productive sectors of the economy, particularly agriculture, and micro and small enterprises (MSEs). During 2025-26, a number of initiatives were taken in terms of spreading financial literacy, campaigning for saturation of financial inclusion schemes and renewal of know your customer (re-KYC), campaigning to facilitate efficient and faster settlement of unclaimed funds, conducting a comprehensive review of Lead Bank Scheme (LBS), expanding and deepening of digital payments ecosystem (EDDPE)¹, and launch of National Strategy for Financial Inclusion (NSFI) for 2025-30.

2. Agenda for 2025-26

IV.2 The Department had set out the following goals for 2025-26:

- Review of FI-Index (Paragraph IV.3);
- Strengthening micro, small and medium enterprises (MSMEs) outreach and inclusion (Paragraph IV.4 - IV.5); and
- Achieving 100 per cent coverage in 80 per cent districts across the country by

March 2026, under EDDPE programme (Paragraph IV.6).

Implementation Status

IV.3 A comprehensive review of FI-Index has been conducted by the Department on completion of five years of its launch. In this regard, consultation with concerned stakeholders is under process to finalise its framework.

IV.4 With a view to facilitating improved access to formal credit, supporting entrepreneurial activity and strengthening last mile credit delivery for MSEs with limited collateral, the limit for collateral free loans to MSEs was enhanced from ₹10 lakh to ₹20 lakh, effective April 1, 2026.

IV.5 Regional Offices of the Reserve Bank have been conducting MSME town hall meetings as an outreach initiative to facilitate engagement with MSMEs, improve awareness of banking facilities and address issues relating to access to formal finance. In view of significant developments in the financial landscape and evolving needs of MSMEs, the MSME town hall meeting framework has been revised to incorporate an additional decentralised outreach mechanism through district-level MSME SAMVAAD meetings, enabling more granular engagement with stakeholders at district and regional level.

¹ Providing every eligible individual in the identified districts at least one mode of digital payment, viz., debit/RuPay cards, net banking, mobile banking, UPI, unstructured supplementary service data (USSD), Aadhaar enabled payment system (AePS), etc.

IV.6 As on March 31, 2026, 100 per cent coverage has been achieved under the EDDPE programme in more than 80 per cent of the districts (710 districts) across the country.

Major Developments

Credit Delivery

Priority Sector

IV.7 Scheduled Commercial Banks' (SCBs) priority sector lending (PSL) as on March 31, 2026 stood at 45.0 per cent² of adjusted net bank credit (ANBC)/credit equivalent of off-balance sheet exposure (CEOBSE), whichever is higher. Each of the bank groups, has achieved the prescribed 40 per cent overall PSL target during 2025-26 (Table IV.1).

Flow of Credit to Agriculture

IV.8 The *Kisan* Credit Card (KCC) is a single window facility for providing working capital as well as investment credit to farmers for cultivation, animal husbandry and fisheries. The number of operative KCCs declined by 11.7 per cent and the outstanding amount has decreased by 4.9 per cent during 2025-26 over the corresponding period in the previous year (Table IV.2).

Table IV.1: Achievement of Priority Sector Lending Targets

(Amount in ₹ lakh crore)

Financial Year	Public Sector Banks	Private Sector Banks	Foreign Banks	Small Finance Banks	SCBs
1	2	3	4	5	6
2024-25	35.9 (42.3)	27.1 (44.3)	2.7 (41.8)	1.6 (84.4)	67.3 (43.6)
2025-26*	39.3 (42.8)	31.5 (47.2)	3.0 (42.0)	1.9 (78.8)	75.7 (45.0)

*: Data are provisional.

Note: Figures in parentheses are percentage to ANBC/CEOBSE, whichever is higher.

Source: Priority sector returns submitted by SCBs.

IV.9 A comprehensive review of the KCC scheme guidelines was undertaken with the objective of expanding coverage, streamlining operational aspects and addressing emerging requirements. The draft guidelines have been issued for public comments.

Bank Credit to the MSME Sector

IV.10 Increasing the flow of credit to the MSMEs has been a policy priority of the Reserve Bank and the Government of India. On a y-o-y basis, the outstanding credit to the MSMEs by SCBs increased by 23.5 per cent during 2025-26 (as at

Table IV.2: Kisan Credit Card (KCC) Scheme

(Number in lakh, Amount in ₹ crore)

Financial Year	Number of Operative KCCs [#]	Outstanding Crop Loan	Outstanding Term Loan	Outstanding Loan for Animal Husbandry and Fisheries	Total
1	2	3	4	5	6
2024-25	290.2	5,07,821	55,047	38,107	6,00,975
2025-26*	256.2 [^]	4,95,596 [^]	39,352 [^]	36,496 [^]	5,71,444 [^]

*: Data are provisional.

[#]: The number of operative KCC accounts does not include non-performing asset (NPA) accounts.

[^]: The decline is primarily on account of select private sector banks reclassifying/declassifying certain exposures that were not aligned with extant KCC guidelines.

Sources: Public sector banks, private sector banks and small finance banks.

² Pertains to public sector banks, private sector banks, small finance banks and foreign banks.

Table IV.3: Bank Credit to MSMEs

(Number in lakh, Amount in ₹ lakh crore)

Financial Year	Micro Enterprises		Small Enterprises		Medium Enterprises		MSMEs	
	Number of Accounts	Amount Outstanding	Number of Accounts	Amount Outstanding	Number of Accounts	Amount Outstanding	Number of Accounts	Amount Outstanding
1	2	3	4	5	6	7	8	9
2023-24	231.9	13.3	21.3	8.6	3.8	5.3	257.0	27.3
2024-25	223.9	15.0	15.2	9.8	4.0	6.3	243.1	31.1
2024-25 (as at end-December 2024)	216.5	14.4	14.8	9.4	3.8	5.9	235.1	29.8
2025-26 (as at end-December 2025)	217.4	18.3	13.9	11.5	3.4	6.9	234.7	36.8

Source: Priority sector returns submitted by SCBs.

end-December 2025) as compared with 18.3 per cent in the corresponding period of the previous year (Table IV.3).

Financial Inclusion (FI)

Campaign for Saturation of FI Schemes and re-KYC

IV.11 The Reserve Bank has been closely associated with a nationwide campaign involving banks, conducted by Department of Financial Services (DFS), Ministry of Finance, Government of India, for saturation of financial inclusion schemes at the *Gram Panchayat* level. At the Reserve Bank's instance, the scope of the campaign was expanded to cover re-KYC of all accounts where it had fallen due and was leveraged for grievance redressal and promoting awareness on unclaimed deposits. Top Management and senior officials of the Reserve Bank visited and addressed several camps conducted as part of the campaign. A nationwide multimedia campaign to educate the public about the importance of re-KYC/KYC updation was undertaken and progress in coverage of accounts was monitored closely.

Campaign to Facilitate Efficient and Faster Settlement of Unclaimed Funds

IV.12 The Reserve Bank was also involved with the nationwide campaign, 'Aapki Poonji, Aapka Adhikar' (Your Money, Your Right), conducted during October-December 2025 to facilitate the return of unclaimed deposits and timely settlement of eligible claims from the Depositor Education and Awareness (DEA) Fund. During the campaign, ₹2,876 crore of unclaimed deposits were settled by public sector banks and regional rural banks.

Comprehensive Review of Lead Bank Scheme (LBS)

IV.13 A comprehensive review of the LBS was undertaken with a view to enhancing its effectiveness in deepening financial inclusion and promoting flow of credit to priority sectors. The draft guidelines were published for public comments.

Assignment of Lead Bank Responsibility

IV.14 At present, 12 public sector banks and two private sector banks (Jammu & Kashmir Bank

and ICICI Bank) have been assigned lead bank responsibility, covering 778 districts across the country.

Expanding and Deepening of Digital Payments Ecosystem (EDDPE)

IV.15 The EDDPE programme was extended to all districts [except two districts of union territory (UT) of Andaman & Nicobar Islands] in August 2023. As on March 31, 2026, 100 per cent coverage has been achieved in more than 80 per cent districts (710 districts) across the country, which includes all districts in 22 states³ and eight UTs⁴.

Monitoring Progress of Financial Inclusion

IV.16 Banks' progress in financial inclusion is monitored through the Monitoring Progress of Financial Inclusion (MPFI) Return. The progress

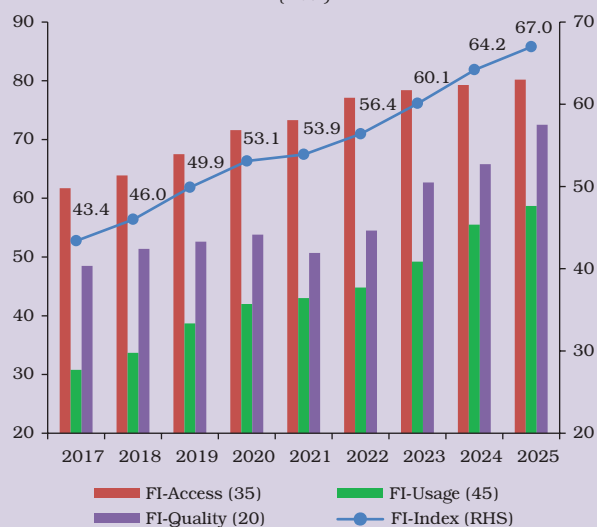
achieved by banks on these parameters as at end-December 2025 is presented in Table IV.4.

Financial Inclusion Index (FI-Index)

IV.17 The Reserve Bank has developed a composite Financial Inclusion Index (FI-Index) comprising three sub-indices (*viz.*, access, usage and quality) to assess the extent of financial inclusion in the country. Based on data from banking, investment, insurance, postal and pension sectors, the FI-Index improved to 67.0 in March 2025 from 64.2 in March 2024, with gains across all dimensions, led by usage and quality, reflecting deeper financial inclusion and sustained financial literacy efforts (Charts IV.1 and IV.2).

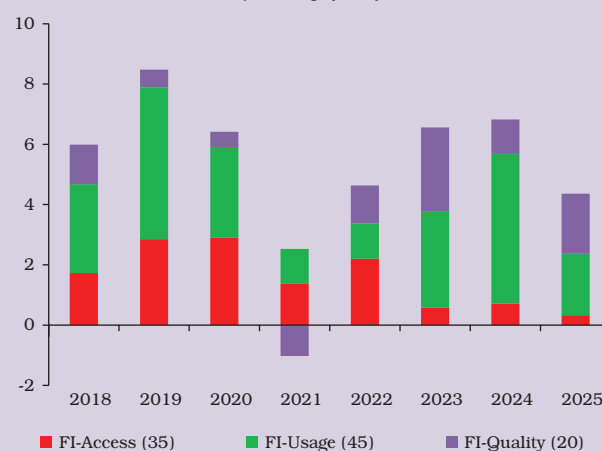
IV.18 The National Strategy for Financial Inclusion (NSFI): 2025-30, approved by the Sub-Committee of the Financial Stability and

Chart IV.1: FI-Index and Sub-Indices (end-March)
(Index)



Note: Figures in parentheses indicate weights in per cent in FI-Index.
Source: RBI.

Chart IV.2: Contribution of Sub-Indices to the Growth of FI-Index (end-March)
(Percentage points)



Notes: 1. Figures in parentheses indicate weights in per cent in FI-Index.
2. Negative contribution by FI-Quality during 2021 was due to reduced financial literacy activities.
Source: RBI.

³ Kerala, Telangana, Andhra Pradesh, Tripura, Tamil Nadu, Madhya Pradesh, Rajasthan, Bihar, Himachal Pradesh, Karnataka, Jharkhand, Gujarat, Goa, Uttar Pradesh, Odisha, Maharashtra, Mizoram, Assam, Chhattisgarh, West Bengal, Haryana and Punjab.

⁴ Delhi, Chandigarh, Lakshadweep, Dadra & Nagar Haveli and Daman & Diu, Ladakh, Puducherry, Jammu & Kashmir, Andaman & Nicobar Islands.

Table IV.4: Monitoring Progress of Financial Inclusion

Particulars	December 2024 ⁸	December 2025 ⁵		
1	2	3		
	Total	Rural	Urban*	Total
Number of Banking Outlets Manned by Bank's Own Staff - Branches	56,579**	57,319 (34)	1,12,870 (66)	1,70,189
Number of Banking Outlets Manned by Business Correspondents [^] (Fixed Point BC Outlet) ^{^^}	-	7,56,840 (64)	4,18,410 (36)	11,75,250
BSBDA - Total (Number in lakh)	7,201	3,509 (48)	3,795 (52)	7,304
Out of Total Number of BSBDA's, Number of Female Account Holders (Number in lakh)	-	1,943 (48)	2,081 (52)	4,024
BSBDA - Total (Amount in crore)	3,04,715	1,76,105 (51)	1,69,372 (49)	3,45,477
Out of Total Amount in BSBDA's, Amount in Female Account Holders' Accounts (Amount in crore)	-	1,05,842 (51)	1,00,253 (49)	2,06,095
OD Facility Availed in BSBDA's (Number in lakh)	45	13 (41)	19 (59)	32
Out of Total, OD Facility Availed in BSBDA's by Females (Number in lakh)	-	7 (41)	10 (59)	17
OD Facility Availed in BSBDA's (Amount in crore)	548	174 (42)	240 (58)	414
Out of Total, OD Facility Availed in BSBDA's by Females (Amount in crore)	-	83 (43)	110 (57)	193
ICT- BC-Total Transactions (Number in lakh) ^{#@}	29,944	23,778 (60)	15,635 (40)	39,413
Out of Total ICT-BC Transactions, Transactions Undertaken by Female BC agents (Number in lakhs) ^{#@}	-	4,288 (62)	2,632 (38)	6,920
ICT- BC-Total Transactions (Amount in crore) [#]	10,73,073	6,90,093 (58)	4,99,674 (42)	11,89,767
Out of Total ICT-BC Transactions, Transactions Undertaken by Female BC agents (Amount in crore) [#]	-	1,36,844 (59)	94,441 (41)	2,31,285

BCs : Business Correspondents.

BSBDAs : Basic Savings Bank Deposit Accounts.

OD : Overdraft.

ICT : Information and Communication Technology - : Not available

&: Based on Financial Inclusion Plan (FIP) Return submitted by public sector banks (PSBs), private sector banks (PVBs) and regional rural banks (RRBs). FIP Return has been discontinued from March 2025.

\$: Based on MPFI Return submitted by public sector banks, private sector banks, regional rural banks, small finance banks, payment banks and urban cooperative banks (Tier III and IV).

*: Urban includes semi-urban, urban, and metropolitan areas.

**: Data are for banking outlet manned by bank's own staff (i.e., branches) in villages.

[^]: In the previous Annual Report (2024-25), the total number of BC Outlets (villages and urban locations) was reported as 17,23,303, based on FIP return (submitted by PSBs, PVBs, and RRBs) for December 2024. The corresponding numbers as per MPFI return for December 2025 was 14,77,594. The decrease in number of BC outlets was on account of revised reporting by one public sector bank and realignment of BC network by some private sector banks.^{^^}: Banking Outlets manned by BCs, i.e., Fixed Point BC Outlets working for a minimum of 4 hours per day, 5 days a week.[#]: Transactions from the beginning of the financial year.[@]: Both financial and non-financial transactions.**Notes:** 1. Figures in parentheses indicate share in total (per cent).

2. Provisional data.

Source: FIP returns submitted by public sector banks, private sector banks and regional rural banks.

Development Council (FSDC-SC) in its 32nd meeting, was formally unveiled by Shri Sanjay Malhotra, Governor, Reserve Bank of India on December 1, 2025. The strategy builds upon the achievements of the preceding strategy (NSFI: 2019-24) and seeks to put in place a strategic vision and pathway to mitigate demand and supply impediments, while further deepening and strengthening the financial inclusion ecosystem for the wellbeing of people (Box IV.1).

Financial Literacy

Observing Financial Literacy Week 2026

IV.19 The Financial Literacy Week (FLW) 2026, an annual initiative of the Reserve Bank, was

observed during February 9 - 13, 2026 on the theme “KYC - Your first step to safe banking” to promote awareness among the public on the importance of KYC and account discipline. A centralised mass-media campaign across television, radio, digital platforms and outdoor hoardings was undertaken during the week. The Regional Offices of the Reserve Bank also carried out localised campaigns on the theme. Banks were also advised to create awareness amongst their customers and the general public. KYC related awareness messages were covered in the Hon’ble Prime Minister’s *Mann Ki Baat* address on February 22, 2026.

Box IV.1: National Strategy for Financial Inclusion (NSFI): 2025-30

The NSFI:2025-30 envisions upscaling the financial inclusion efforts towards seamless and effective access to a bouquet of formal financial services, coupled with financial literacy, consumer awareness and customer protection. It emphasises adoption of a synergistic ecosystem approach and focusing on improving the quality and consistency of last mile access, and effective usage of financial services through linkages with skilling and livelihood initiatives.

The strategy lays down five strategic objectives (*Panch-Jyoti*) towards elevating the state of financial inclusion in the country and a menu of 47 action points to achieve them. The *Panch-Jyoti* includes the following:

- a) Improving the availability and use of an equitable, responsible, suitable, and affordable bouquet of financial services to achieve financial safety and financial security for households and micro enterprises;
- b) Adopting a gender-sensitive approach for women-led financial inclusion and differentiated strategies for improving financial resilience of households, especially for the underserved and vulnerable segments;
- c) Synergising livelihood, skill development and support ecosystem and their linkages with financial inclusion;
- d) Leveraging financial education as a tool for promoting financial discipline; and

- e) Strengthening the quality and reliability of customer protection and grievance redressal measures.

The focus of the recommendations is on enhancing the usage and quality dimensions of financial inclusion, while improving last mile access and ensuring effectiveness and granularity in the monitoring and measurement mechanism. The action-points and timelines under NSFI: 2025-30 are distributed across financial sector regulators [*viz.*, Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Insurance Regulatory and Development Authority of India (IRDAI) and Pension Fund Regulatory and Development Authority (PFRDA)], and financial services providers under their respective jurisdictions, along with the National Bank for Agriculture and Rural Development (NABARD), National Skill Development Corporation (NSDC) and National Centre for Financial Education (NCFE).

The strategy has been framed under the aegis of the Technical Group on Financial Inclusion and Financial Literacy (TGFIFL) following country-wide discussions with various stakeholders by the Reserve Bank and consultations involving the Department of Economic Affairs (DEA) and Department of Financial Services (DFS), Ministry of Finance, Government of India; SEBI; IRDAI; PFRDA; NABARD; NSDC and NCFE.

Source: RBI.

3. Agenda for 2026-27

IV.20 The Department has set out the following goals for 2026-27:

- Implementation of action points under NSFI: 2025-30;
- Achieving 100 per cent coverage in all identified districts across the country by March 2027, under EDDPE (*Utkarsh* 2029); and
- Review of the framework for revival and rehabilitation of MSMEs to make it more

effective for timely resolution of stress in MSMEs.

4. Conclusion

IV.21 The Reserve Bank continued with its focus on ensuring availability of banking services to all sections of society and strengthening the credit delivery system to cater to the needs of all productive sectors of the economy. Going forward, the strategy adopted under NSFI: 2025-30 is expected to further deepen financial inclusion in the country.

V

FINANCIAL MARKETS AND FOREIGN EXCHANGE MANAGEMENT

During 2025-26, the Reserve Bank continued its focus towards further strengthening of various segments of the financial markets by broadening participation, easing access and rationalising regulations in sync with evolving business practices with an aim to reduce compliance burden, improve ease of doing business and also enhance operational efficiency.

V.1 The Reserve Bank sustained its efforts to further develop and deepen financial markets by streamlining regulations and fostering innovation. The Financial Markets Regulation Department (FMRD) continued with its efforts to modernise financial market infrastructure. The Financial Markets Operations Department (FMOD) revised the liquidity management framework. The Foreign Exchange Department (FED) took several initiatives to ease compliance burden and permitted Authorised Dealer (AD) banks to lend in Indian Rupee (INR) to non-residents in select jurisdictions for cross-border trade transactions.

V.2 Against this backdrop, the rest of the chapter is structured into four sections. Development and regulation of financial markets are covered in section 2. The Reserve Bank's market operations are discussed in section 3. In section 4, the focus is on external trade and payments, and measures relating to liberalisation and development of external financial flows. Concluding observations are provided in section 5.

2. FINANCIAL MARKETS REGULATION DEPARTMENT (FMRD)

V.3 FMRD is tasked with the responsibility of development, regulation and surveillance of money, government securities, interest

rate derivatives, foreign exchange, and credit derivative markets.

Agenda for 2025-26

V.4 The Department had set out the following goals for 2025-26:

- Continuing efforts towards greater transparency in over-the-counter (OTC) derivative markets, requirements for unique transaction identifier (UTI) for OTC derivative transactions shall be implemented in India in line with global developments (*Utkarsh 2.0*) [Paragraph V.5]; and
- FX-Retail will be linked with *Bharat Connect* (earlier *Bharat Bill Payment System*) to expand the reach of FX-Retail platform and enhance user experience beginning with a pilot facilitating purchase of US dollar against the Rupee by individuals and sole proprietorship (Paragraph V.6).

Implementation Status

V.5 Directions mandating UTI for OTC derivative transactions were issued on February 18, 2026. Further, with a view to improve accessibility of regulatory instructions and ease of doing business, the instructions on legal

entity identifier and UTI were consolidated in a single Master Direction on Unique Identifiers in Financial Markets, issued on March 27, 2026.

V.6 FX-Retail was linked with *Bharat Connect* on October 7, 2025. In the first phase, purchase of US dollars by individuals has been facilitated.

Major Initiatives

V.7 The extant regulatory framework for Rupee interest rate derivative (IRD) was reviewed and re-issued on December 8, 2025. This update reflects the evolving IRD market landscape, aligns with the financial system's risk management requirements, and aims to enhance transparency in the Rupee IRD market.

V.8 To give a fillip to the market for municipal bonds, such bonds were notified as eligible collateral for repo transactions in consultation with the Government of India (GoI).

V.9 The investment regime governing investment by foreign portfolio investors (FPIs) in debt securities was recalibrated. The macro-prudential controls under the general route for FPI investments in corporate debt securities were reviewed, and the short-term investment limit and concentration limit were withdrawn. Surplus balances in special Rupee vostro accounts were permitted to be invested in central government securities (including treasury bills), non-convertible debentures/bonds and commercial papers. Further, with a view to ensuring predictability about the availability of investment limits under the voluntary retention route (VRR) and to further enhance ease of doing business, it was decided that with effect from April 1, 2026, investments under the VRR shall be reckoned under the limit for FPI

investments under the general route; and FPIs that have availed retention periods longer than the minimum retention period shall have the option of liquidating their portfolio, fully or partly, and exiting the VRR after the end of the minimum retention period.

V.10 The regulatory framework for electronic trading platforms was reviewed taking cognisance of the increased integration of onshore and offshore financial markets, technological developments and increasing product diversity. Trading and guaranteed settlement facilities were introduced for forex forward contracts of tenors up to 36 months (from 13 months). Modified Mumbai interbank forward outright rate-based swaps and foreign exchange options would enable electronification of the trading and settlement process of such instruments. With a view to electrify non-resident trades in government securities, a provision was made to connect negotiated dealing system–order matching (NDS-OM), the anonymous order matching platform for government securities, with global bond trading platforms. To leverage emerging technologies such as tokenisation and distributed ledger technology (DLT), a pilot for issuance and trading of certificates of deposit (CDs) in tokenised form using the unified markets interface platform with settlement using wholesale central bank digital currency (CBDC) has commenced.

V.11 Based on the recommendations of the Working Group for the review of trading and settlement timings in financial markets regulated by the Reserve Bank (Chair: Shri Radha Shyam Ratho, Executive Director, Reserve Bank of India), the timings of both the collateralised and

uncollateralised segments of the money market were extended.

V.12 The Fixed Income Money Market and Derivatives Association of India (FIMMDA) has been granted recognition as a self-regulatory organisation (SRO) in financial markets.

V.13 Considering the evolution of the microstructure of the money market with collateralised markets becoming the dominant segment, the secured overnight Rupee rate (SORR) - a benchmark based on secured money markets [basket repo and triparty repo (TREP)] - was authorised. Financial Benchmarks of India Private Limited (FBIL) commenced the publication of the SORR benchmark with effect from July 7, 2025.

V.14 To further deepen the onshore forex market and encourage banks to quote rates directly in a larger set of currency pairs, FBIL was authorised to publish reference rates in the currencies of India's major trading partners. FBIL commenced the publication of additional reference rates with effect from January 5, 2026.

V.15 With a view to ensure orderly market conditions and curbing excessive volatility and speculative positions, Authorised Dealers (ADs) were mandated to maintain their net open positions involving Rupee (NOP-INR) in the onshore deliverable market within US\$ 100 million at the end of each business day, at the earliest but no later than April 10, 2026.

Agenda for 2026-27

V.16 For 2026-27, the Department has set the following goals:

- Ensure greater transparency in pricing for retail users by mandating disclosure of FX conversion and transaction charges for FX cash/tom/spot trades; and
- Consolidate all circulars pertaining to secondary market transactions in government securities into a single Master Direction.

3. FINANCIAL MARKETS OPERATIONS DEPARTMENT (FMOD)

V.17 FMOD is primarily responsible for the conduct of liquidity management¹ operations towards implementing the Reserve Bank's monetary policy objectives and ensuring orderly conditions in the forex market through both onshore and offshore market operations.

Agenda for 2025-26

V.18 During the year, the Department had set out the following goals:

- Review of the liquidity management framework (Paragraph V.19);
- Undertake foreign exchange operations to curb excessive volatility in the USD/INR exchange rate (Paragraph V.20); and
- Conduct policy-oriented research and analysis on financial markets to guide market operations strategies on an ongoing basis (*Utkarsh 2.0*) [Paragraph V.21].

Implementation Status

V.19 An Internal Working Group (IWG) was constituted to review the liquidity management framework which was in operation since February 2020. Based on the recommendations of the

¹ Details relating to liquidity management operations are covered in Chapter III of this Report.

IWG and the feedback received from various stakeholders, a revised liquidity management framework was put in place with effect from September 30, 2025.

V.20 The Indian Rupee (INR) experienced bouts of volatility amidst rise in geopolitical tensions and tariff related uncertainties. The widening of merchandise trade deficit and rise in oil prices during the last quarter added to the headwinds. The Reserve Bank intervened in the forex market through operations in the onshore/offshore OTC and exchange traded currency derivatives segments to maintain orderly market conditions and contain excessive volatility in the exchange rate.

V.21 The Department continued to conduct policy-oriented research and analysis related to financial markets during 2025-26. The studies include drivers of certificates of deposit (CDs) issuances, alternative indices for assessing fair value of INR (other than nominal effective exchange rate and real effective exchange rate), impact of inclusion of Indian government bonds in global bond indices and evolving money market dynamics and policy transmission efficiency in India.

Agenda for 2026-27

V.22 During 2026-27, the Department plans to achieve the following goals:

- Effective conduct of liquidity management operations for the purpose of monetary policy transmission;
- Undertake foreign exchange operations to curb excessive volatility in the USD/ INR exchange rate; and
- Conduct policy-oriented research and analysis on financial markets to guide

market operations strategies on an ongoing basis.

4. FOREIGN EXCHANGE DEPARTMENT (FED)

V.23 In accordance with the terms of the preamble to the Foreign Exchange Management Act, 1999 (FEMA), the mandate of FED is to facilitate external trade and payments and promote the orderly development and maintenance of the foreign exchange market in India.

Agenda for 2025-26

V.24 The Department had set out the following goals for 2025-26:

- Rationalisation of Foreign Exchange Management (Guarantees) Regulations (Paragraph V.25);
- Rationalisation of the liberalised remittance scheme (LRS) [Paragraph V.26];
- Review directions on borrowing and lending transactions in INR with a view to rationalise and merge the directions into the Master Direction - External Commercial Borrowings (ECB), Trade Credit and Structured Obligations (Paragraph V.27);
- Review of the authorisation framework for authorised persons under FEMA, 1999 (Paragraph V.28);
- Rationalisation of Foreign Exchange Management (FEM) [Non-Debt Instruments] Rules, 2019 (Paragraph V.29);
- Review of Insurance Regulations, 2015 (Paragraph V.30);
- Review of Deposit Regulations, 2016 (Paragraph V.31); and

- Review of FEM [Establishment in India of a branch office (BO) or a liaison office (LO) or a project office (PO) or any other place of business] Regulations, 2016 (Paragraph V.32).

Implementation Status

V.25 FEM (Guarantees) Regulations, 2026 were notified on January 10, 2026. The universe of guarantees enabled in the reviewed framework, under automatic route, has been expanded: while the previous framework did not have any enabling provisions for guarantees issued by non-resident entities, post review, primary conditions for a guarantee transaction between a principal debtor and a surety are that the underlying transaction should not be prohibited under FEMA, 1999, and the surety and the debtor, wherever their residential statuses are different, are eligible lender and borrower under the extant borrowing/lending framework. Further, a comprehensive reporting on a quarterly basis has been introduced for all guarantees – issued, modified and invoked.

V.26 Key areas of the LRS review include rationalisation of guidelines to reduce compliance burden for current account remittances, addressing various issues in the extant LRS covering, *inter alia*, the permitted purposes, payment mode/currency and declaration. The review process is currently underway.

V.27 It has been decided to consolidate directions on borrowing and lending transactions

in INR into a single document: ‘Foreign Exchange Management (Borrowing and Lending) Regulations, 2018 (FEMA 3R)’, instead of ‘Master Direction – External Commercial Borrowings, Trade Credit and Structured Obligations’. Rationalised provisions for borrowing in INR by persons resident in India (PRIs) from persons resident outside India (PROIs) have been consolidated through an amendment² to FEMA 3R notified on February 16, 2026. Revised regulations covering provisions on lending in INR are currently being reviewed.

V.28 The authorisation framework is being rationalised and simplified to improve the availability of forex services and operational efficiency, while maintaining appropriate safeguards, bridging regulatory gaps and enhancing ease of doing business.³

V.29 The Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 have been reviewed with a focus on making procedures more principle-based, ensuring uniform applicability across investee entities, avoiding overlap with existing domestic laws and clearly distinguishing foreign investment rules from foreign direct investment (FDI) Policy. The revised rules have been submitted to the GoI in November 2025 for consideration.

V.30 Based on the comments received from concerned stakeholders, the extant FEMA Insurance Regulations, 2015⁴ are currently under internal review.

² Foreign Exchange Management (Borrowing and Lending) [First Amendment] Regulations, 2026.

³ FEM (Authorised Persons) Regulations, 2026 have been notified on May 6, 2026 to rationalise the authorisation and renewal framework for authorised persons while maintaining appropriate checks and balances. Some of the key provisions include discontinuation of fresh authorisation for Full Fledged Money Changers (FFMCs) while retaining existing FFMCs, perpetual authorisation, minimum annual forex turnover for FFMCs and non-bank AD Cat-II, introduction of forex correspondents to act as agents of ADs, expanded scope of activities for AD Cat-II, and appeal mechanism.

⁴ Reserve Bank Notification Number FEMA 12(R)/2015-RB dated December 29, 2015.

V.31 Pursuant to an internal review of the extant deposit regulations, a simultaneous review of FEMA Regulations governing deposits⁵ and FEMA Regulations governing Foreign Currency Accounts by PRIs⁶ is being carried out. Accordingly, the revised set of regulations is being considered for approval.

V.32 The extant framework for establishing LO/BO/PO/any other place of business in India has been comprehensively reviewed. The revised regulations are principle-driven and enable delegation of more powers to AD banks and reduction of compliance burden, thereby

enhancing ease of doing business. Draft of the revised regulations was published on the Reserve Bank's website in October 2025 for soliciting public feedback. Subsequent to the receipt of feedback thereon, the revised draft regulations are awaiting concurrence of the GoI.

Major Initiatives

V.33 Over the past few years, several measures have been undertaken by the Reserve Bank to enhance the role of INR as an international currency through its increasing use for both current and select capital account transactions (Box V.1).

Box V.1: Use of INR and Local Currencies for Cross-Border Trade

The ascendance of INR as an invoicing and settlement currency is likely to offer protection against exchange rate risk, reduce requirement for maintaining costly forex reserves in convertible currencies, facilitate the development of bilateral exchange rate markets and contain transaction cost in foreign exchange transactions. Some of the major policy initiatives for boosting the role of INR as a cross-border medium of exchange for current/capital account transactions include:

- a) The provision of Special Rupee Vostro Accounts (SRVAs) to be opened by correspondent banks in India's partner countries with Authorised Dealer (AD) Cat-I banks in India;
- b) Local currency arrangements (LCAs) with partner countries (which entail invoicing/settlement of cross-border trade in either INR or the trade partner's local currency);
- c) Enabling PROIs to open and maintain INR-denominated accounts with branches of AD banks outside India for all permissible current and capital account transactions with PRIs and all *bona fide* transactions with other PROIs;

- d) Permission towards transfer of funds, for all *bona fide* transactions, between repatriable Rupee accounts; and
- e) Payment for permitted foreign investment into India enabled out of SRVA balances.

As of May 2026, LCAs have been entered into with four jurisdictions (the UAE, Indonesia, the Maldives and Mauritius) and SRVAs have been opened by correspondent banks in 35 partner countries (as per FEDAI SRVA Directory).

There has been a considerable pick up in INR-based invoicing and settlement since July 2022. During the period August 2022 – July 2025, compound annual growth rate (CAGR) of imports and exports invoiced in INR has been 20.9 per cent and 12.7 per cent, respectively. Further, latest data on trade invoicing and settlement in INR (2025-26) exhibit a y-o-y growth for export invoicing (6.5 per cent), import invoicing (9.5 per cent), export settlement (2.7 per cent) and import settlement (41.2 per cent), over the corresponding period of the previous year (Tables 1 and 2).

(Contd.)

⁵ Reserve Bank Notification Number FEMA 5(R)/2016-RB dated April 1, 2016.

⁶ Reserve Bank Notification Number FEMA 10(R)/2015-RB dated January 21, 2016.

Table 1: INR Invoicing for India's Trade

(₹ crore)			
Period (April-March)	2023-24	2024-25	2025-26
1	2	3	4
Imports	1,94,162 (3.7)	2,59,940 (4.5)	2,84,688 (4.7)
Exports	2,86,794 (5.9)	3,07,281 (5.9)	3,27,370 (6.2)

Notes: 1. Figures in parentheses indicate percentage share of INR.
 2. Exports include goods and software while imports include only goods.
 3. All figures are based on AD bank reporting on EDPMS/IDPMS portal and hence are subject to updates/corrections from time to time.

Sources: EDPMS and IDPMS.

The INR internationalisation process has been mutually beneficial to all trading partners, and based on the principles of reciprocity, it has given a fillip to trade invoicing in several other emerging market currencies. Several additional measures have been taken in this regard, such as (i) enabling deployment of surplus balances in SRVAs in

Table 2: INR Settlement for India's Trade

(₹ crore)			
Period (April-March)	2023-24	2024-25	2025-26
1	2	3	4
Imports	99,680 (1.8)	1,13,088 (1.9)	1,59,691 (2.5)
Exports	1,75,086 (3.6)	1,67,448 (3.2)	1,71,916 (3.0)

Notes: 1. Figures in parentheses indicate percentage share of INR.
 2. Exports include goods and software while imports include only goods.
 3. All figures are based on AD bank reporting on EDPMS/IDPMS portal and hence are subject to updates/corrections from time to time.

Sources: EDPMS and IDPMS.

eligible corporate debt, and (ii) permitting AD banks to lend in INR to non-residents (who are resident of Nepal/Bhutan/Sri Lanka including banks in such jurisdictions) for trade transactions.

Source: RBI.

V.34 A comprehensive digitisation initiative has been undertaken to consolidate all pertinent foreign investment data onto the Foreign Investment Reporting and Management System (FIRMS) platform. Eventually, this would enable authorised stakeholders and AD banks to generate electronic foreign investment acknowledgements through FIRMS.

V.35 Effective April 2025, exporters have been enabled to realise and repatriate full export proceeds of goods exported to *Bharat Mart* (a multimodal logistics network-based marketplace in the UAE) within nine months from date of sale of goods from the warehouse. Moreover, subject to reasonableness and without pre-conditions, they may open/hire warehouses and remit funds for initial as well as recurring expenses for setting up and continuing business operations of their offices.

V.36 Instances of issuance of partly paid units (PPUs) to PROIs by investment vehicles in India prior to their enablement with effect from March

2024, were permitted to be regularised through compounding, subject to completion of requisite administrative action including reporting thereof by alternative investment funds (AIFs). Accordingly, it was clarified in May 2025 that investment vehicles may report pre-circular issuances of PPUs within 180 days from the date of said clarification. The 30-day reporting timeline, however, continues for post-circular issuances of PPUs by investment vehicles, in accordance with reporting framework regulations.

V.37 Effective June 2025, importers have been allowed to make advance remittance for import of shipping vessels, without bank guarantee, or an unconditional, irrevocable standby letter of credit, up to US\$ 50 million, subject to certain conditions.

V.38 In June 2025, through an amendment to the FEM (Non-Debt Instruments) Rules, 2019, Indian companies engaged in sectors or activities where FDI is prohibited, were permitted to issue bonus shares to pre-existing shareholders classified as PROIs, subject to no change in

the post-issuance shareholding pattern of the investee Indian companies. Further, any bonus shares issued to such shareholders prior to the date of enablement of this provision would be deemed to have been issued in accordance with applicable provisions under FEMA.

V.39 To encourage the opening of SRVAs through rationalisation of the process, AD banks, in August 2025, have been allowed to open SRVAs of overseas correspondent banks without referring to the Reserve Bank for approval.

V.40 Through an amendment to Foreign Exchange Management (Foreign currency accounts by a person resident in India) Regulations, 2015⁷, from October 2025, Indian exporters have been permitted to repatriate unutilised funds, after adjusting for forward commitments, from the date of receipt in the foreign currency account opened with banks outside India, within: (a) three months in case of accounts maintained with banks in an international financial services centre (IFSC); or (b) next month for all other jurisdictions.

V.41 To promote cross-border trade transactions in INR and afford INR liquidity/resources to PROIs for undertaking such transactions, AD banks, from October 2025, have been permitted to lend in INR to persons resident in Bhutan, Nepal, or Sri Lanka, including banks in these jurisdictions. This is also expected to reduce dependency on and/or requirement of inter-central bank swap in local currencies, inter-governmental lines of credit or special permissions for lines of credit by AD banks in India.

V.42 To facilitate merchanting traders to manage their trade transactions efficiently, it was decided in October 2025 to increase the time period for outlay of foreign exchange for merchanting trade transactions from four to six months.

V.43 To facilitate timely closure of entries in EDPMS⁸ and IDPMS⁹, and to reduce compliance burden on the exporters/importers, AD banks were advised in October 2025 to reconcile and close entries (including outstanding entries) in EDPMS and IDPMS of value equivalent up to ₹10 lakh per entry/bill, based on a declaration provided by the concerned exporter that the amount has been realised or by the concerned importer that the amount has been paid, and to accept any reduction in declared value or invoice value based on declaration. AD banks were further advised to review charges levied for handling small-value export and import transactions, ensuring that the same are commensurate with services rendered, and to not levy any penal charges for delays in adherence to any regulatory guidelines.

V.44 In November 2025, the time period for realisation and repatriation of full export value of goods/software/services exported from India was extended from nine to 15 months from the date of export from India, enabling exporters to better deal with global headwinds impacting their businesses. Moreover, the time period for shipment of goods has been extended from one to three years from date of receipt of advance payment (for exports) or as per agreement, whichever is later, in alignment with some recent policy amendments by the Directorate General of Foreign Trade.

⁷ Reserve Bank notification number FEMA 10(R)/2015-RB dated January 21, 2016.

⁸ Export data processing and monitoring system.

⁹ Import data processing and monitoring system.

V.45 On a review of the extant export/import of currency framework towards streamlining of the two, it was decided, in December 2025, to allow a person, not being a citizen of Pakistan or Bangladesh, to: take or send out of India to Nepal or Bhutan, and bring into India from Nepal or Bhutan, currency notes of Government of India and Reserve Bank of India notes for any amount in denominations up to ₹100; take out of India to Nepal or Bhutan and bring into India from Nepal or Bhutan, notes of denominations of above ₹100 up to a total limit of ₹25,000.

V.46 Foreign Exchange Management (Export and Import of Goods and Services), Regulations, 2026 were published in January 2026 in the Official Gazette. The regulations are primarily principle-based, have governing provisions for both goods and services trade, and are intended to promote ease of doing business, especially for small exporters and importers. The regulations will come into effect from October 1, 2026.

V.47 The ECB framework has been comprehensively rationalised *vide* an amendment in February 2026, entailing, *inter alia*: (a) expansion of eligible borrower and recognised lender base to enhance opportunities of credit flow; (b) linking borrowing limit with financial strength of the borrower; (c) liberalisation of end-use restrictions and minimum average maturity period requirements; (d) enabling availing of ECB at market-determined interest rates; and (e) simplification of reporting requirements to ease compliance obligations.

Agenda for 2026-27

V.48 During 2026-27, the Department plans to achieve the following goals:

- Rationalisation of the Foreign Exchange Management (Mode of Payment and

Reporting of Non-Debt Instruments) Regulations, 2019: A comprehensive review;

- Review of Foreign Exchange Management (Foreign Currency Accounts by a Person Resident in India) Regulations, 2015;
- Review of Deposits Regulations, 2016;
- Review of Foreign Exchange Management (Insurance) Regulations, 2015;
- Rationalisation of the Foreign Exchange Management (Non-Debt Instruments) Rules, 2019;
- Review of FEM [Establishment in India of a branch office (BO) or a liaison office (LO) or a project office (PO) or any other place of business] Regulations, 2016; and
- Review of Foreign Exchange (Compounding Proceedings) Rules, 2024.

5. CONCLUSION

V.49 During 2025-26, the Reserve Bank continued to focus on further developing and deepening financial markets through several initiatives, including rationalising external sector regulations for increased ease of doing business and encouraging the adoption of INR for cross-border transactions. Going forward, the liquidity operations would continue to be in sync with the stance of monetary policy, while the foreign exchange operations would be principle-based, guided by the objective of ensuring orderly movements in the exchange rate of the INR.

VI

REGULATION, SUPERVISION AND FINANCIAL STABILITY

The Reserve Bank continued its endeavour to build a resilient and sound financial system during the year. Various measures were undertaken for enhancing cyber resilience along with a greater focus on fostering innovation and usage of advanced and technology-enabled supervisory tools. Sustained efforts were also made for further improving grievance redressal framework.

VI.1 The domestic financial system remained stable and robust during the year. The Reserve Bank continued with its efforts to promote responsible innovation and leverage on technology for an effective and efficient supervision along with a focus on enhancing cyber security. The regulatory framework was fine-tuned as per the evolving requirements of the Indian economy while adapting to international best practices.

VI.2 This chapter discusses the regulatory and supervisory measures undertaken during 2025-26 to strengthen the financial system and preserve financial stability. The Department of Regulation (DoR) undertook major exercise to consolidate the existing regulatory instructions. The FinTech Department expanded the scope and coverage of Central Bank Digital Currency (CBDC) pilots, Unified Lending Interface (ULI) and MuleHunter.ai™, while the Department of Supervision (DoS) initiated measures to enhance cyber mapping of financial systems. The Consumer Education and Protection Department (CEPD) continued with its efforts towards augmenting consumer awareness and strengthening grievance redress mechanism.

VI.3 The rest of this chapter is divided into five sections. Section 2 deals with the mandate and

functions of the Financial Stability Department (FSD). Section 3 dwells upon regulatory measures undertaken by the DoR along with activities of the FinTech Department. Section 4 covers supervisory measures undertaken by the DoS and enforcement actions carried out by the Enforcement Department (EFD). Section 5 highlights the role played by CEPD and Deposit Insurance and Credit Guarantee Corporation (DICGC) in protecting consumer interests, spreading awareness and upholding consumer confidence. The agenda of these departments for 2026-27 are covered in their respective sections. Concluding observations are set out in the last section.

2. FINANCIAL STABILITY DEPARTMENT

VI.4 The FSD monitors risks to macrofinancial stability and assesses the resilience of the financial system by undertaking macroprudential surveillance. It works as the secretariat to the Sub-Committee of the Financial Stability and Development Council (FSDC-SC), an inter-regulatory institutional forum which looks into the matter of financial stability, financial sector development and inter-regulatory coordination. The FSD brings out half-yearly Financial Stability Report (FSR), which presents the FSDC-SC's collective assessment of key macrofinancial risks to financial stability in India.

Agenda for 2025-26

VI.5 The Department had set out the following goals for 2025-26:

- To enhance the stress testing framework further, a liquidity stress test framework for non-bank financial companies (NBFCs) will be developed in-house. Further, the extension of macro stress test to the urban cooperative banks (UCBs) sector (Tier 3 and Tier 4) will be explored. In addition to extending the stress testing framework, the Department also plans to assess the impact of climate transition risk on major carbon intensive sectors and its impact on balance sheets of banks having exposure to emission intensive sectors (Paragraph VI.6 – VI.7); and
- ‘Growth-at-Risk’ model will be developed for understanding how financial conditions and the level of financial vulnerabilities contribute to the possibility of future episodes of weak economic growth by linking current macrofinancial conditions to the distribution of future growth (Paragraph VI.7).

Implementation Status

VI.6 Liquidity stress test framework for NBFCs is at an advanced stage of development. The Department has explored the feasibility of developing a macro stress test framework for the UCBs sector (Tier 3 and Tier 4), in line with that of scheduled commercial banks (SCBs).

VI.7 Climate transition risks of major carbon intensive sectors have been assessed using data on Scope 1 emissions¹ of listed companies. Using hypothetical stress scenarios, the impact of such risks on financial performance of firms and consequent spillover on banks have been assessed. The Department has also developed a model using the IMF’s ‘Growth-at-Risk’ framework to estimate the impact of financial vulnerabilities on India’s GDP growth.

Agenda for 2026-27

VI.8 In the year ahead, the Department will focus on the following:

- Review and improve the current framework of financial network and contagion analysis; and
- Assess climate risks using hypothetical stress scenarios for key sectors.

3. REGULATION OF FINANCIAL INTERMEDIARIES

Department of Regulation

VI.9 The Department of Regulation is the nodal Department for regulation of commercial banks, cooperative banks, NBFCs, credit information companies (CICs) and all-India financial institutions (AIFIs)². It aims at, *inter alia*, ensuring a healthy and competitive financial system while dispensing cost effective and inclusive financial services.

¹ Emissions that occur from sources that are controlled or owned by an organisation.

² Export-Import (EXIM) Bank, National Bank for Agriculture and Rural Development (NABARD), National Housing Bank (NHB), Small Industries Development Bank of India (SIDBI) and National Bank for Financing Infrastructure and Development (NaBFID).

Agenda for 2025-26

VI.10 The Department had set out the following goals for 2025-26:

- Issuance of harmonised regulations on 'Income Recognition, Asset Classification and Provisioning Pertaining to Advances' to regulated entities (REs) [Paragraph VI.11];
- Comprehensive review of all non-fund based (NFB) contingent facilities issued by lending institutions (Paragraph VI.12);
- A draft regulatory framework for all forms of co-lending arrangements among REs was issued for public comments on April 9, 2025. Final guidelines would be issued post examination of the comments received (Paragraph VI.13);
- *Framework for Securitisation of Stressed Assets*: Discussion Paper was issued in January 2023, on which suggestions were received from the various stakeholders. Based on the same, the draft framework has been issued for public comments on April 9, 2025 and final guidelines are proposed to be issued post examination of the same (Paragraph VI.14);
- Draft guidelines on Expected Credit Loss (ECL) framework (Paragraph VI.11);
- *Final Phase of Basel III Implementation*: (a) Issuance of draft guidelines on standardised approach for credit risk; (b) Issuance of final guidelines on market risk; and (c) Updating Pillar 3 disclosure requirements in alignment with the Basel III framework of Basel Committee on Banking Supervision (BCBS) [Paragraphs VI.15 and VI.16];
- Issuance of guidelines on standardised approach to counterparty credit risk (SA-CCR) [Paragraph VI.17];
- Regulatory principles on model risk management (Paragraph VI.18);
- Issuance of prudential guidelines on climate risk for banks. This includes issuance of final guidelines on disclosure of climate related financial risks and guidance on climate scenario analysis and stress testing (Paragraph VI.19);
- Operationalisation of the data repository - Reserve Bank - Climate Risk Information System (RB-CRIS) [Paragraph VI.19];
- Issuance of principles for effective management and supervision of climate related financial risks (Paragraph VI.19);
- Review of the framework for acceptance of green deposits (Paragraph VI.19);
- Guidelines on sustainability linked loans (Paragraph VI.19);
- Suitable guidelines to address mis-selling of financial products and services by REs (their own as well as third-party) [Paragraph VI.20];
- Issuance of 'Frequently Asked Questions (FAQs)' on the Master Direction on Know Your Customer (KYC) [Paragraph VI.21];
- Review of regulations on internet and mobile banking for all banks (Paragraph VI.22);
- Differentiated regulatory framework for Type I - NBFCs, i.e, NBFCs without public funds and customer interface (Paragraph VI.23);

- Development of a platform namely 'Regulatory Application Management System' (RAMS) to undertake an end-to-end digital transformation of its internal processing of regulatory applications to ensure a lifecycle approach to regulation of any regulated entity (Paragraph VI.24); and
- Consolidation of existing guidelines on regulatory matters into entity-wise Master Directions (Paragraph VI.25).

Implementation Status

VI.11 The final Reserve Bank of India (Commercial Banks - Asset Classification, Provisioning and Income Recognition) Directions, 2026 incorporating ECL framework for provisioning were issued on April 27, 2026. These Directions, *inter alia*, provide for introduction of a staging framework for asset classification, adoption of a forward-looking provisioning approach and adoption of effective interest rate (EIR) method. These are intended to further strengthen credit risk management practices, improve comparability across regulated entities, and align the regulatory framework more closely with internationally accepted financial reporting principles.

VI.12 Comprehensive guidelines on NFB credit facilities such as guarantees, letters of credit and co-acceptances were issued on August 6, 2025. The guidelines explicitly recognised electronic guarantees, introduced prudential safeguards, including specific limits on the issuance of guarantees by co-operative banks, regional rural banks (RRBs) and local area banks (LABs). The guidelines expand the list of regulated entities permitted to issue partial credit enhancement (PCE) and rationalise the capital requirements for PCE.

VI.13 The extant guidelines on co-lending were limited to priority sector loans. Accordingly, revised Directions on co-lending, expanding the framework to all loans, were issued on August 6, 2025. The Directions clearly delineated roles and responsibilities of originating and partner RE, stipulated reduction in minimum share of individual loans to be retained by REs under co-lending agreement (CLA) from 20 per cent to 10 per cent; and extended first-loss default guarantee cover up to 5 per cent.

VI.14 The public comments received on the draft framework on securitisation of stressed assets were examined in detail. Further consultations with specific identified stakeholders are underway.

VI.15 Draft Directions on the capital charge for credit risk - standardised approach under the Basel III standards were issued on October 7, 2025, and final directions after examining the feedback were released on April 27, 2026. Major changes proposed, *inter alia*, include introduction of more granular and risk-sensitive approaches for risk-weighting, lower risk weight for unrated MSMEs, with an expanded coverage of MSMEs and realignment of the credit conversion factors for non-market off-balance sheet exposures. The revised standards shall be effective from April 1, 2027.

VI.16 Market risk guidelines are under finalisation based on the feedback received on the draft guidelines and the impact analysis of proposed guidelines. Draft guidelines on Pillar 3 disclosure requirements in alignment with the Basel III framework have been issued for public comments on May 19, 2026.

VI.17 The draft SA-CCR guidelines are under finalisation, with a detailed impact study of the guidelines already completed.

VI.18 The draft Directions on model risk management, applicable to all models including those using artificial intelligence (AI)/machine learning (ML), while also duly incorporating recommendations of the Framework for Responsible and Ethical Enablement of Artificial Intelligence (FREE-AI) Committee, are under final stages of completion.

VI.19 A suite of climate related initiatives, including disclosure norms, scenario analysis, stress testing guidance, RB-CRIS data repository, among others, are at advanced stages of implementation in sync with the progress in the broader ecosystem capacity and maturity.

VI.20 The draft Amendment Directions on 'Advertising, Marketing and Sales of Financial Products and Services by Regulated Entities' addressing the issues related to mis-selling of financial products and services have been issued on February 11, 2026 for public consultation.

VI.21 The FAQs on the Master Direction on Know Your Customer (KYC) were issued on June 9, 2025. The same have now been appropriately subsumed in the KYC Directions, 2025.

VI.22 The draft Directions on 'Digital Banking Channels Authorisations, 2025' were issued on July 21, 2025 which updated the prudential as well as technological criteria for all digital banking channels, including mobile banking and internet banking. Based on the detailed examination of the stakeholders' views, entity-wise final Master Directions (MDs) were subsequently issued on November 28, 2025, effective January 1, 2026.

VI.23 The regulatory framework applicable to NBFCs not accessing public funds and not having

customer interface (including 'Type I NBFCs') has been reviewed comprehensively and draft Amendment Directions were issued for public comments on February 10, 2026 proposing, *inter alia*, exemption from registration requirement to these NBFCs with asset size of less than ₹1,000 crore, subject to the specified conditions, and other related aspects. Based on the detailed examination of the public comments/feedback, the final Amendment Directions were issued on April 29, 2026.

VI.24 The RAMS project is being implemented across the Department in three phases. The requirement gathering and technical development for Phase I has been completed and is ready for deployment. Concurrently, the requirement gathering for Phase II has been initiated.

VI.25 Under the 'Consolidation of Regulations' exercise, more than 11,000 instructions were consolidated into 244 MDs (237 *plus* seven new MDs on 'Digital Banking Channels Authorisation' for seven types of REs) on an 'as-is' basis, across 11 types of REs, and were cohesively organised across various regulatory areas (Box VI.1). These MDs will serve as the sole library of regulations administered by the Department. The consolidation exercise is expected to reduce the compliance cost for REs and serve as a major step towards ease of doing business.

Major Developments³

Basel III Framework on Liquidity Standards - Liquidity Coverage Ratio (LCR) Norms

VI.26 To strengthen banks' short-term liquidity resilience and further align with Basel III Liquidity Standards, LCR guidelines were amended *vide*

³ This sub section highlights the major circulars/guidelines issued by the DoR. Annex of this Report provides a comprehensive department-wise chronology of policy announcements during April 2025-March 2026.

Box VI.1

Regulatory Communication - A Paradigm Shift

From the regulatory perspective, the Reserve Bank implements a robust framework designed to establish and maintain a stable financial system. With growing complexity of the banking and financial system and widening of the regulatory parameter, regulatory instructions increased progressively, leading to compliance burden for REs and difficulty in access for stakeholders. To improve ease of access and maintain optimal number of Master Directions (MDs), the Reserve Bank recently undertook a major exercise for consolidating its regulatory instructions into MDs, which encompass all current regulatory measures/requirements.

The consolidation exercise was done on an 'as-is' basis, *i.e.*, without review of any regulatory instructions. Separate MDs were prepared based on the applicability to each type of REs, on each area of regulatory instructions. More than 11,000 circulars/instructions were screened and consolidated into 244 MDs, organised around 30 functions/areas of regulatory instructions across 11 types of REs (Table). Routine and administrative instructions like inclusion in the Second Schedule of the Reserve Bank of India Act were classified as standalone circulars and aggregated in one place on the website for ease of reference. In consultation with NABARD, regulatory instructions issued to RRBs, state co-operative banks and central co-operative banks were also consolidated. Following the consolidation, 9,445 circulars (including master circulars/MDs) were repealed in the area of regulation.

Draft MDs were uploaded on the Reserve Bank's website for public comments, and more than 770 comments were received from various stakeholders. Relevant suggestions like drafting errors, duplication of instructions, minor omissions, *etc.*, were considered before releasing the consolidated final MDs on the website on November 28, 2025.

The consolidation and consequent repeal of circulars is expected to significantly improve the accessibility of

Table: Master Directions Post Consolidation
Exercise

Regulated Entity	Number of Master Directions
1. Commercial Banks	32
2. Small Finance Banks	30
3. Payments Banks	17
4. Local Area Banks	25
5. Regional Rural Banks	22
6. Urban Co-operative Banks	26
7. Rural Co-operative Banks	25
8. All India Financial Institutions	19
9. Non-Banking Financial Companies	35
10. Asset Reconstruction Companies	4
11. Credit Information Companies	2
Digital Banking Channels Authorisation [#]	7
Total	244

[#]: Seven new RE-wise MDs on Digital Banking Channels Authorisation were issued.

Source: RBI.

regulatory instructions for REs, thereby reducing their compliance cost, as well as to improve the clarity on applicability of each regulatory instruction to each type of RE. The exercise received widespread coverage in the media, with majority response pointing out to the ease of access of these regulations and the need to continue with regulatory reforms enabling achievement of India's developmental goals.

Post the consolidation exercise, Department of Regulation has constituted a Regulatory Review Cell with a mandate to ensure structured and systematic review of regulations in a time bound manner. The internal review of regulations, through the channel of the Advisory Group on Regulation, has commenced with the review of Master Directions issued for a functional area in the quarter ended March 2026.

Source: RBI.

circular dated April 21, 2025, effective April 1, 2026. Key changes include: (i) 2.5 per cent additional run-off factor for retail deposits and unsecured wholesale funding from non-financial

small business customers with internet and mobile banking access; (ii) haircuts on the market values of government securities (G-secs) classified as level 1 high quality liquid assets (HQLA) to

match margin requirements under the liquidity adjustment facility (LAF) and marginal standing facility (MSF); and (iii) clarifying that other legal entities (OLE) category shall consist of all deposit and other funding from banks/insurance companies and financial institutions and entities in the business of financial services.

Framework for Formulation of Regulations and Regulatory Review Mechanism

VI.27 The Framework for Formulation of Regulations, issued on May 7, 2025, lays down broad principles for formulation, amendment and review of regulations by the Reserve Bank, ensuring a standardised, transparent and consultative approach. Additionally, an institutional mechanism has been operationalised with effect from October 1, 2025 through creation of a Regulatory Review Cell and an external Advisory Group on Regulation (AGR) to ensure periodic, structured review of regulations leveraging stakeholder engagement and industry expertise. Further, 'Connect 2 Regulate' platform was also launched to broaden the involvement of stakeholders in policy formulation and review, with the objective of making the process more consultative.

Reserve Bank of India (Digital Lending) Directions, 2025

VI.28 Final consolidated directions on digital lending were issued on May 8, 2025 to streamline existing instructions and strengthen consumer protection. The framework introduces two key reforms: (i) mandatory display of comprehensive digital view of all matched loan offers with standardised disclosures as also the name(s) of the unmatched lender(s); and (ii) operationalisation of a public directory of digital lending apps (DLAs) to enable borrower verification and curb unauthorised lending applications.

Lending Against Gold and Silver Collateral

VI.29 Final Directions were issued on June 6, 2025 to address prudential and conduct-related gaps across REs and improving credit availability to borrowers requiring small value loans. The framework revises the loan-to-value (LTV) ratios (85 per cent for loans up to ₹2.5 lakh, and at 80 per cent for loans above ₹2.5 lakh but up to ₹5 lakh, with continuation of previous limit of 75 per cent for loans above ₹5 lakh) and removes restriction on co-operative banks and RRBs for bullet repayment of loans against gold collateral.

Review of Reserve Bank of India (Know Your Customer) Directions, 2025

VI.30 To ease the processes of 'KYC' and 'upgradation of KYC' for customers as well as REs, instructions were issued on June 12, 2025 and August 14, 2025. Key reforms include: (i) Central KYC Record Registry (CKYCR) as first reference point for KYC; (ii) use of business correspondents (BCs) for KYC upgradation; (iii) No denial of services to public, especially the economically/socially disadvantaged, including the persons with disabilities (PwDs); (iv) all transactions allowed for low-risk individual customers and upgradation of KYC within one year from the due date or June 30, 2026, whichever is later; and (v) mandatory intimations for periodic upgradation of KYC.

Reserve Bank of India (Project Finance) Directions, 2025

VI.31 Final directions were issued on June 19, 2025 establishing a principle-based regime for resolution of stress in project finance. Key measures included permitting deferment of date of commencement of commercial operations (DCCO) [up to 2 years for non-infra and 3 years for infra] without asset classification downgrade, and risk mitigation requirements such as

mandatory common loan agreements, minimum land availability prior to disbursal, and enhanced lender participation.

Investment in Alternate Investment Fund (AIF)

VI.32 Final guidelines to cap individual contribution of an RE to 10 per cent of the corpus (20 per cent collectively across REs) were issued on July 29, 2025. Certain flexibility has been provided to REs to invest in AIFs with downstream investment in debtor companies.

Pre-payment Charges on Loans

VI.33 Final instructions were issued on July 2, 2025 removing pre-payment charges on specified floating rate loans to individuals and MSEs (subject to thresholds), and addressing restrictive contractual practices.

Settlement of Claims in Respect of Deceased Customers of Banks

VI.34 Final instructions were issued on September 26, 2025 establishing a harmonised framework with standardised documentation to ease claim settlement for nominees and legal heirs in respect of deposit accounts, safe deposit locker and articles in safe custody of a deceased customer.

Reserve Bank of India (Interest Rate on Advances) Amendment Directions, 2025

VI.35 The framework governing floating rate loans was amended on September 29, 2025 to allow banks to reduce the spread components, excluding the credit risk premium, at a shorter periodicity than once in three years for customer retention, on justifiable grounds, in a non-discriminatory manner, and in terms of the bank's policy. Further, REs may, at their option, provide a choice to the borrowers to switch over to a

fixed rate at the time of reset, as per their Board approved policy.

Scheme for Facilitating Accelerated Payout - Inoperative Accounts and Unclaimed Deposits

VI.36 To encourage the banks to actively pursue customers/depositors for re-activation of their inoperative accounts and return of their unclaimed amounts lying with Depositor Education and Awareness (DEA) Fund, the Reserve Bank launched a 'Scheme for Facilitating Accelerated Payout - Inoperative Accounts and Unclaimed Deposits'. The Scheme aims to reduce both the stock of existing unclaimed deposits and fresh accretion of flows to the DEA Fund. It will run for a period of one year, viz., October 1, 2025 to September 30, 2026.

Reserve Bank of India (Trade Relief Measures) Directions, 2025

VI.37 To mitigate the impact of trade disruptions on exports arising from global headwinds, trade relief measures were issued on November 14, 2025, providing relief to eligible borrowers. These measures, *inter alia*, include: (a) moratorium on payment of all instalments (principal and/or interest) falling due in term loan between September 1, 2025 and December 31, 2025; (b) deferment of recovery of interest applied in respect of all working capital facilities during the period; and (c) application of interest on accrual but simple interest basis during the moratorium/deferment period.

Gold Metal Loans

VI.38 Revised instructions were issued on December 4, 2025. The scope of eligible borrowers was expanded to include a wider category of jewellers (*i.e.*, entities who either manufacture and/or sell jewellery in domestic

and/or export markets), and repayment tenor for non-exporters was extended up to 270 days, aligned with working capital cycles (revised upward from earlier 180 days).

Repeal of Guidelines on Enhancing Credit Supply for Large Borrowers through Market Mechanism

VI.39 Existing guidelines were repealed on December 4, 2025, effective January 1, 2026, as the broader objective of reducing bank dependence of large borrowers had been largely achieved. Banks are now required to internally monitor risks from highly leveraged large exposures.

Business Authorisation for Co-operative Banks

VI.40 Final Directions on business authorisation for co-operative banks were issued on December 4, 2025 striking a balanced approach, empowering co-operative banks with enhanced operational autonomy while embedding robust safeguards. The calibrated relaxation of authorisation norms intends to facilitate expanding credit outreach, leveraging technology-driven solutions, and supporting localised development priorities.

Review of Guidelines on Basic Savings Bank Deposit (BSBD) Accounts

VI.41 Revised final guidelines were issued on December 4, 2025 enhancing benefits in a BSBD account, including expanded free services, digital banking access, simplified conversion, and removal of restrictions on holding other accounts.

Maintenance of Cash Credit Accounts, Current Accounts and Overdraft Accounts

VI.42 Revised instructions were issued on December 11, 2025 to strengthen credit discipline and facilitate better monitoring of transactions and utilisation of funds with no restrictions placed

on opening of cash credit accounts. Banks having minimum 10 per cent share (either in banking system's aggregate exposure to a borrower or banking system's aggregate fund-based exposure to a borrower) can maintain current accounts and overdraft accounts without restrictions. Banks not meeting the criteria can maintain collection accounts.

Lending to Related Parties

VI.43 Revised Directions were issued on January 5, 2026 strengthening governance and conflict management. Key reforms include overall responsibility on the Board, mandatory recusal of interested parties, and introduction of the concept of 'Reciprocally Related Person' to address *quid pro quo* lending risks.

Ceiling on Continuous Tenure of Director of Cooperative Banks

VI.44 Draft amendment Directions pertaining to governance of UCBs and rural cooperative banks (RCBs) were issued on January 8, 2026, which prescribe a mandatory three-year cooling-off period after 10 years of continuous tenure before a Director can re-join the same bank's Board. This measure reinforces corporate governance in the sector while still permitting Directors to serve on other banks' Boards during the cooling-off period if otherwise eligible.

Relief Measures in Areas Affected by Natural Calamities

VI.45 Revised draft Directions were issued on January 27, 2026 on exposures affected by natural calamities. These guidelines empowers REs to design and implement resolution plans with dedicated windows prescribed for invoking the resolution framework. Restructured exposures retain 'Standard' classification, accrual-based

income recognition, and lower additional provisioning compared to other restructured assets. Final Directions were issued on April 29, 2026.

Review of Lending Norms for UCBs

VI.46 Draft Directions were issued on February 10, 2026 which after examination of public feedback was updated in final Directions issued on April 29, 2026. The Directions rationalised the definition of unsecured advances, enhanced loan limits for unsecured advances (individual as well as bank level⁴), specified certain disclosure requirements and deregulated the tenor and moratorium requirements for housing loans for Tier 3 and Tier 4 UCBs, among others.

Reserve Bank of India (Capital Market Exposure) Amendment Directions, 2026

VI.47 Revised framework was issued on March 30, 2026 (effective July 1, 2026). Key changes include rationalised limits for lending against securities to individuals, updated norms for exposures to capital market intermediaries, and permitting financing by commercial banks (excluding SFBs) for acquisition of control in companies, subject to prudential safeguards.

Review of Framework of Limiting Customer Liability in Digital Transactions

VI.48 Instructions on limiting liability of customers in unauthorised electronic banking transactions were reviewed and draft instructions were issued on March 6, 2026, which, *inter alia*, propose to enhance the scope of existing instructions on limiting liability of customers to cover other categories of fraudulent electronic banking transactions, reduce the time taken by

banks to process complaints related to fraudulent electronic banking transactions, and introduce a compensation mechanism for small value fraudulent electronic banking transactions.

Review of Guidelines on Declaration of Dividend

VI.49 The Reserve Bank issued the revised instructions on declaration of dividend by commercial banks on March 10, 2026. These guidelines are aimed at enabling the banks with higher net profits, lower net non-performing assets and higher cushion in terms of capital adequacy to be eligible to declare higher dividends.

Agenda for 2026-27

VI.50 During 2026-27, the Department will focus on the following key deliverables:

- Strengthening of Central KYC Records Registry (CKYCR) Framework: Implementation of customer identification procedure confidence level (CCL) framework by REs;
- Extending video-based customer identification process (V-CIP) for onboarding non-resident Indian customers from offshore locations;
- Review of Directions on responsible business conduct;
- Review of Directions on interest rates on advances;
- Review of Directions on credit risk management;
- Review of market mechanisms for credit risk distribution; and
- Framework for shared loan arrangements.

⁴ Aggregate ceiling for such advances by UCBs was revised to 20 per cent of total loans and advances from the ceiling of 10 per cent of total assets.

FinTech Department

VI.51 The FinTech Department is entrusted with the responsibility of fostering innovation in the FinTech ecosystem, while remaining vigilant and addressing the associated risks.

Agenda for 2025-26

VI.52 The Department had set out the following goals for 2025-26:

- Expanding the scope and coverage of CBDC and introducing new use cases and features (Paragraph VI.53 - VI.55);
- Introducing business-to-customer (B2C) functionality in Unified Lending Interface (ULI) [Paragraph VI.56];
- Scaling up 'MuleHunter.ai™' (Paragraph VI.57); and
- Preparing a framework for responsible and ethical adoption of AI in financial sector (Paragraph VI.58).

Implementation Status

VI.53 User level programmability was introduced in the retail segment of CBDC, enabling individual users to send programmable money to other individuals. Bharat Interface for Money (BHIM) has also been enabled to discover existing CBDC wallets. At the institutional level, multiple government agencies commenced pilots in various direct benefit transfer (DBT) schemes leveraging programmability feature of CBDC to ensure productive utilisation of public funds.

VI.54 In case of offline CBDC, both proximity based (Near Field Communication) and non-proximity based (SMS) solutions are being tested. In the wholesale segment, the existing pilots on secondary market trades settlement of G-Secs and inter-bank borrowing segment were

expanded. Further, the Reserve Bank is actively engaging in developing cross-border CBDC arrangements with other countries on a bilateral and multilateral basis.

VI.55 To foster innovation in CBDC and tokenisation space, the Reserve Bank announced the launch of RBI CBDC and Asset Tokenisation (CAT) Sandbox and Unified Markets Interface (UMI) during the Global Fintech Festival 2025. CAT Sandbox will enable entities to access test environments for developing, testing and demonstrating innovative CBDC and tokenisation use cases, applications, and value-added solutions. Under UMI, certificates of deposit (CDs) were the first instrument to be issued in tokenised form and settled through wholesale CBDC.

VI.56 In addition to expanding the scope of ULI, the platform usage was enhanced through onboarding of more lenders and data service providers. The development of a B2C (customer-facing) application is also underway.

VI.57 MuleHunter.ai™ leverages a diverse set of behavioural and transactional features derived from real-world fraud patterns developed based on ecosystem level learnings, to assign a confidence score (*i.e.*, probability) to each bank account, indicating its likelihood of being a mule. As on March 31, 2026, it has been implemented in 26 banks. Implementation is underway in four more banks, with plan to further scale it to more banks. The course of action, post assigning the confidence score of a suspected mule account by MuleHunter.ai™, rests with the individual banks, based on their internal assessments and conduct of enhanced due diligence procedures.

VI.58 To encourage the responsible and ethical adoption of AI in the financial sector, the Framework for Responsible and Ethical

Enablement of Artificial Intelligence (FREE-AI) Committee was constituted by the Reserve Bank on December 26, 2024, which submitted its report on August 13, 2025 (Box VI.2). The Department

is undertaking an assessment of the Committee's report and recommendations, which will help in formulation of more specific guidance for the entities in the financial sector.

Box VI.2

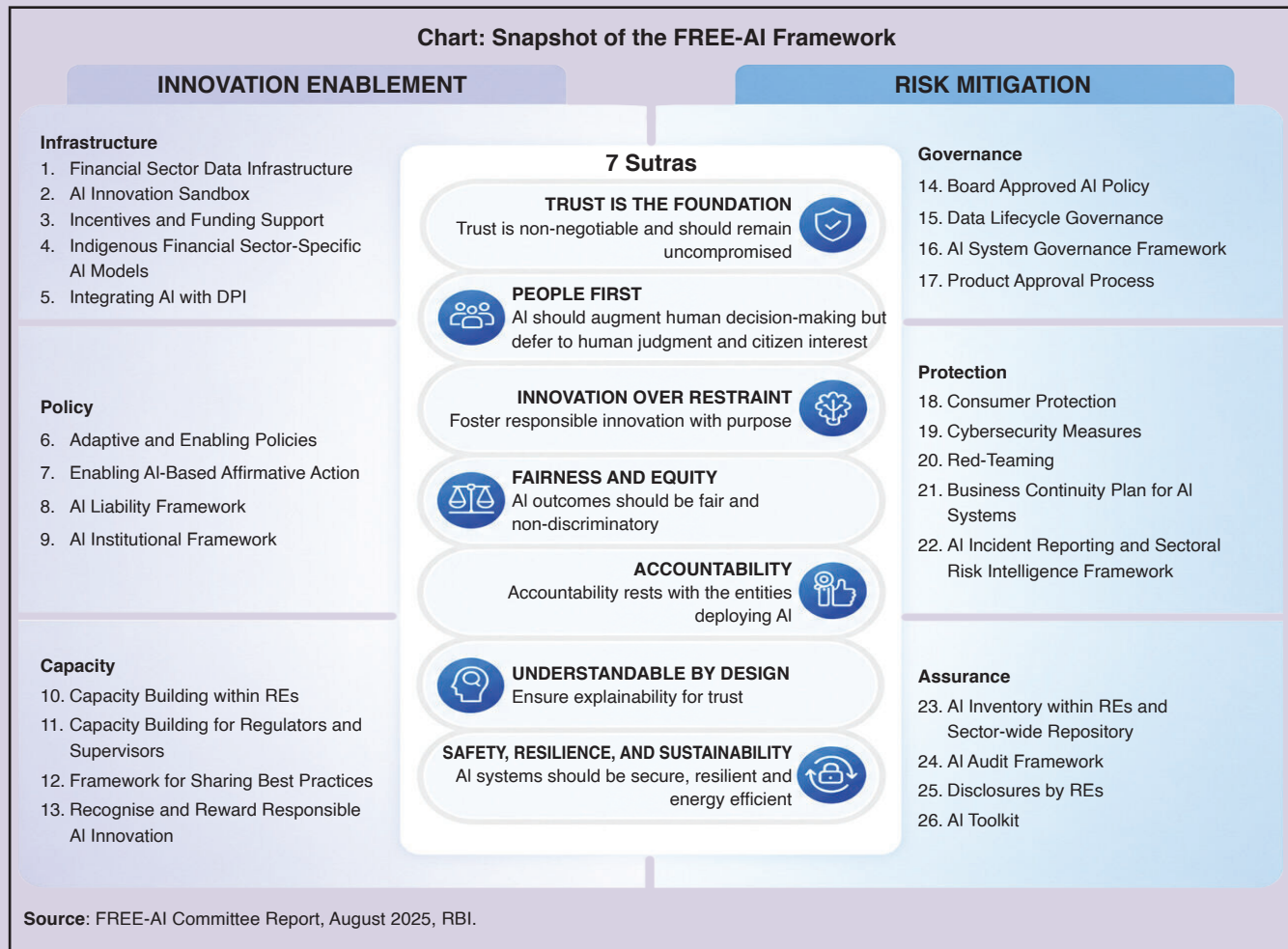
FREE-AI in the Financial Sector – Key Recommendations

The report of the FREE-AI Committee sets out the framework to guide the use of AI in the financial sector, aiming to harness its potential while safeguarding against associated risks. At the core of the framework are seven *sutras* which articulate the foundational principles for AI development, deployment, and governance (Chart). The framework is structured around six strategic pillars – (i) infrastructure; (ii) policy; (iii) capacity to enable innovation;

(iv) governance; (v) protection; and (vi) assurance to address risk. Using the *sutras* as guidance, the Committee has called for a dual focus approach – fostering innovation while ensuring effective risk mitigation.

Across these six pillars, the Committee has set out 26 recommendations, 13 each on innovation enablement and risk mitigation. Some of the key recommendations are as follows.

Chart: Snapshot of the FREE-AI Framework



(Contd...)

Innovation Enablement

- Establishing a high-quality financial sector data infrastructure as digital public infrastructure to broaden access to data and computing resources.
- Setting up an AI innovation sandbox to allow stakeholders to build and test AI-driven solutions in a secure and controlled environment. Developing indigenous, sector-specific AI models and making them available as a public good.
- Regulators to create a comprehensive AI policy framework for the financial sector.
- The Reserve Bank should consider issuing a consolidated AI guidance that can serve as a single reference point for REs and the wider FinTech ecosystem.
- Strengthening institutional capacity across all levels including boards, employees, and other stakeholders.
- Sharing of best practices within the sector, and a more flexible, risk-proportionate compliance approach for low-risk AI applications to support inclusion and drive innovation.

Risk Mitigation

- Regulated entities should establish a Board-approved AI policy and strengthen their existing governance structures across the entire AI lifecycle.
- Expand product approval processes, consumer-protection frameworks, and internal audits to cover AI-specific considerations.
- Enhance cybersecurity controls and incident-reporting mechanisms to address AI-driven vulnerabilities.
- Organisations to ensure transparency by informing consumers whenever they are interacting with AI systems, thereby supporting accountability and safer adoption of AI technologies.

Together, the seven *sutras*, six pillars, and 26 actionable recommendations articulate the Committee's vision of a financial ecosystem in which the encouragement of innovation is in harmony with the mitigation of risk.

Source: RBI.

Major Initiatives*Fourth Edition of HaRBInger*

VI.59 The Reserve Bank launched the fourth edition of its Global Hackathon – 'HaRBInger – Innovation for Transformation' on October 23, 2025, with the theme 'Secure Banking: Powered by Identity, Integrity and Inclusivity', covering three problem statements – 'Tokenised KYC', 'Offline CBDC (e₹)' and 'Enhancing Trust'. A total of 496 proposals were received, including 34 from teams from 15 other countries. The evaluation process was carried out in multiple stages comprising preliminary screening (Phase I), shortlisting for the solution development phase (Phase II) and

final evaluation (Phase III). The winners were selected by an independent jury during April 17-18, 2026 based on parameters such as innovation, solution comprehensiveness, product readiness, scalability and security.

Regulatory Sandbox (RS)

VI.60 The Reserve Bank has been operating the RS framework since 2019, under which five cohorts⁵ have been completed as on March 31, 2026 (Table VI.1). Further, the 'On-Tap'⁶ application facility under the RS, which was earlier available only for closed themes, has now been expanded to accept 'Theme Neutral' applications for testing any product or service falling within regulatory domain of the Reserve Bank.

⁵ 'Retail Payments', 'Cross-border Payments', 'MSME Lending', 'Prevention and Mitigation of Financial Frauds' and 'Theme Neutral'.

⁶ The Reserve Bank, *vide* press release dated April 9, 2025, allowed 'Theme Neutral' applications as part of the 'On-Tap' facility under the RS.

Table VI.1: Regulatory Sandbox - Testing Experience (as on March 31, 2026)

		(Number)		
Cohort	Theme	Applications Received	Shortlisted for Testing	Successfully Exited
1	2	3	4	5
1.	Retail Payments	32	6	6
2.	Cross-border Payments	27	8	4
3.	MSME Lending	22	8	5
4.	Prevention and Mitigation of Financial Frauds	9	6	3
5.	Theme Neutral	22	5	1
On Tap	Closed Cohort Themes	22	4	2
Total		134	37	21

Source: RBI.

Account Aggregator (AA) Framework

VI.61 In order to enhance the scope and quality of data shared through the AA framework, a comprehensive review of schema for deposit, term deposit, and recurring deposit accounts maintained with banks was undertaken. Accordingly, an upgraded Financial Information (FI) Schema version 2.0 was released on January 23, 2025. The FI Schema 2.0 expanded the scope of the FI with addition of new fields (such as account type, currency, CKYC registration status, etc.), defining data type to be provided for each field, and providing clarification on the mandatory and optional data fields. It was ensured that all the financial information providers (FI-Ps) providing such information implement the updated schema within a stipulated timeline to avoid any disruption to the AA ecosystem.

Engagements and Interactions with the FinTech Ecosystem

VI.62 FinTech Department continued regular engagement with FinTech ecosystem through two structured monthly platforms, 'Finteract' and 'Finquiry'. 'Finteract' sessions are conducted across various cities and regions for a dedicated discussion with the local Fintech entities, whereas

'Finquiry' provides a forum at the FinTech Department, Reserve Bank, Mumbai for FinTechs to seek clarity or discuss any matter of relevance. During 2025-26, four editions of 'Finteract' and 10 editions of 'Finquiry' have been convened, with about 450 and 1,100 participants, respectively.

Global Fintech Fest (GFF) 2025

VI.63 The Reserve Bank set up RBI Innovation Pavilion during the sixth edition of the GFF 2025, held during October 7-9, 2025 in Mumbai, showcasing the Reserve Bank's ongoing innovation initiatives such as ULI, CBDC, Regulatory Sandbox, MuleHunter.ai™, FinTech Repository and the FREE-AI framework. Additionally, the Reserve Bank in collaboration with RBIH, organised the 'FinTech Showcase' to foster collaboration and facilitate market adoption of innovative solutions by banks and financial institutions. This session also featured 14 startups associated with the Reserve Bank's initiatives such as Regulatory Sandbox, HaRBInger and FinTech repository.

VI.64 During the GFF 2025, the Reserve Bank collaborated with the Ministry of External Affairs, Government of India, which hosted 'India FinTech Connect' on October 7, 2025. The event

brought together embassies, Indian missions, and global stakeholders to engage with India's export-ready FinTech innovations. The showcase also featured select startups from HaRBInger initiative, spotlighting solutions that strengthen inclusion, trust and cross-border collaboration. During the connect, 19 Indian FinTechs pitched their products to more than 50 Indian embassies which participated virtually. Additionally, a central bankers' roundtable was also convened on the theme 'Harnessing Emerging Tech in Finance' on October 8, 2025 with participation from senior representatives from BIS Innovation Hub, Singapore; European Central Bank; and central banks of Denmark, Eastern Caribbean, Estonia, France, Mauritius, Singapore, Sri Lanka and Thailand.

Singapore FinTech Festival (SFF) 2025

VI.65 SFF is a flagship global FinTech event organised with the support of the Monetary Authority of Singapore, the Global Finance and Technology Network (GFTN), and other partners. The Reserve Bank in collaboration with the Securities and Exchange Board of India (SEBI), the International Financial Services Centres Authority (IFSCA), and the Insurance Regulatory and Development Authority of India (IRDAI), set up 'India Innovation Pavilion' during the 10th edition of the SFF) held during November 12-14, 2025. Each regulator showcased key innovations from its respective domains, highlighting India's position as one of the most dynamic and rapidly growing FinTech ecosystems.

Projects Undertaken Through Reserve Bank Innovation Hub (RBIH)

VI.66 Apart from MuleHunter.ai™, other important projects undertaken through RBIH, a wholly owned subsidiary of the Reserve Bank, are:

- (a) Unified Lending Interface (ULI) is an enterprise-grade open architecture platform, central to the operations of credit ecosystem. It ensures digital access to information from diverse data sources available on the platform, and acts as a pivotal Digital Public Infrastructure (DPI) in the lending space. As on March 31, 2026, ULI surpassed 9.6 crore application programming interface (API) hits across 12 loan journeys, and has onboarded 117 lenders, including all public sector banks, private banks, small finance banks, RRBs, district central cooperative banks (DCCBs) and NBFCs and making available 134 data services⁷. These datasets enable frictionless formal credit access for vulnerable sections of society, fostering inclusive financial growth. The universe of lenders and data/service providers, including state governments for digital land records is continuously being scaled up.
- (b) Digital Payment Intelligence Platform (DPIP) is a collaborative, technology-driven framework envisaged to strengthen fraud risk management in the digital payment ecosystem. In the first phase of DPIP, a smart registry is being developed based on suspicious/fraudulent transactions

⁷ These services include digital land records of 10 states, other diverse data from central ministries and state governments, including *Udyam* and *Udyam Assist* from the Ministry of Micro, Small and Medium Enterprises, National Rural Livelihood Mission data from the Ministry of Rural Development, Goods and Services Tax Network (GSTN) datasets from the Department of Revenue, and digital dairy records from cooperatives.

reported by banks, which will prevent onboarding of non-*bona fide* actors. In the second phase, an AI/ML based model will be developed using past transactions data to provide banks a real-time transaction-wise risk score for deciding their suitable course of action. Seven banks have been onboarded to DPIP pilot Phase I as on March 31, 2026.

- (c) RBIH also operates FinTech and Emerging Technologies (EmTech) repositories that capture essential information about FinTech entities and function as a sector-wide repository for monitoring FinTech evolution. To make the repositories user friendly and offer different functionalities, various upgrades were made, including mobile view and 'Connect Feature', wherein FinTechs can connect with ecosystem players such as banks, investors, and incubators, and *vice versa*, in a consent-based framework. As on March 31, 2026, the number of FinTechs and REs onboarded on FinTech and EmTech repositories are 693 (950 registrations received) and 33 (86 registrations received), respectively.

Agenda for 2026-27

VI.67 In 2026-27, the Department will focus on the following goals:

- Expanding the CBDC pilot to serve new use cases in direct benefit transfer schemes and business applications in the domestic space;
- Providing a framework for testing of innovative products/services leveraging CBDC under the CBDC and Asset Tokenisation (CAT) sandbox;

- Exploring additional pilots on tokenisation of financial assets along with settlement using CBDC and enlarging the scope to include more participants in the pilot (*Utkarsh 2029*);
- Exploring a bilateral/multilateral cross-border CBDC pilot with select use cases and engaging in multilateral projects on cross-border payments on technical and governance standards;
- Scaling up the Unified Lending Interface (ULI) through onboarding more data service providers and lenders (*Utkarsh 2029*);
- Expansion of MuleHunter.ai™ with implementation at more banks;
- Explore integration of smart registry with MuleHunter.ai™ and its implementation across banks;
- Conducting the 5th edition of Global Hackathon - HaRBInger;
- Publication of standards to enhance customer protection and user experience within the account aggregator framework;
- Initiate steps for developing an AI Innovation Sandbox for financial sector to enable safe, controlled experimentation of AI solutions; and
- Establish principle-based framework for:
 - (i) the use of AI in the financial sector
 - (ii) the use of Quantum in the financial sector (*Utkarsh 2029*).

4. SUPERVISION OF FINANCIAL INTERMEDIARIES

Department of Supervision

VI.68 The Department of Supervision is entrusted with the responsibility of supervising all SCBs (excluding RRBs), LABs, payments

banks (PBs), SFBs, CICs, AIFIs, UCBs, NBFCs [excluding housing finance corporations (HFCs)], and asset reconstruction companies (ARCs).

Commercial Banks

VI.69 The Department took several measures to further strengthen both onsite and off-site supervision of the SCBs, LABs, PBs, and SFBs during the year.

Agenda for 2025-26

VI.70 The Department had set the following goals for 2025-26:

- Strengthening of liquidity stress tests of SCBs by developing a cash flow analysis to ensure banks remain resilient during episodes of stress. The process would evaluate the potential impact of extreme but plausible scenarios on a bank's liquidity position, ensuring it can meet obligations even during crises. It would provide forward-looking perspective and assess how stable banks' liquidity positions remain under adverse conditions. By identifying vulnerabilities and ensuring adequate liquidity buffers, stress testing would aid in ensuring resilience of banks, protect depositors' interest and prevent systemic risks (Paragraph VI.71);
- Further strengthening the supervisory framework for PBs and SFBs (Paragraph VI.72);
- Digital services are important channels for servicing customers and ensuring resilience of these channels is of paramount importance. A framework will

be devised with specific parameters for operational resilience of digital channels in REs (Paragraph VI.73);

- Issuance of guidelines on digital forensic readiness (Paragraph VI.74); and
- To provide a near-real-time view and analytics on the uptime of select digital services for the benefit of customers of banks, a dynamic online dashboard would be developed, and the banks would be onboarded in a phased manner (Paragraph VI.75).

Implementation Status

VI.71 Liquidity risk stress testing framework for banks underwent comprehensive enhancement from a reverse liquidity stress testing model to a forward-looking model, which predicts 'survival horizon'/ 'days to failure' for entities based on analysis of cash inflows and outflows. Consistent with the LCR framework, the model applies common scenarios with varying run-off rates and asset haircuts on individual banks to assess their ability to meet short-term obligations during crises. Reflecting lessons from the 2023 global banking turmoil⁸, survival horizons of respective banks are also mapped with the extent of insured deposits and concentration of funding. Entities with high level of funding concentration, low insured deposits, and short survival horizon would be prioritised for supervisory intervention. The model is being implemented semi-annually and presented before the Board for Financial Supervision.

VI.72 Separate supervisory rating model for SFBs has been developed for implementation

⁸ The banking turmoil of March-May 2023 highlighted that entities with high level of uninsured deposits coupled with high concentration of funding are vulnerable during period of liquidity stress.

from supervisory cycle 2026-27, while the model for ARCs has been reviewed. The need for development of a supervisory rating model for PBs is being examined.

VI.73 Work on a Service Availability and Resilience Framework for digital banking channels is under progress. The framework is proposed to specify key resilience-related parameters for digital services offered by REs and shall be issued for public consultation prior to finalisation.

VI.74 A set of baseline requirements on 'Digital Forensic Readiness' is under advanced stage of finalisation.

VI.75 The online dashboard for real-time monitoring of banks' service availability across select digital services is currently being evaluated under a pilot phase through Indian Banks' Association (IBA), involving 10 banks.

Other Initiatives

Fraud Analysis

VI.76 An assessment of bank group-wise fraud cases over the last three years indicates that although the number of frauds for public and private sectors banks have reduced, the amount involved has increased over the years (Table VI.2). While number of frauds was highest under card/

Table VI.2: Fraud Cases - Bank Group-wise

(Amount in ₹ crore)

Bank Group/Institution	2023-24		2024-25		2025-26	
	Number of Frauds	Amount Involved	Number of Frauds	Amount Involved	Number of Frauds	Amount Involved
1	2	3	4	5	6	7
Public Sector Banks	7,446 (20.8)	8,092 (73.5)	6,916 (29.2)	23,617 (72.0)	5,418 (53.6)	35,709 (74.5)
Private Sector Banks	23,965 (67.0)	2,667 (24.2)	14,024 (59.1)	8,927 (27.2)	3,956 (39.1)	11,399 (23.7)
Foreign Banks	2,899 (8.1)	154 (1.4)	1,447 (6.1)	181 (0.6)	210 (2.1)	290 (0.6)
Financial Institutions	1 (-)	1 (-)	2 (-)	13 (-)	13 (0.1)	498 (1.0)
Small Finance Banks	1,019 (2.8)	64 (0.6)	1,215 (5.1)	58 (0.2)	467 (4.6)	114 (0.2)
Payments Banks	468 (1.3)	35 (0.3)	113 (0.5)	6 (-)	47 (0.5)	11 (-)
Local Area Banks	2 (-)	- (-)	5 (-)	1 (-)	3 (-)	- (-)
Total	35,800 (100)	11,013 (100)	23,722 (100)	32,803 (100)	10,114 (100)	48,021 (100)

-: Nil/negligible.

Notes: 1. Figures in parentheses represent the percentage share of the total.

2. Data are in respect of frauds of ₹1 lakh and above reported during the period.

3. The figures reported by banks and financial institutions are subject to changes based on revisions filed by them.

4. Frauds reported in a year could have occurred several years prior to the year of reporting.

5. Amounts involved reported do not reflect the amount of loss incurred. Depending on recoveries, the loss incurred gets reduced. Further, the entire amount involved is not necessarily diverted.

6. Data pertaining to 2025-26 includes fraud classification in 314 cases amounting to ₹30,199 crore, pertaining to previous financial years, reported afresh during the current financial year after re-examination and ensuring compliance with the judgement of the Hon'ble Supreme Court, dated March 27, 2023.

Source: RBI Supervisory Returns.

internet/digital payments category during 2023-24 and 2024-25, advances category accounted for the largest share in 2025-26. In value terms, frauds were concentrated in the advances category across the three years (Table VI.3).

Thematic Studies

VI.77 Thematic Studies were conducted in the areas of: (a) credit card operations; (b) business correspondents; (c) efficacy of the transaction monitoring systems in major

banks and on the level of outsourcing in the area/operations relating to KYC/AML/CFT⁹; (d) top-up housing loans; (e) implementation of Internal Ombudsman Scheme; and (f) adoption of AI in supervised entities (SEs).

Cyber Risk

VI.78 In order to enhance cyber resilience across the SEs, the Reserve Bank has operationalised the Cyber Range initiative through a 'state-of-the-art' platform deployed at Institute for Development

Table VI.3: Frauds Cases - Area of Operations

(Amount in ₹ crore)

Area of Operation	2023-24		2024-25		2025-26	
	Number of Frauds	Amount Involved	Number of Frauds	Amount Involved	Number of Frauds	Amount Involved
1	2	3	4	5	6	7
Advances	4,105 (11.5)	8,917 (81.0)	7,924 (33.4)	30,367 (92.6)	8,640 (85.5)	40,774 (84.9)
Off-balance Sheet	10 (-)	199 (1.8)	8 (-)	270 (0.8)	8 (0.1)	521 (1.1)
Forex Transactions	19 (0.1)	38 (0.3)	23 (0.1)	16 (-)	23 (0.2)	125 (0.3)
Card/Internet/Digital Payments	28,836 (80.4)	1,452 (13.2)	13,332 (56.2)	517 (1.6)	293 (2.9)	29 (0.1)
Deposits	2,002 (5.6)	240 (2.2)	1,207 (5.1)	521 (1.6)	407 (4.0)	377 (0.8)
Inter-Branch Accounts	29 (0.1)	10 (0.1)	14 (0.1)	26 (0.1)	57 (0.6)	72 (0.1)
Cash	484 (1.4)	78 (0.7)	306 (1.3)	39 (0.1)	181 (1.8)	35 (0.1)
Cheques/DDs, etc.	127 (0.4)	42 (0.4)	122 (0.5)	74 (0.2)	84 (0.8)	14 (-)
Clearing Accounts	17 (-)	2 (-)	6 (-)	2 (-)	3 (-)	11 (-)
Others	171 (0.5)	35 (0.3)	780 (3.3)	971 (3.0)	418 (4.1)	6,063 (12.6)
Total	35,800 (100.0)	11,013 (100.0)	23,722 (100.0)	32,803 (100.0)	10,114 (100.0)	48,021 (100.0)

-: Nil/negligible.

Notes: 1. Figures in parentheses represent the percentage share of the total.

2. Refer to footnotes 2-6 of Table VI.2.

Source: RBI Supervisory Returns.

⁹ Know Your Customer (KYC)/Anti-Money Laundering (AML)/Combating the Financing of Terrorism (CFT).

and Research in Banking Technology (IDBRT). The platform facilitates cyber drill exercises based on simulated scenarios, including incidents observed or reported across SEs, thereby strengthening sectoral preparedness, response capabilities, and resilience against emerging cyber threats.

Agenda for 2026-27

VI.79 The Department has set out the following goals for 2026-27:

- Initiate micro-data analytics project for cyber risk;
- Review of risk-based approach for KYC/AML supervision;
- Alignment of incident reporting module of *DAKSH*¹⁰ with Financial Stability Board (FSB)'s Format of Incident Reporting Exchange (FIRE);
- Onboarding additional set of banks under Phase 2 of the pilot for monitoring service availability across select digital banking services through a real-time online dashboard;
- Issuance of guidelines on Digital Forensic Readiness;
- Thematic review to assess the cyber risks emanating from usage of AI tools/systems by SEs; and
- Undertake a structured mapping of existing sector-specific cybersecurity requirements and review them, as appropriate, in the light of the forthcoming Financial Sector Cybersecurity Strategy.

Urban Cooperative Banks (UCBs)

VI.80 The Department continued to monitor the performance of UCBs during the year and undertook measures for a safe and well-managed urban cooperative banking sector.

Agenda for 2025-26

VI.81 The Department had set out the following goals for supervision of UCBs in 2025-26:

- Review of Risk-Based Approach (RBA) for KYC/AML supervision of select UCBs (*Utkarsh 2.0*) [Paragraph VI.82];
- Examining the migration of UCBs to risk-based supervision (Paragraph VI.83); and
- Issuance of updated guidelines on cyber security framework (Paragraph VI.84).

Implementation Status

VI.82 Comprehensive review of RBA for KYC/AML supervision of select UCBs was completed, with revised framework covering UCBs accounting for around 60 per cent of total deposits of the sector. Off-site risk assessment and risk profiling are more focused now, covering significant areas of inherent KYC and money laundering/terrorism financing risks, including emerging segment-wide risks.

VI.83 The Department has initiated the process for development of Risk-Based Supervisory Framework for UCBs.

VI.84 Draft updated guidelines on cyber security framework for UCBs have been formulated and shall be issued for public consultation before finalisation.

¹⁰ Reserve Bank's advanced supervisory monitoring system.

Agenda for 2026-27

VI.85 The Department has identified the following goals for supervision of UCBs in 2026-27:

- Developing a supervisory data quality index (sDQI) for Tier 3 and Tier 4 UCBs (*Utkarsh 2029*);
- Augmenting the capacity building of staff in the UCB sector, through in-person workshops and e-learning mode under Mission SAKSHAM (*Sahakari Bank Kshamata Nirman*) [*Utkarsh 2029*];
- Cyber mapping exercise for UCBs under cyber security framework level 2, 3, and 4 (*Utkarsh 2029*);
- Migration of select UCBs to risk-based supervision (*Utkarsh 2029*);
- Enhancing coverage of gap assessment/information technology (IT) examination for UCBs (*Utkarsh 2029*); and
- Issuance of updated guidelines on cyber security framework for UCBs.

Non-Banking Financial Companies (NBFCs)

VI.86 The Department continued to closely monitor the NBFCs (excluding HFCs) and ARCs registered with the Reserve Bank.

Agenda for 2025-26

VI.87 The Department had set the following goals for supervision of NBFCs in 2025-26:

- Review of RBA for KYC/AML supervision of select NBFCs (*Utkarsh 2.0*) [Paragraph VI.88];
- As a thematic assessment, assessing adherence by REs to pricing guidelines

prescribed *vide* extant regulations to ensure that the customers of such loans are not being charged exorbitant interest rates (Paragraph VI.89); and

- Migration of select NBFCs to risk-based supervision (Paragraph VI.90).

Implementation Status

VI.88 The revised KYC/AML supervisory framework for NBFCs increased the coverage of NBFCs. Off-site risk assessment model has been recalibrated to identify the potential risks in a more structured manner, considering varied business models and heterogenous nature of the sector.

VI.89 During supervisory examinations, the Reserve Bank undertook sample based examination of the pricing mechanisms and frameworks of SEs with specific focus on interest rates, processing fees charged to borrowers, and accuracy of annual percentage rate disclosed in the key fact statement. Non-compliance or discrepancies were identified and documented in the supervisory reports. Compliance to supervisory observations is being assessed as part of continuous supervisory assessment of NBFCs.

VI.90 The Department has initiated the process for development of Risk-Based Supervisory Framework for select NBFCs.

Agenda for 2026-27

VI.91 The Department has identified the following goals for supervision of NBFCs in 2026-27:

- Review of credit risk and liquidity risk stress testing framework for NBFCs;

- Cyber mapping exercise for Upper and Middle Layer NBFCs (*Utkarsh* 2029);
- Migration of select NBFCs to risk-based supervision (*Utkarsh* 2029); and
- Enhancing coverage of gap assessment/IT examination for NBFCs (*Utkarsh* 2029).

Supervisory Measures for All Supervised Entities (SEs)

VI.92 A unified DoS has been operationalised since 2019, in which the supervision of banks, UCBs and NBFCs is being undertaken in a holistic manner under one umbrella Department.

Agenda for 2025-26

VI.93 The Department had set out the following supervisory goals for 2025-26:

- Review and issuance of updated/harmonised regulatory instructions on Statutory Audit and Concurrent Audit in REs (Paragraph VI.94);
- Conducting detailed thematic reviews on select areas of cyber risks (Paragraph VI.95);
- Enhancing cyber resilience and capabilities of SEs through implementing recommendations of the inter-regulatory working group on uniformity in baseline cyber security guidelines of financial entities (Paragraph VI.96);
- Enhancing cyber mapping of financial systems and conducting cross-sectoral and market-wide cyber crisis simulation exercises in a phased manner (Paragraph VI.97); and
- Enhancing the existing framework for supervision of NBFCs in Base Layer (Paragraph VI.98).

Implementation Status

VI.94 The existing instructions on appointment of statutory auditors and concurrent audit system in REs have been reviewed and draft guidelines are under formulation for public consultation.

VI.95 During the year, following thematic studies in the areas of cyber risks were carried out: (i) payment system reconciliation processes in SCBs; (ii) manpower adequacy in IT/cybersecurity across the three lines of defence; (iii) Security Operations Centre (SOC) operations; (iv) transaction monitoring and customer data protection; (v) security of customer data across systems in SEs; and (vi) vulnerability management.

VI.96 Majority of the recommendations of the inter-regulatory working group on uniformity in baseline cyber security guidelines for financial entities have already been implemented.

VI.97 The cyber mapping exercise was undertaken with the objective of evaluating cyber risk exposure and interdependencies across commercial banks and information and communication technology (ICT) service providers using comprehensive questionnaires covering all major banks, capturing critical domains such as security tools, AI applications, account aggregators, and threat intelligence platforms. This initiative provides a foundational understanding of systemic cyber risks. The discussions with stakeholders are being undertaken for future risk mitigation exercises/strategies for conducting cross-sectoral and market-wide crisis simulation exercises.

VI.98 A structured framework for supervision of NBFCs in Base Layer has been developed and is scheduled to be implemented from supervisory cycle 2026-27.

VI.99 The Reserve Bank has been consistently making efforts towards countering cyber-enabled frauds and safeguarding customers' interests (Box VI.3).

Other Initiatives

Overseas Inspection

VI.100 A framework for inspection of overseas branches and subsidiaries of Indian banks was devised to ensure comprehensive supervisory

coverage. Under this framework, 15 overseas branches were inspected during the year (as at end-March 2026) and major concerns were taken up with the host supervisory authorities in respective jurisdictions for their timely remediation.

Supervisory Colleges

VI.101 The Department has established supervisory colleges for select Indian banks

Box VI.3

Combating Cyber-Enabled Fraud and Money Mules

The rapid evolution of digital financial services has brought transformative benefits to India's financial ecosystem, driving financial inclusion and ease of doing banking at an unprecedented scale. However, this growth also had an unintended consequence of increase in cyber-enabled frauds. Recognising the dynamic nature of cyber frauds and increasing incidence of money mules, the Reserve Bank has been consistently strengthening its regulatory and supervisory framework to address the emerging risks and protect consumers. The actions taken include the following measures:

(a) Regulatory Measures

The Reserve Bank has strengthened its regulatory framework through the consolidated KYC Directions, 2025, complemented with Master Direction on Fraud Risk Management. Additionally, revised Directions on Regulation of Payment Aggregator have addressed the concerns pertaining to Payment Aggregation-related activities. The Directions on Digital Payments Security Controls aimed at establishing minimum cyber security standards, have prioritised safety and integrity of digital payment systems.

(b) Supervisory Measures

The supervisory oversight has been intensified through full-scope KYC and AML/CFT inspections, and thematic assessments of banks, followed by engagement with banks for corrective action. A number of advisories have been issued to banks to strengthen the identification of risks, ongoing monitoring, detection and risk mitigation. Seminars and workshops were also held to sensitise

top management, senior management and field-level functionaries of the banks.

(c) Fostering Innovation

Given the evolving nature of cyber-enabled frauds, the Reserve Bank has emphasised that the risk controls should keep pace with new typologies and emerging risks. Banks are encouraged to leverage technology, including AI/ML tools, to hone their capabilities. The Reserve Bank has also taken several initiatives such as development of MuleHunter.ai, exclusive 'bank.in' domain, innovation under HaRBInger, and regulatory sandbox in the regard.

(d) Customer Awareness Initiatives

Nationwide multimedia campaigns in multiple languages raising awareness on cyber-enabled frauds, digital arrest prevention, 1930 helpline, and risks of renting bank accounts were carried out. The banks are also advised to carry out customer awareness campaigns on an ongoing basis.

(e) Multi-stakeholder Coordination

Regular engagements have been undertaken with Indian Cyber Crime Coordination Centre (I4C); Ministry of Home Affairs; Ministry of Finance; Department of Telecommunications; Financial Intelligence Unit - India (FIU-IND); Telecom Regulatory Authority of India (TRAI); various Law Enforcement Agencies; regulated entities, and all other stakeholders for a coordinated response to cyber-enabled frauds.

Source: RBI.

having cross-border operations, which serve as multilateral forums and meetings are held biennially for supervisory coordination among home and host authorities. The Reserve Bank participated in 12 supervisory college meetings for select large internationally active banks, hosted by respective overseas supervisory authorities.

Bilateral Visit

VI.102 High-level bilateral exchanges were undertaken with Central Bank of Russia (CBR) and Monetary Authority of Singapore (MAS) for supervisory cooperation and exchange of best practices on key emerging topics related to stress testing, supervision of financial conglomerates and group risk assessment, climate risk, and micro-credit concerns. The Reserve Bank supervisors also participated in a seminar on 'Risk Analysis and Stress Test' hosted by CBR in September 2025 and held discussions with CBR counterparts to gain insights on operational resilience, IT governance, third party risk management, data security, and AI/ML. Moreover, discussions were held with Office of the Superintendent of Financial Institutions (OSFI), Canada and European Central Bank (ECB) in January 2026 regarding strengthening of home-host cooperation, supervisory priorities, and other related matters.

Publication of Supervisory Data Quality Index (sDQI)¹¹ Scores

VI.103 The Department initiated publication of sDQI scores on quarterly basis from June 2025, as envisaged under the *Utkarsh* 2.0. The sDQI scores for quarter ending March, June, September, and December 2025 were published on the

Bank's website in June 2025, September 2025, January 2026, and March 2026, respectively. The individual scores were shared with respective SEs for their reference.

Agenda for 2026-27

VI.104 The Department has identified the following goals for supervision of all SEs in 2026-27:

- Augment supervisory capabilities by leveraging SupTech/AI and ML: Development of proof-of-concept, either inhouse or by engaging external consultants, for analysing/categorising the root cause of complaints of select SCBs (*Utkarsh* 2029);
- Develop comprehensive supervisory manuals for Senior Supervisory Managers;
- Develop a framework for assessment of business model of SEs to further improve the supervisory framework; and
- Review of Directions issued by the Department to different type of SEs.

Enforcement Department

VI.105 The Enforcement Department was set up with a view to separate enforcement action from supervisory process and to put in place a structured, rule-based approach to identify and process violations by the REs of the applicable statutes, directions issued, and conditions imposed thereunder by the Reserve Bank, and enforce the same consistently across the Reserve Bank. The objective of enforcement is to ensure compliance by the REs with the rules and regulations, within the overarching principles

¹¹ sDQI is a comprehensive and quantitative measure to assess the quality of data submitted by the reporting entities through supervisory returns. The index measures data quality across four dimensions, i.e., accuracy, completeness, timeliness and consistency.

of financial stability, public interest and consumer protection.

Agenda for 2025-26

VI.106 The Department had set out the following goal for 2025-26:

- Review the standard operating procedure (SOP) for enforcement action based on the experience gained (*Utkarsh 2.0*) [Paragraph VI.107].

Implementation Status

VI.107 The review of SOP for enforcement action was carried out based on experience gained.

Major Developments

VI.108 During 2025-26, the Department undertook enforcement action against REs and imposed 241 penalties aggregating to ₹26.33 crore for contraventions/non-compliance with various provisions of statutes and Directions issued by the Reserve Bank from time to time (Table VI.4).

**Table VI.4: Enforcement Actions
(April 2025 – March 2026)**

Regulated Entity	Number of Penalties	Total Penalty (₹ crore)
1	2	3
Public Sector Banks	13	9.05
Private Sector Banks	14	7.93
Foreign Banks	3	1.14
Payments Banks	2	0.61
Small Finance Banks	1	1.00
Regional Rural Banks	2	0.41
Cooperative Banks	172	4.12
Non-banking Financial Companies	25	1.76
Credit Information Companies	-	-
Housing Finance Companies	6	0.04
Payment System Operators	3	0.27
Total	241	26.33
-: Nil.		
Source: RBI.		

VI.109 For the penalties imposed during 2025-26, 342 show cause notices totaling to 698 charges were issued to different REs, of which 382 charges resulted in enforcement action (by imposition of monetary penalty) and no enforcement action was taken in respect of 316 charges.

Agenda for 2026-27

VI.110 During 2026-27, the Department proposes to achieve the following goal:

- Creation of an e-learning module on enforcement function to facilitate uniform dissemination of knowledge.

5. CONSUMER EDUCATION AND PROTECTION

Consumer Education and Protection Department

VI.111 The Consumer Education and Protection Department formulates policy frameworks to embed robust grievance resolution systems within REs; monitors the operational efficacy of internal grievance mechanisms at REs; administers the implementation of the Reserve Bank-Integrated Ombudsman Scheme (RB-IOS), 2021 through a nationwide network of 24 ombudsman offices; oversees the performance of consumer education and protection cells (CEPCs) at regional offices; and fosters public awareness regarding secure banking practices, existing regulatory standards for customer service and protection, and avenues for addressing consumer grievances.

Agenda for 2025-26

VI.112 The Department had proposed the following goals for 2025-26:

- Review of RB-IOS, 2021, including consumer education and protection cells, centralised receipt and processing

centre, and contact centre (*Utkarsh 2.0*) [Paragraph VI.113];

- Issuance of Master Direction on grievance redressal framework in REs (Paragraph VI.114); and
- Improve the complaint management system (CMS) to better support the lodging of complaints and ensure greater consistency in decisions and outcomes (*Utkarsh 2.0*) [Paragraph VI.115];

Implementation Status

VI.113 Based on the operational experience, stakeholder feedback, and global best practices, the Reserve Bank had undertaken a comprehensive review of the RB-IOS, 2021. Accordingly, the RB-IOS, 2026 was issued on January 16, 2026.

VI.114 To consolidate the instructions relating to grievance redress mechanism, the Reserve Bank is in the process of issuing the Master Direction on internal grievance redress mechanism in REs.

VI.115 For the development of the next generation CMS 2.0, the Reserve Bank is working on developing a holistic solution which will leverage technological advancements for enhancing user-centricity, delivering improvements in accessibility and use. CMS 2.0 will also incorporate business process optimisation, as warranted, along with the use of advanced technological tools for facilitating a better outcome.

Major Developments

VI.116 With a view to facilitating faster and meaningful resolution of customer grievances at the level of the REs, the Internal Ombudsman Directions were issued on January 14, 2026, specific to each category of regulated entity.

VI.117 To enable the customers of rural co-operative banks to access the mechanism of Reserve Bank Ombudsman, central and state co-operative banks were brought under the ambit of the RB-IOS, 2021, effective November 1, 2025.

VI.118 As part of customer centric measure, the Reserve Bank initiated a special two-month campaign, beginning January 1, 2026, aimed to resolve all grievances pending for more than a month with the Reserve Bank Ombudsman.

Agenda for 2026-27

VI.119 During 2026-27, the Department has identified the following goal to focus on:

- Development of complaint management system 2.0 (*Utkarsh 2029*).

Deposit Insurance and Credit Guarantee Corporation (DICGC)

VI.120 The DICGC, a wholly owned subsidiary of the Reserve Bank established under the DICGC Act, 1961, administers the deposit insurance scheme in India. The objective of the scheme is to protect depositors of banks and preserve public confidence in the banking system, thereby contributing to financial stability. The deposit insurance scheme is mandatory for all banks (commercial and cooperative) that are licensed by the Reserve Bank. The number of registered insured banks stood at 1,950 as on March 31, 2026, comprising 124 commercial banks (including 11 SFBs, six PBs, 28 RRBs and two LABs) and 1,826 co-operative banks (1,440 UCBs, 34 StCBs and 352 DCCBs).

VI.121 The current coverage limit of deposit insurance is ₹5 lakh per depositor of a bank for deposit accounts held 'in the same capacity and in the same right'. As on September 30, 2025, the number of fully insured deposit accounts

under the coverage limit was 291.4 crore (286.9 crore a year ago) which constituted 97.5 per cent (97.7 per cent a year ago) of the total number of accounts. In terms of value, the total insured deposits were ₹1,04,09,023 crore (₹96,74,623 crore in the previous year) which was 41.1 per cent (42.6 per cent in the previous year) of assessable deposits¹². The reserve ratio (*i.e.*, deposit insurance fund/insured deposits) as on September 30, 2025 stood at 2.37 per cent (2.21 per cent in the previous year). Currently, the coverage limit is 2.4 times the GDP per capita in 2025-26.

VI.122 The DICGC levied banks a flat rate premium of 0.12 per cent per annum during 2025-26 on the total assessable deposits for providing deposit insurance. During 2025-26, deposit insurance premium received was ₹29,947 crore, recording a y-o-y growth of 11.9 per cent over ₹26,764 crore as on March 31, 2025.

VI.123 The Reserve Bank has introduced a 'Risk Based Premium (RBP) Framework' for deposit insurance, in terms of the provision under Section 15(1) of the DICGC Act, 1961, which provides for differential premium rates for different categories of insured banks. Effective April 1, 2026, the framework, *inter alia*, provides for a two-tier risk based rating methodology for Tier 1 banks (SCBs other than RRBs) and Tier 2 banks (RRBs, rural co-operative banks and UCBs). It also extends benefits of vintage discount, signifying longer contribution to DICGC's deposit insurance fund (DIF) without any major stress events or claim payouts from DICGC. Accordingly, better

managed banks shall pay lower premium than the present premium rate of 12 paise per ₹100 of assessable deposits per annum.

VI.124 The DICGC maintains DIF for the settlement of claims of depositors of banks taken into liquidation/amalgamation or put under all-inclusive Directions. The Fund has been built up through transfer of its surplus, *i.e.*, excess of income (mainly comprising premium received from insured banks, interest income from investments and cash recovery out of liquidation of assets of failed banks) over expenditure (payment of claims of depositors and related expenses) each year, net of taxes. During 2025-26, the total claims settled by the Corporation amounted to ₹1,988 crore, all of which were towards 72 UCBs liquidated/placed under all-inclusive Directions. The size of the DIF stood at ₹2,61,823 crore as on March 31, 2026, recording a y-o-y growth of 14.4 per cent over ₹2,28,933 crore as on March 31, 2025.

6. CONCLUSION

VI.125 The Reserve Bank undertook several measures to safeguard the financial system by further strengthening the regulatory and supervisory framework of banking and non-banking sectors, in line with global best practices. Going forward, concerted efforts would be made, *inter alia*, towards enhancing stress testing frameworks, strengthening cyber resilience and risk surveillance, advancing responsible and ethical innovation in the financial sector, and reinforcing consumer protection and grievance redress mechanism.

¹² Assessable deposits include all bank deposits except (i) deposits of foreign governments; (ii) deposits of central/state governments; (iii) inter-bank deposits; (iv) deposits received outside India; and (v) deposits specifically exempted by the corporation with prior approval of the Reserve Bank.

VII

PUBLIC DEBT MANAGEMENT

Adhering to the broad objectives of cost optimisation, risk mitigation and market development, the Reserve Bank continued to manage market borrowing programmes of the central and state governments in a non-disruptive manner. During 2025-26, the government securities (G-secs) yields and the weighted average coupon on the entire outstanding debt stock decreased. The weighted average maturity of primary issuances by the central government also decreased. Issuances of sovereign green bonds (SGrBs) and ultra-long securities continued during the year.

VII.1 The Internal Debt Management Department (IDMD) of the Reserve Bank of India (RBI) under the RBI Act, 1934 is entrusted with the responsibility of managing the domestic debt of the central government (Sections 20 and 21), 28 state governments and three¹ union territories (UTs) [Section 21A]. In terms of Section 17(5), short-term credit up to three months is provided to bridge temporary mismatches in their cash flows.

VII.2 During 2025-26, the Reserve Bank ensured the completion of the market borrowing programme for both the central and state governments in a non-disruptive manner, with three broad objectives, viz., cost optimisation, risk mitigation and market development. During 2025-26, the weighted average yield of central government dated securities softened by 27 basis points (bps). The central government continued with issuance of SGrBs and ultra-long securities during 2025-26.

VII.3 The remainder of the chapter is organised under three sections. Section 2 presents the implementation status in respect of the agenda for 2025-26 along with major developments in the areas of debt management for both the central

and state governments. Section 3 covers major initiatives to be undertaken in 2026-27, followed by concluding observations in the last section.

2. Agenda for 2025-26

VII.4 The Department had set out the following goals for 2025-26:

- Expanding the bidding and payment options available to retail investors under the RBI 'Retail Direct' portal/application (Paragraph VII.5); and
- Extending application programming interface (API) facility for seamless transfer of G-secs between demat accounts and Retail Direct Gilt (RDG) accounts (Paragraph VII.6).

Implementation Status

VII.5 An auto-bidding facility for treasury bills (T-Bills), covering both investment and re-investment options has been enabled in the RBI 'Retail Direct', which would help investors mandate automatic placement of bids in primary auction of T-Bills.

VII.6 API has been enabled to facilitate seamless value free on own account transfer of G-secs held by retail investors between the RDG

¹ On January 5, 2026, RBI entered into an agreement with the Government of National Capital Territory of Delhi.

accounts and demat account maintained with SEBI regulated depositories [National Securities Depository Limited and Central Depository Services (India) Limited].

Major Developments

Debt Management of the Central Government

VII.7 While gross market borrowings of the Government of India (GoI) through dated G-secs were higher by 4.3 per cent, net market borrowings were lower by 2.6 per cent in 2025-26 than in 2024-25. Net market borrowings through dated securities and T-Bills taken together were higher by 0.2 per cent during the year (Table VII.1).

Debt Management Operations

VII.8 The weighted average yield of G-secs issued during the year decreased by 27 bps and the weighted average coupon on the entire outstanding debt stock decreased by 8 bps, from the last year (Table VII.2). The weighted average maturity of primary issuances decreased while the outstanding debt increased on a year-on-year basis.

VII.9 There was no instance of devolvement on Primary Dealers (PDs) during 2025-26 as against two instances in the previous year. During the year, there were two instances of rejection of all bids for a notified amount of ₹16,000 crore (as compared to one such instance in 2024-25).

VII.10 G-sec yield curve steepened during the year. Short-term yields softened on the back of monetary policy easing, the Reserve Bank's liquidity injection measures and sovereign credit rating upgrade by an international rating agency; while medium-term and long-term yields hardened tracking movement of sovereign yields in other countries amid intensification of geopolitical risks. Overall, the 10-year yield hardened by 49 bps in 2025-26 (Chart VII.1).

VII.11 During 2025-26, about 50.9 per cent of the market borrowing was raised through issuance of dated securities with a residual maturity of 10 years and above, in comparison with 55.3 per cent in the previous year (Table VII.3).

Table VII.1: Market Borrowings of the Central Government

(₹ crore)

Item	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5
Gross Market Borrowings through Dated Securities	14,21,000 (5.4)	15,43,000 (5.3)	14,00,697 (4.4)	14,61,000 (4.2)
Net Market Borrowings (i to iv)	11,74,375 (4.5)	12,28,805 (4.2)	10,81,598 (3.4)	10,84,162 (3.1)
i) Dated Securities [@]	11,08,261	11,80,456	11,62,879	11,32,834
ii) 91-day T-Bills	-23,798	20,164	72,713	-52,936
iii) 182-day T-Bills	52,426	15,982	-55,896	13,596
iv) 364-day T-Bills	37,487	12,203	-98,098	-9,333

@: Without adjusting for buyback/switches. After adjusting for buyback/switches, net market borrowings stood at ₹9,85,637 crore in 2025-26, ₹9,93,233 crore in 2024-25, ₹12,26,101 crore in 2023-24 and ₹11,71,951 crore in 2022-23.

Notes: 1. Figures in parentheses are per cent of GDP.

2. Figures in the columns might not add up to the total due to rounding off of numbers.

Sources: RBI, Union Budget (GoI) and MoSPI.

Table VII.2: Market Loans of Central Government - A Profile*

(Yield in per cent/maturity in years)

Years	Range of Cut-off Yield in Primary Issues			Issued during the Year [^]			Outstanding Stock	
	Less than 5 Years	5-10 Years	Above 10 Years	Weighted Average Yield	Range of Maturities [@]	Weighted Average Maturity	Weighted Average Maturity	Weighted Average Coupon
1	2	3	4	5	6	7	8	9
2019-20	5.56-7.38	6.18-7.44	5.96-7.77	6.85	1-40	16.15	10.72	7.71
2020-21	3.79-5.87	5.15-6.53	4.46-7.19	5.79	1-40	14.49	11.31	7.27
2021-22	4.07-5.10	4.04-6.78	4.44-7.44	6.28	1-40	16.99	11.71	7.11
2022-23	5.43-7.45	5.21-7.52	5.65-7.90	7.32	1-40	16.05	11.94	7.26
2023-24	6.89-7.39	6.98-7.40	7.07-7.57	7.24	3-50	18.09	12.54	7.29
2024-25	6.61-7.25	6.69-7.19	6.78-7.34	6.96	3-50	20.66	13.24	7.25
2025-26	5.69-6.47	6.01-6.72	6.50-7.49	6.69	3-50	18.88	13.70	7.17

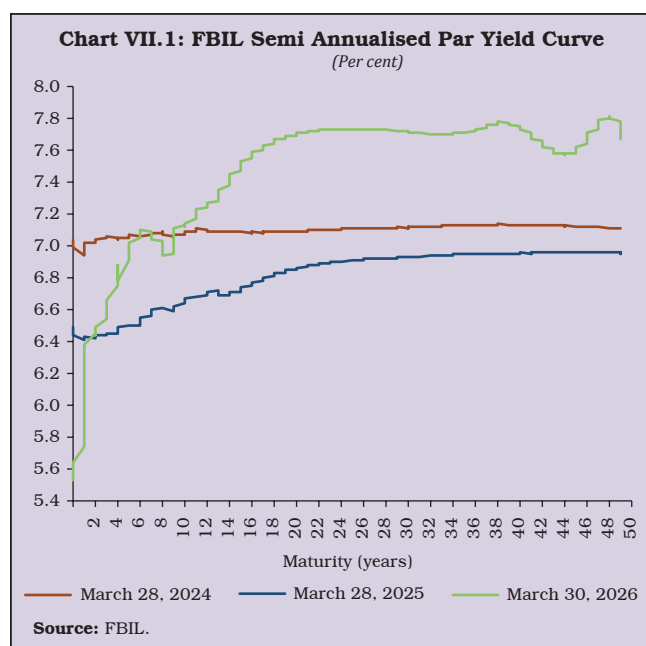
@: Original maturity of fresh issuances and residual maturity of re-issuances.

*: Excluding special securities. ^: Excluding switch auctions.

Source: RBI.

Treasury Bills (T-Bills)

VII.12 Short-term cash requirements of GoI are met through issuance of T-Bills. During 2025-26, the net short-term issuance of T-Bills was ₹(-)48,672 crore as against ₹(-)81,281 crore in the previous year.



Ownership of Securities

VII.13 Commercial banks remained the largest holders of G-secs [including T-Bills and state government securities (SGS)] accounting for 34.6 per cent (as at end-March 2026), followed by insurance companies (24.0 per cent), provident funds (10.9 per cent) and the Reserve Bank (10.9 per cent). The share of foreign portfolio investors was 1.8 per cent.

Primary Dealers (PDs)

VII.14 The number of PDs stood at 21 [14 bank-PDs and 7 standalone PDs (SPDs)], with a mandate to underwrite primary auction of dated G-secs and a target of achieving bidding commitment and success ratio in respect of primary auctions of T-Bills/cash management bills. The commission paid to PDs, including goods and services tax (GST), for underwriting during 2025-26 went up to ₹86.3 crore from ₹15.8 crore in the previous year. The average success ratio stood at 62.4 per cent in H1:2025-26 and 70 per cent in H2:2025-26. The share of amount

Table VII.3: Issuance of Government of India Dated Securities – Maturity Pattern

(Amount in ₹ lakh crore)

Residual Maturity	2022-23		2023-24		2024-25		2025-26	
	Amount Raised	Percentage to Total	Amount Raised	Percentage to Total	Amount Raised	Percentage to Total	Amount Raised	Percentage to Total
1	2	3	4	5	6	7	8	9
Less than 5 Years	2.7	19.0	2.5	16.5	1.9	13.4	2.3	16.0
5-9.99 Years	4.6	32.1	4.8	31.4	4.4	31.3	4.8	33.1
10-14.99 Years	2.9	20.1	2.8	17.8	2.1	15.5	2.5	17.4
15 Years & Above	4.1	28.8	5.3	34.3	5.6	39.8	4.9	33.5
Total	14.2	100.0	15.4	100.0	14.0	100.0	14.6	100.0

Note: Figures in the columns might not add up to the total due to rounding off of numbers.
Source: RBI.

allotted to PDs in auctions of T-Bills increased to 76.1 per cent during 2025-26 from 74.8 per cent during last year.

Floating Rate Savings Bond, 2020 (Taxable) [FRSB 2020 (T)] Scheme

VII.15 During 2025-26, ₹12,476 crore was raised through issuance of the FRSB 2020 (T); of which, ₹1,067 crore was raised through the Reserve Bank's 'Retail Direct'.

Cash Management of the Central Government

VII.16 The ways and means advances (WMA) limit of GoI was fixed at ₹1.5 lakh crore and ₹0.5 lakh crore for H1 and H2 of 2025-26, respectively, with the central government remaining in surplus during most part of the year. The central government resorted to WMA for one day during 2025-26 in comparison to eight days during the previous year (Chart VII.2).

Investments under Foreign Central Bank Scheme

VII.17 The Reserve Bank invests in Indian G-secs on behalf of select foreign central banks and multilateral development institutions by participating in the secondary market. Total volume transacted under the scheme increased to ₹735 crore (face value) during 2025-26 from ₹730 crore (face value) in the previous year.

Debt Management of State Governments

VII.18 The share of market borrowings in financing the gross fiscal deficit of states rose to 76.3 per cent in 2025-26 (BE) from 71.8 per cent in 2024-25 (RE).

VII.19 The gross market borrowings of states in 2025-26 stood at 95.1 per cent of the amount indicated in the quarterly indicative calendars. There were 1,055 issuances in 2025-26; of these, 217 were re-issuances (835 issuances in 2024-25, of which, 100 were re-issuances) [Table VII.4].

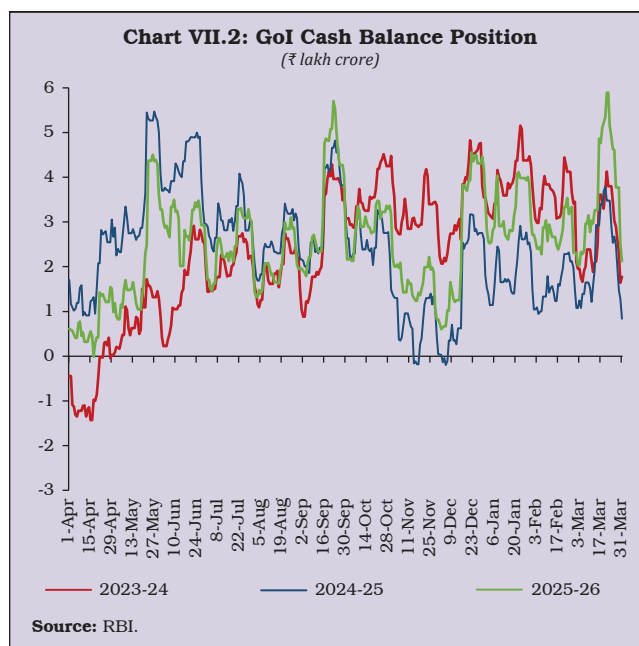


Table VII.4: Market Borrowings of States through SGS

(₹ crore)

Item	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5
Gross Sanctions under Article 293(3)	8,80,779	11,29,295	11,73,714	13,63,263
Gross Amount Raised during the Year	7,58,392	10,07,058	10,73,310	12,76,430
Redemptions during the Year	2,39,562	2,89,918	3,19,965	3,72,543
Net Amount Raised during the Year	5,18,830	7,17,140	7,53,345	9,03,887
Amount Raised during the Year to Total Sanctions (per cent)	86.1	89.2	91.4	93.6
Outstanding (at the end of period)*	49,29,083	56,46,222	63,99,567	73,03,451

#: Including *Ujwal* DISCOM Assurance *Yojana* (UDAY) bonds and other special securities.

Source: RBI.

VII.20 The weighted average cut-off yield of SGS issuances during 2025-26 increased to 7.32 per cent from 7.20 per cent in the previous year (Table VII.5). The weighted average spread (WAS) of SGS issuances over comparable maturity of the central government securities increased to 50 bps in 2025-26 from 30 bps in the previous year. In 2025-26, 27 states and two UTs issued dated securities of tenors other than 10 years, ranging from 2 to 38 years. The average inter-state spread on securities of 10-year tenor (fresh issuances) was 8 bps in 2025-26, as against 4 bps in 2024-25.

VII.21 During 2025-26, 19 states/UTs have availed special drawing facility, 11 states/UTs resorted to WMA and 10 states/UTs were in overdraft on a few occasions.

VII.22 The outstanding investments of states/UTs in 14-days intermediate treasury bills (ITBs), reflecting surplus cash balance, increased during 2025-26. States/UTs also invested in auction treasury bills (ATBs) through primary auctions using the non-competitive bidding facility (Table VII.6).

Table VII.5: Market Loans of State Governments - A Profile*

(Yield in per cent/maturity in years)

Year	Range of Cut-off Yields in Primary Issues			Issued during the Year			Outstanding Stock	
	Less than 5 Years	5-10 Years	Above 10 Years	Weighted Average Yield	Range of Maturities®	Weighted Average Maturity	Weighted Average Maturity	Weighted Average Coupon
1	2	3	4	5	6	7	8	9
2019-20	5.78-7.80	6.03-8.23	6.88-8.20	7.24	2-40	11.02	7.05	8.03
2020-21	4.15-6.76	5.30-8.31	6.40-8.96	6.55	2-35	11.56	7.37	7.70
2021-22	4.69-6.58	5.96-7.36	6.78-7.48	6.98	2-35	12.86	7.68	7.54
2022-23	6.94-7.63	7.11-7.95	7.29-8.10	7.71	2-35	13.86	8.08	7.53
2023-24	7.16-7.58	7.18-7.78	7.29-7.81	7.52	2-40	13.98	8.63	7.49
2024-25	6.75-7.23	6.95-7.55	7.04-7.53	7.20	1-35	14.30	9.08	7.42
2025-26	6.00-7.40	6.22-7.87	6.64-8.09	7.32	2-38	14.87	9.62	7.37

*: Excluding special securities.

@: Original maturity of fresh issuances and residual maturity of re-issuances.

Source: RBI.

Table VII.6: Investments in ITBs and ATBs by State Governments/UTs

(₹ crore)

Item	Outstanding as on March 31				
	2022	2023	2024	2025	2026
1	2	3	4	5	6
ITBs	2,16,272	2,12,758	2,66,805	1,88,072	2,05,998
ATBs	87,400	58,913	51,258	88,781	63,409
Total	3,03,672	2,71,671	3,18,063	2,76,853	2,69,407

Source: RBI.

Investments in Consolidated Sinking Fund (CSF)/ Guarantee Redemption Fund (GRF) and Budget Stabilisation Fund (BSF)

VII.23 The Reserve Bank manages three reserve funds on behalf of member states/UTs, viz., CSF (26 states and two UTs), GRF (25 states and one UT) and BSF (two states). Outstanding investments by the member states in CSF and GRF as at end-March 2026 stood at ₹2,66,224 crore and ₹51,992 crore, respectively, as against ₹2,40,348 crore and ₹16,019 crore as at end-March 2025, respectively. Outstanding investments by the member states in BSF as at end-March, 2026 stood at ₹23,193 crore and ₹20,890 crore as at end-March 2025, respectively.

VII.24 During 2025-26, capacity building programmes on cash and debt management were conducted for eight states/UTs. In addition, a two-day workshop on cash and debt management was also conducted at the Reserve Bank's College of Agricultural Banking, Pune.

VII.25 The Reserve Bank has been sensitising states about the adoption of Benchmark Issuance Strategy (BIS) for their market borrowings, for improving the transparency and providing greater clarity to investors. This strategy would involve

issuing securities in specific benchmark tenor buckets as per the pre-announced calendar. Based on the concurrence received from state governments, it has been decided to introduce the BIS, on a pilot basis for nine² state governments starting from 2026-27.

VII.26 The Reserve Bank has been encouraging states to adopt a medium-term debt management strategy (MTDS)³ that would essentially cover development of a prudent debt management strategy consistent with government's preferences for cost/risk trade-offs.

3. Agenda for 2026-27

VII.27 During 2026-27, the market borrowing programme is proposed to be conducted with the following strategic milestones for achieving overall debt management:

- Comprehensive review of extant schemes for non-competitive bidding in G-secs, T-Bills and SGS;
- Onboarding of 'Retail Direct' holdings under the account aggregator framework; and
- Sensitising remaining states/UTs to adopt Benchmark Issuance Strategy, which has already been adopted by nine state governments.

4. Conclusion

VII.28 During the year, the market borrowings of the central and state governments were completed successfully amidst global financial volatility and geopolitical tensions. The market borrowing programme for 2026-27 will be managed in an orderly manner considering the government's fiscal deficit goals and evolving market conditions.

² Andhra Pradesh, Bihar, Chhattisgarh, Kerala, Madhya Pradesh, Maharashtra, Rajasthan, Telangana and Uttar Pradesh.

³ It involves comprehensive assessment of the existing debt portfolio, evaluation of its composition (internal *versus* external, short-term *versus* long-term), debt servicing profiles, and vulnerabilities. The strategy prescribes adjustments to debt composition, modifying instrument structures to address identified risks and ensure fiscal sustainability.

VIII

CURRENCY MANAGEMENT

During 2025-26, the Reserve Bank continued with its efforts towards upgradation of the currency management infrastructure in the country while remaining focused on ensuring adequate supply of clean banknotes in circulation. Efforts were started towards research and development for bringing about innovation in various facets of currency management and indigenisation of security features.

VIII.1 In pursuance of its Clean Note Policy, the Reserve Bank remained committed to ensuring supply of clean banknotes and coins to meet the cash demand of the economy. The Reserve Bank took forward the plan to modernise the currency management infrastructure in the country. The Reserve Bank also conducted a survey on assessing the payment behaviour of the households for collecting inputs for policy fine-tuning.

VIII.2 Against this backdrop, the rest of the chapter is organised into five sections. Section 2 covers the implementation status of the agenda for 2025-26, followed by section 3 covering important developments in currency in circulation along with other initiatives undertaken during the year. The developments with regard to Bharatiya Reserve Bank Note Mudran Private Ltd. (BRBNMPL), a wholly owned subsidiary of the Reserve Bank, are given in section 4. The Department of Currency Management's agenda for 2026-27 is provided in section 5 with concluding observations in section 6.

2. Agenda for 2025-26

VIII.3 The Department had set out the following goals for 2025-26:

- Carrying forward the project on modernisation of the currency management infrastructure (Paragraph VIII.4);

- Strengthening the integrity of Indian banknotes through introduction of new/ upgraded security features (Paragraph VIII.5);
- Installation and commencement of operation of new Shredding and Briquetting Systems (SBS) [Paragraph VIII.6];
- Capacity augmentation for processing of banknotes (Paragraph VIII.7); and
- Understanding the payment behaviour of the public through survey (Paragraph VIII.8).

Implementation Status

VIII.4 The Reserve Bank held stakeholder engagements to carve out the appropriate architecture for currency management infrastructure of the country.

VIII.5 Substantial progress was made in the process of rolling out of new security features in the banknotes. A phased roll out of banknotes with new/ upgraded security features is expected to start from the middle of 2026.

VIII.6 The upgradation of banknote processing infrastructure at Reserve Bank's Issue offices continued with installation of new SBS machines.

VIII.7 The augmentation of cash processing infrastructure with procurement of new Currency Verification and Processing Systems (CVPS) is underway.

VIII.8 To understand usage and preference for cash and digital modes of payments, a survey on households' payment behaviour among individuals and small retail sellers was conducted. The survey results indicated continued strong preference for usage of cash.

3. Developments in Currency in Circulation

Banknotes

VIII.9 The value and volume of banknotes in circulation increased by 11.9 per cent and 10.5 per

cent, respectively, during 2025-26 (Table VIII.1). In volume terms, ₹500 denomination constituted the highest share of the total banknotes in circulation, followed by ₹10 denomination banknotes.

Withdrawal of ₹2000 Denomination Banknotes from Circulation

VIII.10 The withdrawal of ₹2000 banknotes from circulation, initiated in terms of press release dated May 19, 2023, which continued during the year and 98.45 per cent of ₹3.56 lakh crores in circulation at the time of announcement, have since returned up to March 31, 2026. The facility for exchange and deposit of the ₹2000 banknotes is presently available at 19 Issue Offices¹ of the

Table VIII.1: Banknotes in Circulation (end-March)

Denomination (₹)	Volume (pieces in lakh)			Value (₹ crore)		
	2024	2025	2026	2024	2025	2026
1	2	3	4	5	6	7
2 and 5	1,10,547 (7.5)	1,10,352 (7.1)	1,10,220 (6.4)	4,249 (0.1)	4,239 (0.1)	4,232 (0.1)
10	2,49,506 (17.0)	2,53,590 (16.4)	2,75,652 (16.1)	24,951 (0.7)	25,359 (0.7)	27,565 (0.7)
20	1,33,973 (9.1)	1,38,398 (8.9)	1,40,527 (8.2)	26,795 (0.8)	27,680 (0.8)	28,105 (0.7)
50	89,783 (6.1)	98,959 (6.4)	1,08,240 (6.3)	44,892 (1.3)	49,480 (1.3)	54,120 (1.3)
100	2,05,656 (14.0)	2,27,891 (14.7)	2,68,574 (15.7)	2,05,656 (5.9)	2,27,891 (6.2)	2,68,573 (6.5)
200	77,108 (5.2)	86,754 (5.6)	1,04,245 (6.1)	1,54,215 (4.4)	1,73,509 (4.7)	2,08,491 (5.1)
500	6,01,770 (41.0)	6,34,458 (40.9)	7,05,482 (41.2)	30,08,847 (86.5)	31,72,287 (86.0)	35,27,408 (85.5)
2000	410 (0.03)	318 (0.02)	275 (0.02)	8,202 (0.2)	6,366 (0.2)	5,501 (0.1)
Total	14,68,754	15,50,720	17,13,215	34,77,805	36,86,811	41,23,995

Notes: 1. Figures in parentheses represent the percentage share in total volume/value.

2. Figures may not add up to total due to rounding-off of the numbers.

Source: RBI.

¹ Ahmedabad, Bengaluru, Belapur, Bhopal, Bhubaneswar, Chandigarh, Chennai, Guwahati, Hyderabad, Jaipur, Jammu, Kanpur, Kolkata, Lucknow, Mumbai, Nagpur, New Delhi, Patna and Thiruvananthapuram.

Reserve Bank. The ₹2000 banknotes can also be sent through India Post from any post office in the country to any of the Reserve Bank's 19 Issue offices for credit to the bank accounts in India.

Coins

VIII.11 The total value as well as volume of coins in circulation increased by 11.4 per cent and 4.5 per cent, respectively, during 2025-26 (Table VIII.2). As on March 31, 2026, coins of ₹1, ₹2 and ₹5 together constituted 80.7 per cent of the total volume of coins in circulation, while in value terms, these denominations accounted for 60.2 per cent.

e₹ in Circulation

VIII.12 As on March 31, 2026, the value of e₹ in circulation stood at ₹771.7 crore as against ₹1,016.5 crore as on March 31, 2025.

Currency Management Infrastructure

VIII.13 The functions relating to issuance of currency (*i.e.*, banknotes and coins) and their management are performed by the Reserve Bank through its 19 Issue Offices, 2,599 Currency Chests and 2,119 Small Coin Depots across the country. As on March 31, 2026, State Bank of India accounted for the highest share of Currency Chests (Table VIII.3).

Indent and Supply of Currency

VIII.14 The indent of banknotes for 2025-26 was lower than 2024-25 whereas the indent of coins for 2025-26 was higher than the previous year (Tables VIII.4 and VIII.5). The printing presses supplied banknotes as per the indent placed with them.

Table VIII.2: Coins in Circulation (end-March)

Denomination (₹)	Volume (pieces in lakh)			Value (₹ crore)		
	2024	2025	2026	2024	2025	2026
1	2	3	4	5	6	7
50 paise	1,47,880 (11.2)	1,47,880 (10.8)	1,47,880 (10.3)	739 (2.2)	739 (2.0)	739 (1.8)
1	5,29,934 (40.0)	5,38,720 (39.3)	5,49,855 (38.4)	5,299 (15.9)	5,387 (14.7)	5,499 (13.5)
2	3,55,929 (26.9)	3,64,605 (26.6)	3,75,287 (26.2)	7,119 (21.3)	7,292 (19.9)	7,506 (18.4)
5	2,05,471 (15.5)	2,16,198 (15.8)	2,31,658 (16.2)	10,274 (30.8)	10,810 (29.5)	11,583 (28.4)
10	68,637 (5.2)	83,636 (6.1)	1,01,542 (7.1)	6,864 (20.6)	8,364 (22.9)	10,154 (24.9)
20	15,667 (1.2)	20,180 (1.5)	26,667 (1.9)	3,133 (9.4)	4,036 (11.0)	5,333 (13.1)
Total	13,23,518	13,71,218	14,32,889	33,428	36,628	40,814

Notes: 1. Figures in parentheses represent the percentage share in total volume/value.

2. Figures may not add up to total due to rounding-off of the numbers.

Source: RBI.

Table VIII.3: Currency Chests and Small Coin Depots (end-March 2026)

Category	Number of Currency Chests	Number of Small Coin Depots
1	2	3
State Bank of India	1,298	1,073
Nationalised Banks	1,053	834
Private Sector Banks	229	196
Cooperative Banks	5	5
Foreign Banks	5	3
Regional Rural Banks	8	7
Reserve Bank of India	1	1
Total	2,599	2,119

Source: RBI.

Disposal of Soiled Banknotes

VIII.15 The disposal of soiled banknotes during 2025-26 has been lower than that of the previous year on account of transient interruptions arising from the replacement of Shredding and Briquetting Systems (SBS) at Issue Offices of the Reserve Bank (Table VIII.6).

Table VIII.4: Indent and Supply of Banknotes by BRBNMPL and SPMCIL (April-March)

(Pieces in lakh)

Denom-ination (₹)	2023-24		2024-25		2025-26	
	Indent	Supply	Indent	Supply	Indent	Supply
1	2	3	4	5	6	7
5	-	-	-	-	-	-
10	8,000	8,000	18,000	18,000	46,000	46,000
20	20,000	20,000	15,000	15,000	20,000	20,000
50	25,000	25,000	30,000	30,000	20,000	20,000
100	70,000	70,000	80,000	80,000	70,000	70,000
200	30,000	30,000	40,000	40,000	15,000	15,000
500	90,000	90,000	1,20,000	1,20,000	1,10,000	1,10,000
2000	-	-	-	-	-	-
Total	2,43,000	2,43,000	3,03,000	3,03,000	2,81,000	2,81,000

-: Nil.

BRBNMPL: Bharatiya Reserve Bank Note Mudran Private Ltd.

SPMCIL: Security Printing and Minting Corporation of India Ltd.

Note: Figures may not add up to total due to rounding-off of the numbers.**Source:** RBI.**Table VIII.5: Indent and Supply of Coins by Mints (April-March)**

(Pieces in lakh)

Denom-ination (₹)	2023-24		2024-25		2025-26	
	Indent	Supply	Indent	Supply	Indent	Supply
1	2	3	4	5	6	7
1	3,000	3,058	1,000	1,000	1,000	1,000
2	3,000	3,000	1,000	1,000	1,000	1,000
5	3,000	3,000	8,000	8,000	8,000	8,000
10	1,000	1,000	1,000	1,000	6,000	6,000
20	2,000	1,999	4,000	4,000	5,000	5,000
Total	12,000	12,056	15,000	15,000	21,000	21,000

Note: Figures may not add up to total due to rounding-off of the numbers.
Source: RBI.

Counterfeit Notes

VIII.16 During 2025-26, out of the total Fake Indian Currency Notes (FICNs) detected in the banking sector, 2.4 per cent were detected at the Reserve Bank (Table VIII.7).

VIII.17 The counterfeit notes detected in the denominations of ₹10, ₹50, ₹100, ₹200 and

Table VIII.6: Disposal of Soiled Banknotes (April-March)

(Pieces in lakh)

Denomination (₹)	2023-24	2024-25	2025-26
1	2	3	4
2000	18,458	2,211	47
1000	4	-	-
500	63,320	89,855	59,831
200	13,594	24,756	16,056
100	60,217	58,334	58,114
50	19,095	25,720	15,690
20	13,971	16,503	9,892
10	23,461	20,799	10,412
Up to 5	370	384	195
Total	2,12,493	2,38,563	1,70,237

-: Nil.

Note: Figures may not add up to total due to rounding-off of the numbers.**Source:** RBI.

Table VIII.7: Number of Counterfeit Notes Detected (April-March)

(Number of pieces)			
Year	2023-24	2024-25	2025-26
1	2	3	4
Detection at the Reserve Bank	17,613 (7.9)	10,255 (4.7)	5,412 (2.4)
Detection at other Banks	2,05,026 (92.1)	2,07,141 (95.3)	2,24,334 (97.6)
Total	2,22,639	2,17,396	2,29,746
Notes: 1. Figures in parentheses represent the percentage share in total. 2. Does not include counterfeit notes seized by the police and other enforcement agencies.			
Source: RBI.			

₹2000 declined during 2025-26, while those in ₹20 and ₹500 denominations increased by 47.4 per cent, and 20.5 per cent, respectively, as compared with the previous year (Table VIII.8).

Expenditure on Security Printing

VIII.18 The expenditure incurred on security printing during 2025-26 was ₹4,875.2 crore as against ₹6,372.8 crore during the previous

Table VIII.8: Denomination-wise Counterfeit Notes Detected in the Banking System (April-March)

(Number of pieces)			
Denomination (₹)	2023-24	2024-25	2025-26
1	2	3	4
2 and 5	1	3	0
10	235	159	133
20	297	253	373
50	15,366	12,015	10,274
100	66,310	51,069	45,621
200	28,672	32,660	30,591
500 (Specified Banknotes)	11	5	15
500	85,711	1,17,722	1,41,907
1000 (Specified Banknotes)	1	2	8
2000	26,035	3,508	824
Total	2,22,639	2,17,396	2,29,746
Source: RBI.			

year due to reduced indent of banknotes during 2025-26.

Other Initiatives

Launch of Indian Currency Microsite

VIII.19 Indian Currency Microsite (<https://indiancurrency.rbi.org.in>) was launched on September 10, 2025, replacing the earlier 'Paisa Bolta Ha' microsite. The microsite provides a platform to access information on banknotes such as details of the design and security features through a 360-degree view, multimedia (video, audio and animation) and interactive games with simple and efficient navigation. The microsite also has a dedicated section for information on exchange of banknotes.

Revision of Services under Citizen's Charter

VIII.20 Three services pertaining to exchange of notes received through Postal Covers, Triple Lock Receptacles (TLRs) and notes that cannot withstand normal handling, have now been brought under the ambit of citizen's charter to ensure efficiency in services to general public.

Awareness Campaign on Misinformation on Coins, Mobile Aided Note Identifier (MANI) and Exchange Facility for Soiled Banknotes

VIII.21 Sustained awareness campaigns through print, digital and social media to dispel misinformation on coins resulted in substantial increase in acceptance of coins amongst public. Further, media campaigns were also organised for creating awareness on exchange facility for soiled notes.

Improved safety and hygiene standards of banknotes

VIII.22 Anti-bacterial and anti-microbial treatments developed inhouse by our banknotes

paper mill was integrated into the paper manufacturing process. This has resulted into further improvements in safety and hygiene standards of Indian banknotes.

4. Bharatiya Reserve Bank Note Mudran Private Ltd. (BRBNMPL)

VIII.23 The BRBNMPL has been playing a critical role in designing, printing and supply of banknotes. During the year, print trials of varnished notes were conducted at the Mysuru printing press of BRBNMPL. Currency Research and Development Centre (CRDC), which functions under the aegis of BRBNMPL, initiated efforts to collaborate with research institutions in the areas of Research and Development (R&D) in banknotes.

5. Agenda for 2026-27

VIII.24 During the year, the Department will focus on the following:

- Strengthening the integrity of Indian Banknotes through introduction of new/ upgraded security features;

- Improvements in substrate of banknotes for enhanced durability (*Utkarsh 2029*);
- Capacity augmentation for processing of banknotes; and
- Continuing with the efforts towards improvements in existing Issue Offices and opening of two new Issue Offices.

6. Conclusion

VIII.25 During 2025-26, the Reserve Bank sustained its efforts towards ensuring adequate supply of clean currency for the public, focusing on improving efficiency of banknote distribution and deepening public awareness regarding the authenticity, security, and proper handling of banknotes and coins. Going ahead, maintaining the self-sufficiency in banknote production with indigenisation across the spectrum, enhancing the lifespan, security and integrity of banknote design, and improving the quality of banknotes in circulation, shall remain the priority areas.

IX

PAYMENT AND SETTLEMENT SYSTEMS AND INFORMATION TECHNOLOGY

During 2025-26, the Reserve Bank continued its efforts to provide secure, accessible, affordable, and efficient payment systems across the country. It strengthened the resilience and inclusiveness of the digital payments ecosystem while expanding the global footprint of India's domestic payment platforms, particularly Unified Payments Interface (UPI) and RuPay cards. The Reserve Bank remained focused on maintaining a robust and secure information and communication technology (ICT) infrastructure to ensure the smooth functioning of its information technology (IT) systems and applications in the Reserve Bank.

IX.1 Building on the foundations laid by earlier Payment Vision documents¹, the Reserve Bank focused on expanding the adoption of digital payments across all segments of society through promotion of innovation and a supportive regulatory framework. The Reserve Bank released Payments Vision 2028 during the year, outlining the roadmap for digital payments up to December 2028. On the international front, efforts to expand the global outreach of UPI and RuPay cards continued.

IX.2 The Department of Information Technology (DIT) made significant advancements during the year in leveraging technology to enhance its operations, including the upgradation of NGRTGS² - which provides an upgraded payment system with richer web user interface and enhanced performance and security.

IX.3 Against this backdrop, section 2 covers developments in the area of payment and settlement systems during 2025-26 and also

assesses the implementation status of the agenda for the year. Section 3 provides various measures undertaken by DIT *vis-à-vis* the agenda set for 2025-26. Developments with regard to Reserve Bank Information Technology (ReBIT) and Indian Financial Technology and Allied Services (IFTAS), wholly owned subsidiaries of the Reserve Bank, are also presented. The agenda of these departments for 2026-27 are covered in their respective sections. Concluding observations are set out in the last section.

2. DEPARTMENT OF PAYMENT AND SETTLEMENT SYSTEMS (DPSS)

IX.4 During the year, DPSS undertook several initiatives in line with Payments Vision 2025 across the pillars of integrity, inclusion, innovation, institutionalisation, and internationalisation.

Payment Systems

IX.5 Cashless transactions³ recorded a robust growth of 26.8 per cent in terms of transaction volume during 2025-26, following an expansion

¹ Payments Vision documents were released by the Reserve Bank in 2001, 2005, 2009, 2010, 2012, 2016, 2019, 2022 and 2025 to provide strategic direction along with implementation roadmap to drive structured development of the payments ecosystem.

² Next Generation Real Time Gross Settlement.

³ Total payments, including digital payments and paper-based instruments.

of 34.8 per cent in the previous year (Table IX.1). In value terms, the growth moderated to 13.2 per cent in 2025-26 from 17.3 per cent in the previous year.

Table IX.1: Payment System Indicators - Annual Turnover (April-March)

Item	Volume (lakh)			Value (₹ lakh crore)		
	2023-24	2024-25	2025-26	2023-24	2024-25	2025-26
1	2	3	4	5	6	7
A. Settlement Systems						
CCIL Operated Systems	43	47	57	2,592.1	2,962.2	3,670.1
B. Payment Systems						
1. Large Value Credit Transfers - RTGS	2,700	3,025	3,500	1,708.9	2,013.9	2,273.7
Retail Segment (2 to 6)						
2. Credit Transfers	14,86,107	20,61,015	26,18,738	675.4	798.8	919.4
2.1 AePS (Fund Transfers)	4	4	3	-	-	0.002
2.2 APBS	25,888	32,964	33,854	3.9	5.5	7.2
2.3 ECS Cr	-	-	-	-	-	-
2.4 IMPS	60,053	56,250	49,431	65.0	71.4	76.7
2.5 NACH Cr	16,227	16,939	18,284	15.3	16.7	19.0
2.6 NEFT	72,640	96,198	1,00,996	391.4	444.6	502.3
2.7 UPI	13,11,295	18,58,660	24,16,169	200.0	260.6	314.2
3. Debit Transfers and Direct Debits	18,250	21,660	23,471	16.9	22.1	27.0
3.1 BHIM Aadhaar Pay	194	230	232	0.1	0.1	0.1
3.2 ECS Dr	-	-	-	-	-	-
3.3 NACH Dr	16,426	19,762	21,614	16.8	22.0	26.9
3.4 NETC (Linked to Bank Account)	1,629	1,668	1,625	-	-	0.02
4. Card Payments	58,470	63,861	73,040	24.2	26.1	28.1
4.1 Credit Cards	35,610	47,741	60,238	18.3	21.1	23.6
4.2 Debit Cards	22,860	16,120	12,802	5.9	5.0	4.5
5. Prepaid Payment Instruments	78,775	70,254	98,699	2.8	2.2	2.9
6. Paper-based Instruments	6,632	6,095	5,588	72.1	71.1	71.5
Total Retail Payments (2+3+4+5+6)	16,48,234	22,22,885	28,19,536	791.5	920.3	1,048.8
Total Payments (1+2+3+4+5+6)	16,50,934	22,25,910	28,23,036	2,500.4	2,934.1	3,322.5
Total Digital Payments (1+2+3+4+5)	16,44,302	22,19,815	28,17,448	2,428.2	2,863.0	3,251.0
CCIL : Clearing Corporation of India Ltd.	AePS : Aadhaar Enabled Payment System.			Cr : Credit.		
APBS : Aadhaar Payment Bridge System.	ECS : Electronic Clearing Service.			Dr : Debit.		
IMPS : Immediate Payment Service.	NACH : National Automated Clearing House.			- : Nil/Negligible.		
NEFT : National Electronic Funds Transfer.	BHIM : Bharat Interface for Money.					
NETC : National Electronic Toll Collection.	RTGS : Real Time Gross Settlement.					
Notes : 1. RTGS system includes customer and inter-bank transactions only.						
2. Settlements of government securities and forex transactions are through CCIL. Government securities include outright trades and both legs of repo transactions and triparty repo transactions.						
3. The figures for cards are for payment transactions at Point of Sale (PoS) terminals and online.						
4. Figures in the columns might not add up to the total due to rounding off of numbers.						
Source: RBI.						

Digital Payments

IX.6 During 2025-26, transactions processed through the Real Time Gross Settlement (RTGS) system increased by 15.7 per cent in volume terms and 12.9 per cent in value terms. Retail payment transactions recorded an increase of 26.8 per cent in volume terms and 14 per cent in value terms during the year (Table IX.1).

IX.7 UPI continued to account for the largest share in retail payments, contributing nearly 86 per cent of total retail payment transactions during the year. UPI transactions increased by 30 per cent in volume terms and 20.6 per cent in value terms.

Authorisation of Payment Systems

IX.8 During the year, the Reserve Bank accorded authorisation to 23 non-bank Payment Aggregators (PAs), four non-bank prepaid payment instrument (PPI) issuers, and one Interoperable Mobile and Net Banking operator (Table IX.2).

Agenda for 2025-26

IX.9 For 2025-26, the Department had outlined the following objectives:

- To assess evolving trends, adoption patterns and user preferences in India's digital payments ecosystem through a nationwide 'Survey on Usage of Digital Payments' with a view to supporting evidence-based policy making (Paragraph IX.10);
- To strengthen safeguards against digital payment frauds by establishing a Digital Payment Intelligence Platform (DPPI), leveraging advanced technologies for real-time identification of suspicious transactions (Paragraph IX.11);

Table IX.2: Authorisation of Payment System Operators (PSOs) [end-March]

(Number)		
Entity	2025	2026
1	2	3
A. Non-Banks - Authorised		
PPI Issuers ^{\$}	48	50
Payment Aggregators ^{#\$}	51	68
WLA Operators	5	5
Instant Money Transfer Service Provider	1	1
BBPCU	1	1
BBPOUs	10	10
TReDS Platform Operators	5	5
MTSS Operators	7	7
Card Networks	5	5
ATM Networks	2	2
Financial Market Infrastructure	1	1
Central Counterparties	1	1
Retail Payments Organisation	1	1
Interoperable Mobile and Net Banking	-	1
B. Banks - Approved		
PPI Issuers	63	63
BBPOUs	46	46
ATM Networks	3	3

^{\$}: One entity surrendered its certificate of authorisation and one entity is under process of voluntary surrender of its certificate of authorisation during the period.

[^]: One entity surrendered its certificate of authorisation during the period.

[#]: The categories of PAs- Online, PAs- Cross-Border and PAs- Physical have been shown cumulatively as PAs as defined in Master Direction on Regulation of Payment Aggregator dated September 15, 2025.

Note: PSOs comprise PPI issuers, Payment Aggregators (PA)-cross-border, Money Transfer (in-bound only) Service Schemes (MTSS), White Label ATM (WLA) operators, Trade Receivables Discounting System (TReDS) platforms, Automated Teller Machine (ATM) networks, Instant Money Transfer Service Providers, Card Networks, *Bharat* Bill Payment Central Unit (BBPCU), *Bharat* Bill Payment Operating Units (BBPOUs), Central Counterparty (CCP) and Interoperable Mobile and Net Banking operator, besides the CCIL (The Clearing Corporation of India limited) and the National Payments Corporation of India (NPCI).

Source: RBI.

- To frame Payments Vision 2028, building on the achievements of earlier vision documents and providing further impetus to the digital payments' ecosystem (Paragraph IX.12); and

- To work towards identifying frictions in processing of beneficiary leg of cross-border payments and framing suitable regulatory policy/action in consultation with the relevant stakeholders in India (Paragraph IX.13).

Implementation Status

IX.10 The Reserve Bank conducted a 'Survey on Usage of Digital Payments' covering more than 30,000 users and 10,000 merchants spread across the country. The survey indicated that 52 per cent of users had adopted digital payments, primarily driven by speed and convenience. Adoption varied across parameters like age, income, gender and location indicating scope for policy action. Among merchants, 67 per cent

reported accepting digital payment modes, with a majority indicating a positive impact of the same on business operations. UPI emerged as the predominant payment mode both in terms of usage and acceptance.

IX.11 The first phase of the DPIP prototype - namely, the establishment of the Smart Registry - has been operational since August 2025.

IX.12 The Reserve Bank issued 'Payments Vision 2028' on March 27, 2026, outlining its strategic priorities for digital payments up to December 2028 (Box IX.1).

IX.13 To examine frictions faced in timely credit of inward cross-border payments to beneficiary accounts, a draft circular was issued for public consultation on October 29, 2025. Inputs received

Box IX.1 Payments Vision 2028

The Reserve Bank has been publishing Payment Vision documents periodically since 2001 to encourage innovation, and enhance the resilience, inclusivity, and user-friendliness of digital payments.

To enhance safety in digital payments, measures such as enabling or disabling transactions across digital payment modes through issuer channels; developing a shared responsibility framework wherein both the customer's bank (issuer) and the beneficiary's bank jointly bear liability; reviewing the design and security features of cheques; and introducing a Cyber Key Risk Indicators (KRI) framework for non-bank payment system operators will be examined.

In the area of cross-border payments, steps to enhance efficiency shall be explored, and detailed progress reports shall be published.

Further, for promoting ease of doing business and convenience, streamlining the regulatory process for cross-border payment authorisation under the Payment and Settlement Systems (PSS) Act, 2007 and Foreign Exchange Management Act (FEMA), 1999 shall be explored along with

examining the case for recognising small payment system providers under a perpetual regulatory sandbox structure. Facilitating migration of payment instructions from one account to another and thereby enabling customers to change their bank accounts with minimal friction shall also be explored.

To provide a fillip to research pertaining to digital payments, dedicated research and training capacity is proposed to be developed apart from facilitating enhanced access to domestic and cross-border payments data.

To promote systemic stability and integrity, banking entities deemed to be playing a critical role in facilitating digital payments within the regulatory fold shall be explored along with examining the case for introducing a uniform Domestic Legal Entity Identifier (DLEI).

Innovation in card payments space shall be encouraged and introduction of electronic cheques shall be attempted. Further, developing a framework to usher interoperability in TReDS shall be explored to promote inclusivity.

Source: RBI.

from the public were examined, and circular was issued on April 9, 2026.

Major Developments

Due Diligence of AePS Touchpoint Operators

IX.14 To enhance the robustness of AePS, directions were issued for streamlining the process for onboarding of AePS touchpoint operators (ATOs) and strengthening risk management by the acquiring bank.

Master Direction on Regulation of Payment Aggregator (PA)

IX.15 The Master Direction on regulation of payment aggregators rationalised the categorisation of payment aggregators and prescribed enhanced due diligence norms for merchants. With this direction, all payment aggregation activities - online, physical, and cross-border - were brought under the regulatory ambit.

Directions on Framework on Authentication Mechanism for Digital Payment Transactions

IX.16 The directions were issued to encourage adoption of new authentication factors based on technological advancements. The directions also mandate validation of additional factor authentication (AFA) by card issuers in cross-border card-not-present transactions, whenever requested by overseas merchants or acquirers.

Continuous Clearing and Settlement on Realisation in Cheque Truncation System (CTS)

IX.17 Continuous clearing and settlement on realisation were implemented in CTS with Phase 1 going live on October 4, 2025. The initiative aims to expedite cheque clearing and

reduce settlement risks by enabling continuous processing and faster credit to customer accounts. Under this, cheques are scanned, presented, and passed on a continuous basis during the presentation and confirmation sessions, instead of the batch processing approach followed earlier. Cheques that are positively confirmed or deemed approved are included for settlement, while negatively confirmed (dishonoured) cheques are not. Banks are required to credit customer accounts within one hour of settlement.

Formation of Payment Regulatory Board (PRB)

IX.18 Amendments to Section 3 of the Payment and Settlement Systems Act, 2007 (PSS Act, 2007) carried out *vide* the Finance Act, 2017, came into effect from May 9, 2025, with issuance of Gazette notification dated May 6, 2025, by Department of Financial Services (DFS), Government of India. Consequently, the erstwhile Board for Regulation and Supervision of Payment and Settlement Systems (BPSS), a committee of the Central Board of the Reserve Bank of India, has been replaced with the Payments Regulatory Board (PRB) from May 9, 2025.

IX.19 The first meeting of PRB was held on January 5, 2026 in Mumbai under the Chairmanship of Shri Sanjay Malhotra, Governor, with members of the Board, viz., Shri S. Krishnan, Secretary, Ministry of Electronics and Information Technology, Shri Nagaraju Maddirala, Secretary, Department of Financial Services, Smt. Aruna Sundararajan, IAS (retired), Shri T. Rabi Sankar, Deputy Governor, and Shri Vivek Deep, Executive Director, attending the meeting.

Global Outreach of Payment Systems

IX.20 The Fast Payment System (FPS) bilateral linking of India's UPI with Singapore's PayNow for enabling real time cross-border personal remittances has been operational since February 2023. A few more collaborations for linking UPI with FPS of other countries are in progress. The multilateral FPS linking project for cross-border remittances under Project Nexus is also ongoing. The Reserve Bank continued to facilitate such bilateral and multilateral linkages between UPI and payment systems of other countries for cross-border remittances. The acceptance of UPI for QR-code based merchants is operational in Bhutan, France, Mauritius, Nepal, Qatar, Singapore, Sri Lanka, and the UAE. The scope of UPI accessibility varies across jurisdictions, with some implementations being nationwide and some currently enabled at specific locations. Efforts are ongoing to further expand UPI's interoperability with comparable systems for enabling cross-border remittances and merchant payments. Deployment work of UPI like infrastructure is ongoing in Namibia and Peru, whereas the RuPay stack deployment for development of domestic card scheme has been completed in Mauritius and the UAE. This international expansion is being driven through strategic collaborations between NPCI⁴ International Payments Limited (NIPL) and overseas partners, including FPS operators, international network partners, and payment aggregators.

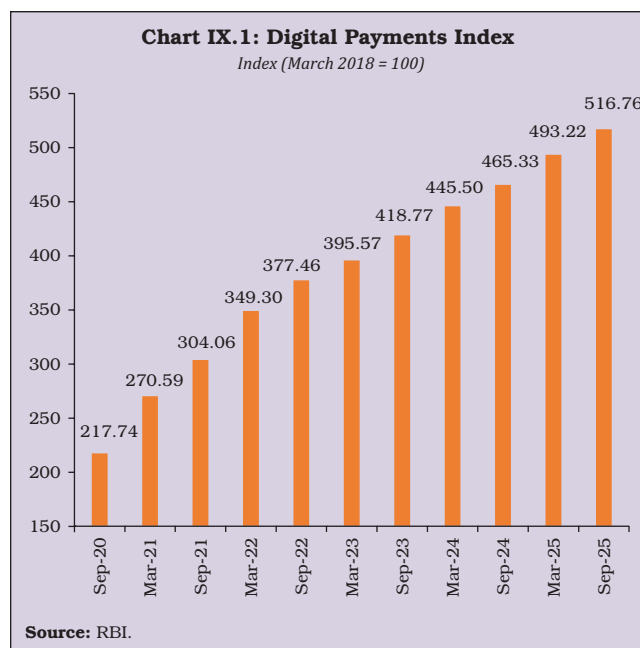
Digital Payments Index (DPI)

IX.21 The Reserve Bank's DPI (RBI-DPI), computed semi-annually, continued to exhibit

strong growth, reflecting rapid adoption, and deepening of digital payments across the country (Chart IX.1).

Inspection of PSOs

IX.22 During 2025-26, the Reserve Bank, under Section 16 of the Payment and Settlement Systems Act, 2007, carried out onsite inspections of 90 PSOs, viz., one financial market infrastructure (CCIL⁵), one retail payment organisation [NPCI which includes NPCI Bharat BillPay Ltd. (NBBL), RuPay Cards, NPCI BHIM Services Ltd. (NBSL), and NIPL], thirty six non-bank PPI issuers, thirty PAs, ten Bharat Bill Payment Operating Units (BBPOUs), four Card Payment Networks, four White Label ATM Operators (WLAOs), three Trade Receivables E-Discounting System (TReDS) platform providers and one ATM network provider.



⁴ National Payments Corporation of India.

⁵ The Clearing Corporation of India Ltd.

Agenda for 2026-27

IX.23 In 2026-27, the Department will focus on the following goals:

- The second phase of DPIP, involving the development of artificial intelligence (AI) and machine learning (ML) based risk-scoring platform, is currently under process and is envisaged to be completed during the year;
- To address the continuing challenge of authorised push payment frauds - where customers themselves initiate payments despite the various safeguards already in place such as mandatory additional factor of authentication (AFA), payee name lookup, card controls, tokenisation, and related measures, introduction of certain frictions in digital payment processes would be explored, with a view to enhancing customer protection and facilitating more effective recovery of funds;
- Switch on and switch off facility for domestic and international card transactions is available to customers which has helped customers exercise greater control. Introduction of a similar facility for all digital payment modes shall be explored along with a 'kill switch' to block all debits from the account in one stroke. This facility would help bolster consumer confidence and contribute towards controlling frauds in digital payment transactions;
- To reduce settlement risk and expedite transaction timelines through central bank

money settlement, the Reserve Bank will explore granting direct RTGS and NEFT access to more categories of entities;

- To continue efforts to increase and deepen the penetration of digital payments, particularly in rural and semi-urban areas, to ensure last-mile connectivity and inclusive access; and
- To continue efforts to further expand the linkage of UPI with the fast payment systems of strategic partner jurisdictions, with a view to enabling seamless, secure, and cost-effective cross-border remittances as well as merchant payments (*Utkarsh 2029*).

3. DEPARTMENT OF INFORMATION TECHNOLOGY (DIT)

IX.24 DIT continued its endeavour to ensure the smooth functioning of all the IT systems and applications of the Reserve Bank and leverage the latest technology to provide the best-in-class ICT infrastructure. DIT made significant progress in modernising payment systems, strengthening digital infrastructure, and enhancing cybersecurity resilience. Several initiatives undertaken during the year strengthened scalability, interoperability, global integration and the technological foundation of India's financial ecosystem. The Department's initiative to introduce an exclusive '.bank.in' domain, marked India as the first country globally to mandate a secure domain for the banking system thereby strengthening cybersecurity and reducing digital payment frauds. This effort was recognised by Central Banking, London, UK which honoured the Reserve Bank with the 'Initiative of the Year 2026' award.

Agenda for 2025-26

IX.25 The Department had set out the following goals for 2025-26:

- *Cloud Facility for the Financial Sector:* Phase I of the Indian Financial Sector (IFS) cloud with basic services such as Infrastructure-as-a-Service (IaaS), Platform-as-a-Service (PaaS), Software-as-a-Service (SaaS), Container-as-a-Service (CaaS), Storage-as-a-Service (STaaS), and Public Internet Protocol-as-a Service (IPaaS) would be initiated. Subsequently, work on Phase II of the cloud with advanced services like Application Programming Interface (API) management, application performance management, availability zone, and Development, Security and Operations (DevSecOps) will be initiated (Paragraph IX.26);
- *e-Kuber 3.0:* Development of future modules relating to functionalities such as primary auction, public debt management, Central Accounts Section and Centre for Financial Literacy (CFL) have been planned (Paragraph IX.27);
- *Alternate Mechanism for Digital Payment System:* The Reserve Bank will continue further innovation and development of alternate payment and messaging systems. The vision will be to develop payment and messaging solutions based on modern standards with advanced capabilities (Paragraph IX.28); and
- *Enhancing Trust in the Financial Sector Through '.bank.in' and '.fin.in' Domains:* To combat increased instances of fraud in digital payments, the Reserve Bank

had announced introducing the '.bank.in' exclusive internet domain for Indian banks. This initiative aims to reduce cybersecurity threats and malicious activities like phishing; and streamline secure financial services, thereby enhancing trust in digital banking and payment services. The Institute for Development and Research in Banking Technology (IDRBT) will act as the exclusive registrar. The registration process for the banks will be initiated (Paragraph IX.29).

Implementation Status

IX.26 Beta phase of the IFS cloud was made live during the year, and nine entities have been onboarded onto the cloud. The work on phase I of the IFS cloud services is in advanced stage.

IX.27 Development of CFL module was completed during the year. The development of other functionalities such as primary auction, public debt management and Central Accounts Section are underway.

IX.28 The Reserve Bank has undertaken in-house development of an alternate payment and messaging system to support domestic as well as cross-border financial and non-financial messages. While the development of the Global Structured Financial Messaging System (SFMS) Hub for cross-border messaging has been completed, the development of the domestic messaging system is underway. The said system would be based on globally accepted ISO 20022 messaging standard and include all the functionalities offered by the existing centralised payment systems (CPS) along with other advanced functionalities.

IX.29 As part of phase I of the initiative, all banks were advised to commence migration of their existing domains to '.bank.in' and complete the process by October 31, 2025. By March 2026, all public sector banks, privates sector banks, small finance banks, payment banks, regional rural banks and local area banks had migrated their corporate website to '.bank.in' domain. Currently, the remaining foreign banks and co-operative banks are in the process of migration.

Major Initiatives

Upgradation of NGRTGS

IX.30 As part of its ongoing efforts to modernise payment infrastructure, the Reserve Bank upgraded NGRTGS from version 3.0 to 4.0. The enhanced system features a richer web interface, improved performance and security, and an integrated partitioning and data archival mechanism.

Making NEFT Compliant to ISO 20022 Messaging Standards

IX.31 The Reserve Bank's National Electronic Fund Transfer (NEFT) system has been ISO 20022 compliant since 2023, with more than 230 member banks migrating through a converter solution. During the year, all member banks completed migration of their core banking solutions (CBS)/middleware to ISO 20022 messaging standard, enabling direct end-to-end transmission of ISO messages (without converters). This will provide structured and granular data, better global harmonisation and pave the way for interoperability across payment systems.

Enhancements in e-Kuber

IX.32 Continuous clearing and 'on-realisation settlement' of cheques under cheque truncation system (CTS), went live on October 4, 2025. With this change, the cheque clearing cycle has been reduced from the 'T+1' days to a few hours.

IX.33 Previously, cheque inward clearing was handled at 19 regional offices (ROs), each requiring a separate infrastructure. This practice was overhauled by establishing a service branch at Chennai RO, thus, centralising the inward clearing operations.

IX.34 A functionality was developed to automate the process of availing standing liquidity facility (SLF) by standalone primary dealers (SPDs).

Second Greenfield Data Centre and Enterprise Computing and Cyber Security Training Institute (ECCTI)

IX.35 The construction of the second greenfield data centre and ECCTI has been completed and all statutory approvals are in place.

Agenda for 2026-27

IX.36 The Department's goals for 2026-27 are set out below:

- *Operationalisation of Next-Generation Core Banking Solution (e-Kuber 3.0)* [Utkarsh 2029]: The modules pertaining to government accounts are under development and expected to go live/migrate from e-Kuber 2.0 in a phased manner;
- *Development of a Common Bank-wide Enterprise Platform: e-Kuber3.0* will be the first payment application to be integrated with the platform and phased migration of existing applications to the platform will be

planned. All new application development initiatives will be based on core platform components augmented by specific functional requirements;

- *Implementation of Recommendations of the Working Group to Study Mechanism for Sharing Data between Reserve Bank and State Governments:* A Working Group (WG) was constituted as part of the 34th Conference of State Finance Secretaries (SFS), to study the mechanism of data sharing between Reserve Bank and state governments. The implementation of the recommendations of the WG is underway;
- *Operationalisation of Global SFMS Hub:* To further internationalisation of the Indian Rupee (INR) and facilitate cross-border payments in local currencies, the Reserve Bank has developed Global SFMS Hub – a cross-border messaging system, built on globally accepted ISO 20022 standards. Bilateral collaborations are underway with the United Arab Emirates (UAE) for interlinking their financial messaging systems with Global SFMS Hub. Further steps will be taken to increase its adoption by onboarding more domestic/foreign participants;
- *Development and Operationalisation of the Alternate Payment System (Utkarsh 2029):* To reduce external dependencies and provide increased flexibility in carrying out system related changes/enhancements, the Reserve Bank has started development of an in-house alternate payment system - a

comprehensive solution encompassing all the functionalities of the existing centralised payment systems along with other advanced functionalities;

- *Building the Foundations of a Future-Ready AI Ecosystem in Reserve Bank (Utkarsh 2029):* The Reserve Bank will embark on development of an institution-grade AI platform, designed to serve as a scalable, interoperable and secure technological backbone for AI applications across the organisation. The platform will feature purpose-built large and small language models that are trained for the specialised needs of central-banking functions;
- *Unified Workflow Portal:* Over the years, the Reserve Bank has ensured digital transformation through multiple web-facing and internal portals/applications to support its various functions. While these portals have enabled convenience and accessibility, they largely function in silos, resulting in fragmented user experience, duplication of data and processes, integration challenges and higher maintenance overheads. To address these challenges, consolidation of the portals/applications will be taken up through the development of a unified workflow portal that will standardise user experience, authentication, data integration and workflow capabilities; and
- *Enhancing Trust in the Financial Sector through ‘.fin.in’ Domain:* To further strengthen efforts in combating digital

frauds, it is planned to have an exclusive internet domain, viz., '.fin.in' for other non-bank entities in the financial sector. This initiative will further enhance the resilience and trust of digital financial services offered by entities across the broader financial sector.

Reserve Bank Information Technology Private Ltd. (ReBIT)

IX.37 ReBIT expanded its institutional strength to over 1,200 professionals, enhancing its enterprise-scale capability to deliver secure, resilient and future ready applications for the Reserve Bank. In September 2025, it also published three global standards and best practices handbooks covering enterprise architecture, AI/ML and cybersecurity.

RBI Enterprise Platform

IX.38 ReBIT played a pivotal role in designing, developing and deploying the enterprise platform at the Reserve Bank's data centres, delivering mission-critical applications for diverse stakeholders. Major projects undertaken during the year include upgradations to PRAVAAH⁶, *Samanvay* (a meeting management solution under the lead bank scheme), and DICGC's⁷ website with an AI-enabled FAQ⁸ chatbot.

Cybersecurity

IX.39 In cybersecurity, ReBIT strengthened the security posture by deploying advanced threat-hunting platforms at the Reserve Bank's security operations centre and ensuring adherence to

secure software development lifecycle practices for all applications under development.

System Audit

IX.40 ReBIT continued to support the Reserve Bank in conducting IT and cybersecurity examinations of regulated entities, facilitating IT and thematic examinations, quick cybersecurity spot assessments, compliance evaluations and system audit assessments.

Agenda for 2026-27

IX.41 As part of the next year's agenda, ReBIT will support DIT in operationalising the next-generation core banking solution (*e-Kuber 3.0*), rolling out additional applications on the enterprise platform and advancing new computerisation initiatives pertaining to various departments of the Reserve Bank. These initiatives will enhance scalability, operational efficiency and technological resilience, aligning with the Reserve Bank's strategic roadmap for consolidation and modernising IT infrastructure.

Indian Financial Technology and Allied Services (IFTAS)

IX.42 IFTAS continued to play a pivotal role in driving digital transformation across India's financial infrastructure. Through strategic initiatives and technological modernisation, IFTAS strengthened core payment systems, ensured uninterrupted and secure financial services and laid the foundation for a secure, scalable, and future-ready financial ecosystem.

⁶ Platform for Regulatory Application, Validation And Authorisation (a centralised web-based portal for submission of applications to the Reserve Bank for seeking authorisation, licenses or regulatory approvals).

⁷ Deposit Insurance and Credit Guarantee Corporation.

⁸ Frequently Asked Questions.

Communication Network

IX.43 During the year, the Reserve Bank, through IFTAS, successfully executed the transition from INFINET 2.0 to 3.0 and INTERNET 1.0 to 2.0 upgrading technology, bandwidth, and overall service delivery using SD-WAN⁹ technology for better traffic engineering, application visibility and enhanced security.

Payment and Messaging Systems

IX.44 IFTAS commenced development of the alternate payment system (APS), integrating NEFT, RTGS, and SFMS, which is currently undergoing functional and performance testing. Concurrently, IFTAS developed Global SFMS Hub, a secure, ISO 20022 standard-compliant cross-border messaging platform, which is presently in closed user group (CUG) testing with member banks in India and designated central banks of other countries. Further, as technology partner for CCIL IFSC Limited¹⁰, IFTAS launched the foreign currency settlement system (FCSS) in October 2025, enabling near real-time foreign currency settlement in GIFT¹¹-IFSC, bolstering India's global financial competitiveness and autonomy.

Indian Financial Sector Cloud

IX.45 IFTAS was entrusted with building the Indian Financial Sector (IFS) cloud to provide secure, cost-effective cloud-based services and address challenges related to modern technology

adoption, governance and data localisation. The work on phase I of the IFS cloud services was initiated during the year. Beta version of IFS cloud with minimum viable product services was launched, and nine entities have since been onboarded to the system.

Agenda for 2026-27

IX.46 IFTAS will implement phase I of the IFS cloud with basic services and initiate work on phase II, which will introduce advanced capabilities. IFTAS, in collaboration with the Reserve Bank, will work towards the launch of the alternate payment system (APS) and Global SFMS Hub, further strengthening India's financial infrastructure and global integration.

4. CONCLUSION

IX.47 During 2025-26, the Reserve Bank continued to enhance the efficiency, security and accessibility of payment systems, while expanding global outreach, promoting digital adoption and strengthening cyber resilience. Efforts to foster innovation, mitigate operational risks and maintain a robust ICT infrastructure for seamless IT operations were sustained. Going forward, the focus will be on reducing settlement risk and expedite transactions, developing an institution-grade AI platform to provide a secure and scalable backbone for AI applications, operationalising *e-Kuber* 3.0 and extending the exclusive '*fin.in*' domain to non-bank entities.

⁹ Software-Defined Wide Area Network.

¹⁰ CCIL IFSC Limited is a company registered under Companies Act 2013, which operates at International Financial Services Centre (IFSC) at GIFT City, Gujarat.

¹¹ Gujarat International Financial Tech-City.

X

COMMUNICATION, INTERNATIONAL RELATIONS, RESEARCH AND STATISTICS

During the year, the Reserve Bank implemented its Communication Policy 3.0, retaining its focus on agility, accuracy, and accessibility of information. The Reserve Bank continued to strengthen its economic and financial relations with international organisations and multilateral bodies. Efforts were also made towards bringing more efficiency in the government's cash management system, besides emphasis on sound management of foreign exchange reserves. Economic policy analysis and research, and information management systems were further refined to strengthen policy inputs.

X.1 In 2025-26, the Reserve Bank enhanced public awareness through targeted financial literacy and customer protection campaigns. India assumed the BRICS Chair in 2026, guided by the theme 'Building for Resilience, Innovation, Cooperation and Sustainability'. The Reserve Bank is steering the activities under the central bank work streams of the Finance Track. The Reserve Bank continued to enhance the efficiency of government payment system through continuous cheque clearing under the aegis of 'Payments Vision 2025'. Prudent measures were taken to manage foreign exchange reserves amidst heightened global uncertainty. Research studies were undertaken on a wide range of contemporary issues to provide analytical inputs for policy formulation. The Reserve Bank's information management system strived to streamline the Central Information Management System (CIMS) and modernise the Central Information System for Banking Infrastructure (CISBI).

X.2 Against this backdrop, the rest of the chapter is divided into eight sections. Section 2 presents major initiatives of the Reserve Bank with regards to its communication policy and processes. Section 3 discusses the Reserve

Bank's international relations, including interactions with international organisations and multilateral bodies. Section 4 deals with the activities of the Reserve Bank as a banker to governments and banks. Section 5 analyses the conduct of foreign exchange reserves management. Section 6 focuses on activities of the Department of Economic and Policy Research (DEPR) on economic research, statutory reports, and frontline research publications. Section 7 outlines the activities of the Department of Statistics and Information Management (DSIM), whereas Section 8 presents the activities of the Legal Department. Concluding observations are provided in the last section.

2. COMMUNICATION PROCESSES

X.3 During 2025-26, the Reserve Bank through its Department of Communication (DoC) followed a multi-pronged approach to facilitate clear and timely communication towards further strengthening the efficacy of its various policy measures. The Department implemented 'Communication Policy 3.0', retaining its focus on agility, accuracy, and accessibility of information, besides expanding its existing multi-channel strategy.

Agenda for 2025-26

X.4 The Department had set out the following goals for 2025-26:

- Commencement of RBI *Sunta Hai* - Social Media Listening Project (Paragraph X.5);
- Media room with facility of podcast (Paragraph X.6);
- Impact assessment of public awareness campaigns (PACs) [Paragraph X.7]; and
- Greater collaboration with regulated entities (REs) for awareness campaigns (Paragraph X.8).

Implementation Status

X.5 Using advanced technological tools, the Reserve Bank has enhanced its social media listening capabilities, thorough monitoring of social media and messaging applications for supervisory cues, and early detection of misinformation requiring to be fact checked in public interest.

X.6 A media room has been designed for enabling various in-house recording and production of podcasts. In furtherance of its communication strategy, the Reserve Bank has launched its official podcast series 'RBI Talks: From *Paisa* to Policy' on January 1, 2026, aimed at simplifying complex financial concepts and enhancing public understanding of monetary and regulatory policies. The series debuted with the episode titled 'Demystifying Know Your Customer (KYC)' and is accessible *via* the Reserve Bank's official YouTube channel and website.

X.7 To assess the effectiveness of 360-degree public awareness efforts, impact assessment of public awareness campaigns is being carried

out. These assessments help in fine-tuning the media mix, strengthening creatives and regional language relevance, and measuring behavioural outcomes among the target audience.

X.8 The Department engaged with several REs to better understand the diverse communication strategies and tools being adopted by them, particularly in enhancing financial literacy, building public awareness on safety and security of financial and banking transactions, cyber security, and digital frauds.

Major Developments

X.9 Under the overarching theme of 'RBI *Kehta Hai... Jaankaar Baniye, Satark Rahiye*', the Reserve Bank undertakes comprehensive, multi-lingual PACs to familiarise the public with key regulatory messages and build financial awareness. As financial services become more digital, these campaigns play a crucial role in cautioning the public against impersonation scams, fraudulent digital links, QR-code traps, and other emerging risks.

X.10 During 2025-26, the Department disseminated customised communication using various media in 11 major regional languages apart from Hindi and English (Table X.1).

X.11 Campaigns on Re-KYC and unclaimed deposits were taken up with extended and focused efforts to improve public understanding of the requirements, facilitating customers' access, and claim to their funds. The Reserve Bank also released awareness messages in high impact events / programmes.

X.12 As part of the Department's new initiatives, the Reserve Bank's PACs were also released through WhatsApp. Further, simplified

Table X.1: Customised Campaigns (2025-26)

Campaign Theme	Period
1	2
1. Campaign for 365 Days in Doordarshan	April 2025 - March 2026
2. Campaign for 365 Days in All India Radio	April 2025 - March 2026
3. Financial Literacy Week 2025	April 2025 November 2025 (Repeat)
4. Inoperative Accounts	April-May 2025 January 2026 (Repeat)
5. Retail Direct Scheme App	June 2025
6. First Resort Complaint - RB - IOS	June 2025
7. Nomination Facility	June - July 2025 November 2025 (Repeat)
8. Children's Awareness Campaign	August 2025
9. Re-KYC	August - September 2025
10. Sachet Portal	August - September 2025 December 2025 (Repeat) March 2026 (Repeat)
11. MANI App	September 2025 February 2026 (Repeat)
12. Forex Trading Platform	September 2025 December 2025 (Repeat)
13. Continuous Cheque Clearing	October 2025
14. Unclaimed Deposits	October 2025 (Phase - I) November 2025 (Phase II)
15. Misinformation of Coins	November 2025
16. Digital Arrest	November 2025 March 2026 (WhatsApp Campaign)
17. Re-KYC, CKYCR and VKYC	December 2025 - January 2026 March 2026 (CKYCR)
18. Hoarding in Bus Shelters (Opposite RBI Buildings)	January - March 2026
19. Financial Literacy Week 2026	February 2026
20. UDGM Portal	February - March 2026
21. Digital Payment Awareness Week 2026	March 2026
22. Central Bank Digital Currency	March 2026
23. RB-IOS (WhatsApp Campaign)	March 2026
24. Digital Arrest (WhatsApp Campaign)	March 2026
RB - IOS: Reserve Bank - Integrated Ombudsman Scheme. KYC: Know Your Customer. MANI: Mobile Aided Note Identifier. CKYCR: Central Know Your Customer Registry. UDGM: Unclaimed Deposits - Gateway to Access Information. VKYC: Video Know Your Customer. Source: RBI.	

public awareness messages with the tagline '*RBI Kehta Hai. Smart Bano, Cool Raho*' continued for creating public awareness.

Other Initiatives

Social Media Monitoring

X.13 The Reserve Bank uses multiple social media channels for information and public awareness. Its X (erstwhile Twitter) accounts ('RBI' and 'RBI Says') share official announcements and awareness content, while YouTube hosts speeches, events, and interviews. The Reserve Bank also has presence on LinkedIn and Facebook (RBI Says) and uses Public App to reach wider audiences in regional languages.

X.14 Social media has become central to transparent and real-time communication. The Reserve Bank monitors online activity through a vendor platform and coordinates with the Press Information Bureau's (PIB) Fact Check Unit to counter misinformation.

Post Monetary Policy Press Conferences

X.15 Six press conferences were conducted during 2025-26 on the dates of bi-monthly monetary policy announcements where the Governor and Deputy Governors interacted with the media persons.

Media Interaction and Workshops

X.16 The Reserve Bank conducted six media interactions in an informal, Chatham House set up in Mumbai and Delhi during 2025-26. Given the important role played by regional media, workshops were also conducted on a periodic basis to provide inputs to regional media with respect to certain aspects of central banking functions. Four such workshops were conducted

during 2025-26 at Vijayawada, Bhubaneswar, Nagpur and Jaipur.

Agenda for 2026-27

X.17 During 2026-27, the Reserve Bank's communication channels would be further strengthened, and efforts will be made to:

- Enhance social media engagement; and
- Enhance regional media outreach.

3. INTERNATIONAL RELATIONS

X.18 During 2025-26, the Reserve Bank through its International Department (ID) continued to strengthen its engagement with international financial community and deepened cooperation with International Organisations and central banks across the globe. The Department provided inputs on the Reserve Bank's perspectives and made contributions to deliberations across major global fora, including the International Monetary Fund (IMF), Organisation for Economic Cooperation and Development (OECD), the G20, Bank for International Settlements (BIS), Financial Stability Board (FSB), BRICS and SAARCFINANCE¹.

X.19 The Reserve Bank has been engaged in finalising the central bank priorities and deliverables during India Chair of BRICS in 2026.

Agenda for 2025-26

X.20 The Department had set out the following goals for 2025-26:

- Intensifying engagements with BRICS central banks by finalising amendments to BRICS Contingent Reserve Arrangement (CRA) treaty and facilitating discussions

on onboarding of new BRICS members to the CRA (Paragraph X.21);

- Continuing operational readiness for swap support under the framework on currency swap arrangement for SAARC countries 2024-27 (Paragraph X.22);
- Strengthening cooperation with SAARCFINANCE and other central banks through capacity building, technical assistance, and research activities (Paragraph X.23); and
- Finalising the Memorandum of Understanding (MoUs) under negotiation with other central banks, especially with the *Banque de France* and the European Central Bank (Paragraph X.24).

Implementation Status

X.21 The amendments to the BRICS CRA Treaty are being finalised by the Working Group and will be concluded, subject to approval by national authorities. The Reserve Bank initiated discussions on the process of onboarding new BRICS members into the CRA.

X.22 The Reserve Bank extended support to Maldives and Bhutan during 2025-26 under the framework on currency swap arrangement for SAARC countries 2024-27.

X.23 The Reserve Bank supported capacity building for central banks through SAARCFINANCE scholarships, field visits and technical assistance in areas of banking regulation, supervision, green financing, financial inclusion, data warehousing, monetary policy, and treasury operations.

¹ SAARCFINANCE is a Network of Central Bank Governors and Finance Secretaries of SAARC countries.

X.24 MoUs with *Banque de France* and the European Central Bank (ECB) were signed on March 09, 2026 and May 10, 2026 respectively. The terms of engagement with Bank of Japan were renewed for one year.

Other Initiatives

BIS Activities

X.25 The Department provided analytical support for various meetings of the BIS, including the Governors' bi-monthly meetings, the Committee on the Global Financial System (CGFS), and the BIS Annual General Meeting.

BRICS

X.26 The discussions under the BRICS Finance Track in 2025, *inter alia*, focused on impact of evolving global outlook on BRICS, amendments to the BRICS CRA, climate risk frameworks and stress testing methodologies and cross-border payment connectivity. Experiences with artificial intelligence tools and frameworks, along with cyber-risk assessments for critical technology suppliers, were also explored. India has taken over as the BRICS Chair with effect from January 1, 2026. The Reserve Bank co-chaired the first BRICS Finance and Central Bank Deputies meeting held virtually on February 26, 2026. The first round of Working Group meetings under central bank work streams were also concluded in March 2026.

SAARCFINANCE

X.27 The Reserve Bank continued to promote regional cooperation, capacity building and strengthening institutional capabilities in the SAARC region during the year through technical assistance and knowledge sharing programmes on central banking functions, encompassing

banking regulation and supervision, data warehousing and treasury operations.

FSB Initiatives on Global Financial Regulation

X.28 The Department actively engaged in discussions across various FSB standing committees, sharing the Reserve Bank's perspectives on key issues including international collaboration for financial stability, the resilience of non-bank financial institutions (NBFIs), crypto-assets and emerging financial technologies, cross-border payment, resolution framework enhancements, and climate-related financial risks. The Department also contributed inputs to key FSB reports and various surveys conducted by the FSB. Further, the Department was actively involved in providing inputs for the '13th India-UK Economic and Financial Dialogue (EFD)', the 'India-US Bilateral Trade Agreement (BTA)', and 'India-UK Vision 2035'.

SEACEN

X.29 The South-East Asian Central Banks (SEACEN) Research and Training Centre, comprising 19 central banks/monetary authorities, remains Asia's premier capacity building hub. The Department actively engaged with SEACEN, participating in the 24th Meeting of the SEACEN Executive Committee (EXCO) held on September 26, 2025, in Seoul, Korea, the 45th SEACEN Board of Governors (BOG) meeting held on October 29, 2025, in Bali, Indonesia, and the Special EXCO Meeting held on February 06, 2026, in Kuala Lumpur, Malaysia to deliberate various policy matters and activities of the SEACEN Centre for the year 2026.

X.30 The Department facilitated exposure/study visits for various foreign central banks, financial institutions/ministerial delegation and

also provided comprehensive inputs for the Government of India's bilateral engagements.

G20

X.31 South Africa assumed the G20 Presidency in December 2024, with the overarching theme of 'Solidarity, Equality, and Sustainability'. Its key priorities, *inter alia*, included, enhancing macroeconomic cooperation; strengthening the global financial safety net; managing risks from volatile capital flows; and mitigating financial system vulnerabilities, with a focus on NBFIs, crypto assets, artificial intelligence, and cross-border payments.

X.32 The Reserve Bank worked in coordination with the Ministry of Finance (MoF), Government of India (GoI), on the above priorities pertaining to the financial sector, macroeconomic policy framework, international financial architecture, financial inclusion and sustainable finance. The South African Presidency culminated with the Leaders' Summit held during November 22-23, 2025, following which the United States assumed the G20 Presidency from December 1, 2025.

IMF, World Bank and OECD

X.33 The Department provided support for the Reserve Bank's participation in the bi-annual Fund-Bank meetings of the International Monetary and Finance Committee (IMFC) held in April and October 2025 and provided inputs on various IMF's policy issues to the MoF, GoI. The Department also facilitated the IMF's 2025 Article IV consultations held during September 2025. The IMF favourably assessed India's macroeconomic developments in 2025. The joint IMF-World Bank Financial Sector Assessment Programme (FSAP) concluded on October 30, 2025, with the publication of the World Bank's

Financial Sector Assessment (FSA) of India. Earlier, the IMF's Financial System Stability Assessment (FSSA) of India was published on February 28, 2025. The Department also contributed to the OECD Advisory Task Force on the Codes (ATFC) meetings, wherein India is an observer country.

Other Engagements

X.34 The Department hosted the 7th Senior Level Dialogue between the Reserve Bank and Bank of Japan in Mumbai, strengthening exchange of information and cooperation in the field of central banking. The Reserve Bank also took part in the 9th meeting of the Joint Technical Coordination Committee with Nepal Rastra Bank in November 2025 with a view to fostering collaboration and advancing bilateral initiatives.

Agenda for 2026-27

X.35 Going forward, the Department proposes the following agenda for the Reserve Bank's international engagements:

- Steer the activities under the central bank work streams of the BRICS Finance Track during India's Chair of BRICS in 2026; and
- Initiate work relating to framework on currency swap arrangement for SAARC countries for 2027-2030.

4. GOVERNMENT AND BANK ACCOUNTS

X.36 The Department of Government and Bank Accounts (DGBA) manages the functions of the Reserve Bank as the banker to banks and banker to governments, besides maintaining internal accounts and formulating accounting policies of the Reserve Bank. DGBA, in co-ordination with SEACEN Centre, organised first

of its kind International Conference on Central Bank Accounting Practices at Mumbai during November 14-15, 2025. The conference was attended by senior officials from over 20 central banks, and representatives from multilateral institutions, including Bank for International Settlements and International Monetary Fund. In continuation of the efforts to enhance the efficiency of Government Payment Systems during 2025-26: (a) continuous clearing in Cheque Truncation System (CTS) was rolled-out (under the aegis of 'Payments Vision 2025'), and (b) banking transactions of several State Governments and Union Territories (UTs) were integrated with *e-Kuber*.

Agenda for 2025-26

X.37 The Department had set out the following goal for 2025-26:

- Implementation of Centrally Sponsored Schemes (CSS) payments through *Aadhaar*, as notified by the Central Government, using National Payments Corporation of India's (NPCI's) *Aadhaar* Payment Bridge System (APBS) platform through integration of *e-Kuber* with NPCI, Central and State Government systems for the notified States (Paragraph X.38).

Implementation Status

X.38 During the year, 26 States and three UTs have gone live for *Aadhaar*-based Direct Benefit Transfer (DBT) payments under CSS. Under this arrangement, the State Governments send *Aadhaar*-based payment files directly to NPCI for processing, while the Reserve Bank effects the gross fund settlement.

Major Developments

Revision in Agency Commission Rates

X.39 The Reserve Bank pays commission to Agency Banks (ABs) for conducting Government banking business. Based on the recommendation of the Committee constituted under the chairpersonship of the Chief Financial Officer (CFO), the agency commission rates have been revised, effective April 1, 2025. Further, it has been decided to (a) review the agency commission rates once in every three years, and (b) agency commission is to be paid on all payment transactions handled by ABs, except those which are either pre-funded or where some compensation is paid by the Government to ABs.

Introduction of Continuous Clearing and Settlement on Realisation in CTS

X.40 Phase 1 of the continuous clearing in CTS was implemented, effective October 4, 2025, which has reduced the settlement period for clearing of Government cheques from 'T+1' to 'same day'.

Implementation of Centralised Inward Clearing (CIC)

X.41 CIC has been implemented, effective March 2, 2026, as a step towards enhancing efficiency in processing of instruments received by the Reserve Bank in inward clearing. It will also reduce operational risk and human resource requirement. Under CIC, Banking Department (BD), Chennai, functions as the service branch for all Regional Offices (ROs) of the Reserve Bank.

Review of Inspection Framework, Systems and Processes for Agency Banks (ABs)

X.42 A Working Group (WG) was constituted with members from Central Office Departments

(CODs) and select ROs to review the framework, systems and processes for inspection of ABs. The report of the WG is under examination.

Integration of Financial Systems of State Governments with e-Kuber

X.43 During the year, CSS payments using NEFT/RTGS² payment mode was implemented for State Government of Nagaland, UTs of Puducherry and Jammu, and the Government of the National Capital Territory (NCT) of Delhi. With this, all the 28 State Governments and three UTs are live in CSS. This has enabled just-in-time payments under CSS using tripartite integration among e-Kuber, Public Financial Management System (PFMS), and the respective State Government systems.

X.44 Five State Governments were onboarded for agency bank reporting and one State Government for direct NEFT/RTGS in enhanced version of e-receipts. Further, State Governments of Mizoram, Nagaland, Meghalaya and NCT of New Delhi were onboarded for processing of online Memorandum of Error (MoE) related to Goods and Services Tax (GST) receipts. With this, 26 State Governments and three UTs are now live for online MoE.

Enhancing Efficiency in Government Payment Systems

X.45 The Reserve Bank has implemented several initiatives, including the introduction of a dashboard facility and Indian Financial System Code (IFSC) synchronisation facility, among others. Nine State Governments and two UTs

were onboarded for dashboard facility while 12 State Governments were onboarded for IFSC synchronisation facility, respectively.

Other Initiatives

X.46 Recovery of excess pension paid to the defence pensioners using direct NEFT/RTGS receipt model (through the challan-based mechanism) was enabled during the year with the integration of e-Kuber and System for Pension Administration (Raksha), i.e., 'SPARSH' system of Controller General of Defence Accounts (CGDA).

X.47 Steps have been initiated for migration of Inter-Government Adjustment Advice (IGAA) to enhanced version of e-payments in e-Kuber.

X.48 Provision for Government payments through Central Bank Digital Currency (CBDC), with the Reserve Bank as the sponsor bank, is enabled in e-Kuber for Direct Benefit Transfer (DBT) payments under the Treasury Single Account (TSA) framework. Government departments onboarded with NPCI can process CBDC payments through e-Kuber with the Reserve Bank acting as the sponsor bank. Leveraging the existing model of APBS, and using Aadhaar number as the unique identifier, Government payments are released in the form of CBDC/ programmable CBDC tokens.

Agenda for 2026-27

X.49 The Department proposes the following agenda for 2026-27:

- Migration to online reporting of government payments and amendments;

² National Electronic Fund Transfer/Real-Time Gross Settlement.

- IGAA to be migrated to enhanced version of e-payments in e-Kuber; and
- Enabling e-Kuber for processing of Government DBT payments through TSAs.

5. MANAGING FOREIGN EXCHANGE RESERVES

X.50 In sync with the broader principles of reserve management, the Department of External Investments and Operations (DEIO) continued with the management of foreign exchange reserves (FER). The FER increased by 3.4 per cent during 2025-26 consistent with the increase of 3.4 per cent in the previous year. The Department sustained its efforts to diversify reserves by exploring new asset classes and jurisdictions for deployment of foreign currency assets (FCA) in line with its policy objectives. Amid heightened global uncertainty, the Department prioritised stability, safety and liquidity in reserve deployment.

Agenda for 2025-26

X.51 The Department had set out the following goals for 2025-26:

- To leverage the Reserve Bank's leadership role in: (i) promoting collaborative approach towards reserve management through multilateral platforms, and (ii) emerging as a 'central of excellence', providing training/handholding to other central banks, if required (Paragraph X.52); and
- To undertake a comprehensive review of credit risk policy and enhance the use of technology in credit risk management (Paragraph X.53).

Implementation Status

X.52 The Department actively engaged with various central banks to share perspectives on evolving reserve management practices. As part of these efforts, the Department organised a focused discussion on Bilateral Swap Lines (BSLs) on October 17, 2025, with central banks of ASEAN region. Continuing the Reserve Bank's leadership role among peer central banks in promoting collaborative approach towards reserves management, DEIO conducted an International Conference themed '*Resilient Reserves: Anchoring Stability in an Era of Uncertainty*' during March 5-6, 2026. Set in the backdrop of the escalating conflict in West Asia, the event underlined the importance of greater central bank co-ordination in navigating current uncertainty and ensuring resilience in reserves.

X.53 The credit risk policy has been comprehensively reviewed by following international best practices and with due emphasis on critical risk metrics. In addition, to enhance the use of technology in credit risk management, suitable online dashboards have been developed and deployed. These dashboards provide real-time visibility into the credit profile of the Reserve Bank's investments, thereby enabling dynamic risk assessment through data-driven analytics.

Agenda for 2026-27

X.54 The Department has set the following goals for 2026-27:

- In the backdrop of increased geopolitical risks and economic policy uncertainty, increased focus on deploying foreign currency assets in a more diversified portfolio with a view of optimising risks and improving returns;

- Improving data dissemination and disclosure mechanisms; and
- Upgrading reserve management systems and processes for better risk management.

6. ECONOMIC AND POLICY RESEARCH

X.55 The Department of Economic and Policy Research (DEPR) serves as the Reserve Bank's key centre for policy research, providing analytical inputs for policy decisions. In addition, DEPR publishes the statutory reports of the Reserve Bank (the Annual Report and the Report on Trend and Progress of Banking in India) along with a report on State Finances: A Study of Budgets and the Handbook of Statistics on Indian States. Additionally, the Department has been playing a pivotal role in the publication of topical research papers and articles addressing various aspects of the Indian economy. The Department also promotes academic research across the country through various external research schemes and engages in collaborative research with external researchers.

X.56 All primary and secondary statistics covering monetary aggregates, balance of payments (BoP), external debt, effective exchange rates, combined government finances, household financial savings, and flow of funds were disseminated within the prescribed timelines, with due emphasis on data quality.

Agenda for 2025-26

X.57 During 2025-26, the Department had set the following goals:

- Maintaining the target of publishing a minimum of 100 research papers (Paragraph X.58 - X.59);

- Undertaking topical studies covering issues relating to core areas of central banking as well as emerging policy issues, namely inflation dynamics, monetary and regulatory policy, real sector, and digital technology. These studies will include topics, such as 'Multivariate Core Trend Inflation: Assessing Underlying Inflation', 'Wage and Inflation (Wage Phillips Curve) Dynamics: Insights from PLFS³ Data', 'Bank Competition and Monetary Transmission', 'Drivers of FinTech App User Experience: A Text Mining Approach', among others (Paragraph X.58 - X.59); and
- Publication of the Report on Currency and Finance based on the theme 'India's External Sector: Navigating Global Turbulence' and the Report on Finances of *Panchayati Raj* Institutions (Paragraph X.60).

Implementation Status

X.58 In line with the objectives set for 2025-26, the Department undertook 102 extensive research projects during the year. These include research articles in the RBI Bulletin, and papers published in domestic and international peer-reviewed journals. This research covered a wide range of contemporary issues of relevance for policymaking, including analyses of inflation dynamics using multivariate core trend measures, wage-inflation (Phillips curve) relationships based on PLFS data, bank competition and monetary transmission, drivers of FinTech app user experience using text-mining approaches, and broader assessments relating to the external

³ Periodic Labour Force Survey.

sector, real sector developments, and digital technology.

X.59 The studies titled 'Monetary Policy Transmission to Macro Variables in India - using Identified High Frequency Monetary Policy'; 'Drivers of Gold Demand in Foreign Exchange Reserves: Indian Case'; 'How does Yield Curve respond to Macroeconomic Data Surprises?'; 'Impact of US Monetary Policy Announcements on Indian Banking Sector Equity Performance'; 'New Horizons for Indian Agriculture' and 'Green Banking Practices in India' are at various stages in the publication pipeline.

X.60 Report on Currency and Finance, titled 'India's External Sector: Navigating Global Turbulence' and the Report on Finances of *Panchayati Raj* Institutions are being prepared.

Other Initiatives

Knowledge and Research Dissemination

X.61 During the year, as part of Monthly Seminar Series, the Department organised talks by eminent economists and scholars on a wide range of themes, including environmental priorities for monetary and financial policy, structural transformation, human capital, trade policy, financial stability, labour markets, inequality, and monetary policy frameworks. Several sessions were conducted in hybrid mode to enable wider participation across departments and promote knowledge dissemination within the Reserve Bank. Further, the DEPR Study Circle, an in-house discussion forum, organised 14 online seminars/presentations of research papers on diverse topics to facilitate in-depth discussion and improve the overall quality of research.

X.62 In the Central Library, EBSCO Discovery Service (EDS) has been developed as a search platform to allow users to search all subscribed resources of the library from a single interface. The library has also implemented digital display screen for all new books/journals and has proposed to implement the RFID⁴ technology for providing efficient services. These tools will enhance search capabilities and provide interactive learning experiences for users. It has also subscribed a NotNul Hindi E-Books and magazines package including 5,900 e-books and more than 150 magazines.

Support to Academic/Research Institutions

X.63 In accordance with Section 17(15B) of the RBI Act, 1934, the Reserve Bank extends financial support for external research including through the RBI Professorial Chairs and the Corpus Fund Scheme. Currently, 20 RBI Professorial Chairs are established across research institutes and universities throughout India. During the year, research undertaken by the Professorial Chairs addressed a wide range of themes, including inflation forecasting, climate finance, financial inclusion, and merchandise trade. Several Professorial Chairs also organised workshops for students and young faculty on open economy macroeconomics, with faculty support provided by the Department.

Engagements with Domestic/International Organisations

X.64 The Department remained actively engaged in high-level national and international consultations during the year. The Department

⁴ Radio Frequency Identification.

participated in IMF Article IV deliberations, discussions with the IMF team under the Financial Sector Assessment Programme (FSAP) 2024, and had interactions with global credit rating agencies, including S&P, Moody's and Fitch. The Department contributed analytical inputs to the deliberations of the 16th Finance Commission and participated in national workshops and conferences of rural and urban local bodies organised by institutions such as NITI Aayog. Further, the Department engaged closely with the National Statistics Office (NSO), the Securities and Exchange Board of India (SEBI), and the Advisory Committee on National Accounts Statistics to enhance the quality and coverage of the National Accounts Statistics through methodological contributions.

Agenda for 2026-27

X.65 The Department's agenda for 2026-27 will focus on achieving the following goals:

- Publication of flagship reports in addition to the monthly 'State of the Economy' article and the Report on Municipal Finances; and
- Undertaking topical and policy-oriented studies spanning key domains of central banking and emerging macro-financial issues, including export intensity and inter-sectoral linkages of manufacturing sector, global monetary policy spillovers, supply management and food inflation dynamics, resilience of debt market mutual funds, trends in renewable energy transition, performance of urban cooperative banks (UCBs) in India, household consumption expenditure survey, and global capability centres (GCCs) and their role in India's BoP.

7. STATISTICS AND INFORMATION MANAGEMENT

X.66 The Department of Statistics and Information Management (DSIM) continued to focus on improving its core functions of compiling, analysing, and sharing macro-financial statistics. The Department also undertook a critical review of the surveys conducted for informing the monetary policy to make them more contemporary, relevant and focused. The Department also initiated releasing the results of the household surveys covering semi-urban and rural areas.

Agenda for 2025-26

X.67 The Department had set out the following goals for 2025-26:

- Shifting the remaining paper-based/e-mail-based reporting as well as any *ad hoc* data collection to structured electronic reporting in Centralised Information Management System (CIMS) [*Utkarsh 2.0*] (Paragraph X.68);
- Shifting of CIMS's IT infrastructure to a new data centre of the Reserve Bank (Paragraph X.69);
- Modernising Central Information System for Banking Infrastructure (CISBI) system as part of the CIMS (Paragraph X.70);
- Phase-wise roll out of Statistical Data and Metadata eXchange (SDMX)-based data collection for element-based reporting (EBR) [*Utkarsh 2.0*] (Paragraph X.71);
- Leveraging climate data to improve the performance of forecasting and nowcasting models by utilising advanced artificial intelligence (AI)/machine learning (ML) techniques, while exploring new datasets to enhance predictive capabilities (Paragraph X.72);

- Leveraging advancements in large language models (LLMs) for text analysis, with plans to use them for pre-processing unstructured data and for extracting valuable insights. The pre-processed data generated by LLMs can serve as input for enhancing existing AI/ML models (Paragraph X.73); and
- Expansion of coverage and base revision for (a) Housing Price Index (HPI) and (b) Banking Services Price Index (BkSPI), consistent with the impending revision in compilation of major macroeconomic aggregates (Paragraph X.74).

Implementation Status

X.68 All assigned paper/e-mail-based returns were transitioned into structured reporting under the CIMS.

X.69 The work related to migration of CIMS to the new data centre including IT infrastructure capacity augmentation is under progress.

X.70 Activities on modernising CISBI with further enhancement and functionality has been initiated and is in progress.

X.71 Software application modules were designed, developed, and tested for EBR. After conducting of pilot test with select banks for EBR using the SDMX standard, the testing was extended to major scheduled commercial banks (SCBs). These banks have created standard data architecture and started reporting elements relating to financial inclusions for conduct of parallel run in CIMS. The data elements relating to supervision, regulation, and other areas are being taken up progressively.

X.72 The models used for nowcasting, and forecasting were further upgraded using AI/ML techniques and data on extreme climate events, acknowledging relevance of climate risk factors to the economic outcomes. Specifically, the effects of extreme weather events on vegetable prices were analysed to identify the channels through which acute climatic stressors affect the output and impact prices.

X.73 Advanced LLMs were leveraged to analyse large scale complaint data under the Reserve Bank Integrated Ombudsman Scheme and unstructured feedback from social media for granular and systematically derived bank wise sentiment insights. AI/ML toolbox was also used for extracting the trends in credit flow at sectoral and regional level granular data collected under the Basic Statistical Return.

X.74 The HPI was compiled on quarterly basis based on transaction-level data received from the registration authorities. The base year for the HPI was updated to 2022-23, along with expansion of coverage to 18 major cities and refinement of methodology. The work relating to base year revision of BkSPI as part of services sector price indices in alignment with macroeconomic aggregates was also completed.

Other Initiatives

X.75 Amendments to the Banking Regulation Act, 1949 and the Reserve Bank of India Act, 1934, through the Banking Laws (Amendment) Act, 2025 necessitated changes in the software modules for submission of various returns and the impacted reports, as the definition of 'fortnight' was changed from 'reporting Friday' to 'fifteenth

and last day of calendar month'. The changes were implemented after the relevant provisions of the Act came into effect.

X.76 The CIMS analytical platform has been successfully upgraded to the Cloudera AI and internal testing is under progress. Post successful testing, the access of the platform will be provided to the Reserve Bank users, in phases. Further, Development of Central Fraud Registry (CFR) for Urban Cooperative Banks (UCBs) and Non-Banking Financial Companies (NBFCs) in CIMS has been completed.

X.77 The Department is working on development and operationalisation of analytical dashboard and will provide access to various Central Office Departments in CIMS platform. This will improve the analytical and graphical representation of data to the users of different functional departments.

X.78 A generic framework for crop loss assessment due to extreme weather events has been designed using the remote sensing data and AI/ML tools. Further, geospatial night-time light data has been utilised to nowcast gross state domestic product (GSDP) growth of major Indian states by integrating Google Search volume data, thereby improving the robustness of near-term economic assessments.

Agenda for 2026-27

X.79 The Department will focus on the following goals during 2026-27:

- Reviewing the monetary policy surveys to improve the methodology and coverage;
- Comprehensive review of data dissemination portal of the Reserve Bank;
- Enhancing the efficiency of the system,

CIMS will be migrated to new IT infrastructure at the Reserve Bank's new Data Centre;

- Developing conversational English language-based data query facility in CIMS for common data users;
- Implementation of EBR for supervisory, regulatory, and other areas of data in a phased manner;
- Implementation of statistical Data Quality Index (DQI) and preparation of dashboards for DQI for internal use as well as regulated institutions; and
- Exploring new data sources as high-frequency indicators for service-sector.

8. LEGAL ISSUES

X.80 The Legal Department has been established for examining and advising on legal issues, and for facilitating the management of litigation for and on behalf of the Reserve Bank. The Department extends legal support and advice to the Deposit Insurance and Credit Guarantee Corporation (DICGC), Centre for Advanced Financial Research and Learning (CAFRAL), and other RBI-owned institutions on legal issues, litigation and court matters.

Agenda for 2025-26

X.81 The Department had set out the following goal for 2025-26:

- Preparation of a research paper on 'Leveraging of AI for Enhancing the Legal Function in the Financial Sector' (Paragraph X.82).

Implementation Status

X.82 A team of three officers constituted by the Department is working on 'Leveraging of AI for Enhancing the Legal Function in the Financial Sector', which is likely to be completed soon.

Major Developments

X.83 The Banking Laws (Amendment) Act, 2025, which, *inter alia*, seeks to improve governance standards in the banking sector, ensure enhanced protection for depositors and investors, increase the tenure of directors (other than the chairperson and whole-time directors) in cooperative banks and make provision for simultaneous and successive nomination, received the assent of the President on April 15, 2025.

Other Initiatives

X.84 During the year, the Legal Department's Research Cell organised in-house discussions on evolving areas of law. The Department also commenced monthly presentations exclusively by junior officers on important opinions/matters handled by them. The Department also provided faculty support for various training establishments of the Reserve Bank as well as external institutions.

X.85 The Department, in collaboration with National Law School of India University (NLSIU), Bengaluru, National Law University, Delhi, National Academy of Legal Studies and Research

(NALSAR), Hyderabad and Gujarat National Law University (GNLU), Gandhinagar, organised four training programmes on 'Regulation Drafting' for officers in the Combined Seniority Group (CSG) cadre from various Central Office Departments, particularly from supervisory, regulatory and enforcement areas, and regional offices.

Agenda for 2026-27

X.86 In 2026-27, the Department will focus on the following goal:

- Reviewing the Reserve Bank of India Act, 1934 and suggesting required legislative changes.

9. CONCLUSION

X.87 The Reserve Bank deployed multiple means of communication covering a wide range of audience to strengthen public confidence in its policy actions. The international economic and financial relations were deepened through regular engagement with the international organisations and multilateral bodies. An integrated framework was created for transfer of funds for centrally sponsored schemes (CSS) on a real time basis through gradual onboarding of all concerned stakeholders. The foreign exchange reserves were managed prudently. Economic research activities were sharpened by undertaking studies on a gamut of topical issues. The statistics and information management system was further strengthened by upgrading data warehouse with state-of-the-art technologies.

XI

GOVERNANCE, HUMAN RESOURCES AND ORGANISATIONAL MANAGEMENT

The Reserve Bank continued with its efforts to strengthen its organisational capacity in line with evolving functional requirements through focused human resource development. Progress under the medium-term strategy framework was reviewed and the next phase, Utkarsh¹ 2029 was formulated alongside initiatives to strengthen business continuity plan. The enterprise-wide risk management (ERM) was further strengthened with the rollout of ERM Framework 2.0, while an internal Working Group was constituted to examine the feasibility of adoption of artificial intelligence (AI) and machine learning (ML) in the internal audit process.

XI.1 This chapter discusses key aspects of the Reserve Bank's organisational functioning covering activities related to governance, human resource management, risk monitoring, corporate strategy and budgeting, internal audit, Rajbhasha and premises. It reviews the major developments during 2025-26, evaluates outcomes *vis-à-vis* the goals set at the beginning of the year and sets out priorities for 2026-27.

XI.2 Guided by the evolving functional requirements of the Reserve Bank, the Human Resource Management Department (HRMD) focused on continuous capacity building through structured training and skill upgradation. During the year, the Department pursued a range of initiatives to enhance employee engagement and feedback mechanisms, along with the well-being of employees to foster a supportive work environment.

XI.3 During the year, the Risk Monitoring Department (RMD) continued with its efforts towards widening the coverage of risks, strengthening existing frameworks and propagation of risk culture and risk awareness. The Reserve Bank has rolled out the enterprise-

wide risk management (ERM) Framework 2.0, outlining the roadmap for the next decade.

XI.4 The Inspection Department undertook several initiatives to strengthen the internal audit framework, including revision of the concurrent audit process and review of the Audit and Risk Management Sub-committee (ARMS) Charter. Audit processes were fully automated through the Audit Management System (AMS), and preparatory work was initiated to examine the feasibility of adoption of AI/ML in internal audit process.

XI.5 The Corporate Strategy and Budget Department (CSBD) undertook a comprehensive review of regulatory approvals and citizen's charter services of the Reserve Bank, with rationalisation of timelines for various services. It formulated the next iteration of the medium-term strategy framework, *Utkarsh* 2029, and also developed a standard operating procedure (SOP) for business continuity during any crisis.

XI.6 The Rajbhasha Department strengthened the implementation of the Official Language Policy of the Government of India (GoI) through

¹ *Utkarsh* is the Reserve Bank's medium-term strategy framework to achieve excellence in the performance of RBI's mandates and strengthening the trust of citizens and other institutions. *Utkarsh* 2029 covers the period April 2026 to March 2029. *Utkarsh* 2.0 covered the period January 2023 to December 2025.

capacity building, Hindi/bilingual publications and establishing a robust monitoring mechanism. The Premises Department augmented the Reserve Bank's physical infrastructure through the construction of new office spaces and residential buildings, with a consistent emphasis on green energy.

XI.7 This chapter is organised into nine sections. The developments relating to the governance structure of the Reserve Bank are set out in section 2. Section 3 outlines the initiatives undertaken by the HRMD and the progress on ERM framework is presented in section 4. The activities of the Inspection Department and the CSBD are discussed in sections 5 and 6, respectively. The activities and accomplishments of the Rajbhasha and Premises departments are presented in sections 7 and 8, respectively, with concluding observations in section 9.

2. GOVERNANCE STRUCTURE

XI.8 The Central Board of Directors is entrusted with the governance of the Reserve Bank in accordance with the Reserve Bank of India (RBI) Act, 1934. It comprises the Governor as the Chairperson, Deputy Governors and Directors nominated by the Central Government.

XI.9 The Central Board is assisted by two² Committees, both headed by the Governor: the Committee of the Central Board (CCB) and the Board for Financial Supervision (BFS). In addition, the Board has five Sub-Committees each headed by a non-official Director: the Audit and Risk Management Sub-Committee (ARMS); the Human Resource Management Sub-Committee

(HRM-SC); the Building Sub-Committee (B-SC); the Information Technology Sub-Committee (IT-SC) and the Strategy Sub-Committee (S-SC).

Central Board, CCB and Local Boards

XI.10 During 2025-26, the Central Board held eight meetings. The CCB held 46 meetings, of which 34 were held as e-meetings. The CCB attends to the current business of the Reserve Bank, including approval of its Weekly Statement of Affairs.

XI.11 During 2025-26, a Standing Committee of the Central Board, consisting of three non-official Directors, functioned in *lieu* of the Northern, Western, Eastern and Southern Area Local Boards. The Standing Committee held two meetings each for the Eastern, Western, Northern and Southern Areas (Annex Tables XI.1-4).

XI.12 Shri M. Rajeshwar Rao relinquished charge as Deputy Governor, Reserve Bank of India on completion of his tenure on October 8, 2025.

XI.13 The Central Government appointed Shri Shirish Chandra Murmu as Deputy Governor, Reserve Bank of India, for a period of three years from the date of joining the post or until further orders, whichever is earlier. Shri Shirish Chandra Murmu assumed office on October 9, 2025.

XI.14 Shri T. Rabi Sankar relinquished charge as Deputy Governor, Reserve Bank of India on completion of his tenure on May 2, 2026.

XI.15 The Central Government appointed Shri Rohit Jain as Deputy Governor, Reserve Bank of India, for a period of three years from the date of

² The erstwhile Committee, viz., Board for Regulation and Supervision of Payment and Settlement Systems was active till May 8, 2025 and has been replaced by the Payments Regulatory Board with effect from May 9, 2025, with the issuance of gazette notification dated May 6, 2025, by the Department of Financial Services, Government of India.

joining the post or until further orders, whichever is earlier. Shri Rohit Jain assumed office on May 4, 2026.

XI.16 The Central Government nominated Ms. Anuradha Thakur, Secretary, Department of Economic Affairs, Ministry of Finance, Government of India as Director on the Central Board of Reserve Bank of India, *vice* Shri Ajay Seth, under Section 8(1)(d) of the Reserve Bank of India Act, 1934 with effect from July 24, 2025 and until further orders.

Executive Directors

XI.17 Executive Director Shri Jayant Kumar Dash superannuated on June 30, 2025 and Shri Aviral Jain on November 28, 2025. Executive Director Dr. Rajiv Ranjan voluntarily retired on September 4, 2025. Shri Shirish Chandra Murmu sought voluntary retirement from the Reserve Bank's service *w.e.f.* October 8, 2025 to take up the position of Deputy Governor. Shri Rohit Jain sought voluntary retirement from the Reserve Bank's service *w.e.f.* May 4, 2026 to take up the position of Deputy Governor. Shri Sanjay Kumar Hansda was promoted as Executive Director, *w.e.f.* March 3, 2025; Shri Kesavan Ramachandran from July 1, 2025; Smt. Sonali Sen Gupta from October 9, 2025; Smt. Usha Janakiraman from December 1, 2025 and Shri Gunveer Singh from May 18, 2026.

3. HUMAN RESOURCE DEVELOPMENT INITIATIVES

XI.18 The Human Resource Management Department (HRMD) endeavours to create an enabling environment to nurture an innovative and skilled workforce within the Reserve Bank. Major initiatives undertaken during the year

are highlighted below, along with a status of implementation of the agenda set for 2025-26 and the agenda for 2026-27.

Agenda for 2025-26

XI.19 The Department had set out the following goals for 2025-26:

- Identification and analysis of skill gaps in the Reserve Bank (Paragraph XI.20); and
- Integrating massive open online courses (MOOCs) framework in the Reserve Bank's Training and Development ecosystem (*Utkarsh 2.0*) [Paragraph XI.21].

Implementation Status

XI.20 A Committee was constituted by the Reserve Bank for identification of skill gaps. The Committee has submitted its report, and its recommendations are under consideration for implementation.

XI.21 The pilot phases of implementation of MOOCs have been successfully completed. Full scale implementation of MOOCs is underway.

Major Developments

In-house Training

XI.22 The Reserve Bank has training establishments, namely, Reserve Bank Staff College (RBSC) at Chennai, College of Agricultural Banking (CAB) at Pune, College of Supervisors (CoS) at Mumbai, Enterprise Computing and Cybersecurity Training Institute (ECCTI) at Bhubaneswar and four Zonal Training Centres (ZTCs) at Mumbai (Belapur), New Delhi, Kolkata, and Chennai, with the objective to enhance employee competencies and build robust human resource (HR) capabilities. The

Table XI.1: Programmes Conducted at Reserve Bank's Training Establishments (April - March)

Training Establishment	2023-24		2024-25		2025-26	
	Number of Programmes	Number of Participants	Number of Programmes	Number of Participants	Number of Programmes	Number of Participants
1	2	3	4	5	6	7
RBSC, Chennai	109	2,437 (42)	135	3,502 (245)	109	2,845 (183)
CoS [#]	70	2,889 (1,191)	51	1,432 (218)	79	3,287 (269)
CAB, Pune	281	44,053 (43,198)	238	35,969 (34,935)	241	41,349 (40,321)
ECCTI	23	619 (22)	24	711	23	652
ZTCs (Class I)	118	2,260	105	2,203	82	2,077
ZTCs (Class III)	107	3,084	117	3,579	111	2,721
ZTCs (Class IV)	32	843	32	671	27	513
RBSC: Reserve Bank Staff College. CAB: College of Agricultural Banking. ECCTI: Enterprise Computing and Cybersecurity Training Institute. ZTCs: Zonal Training Centres. #: College of Supervisors (CoS) is administratively attached to Department of Supervision (DoS), Central Office. Note: Figures in parentheses pertain to foreign participants and/or participants from external institutions. Source: RBI.						

programmes offered by the institutions are in the nature of training, workshops, seminars, and conferences (Table X1.1). The Reserve Bank also conducted other training programmes like leadership development programme, emotional intelligence programme, and curated programmes in economics/finance.

Table XI.2: Number of Officers Trained in External Training Institutions in India and Abroad (April - March)

Year	Trained in India (External Institutions)	Trained Abroad
1	2	3
2023-24	570	390 (29)
2024-25	564	569 (86)
2025-26	650	582 (64)
Note: Figures in parentheses indicate online mode. Source: RBI.		

Training at External Institutions

XI.23 The Reserve Bank nominated its officers for training programmes, seminars and conferences conducted in India and abroad, through both online and offline modes, during 2025-26 (Table XI.2). Class III and IV employees were also deputed for training in external institutions in India.

Study Leave Schemes

XI.24 A total of 17 officers availed study leave for pursuing higher studies, of which, nine officers are pursuing higher studies overseas.

Other Initiatives

Grants and Endowments

XI.25 The Reserve Bank provided financial support amounting to ₹33.7 crore to the Indira Gandhi Institute of Development Research (IGIDR), Mumbai; ₹18.6 crore to the Centre for Advanced Financial Research and Learning (CAFRAL), Mumbai; ₹1.01 crore to the Indian

Institute of Bank Management (IIBM), Guwahati; ₹4.2 crore to National Institute of Bank Management (NIBM), Pune; and ₹0.95 crore to the London School of Economics (LSE) India Observatory and the IG Patel Chair.

Industrial Relations

XI.26 Industrial relations in the Reserve Bank remained cordial during the year. The Reserve Bank held 14 meetings with central units of the recognised Associations/Federations, representing officers and workmen employees. Regional Offices (ROs) conducted quarterly/half yearly meetings with local units of these Associations/Federations. In line with the wage settlement in the banking industry, the pay revision of all employees was successfully completed. The revised pay was disbursed to the employees with effect from November 1, 2022. Further, the pension/family pension of employees retired from the Reserve Bank's service prior to November 1, 2022, was revised with effect from November 1, 2022.

Interface with Employees

XI.27 The Reserve Bank continued with its efforts towards harnessing employees' ideas and feedback to achieve the organisation's purposes and goals. The VOICE (Voicing Opinion to Inspire, Contribute and Excel) initiative provides a platform for employees to interact in a free-flowing format with HR officials. During 2025-26, the Reserve Bank conducted nine VOICE sessions, covering 181 participants from various ROs and central office departments (CODs).

XI.28 A town hall initiative, 'Vartalap' was instituted in 2023-24 to foster sustained employee engagement and reinforce core organisational values. In 2025-26, 217 townhall meetings were conducted across the Reserve Bank, engaging 11,035 employees.

Recruitment and Staff Strength

XI.29 During 2025 (January-December), the Reserve Bank recruited a total of 247 employees in various cadres (Table XI.3).

XI.30 As on December 31, 2025, the total staff strength of the Reserve Bank stood at 13,220, a decrease of 2.2 per cent over end-December 2024 (Table XI.4).

XI.31 As on December 31, 2025, the total strength of ex-servicemen in the Reserve Bank stood at 1,073 and the total number of differently abled employees stood at 324 (Table XI.5). During January-December, 2025, five ex-servicemen and six persons with benchmark disabilities (PwBD) were recruited.

XI.32 During 2025 (January-December), four meetings were held between the management and representatives of the All-India Reserve Bank Scheduled Castes (SCs)/Scheduled Tribes (STs), the Buddhist Employees' Federation and All-India Reserve Bank Other Backward Classes Employees' Welfare Association separately, to discuss issues pertaining to implementation of the reservation policy in the Reserve Bank based on Government of India's guidelines.

Table XI. 3: Recruitments by the Reserve Bank in 2025*

Category	Total	of which:			
		SC	ST	OBC	EWS
1	2	3	4	5	6
Class I	78	10	5	29	4
Class III	167	14	28	32	17
Class IV	2	1	1	0	0
Total	247	25	34	61	21
*: January-December, 2025.					
SC: Scheduled Caste. ST: Scheduled Tribe.					
OBC: Other Backward Class. EWS: Economically Weaker Section.					
Source: RBI.					

Table XI.4: Staff Strength of the Reserve Bank*

Category	Total Strength		Category-wise Strength						Per cent to Total Strength		
			SC		ST		OBC				
	2024	2025	2024	2025	2024	2025	2024	2025	2025		
1	2	3	4	5	6	7	8	9	10	11	12
Class I	7,325	7,517	1,121	1,170	519	535	1,907	2,043	15.6	7.1	27.2
Class III	3,496	3,206	558	483	283	274	1,073	989	15.1	8.5	30.9
Class IV	2,699	2,497	428	371	215	201	890	858	14.9	8.0	34.4
Total	13,520	13,220	2,107	2,024	1,017	1,010	3,870	3,890	15.3	7.6	29.4

*: End-December.

Source: RBI.

Prevention of Sexual Harassment of Women at the Workplace

XI.33 The Reserve Bank had issued guidelines in 2014-15 in accordance with 'The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act and Rules, 2013'. During 2025-26, seven fresh complaints were received, and total eight cases were disposed of. Awareness programmes were organised at the Central Office and ROs to sensitise the Reserve Bank's staff.

Wellness Initiatives

XI.34 The Reserve Bank has put in place medical schemes for both serving employees and retirees. Further, under the wellness initiative '*Sehat Sampada*', a nation-wide fitness contest, viz.,

'My Fitness Mantra' was organised to promote preventive healthcare among employees.

Right to Information (RTI)

XI.35 During 2025-26, the Reserve Bank received 31,995 applications and 2,567 appeals under the RTI Act. Further, six training programmes and 129 sessions on RTI Act were also conducted.

Vigilance-related Activities in the Reserve Bank

XI.36 The Reserve Bank's vigilance unit is under the overall charge of the Chief Vigilance Officer (CVO) and is organised on a two-tier basis with the Central Vigilance Cell (CV Cell) functioning at the Central Office and fifty-two branch vigilance units. The overall responsibility in respect of the vigilance work in the Reserve Bank vests with the CV Cell, which has in place various preventive

Table XI.5: Total Strength of Ex-Servicemen and PwBD*

Category	Ex-Servicemen (ESM)	Persons with Benchmark Disabilities (PwBD)			
		Visually Impaired (VI)	Hearing Impaired (HI)	Orthopaedically Handicapped (OH)	Intellectual Disabilities ('d and e')**
1	2	3	4	5	6
Class I	261	85	16	93	4
Class III	254	36	2	33	1
Class IV	558	15	6	31	1

*: As on December 31, 2025.

** : As per Rights of Persons with Disability Act, 2016 and office memorandum dated January 15, 2018 issued by the Government of India regarding 'Reservation for the Persons with Benchmark Disabilities', the PwBD classification is defined as: (a) blindness and low vision; (b) deaf and hard of hearing; (c) locomotor disability including cerebral palsy, leprosy cured, dwarfism, acid attack victims and muscular dystrophy; (d) autism, intellectual disability, specific learning disability and mental illness; and (e) multiple disabilities from amongst persons under Clauses (a) to (d) including deaf-blindness.

Source: RBI.

and deterrent measures towards enhancing integrity, transparency and accountability.

Agenda for 2026-27

XI.37 The roadmap for the year would include the following milestones for the Department:

- Full scale implementation of massive open online courses (MOOCs); and
- Introducing short private online courses in coordination with the Reserve Bank's training establishments (*Utkarsh 2029*).

4. ENTERPRISE-WIDE RISK MANAGEMENT

XI.38 The Risk Monitoring Department (RMD) forms the second line of defence³ in the three-tier internal risk management framework adopted by the Reserve Bank and is responsible for the formulation and operationalisation of the enterprise-wide risk management (ERM) framework.

Agenda for 2025-26

XI.39 The Department had set out the following goals for 2025-26:

- The Integrated Risk Monitoring and Incident Reporting System (IRIS) application, launched in January 2020 for reporting of incidents and formulation of risk registers, will be revamped to include a comprehensive risk repository and other advanced risk management tools so as to enhance user experience and efficiency (Paragraph XI.40); and
- The operating procedures for implementation of the revised Information Security (IS) Policy 2024 will be issued in

line with the best information technology (IT) practices (Paragraph XI.40).

Implementation Status

XI.40 The development of the revamped IRIS application has been completed and the new application, *i.e.*, Next Gen – IRIS, has been made live on April 1, 2026. Revision in operating procedures for implementation of the revised IS Policy 2024, to align it with emerging threats and best practices, was completed by end-December 2025.

Other Initiatives

Enterprise-wide Risk Management 2.0 Framework

XI.41 The Reserve Bank has introduced ERM Framework 2.0 as a roadmap for the next decade to strengthen organisational resilience by shifting internal risk management from a compliance-driven approach to a value-creating and anticipatory one. The framework emphasises the use of advanced data analytics, improved preparedness for emerging risks affecting the Reserve Bank's broader mandate, continuous enhancement of risk management approaches in line with the growing sophistication of risk environment and fostering of a strong risk culture and enterprise-wide awareness; supported by necessary structural and policy refinements.

Agenda for 2026-27

XI.42 For 2026-27, the following goals have been proposed for the Department:

- In order to facilitate business areas in effectively managing risks, risk profiling of the respective business area will be undertaken; and

³ Individual business areas form the first line of defence and are primarily responsible for the identification and management of risks emanating from their respective areas of functioning, while the second line of defence is the RMD, which performs the centralised risk monitoring function, and the third line of defence is the Inspection Department, which through the inspection and audit process, performs the role of risk assurance.

- To conduct a thematic review on the 'Effectiveness of Patch and Configuration Management in the Reserve Bank'.

5. INTERNAL AUDIT / INSPECTION

XI.43 The Inspection Department undertakes examination and evaluation of the Reserve Bank's internal control and governance systems and provides risk assurance to the top management and the Central Board under the Risk-Based Internal Audit (RBIA) framework. As the third line of defence within the ERM structure, the Department reports to the Audit and Risk Management Sub-Committee (ARMS) of the Central Board. The Department also administers the concurrent audit (CA) and control self-assessment audit (CSAA) mechanisms across the Reserve Bank.

XI.44 The Department functions as the Secretariat to ARMS as well as to the Executive Directors' Committee in relation to oversight of the internal audit function. The Zonal Inspectorates, located in five zones, support Auditee Offices in strengthening internal controls by monitoring the quality of audit compliance, and assisting the Department in providing independent and objective risk assurance on the functioning of various business areas of the Reserve Bank.

Agenda for 2025-26

XI.45 The Department had set out the following goals for 2025-26:

- Measures for strengthening the Concurrent Audit Process in the Reserve Bank (Paragraph XI.46);
- Formulation of Charter of Inspection Department (Paragraph XI.46);
- Feasibility study of adoption of AI and ML in the internal audit process (Paragraph XI.47); and

- Conduct thematic studies on: (i) analysis of risks associated with status of implementation of annual maintenance contracts (AMCs)/Agreements; (ii) adherence to internal procedures pertaining to disaster recovery and business continuity plan (BCP); and (iii) status of implementation of archival and record management policy (Paragraph XI.47).

Implementation Status

XI.46 The procedure for selection of concurrent auditors was reviewed and a revised circular was issued during the year. The charter of the Inspection Department has been finalised.

XI.47 An internal Working Group, constituted to examine the feasibility of adoption of AI and ML in the internal audit process, has submitted its report in February 2026. Thematic studies outlined in the agenda for 2025-26 have been completed.

Major Developments

XI.48 The Department undertook a review of the ARMS Charter during the year, covering its oversight functions relating to financial reporting, internal controls, risk monitoring, audits, and compliance.

XI.49 Complete automation of the Inspection Department's audit processes in the audit management system has been accomplished during the year.

Agenda for 2026-27

XI.50 During the year, the Department will focus on the following goals:

- Conduct integrated thematic reviews;
- Review and refine auditee offices' categorisation and strengthen assurance coordination; and
- Augment the inspection capacity.

6. CORPORATE STRATEGY AND BUDGET MANAGEMENT

XI.51 The Corporate Strategy and Budget Department (CSBD) coordinates and formulates the Reserve Bank's medium-term strategy framework (*Utkarsh*), prepares its annual budget, monitors expenditure with a view to ensuring budgetary discipline and maintains various superannuation and staff welfare funds. The Department also formulates and executes the Reserve Bank's business continuity plan (BCP) for its critical operations and acts as the nodal Department for four institutes funded by the Reserve Bank. It also handles work related to opening of new offices and is the nodal Department for monitoring the performance under citizen's charter services of the Reserve Bank.

Agenda for 2025-26

XI.52 For 2025-26, the Department had set out the following goals:

- Development of a dashboard for business continuity management (BCM) [Paragraph XI.53];

- Review of *Utkarsh* 2.0 (Paragraph XI.54);
- Formulation of *Utkarsh* 2029 (Paragraph XI.54); and
- Enhancing the effectiveness of the deliverables across all four institutes funded by the Reserve Bank (Paragraph XI.55).

Implementation Status

XI.53 An application for BCM, which includes an interactive dashboard, has been put in place, which will also act as a crisis response tool at times of disruption to business continuity.

XI.54 Review of *Utkarsh* 2.0 for the period 2023-2025 has been completed during the year. The next medium-term strategy framework (*Utkarsh* 2029) was formulated for the period April 2026 to March 2029 (Box XI.1).

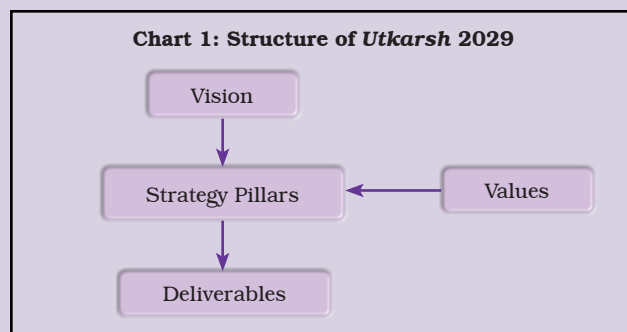
XI.55 The Department continued to reinforce governance of all four institutes funded by the Reserve Bank, viz., CAFRAL, IGIDR, NIBM and IIBM through meetings of their governing boards and sub-committees. A formal mechanism was

Box XI.1

Utkarsh 2029 – Reserve Bank's Medium-Term Strategy Framework for 2026-29

The medium-term strategy framework of the Reserve Bank – *Utkarsh* 2029, comes into effect from April 2026 and covers a three-year time horizon 2026-29. *Utkarsh* 2029 communicates the medium-term strategic priorities of the Reserve Bank and consists of a three-layered structure (Chart 1), supported by six strategy pillars, which are further strengthened by the vision and values of the Reserve Bank. The overarching and impactful deliverables have been brought under the ambit of *Utkarsh* 2029, while the regular functions of the Reserve Bank will continue under the annual action plans of the respective departments. The deliverables under the strategy pillars aim to, *inter-alia*, review and strengthen the regulations, continue customer-centric approach to promote greater inclusivity, enhance

competitiveness and depth of markets, adapt to new technologies with agility, and expand internationalisation initiatives, thereby making it a future-ready organisation.



Source: RBI.

put in place to encourage active collaboration among the institutes and leverage their research capabilities by various Reserve Bank's departments in their respective policy areas.

Major Developments

XI.56 A comprehensive review of regulatory approvals and citizen's charter services of the Reserve Bank were undertaken during the year, with rationalisation of timelines for various services. A revised list of 204 services under citizen's charter was released on July 1, 2025, which was further reviewed and revised to 200 services as on March 2, 2026. Performance under citizen's charter is being published on the Reserve Bank's website on the first working day of every month.

XI.57 Standard operating procedure (SOP) for business continuity during crisis situations was put in place to guide business units on the measures to be taken before, during and after a crisis.

XI.58 Budget rating framework was fine-tuned to enhance budget management efficiency.

External Institutions Funded by the Reserve Bank

XI.59 During the year, the teaching capacity was augmented at IGIDR. In addition, collaboration among the institutes and project engagement with the Reserve Bank was also strengthened. Across CAFRAL, NIBM and IIBM, a total of 357 training programmes were conducted covering about 9,986 participants catering to executives at various management levels in the banking and financial sector. Further, 87 students of IGIDR were awarded degrees in Economics (three

Ph.D., seven M.Phil. and 77 M.Sc.) and 131 students of NIBM were awarded PGDM (Banking and Financial Services) in their convocation ceremonies held during the year.

Agenda for 2026-27

XI.60 The Department's agenda for the year includes the following:

- Synergising the activities of institutes funded by the Reserve Bank; and
- Conversion of eligible sub-offices into independent accounting units.

7. RAJBHASHA

XI.61 Aligning with the Rajbhasha Policy of the Gol, Rajbhasha Department, the nodal Department for implementing the Official Language Policy within the Reserve Bank, has ensured incremental adoption of Hindi by devising a comprehensive action plan and establishing a robust monitoring mechanism.

Agenda for 2025-26

XI.62 The Department had set out the following goals for the year 2025-26:

- To organise training programmes on Rajbhasha inspection for Rajbhasha officers (Paragraph XI.63);
- To organise faculty development programme for Rajbhasha officers (Paragraph XI.63);
- To organise a Hindi workshop for private secretaries in the Reserve Bank (Paragraph XI.63);
- To organise a special programme for the Regional Directors/CGMs/ Officers-in-

Charge on the inspection questionnaire of Hon'ble Committee of Parliament on Official Language (Paragraph XI.64); and

- To publish a new consolidated magazine showcasing quality contributions made in Hindi in the various magazines of the Reserve Bank (Paragraph XI.65).

Implementation Status

XI.63 Training programmes on Rajbhasha inspection and faculty development for Rajbhasha officers were organised in August and September 2025, respectively. Hindi workshop for private secretaries was organised on January 3, 2026.

XI.64 A special programme for the executives on inspection questionnaire of Hon'ble Committee of Parliament on Official Language was organised in August 2025.

XI.65 A new magazine named '*Sanchayika*' was released on August 14, 2025.

Major Developments

Visits by Hon'ble Committee of Parliament on Official Language to the Reserve Bank

XI.66 During 2025-26, the third sub-committee of the Hon'ble Committee of Parliament on Official Language inspected Guwahati, Shillong, Dehradun, Belapur offices and College of Agricultural Banking, Pune. The Draft and Evidence Sub-Committee had an inspection/discussion programme with the Kolkata office and RBSC, Chennai.

Training/Conference

XI.67 The Reserve Bank's offices in Chandigarh, Shillong, Ranchi, Hyderabad, Dehradun, Kochi and Thiruvananthapuram received the Chair

of Town Official Language Implementation Committee (TOLIC) in their respective cities. Training programme on the functioning of TOLIC was organised on June 20, 2025. Rajbhasha Conference was held on February 28, 2026.

XI.68 During 2025-26, 278 and 136 staff-members cleared the '*Parangat*' and '*Pragya*' examination, respectively, conducted under the Hindi Teaching Scheme, GoI. Workshops for senior officers were organised in various CODs and ROs.

Publications

XI.69 The Department published its half-yearly magazine, '*Kriti-Anukriti*', showcasing various events organised by the ROs and CODs, and '*Sanchayika*', compilation of the best articles contained in the various magazines of the Reserve Bank. Two editions of the Hindi journal '*Banking Chintan-Anuchintan*' were also published during the year.

Agenda for 2026-27

XI.70 During the year, the Department plans to focus on the following:

- To organise a programme for executives on the visits of Committee of Parliament on Official Language;
- To organise training programme on Rajbhasha inspection and translation for Rajbhasha officers;
- To organise a Hindi workshop for private secretaries and security officers of the Reserve Bank; and
- To organise information technology (IT) seminar for the Rajbhasha officers of the Reserve Bank.

8. PREMISES DEPARTMENT

XI.71 The vision of the Premises Department is to provide 'best in class' and environment-friendly physical infrastructure by integrating architectural excellence and aesthetic appeal with green ratings in the Reserve Bank's premises while ensuring the highest level of cleanliness.

Agenda for 2025-26

XI.72 For 2025-26, the Department had set out the following goals:

- Achieve the targets set under *Utkarsh* 2.0 for December 2025 (Paragraph XI.73);
- Strive to ensure sufficient office/residential space as per the Reserve Bank's requirement (Paragraph XI.74); and
- Take forward various construction projects currently in planning stage at various ROs (Paragraph XI.74).

Implementation Status

XI.73 All *Utkarsh* 2.0 targets exceeded the set benchmarks. Green ratings were received for 11 office and 19 residential buildings against set targets of nine office and 16 residential buildings, renewable energy usage reached 9.1 per cent (target 7.5 per cent) and the Reserve Bank achieved energy savings of 14.5 per cent (target 7.5 per cent).

XI.74 Provision of sufficient office space has been ensured with acquisition of land parcels for construction of office buildings at certain locations. Construction has commenced for one residential project, which was previously in the planning phase.

Major Developments

XI.75 During 2025-26, construction of one new office building and one learning

institute was completed. In addition, various construction projects were undertaken and are under different modes of construction. The Reserve Bank continued to expand renewable energy generation through solar power plants, with 29 office and 63 residential premises equipped with installations having a combined capacity of 4,725 kWp (Kilowatt-peak) as at end-March 2026.

Agenda for 2026-27

XI.76 For the year 2026-27, the Department has set the following goals:

- Ensure sufficient residential space as per the Reserve Bank's requirement; and
- Take forward various construction projects currently in planning stage at various ROs.

9. CONCLUSION

XI.77 During the year, human resources were strengthened through sustained capacity building, enhanced employee engagement and several well-being initiatives. Risk management and internal audit frameworks were further reinforced through the rollout of ERM Framework 2.0, greater automation, and preparatory steps for adoption of advanced technologies. Strategic planning and business continuity arrangements were enhanced through the formulation of *Utkarsh* 2029 and refinement of related processes. Rajbhasha Department ensured compliance with the Official Language Policy of the GoI and the Premises Department continued with its efforts to augment environment-friendly physical infrastructure for the Reserve Bank.

Annex

**Table XI.1: Attendance in the Meeting of the Central Board of Directors during
April 1, 2025 – March 31, 2026**

Name of the Member	Appointed/Nominated under RBI Act, 1934	Number of Meetings Held	Number of Meetings Attended
1	2	3	4
Sanjay Malhotra	8(1)(a)	8	8
M. Rajeshwar Rao*	8(1)(a)	4	4
T. Rabi Sankar	8(1)(a)	8	7
Swaminathan J.	8(1)(a)	8	8
Poonam Gupta\$	8(1)(a)	8	7
Shirish Chandra Murmu@	8(1)(a)	4	4
Revathy Iyer	8(1)(b)	8	8
Sachin Chaturvedi	8(1)(b)	8	6
Satish Kashinath Marathe	8(1)(c)	8	7
Swaminathan Gurumurthy	8(1)(c)	8	2
Anand Gopal Mahindra	8(1)(c)	8	2
Venu Srinivasan	8(1)(c)	8	3
Pankaj Ramanbhai Patel	8(1)(c)	8	7
Ravindra H. Dholakia	8(1)(c)	8	8
Ajay Seth#	8(1)(d)	3	3
Nagaraju Maddirala	8(1)(d)	8	6
Anuradha Thakur**	8(1)(d)	5	4

*: Deputy Governor till October 8, 2025.

\$. Took charge as Deputy Governor on May 2, 2025.

@: Took charge as Deputy Governor on October 9, 2025.

#: Director till July 23, 2025.

**: Director *w.e.f.* July 24, 2025.

**Table XI.2: Attendance in the Meeting of the Committees of the
Central Board during April 1, 2025 – March 31, 2026**

Name of the Member	Appointed/Nominated under RBI Act, 1934	Number of Meetings Held	Number of Meetings Attended
1	2	3	4
I. Committee of the Central Board			
Sanjay Malhotra	8(1)(a)	46	43
M. Rajeshwar Rao*	8(1)(a)	25	23
T. Rabi Sankar	8(1)(a)	46	44
Swaminathan J.	8(1)(a)	46	43
Poonam Gupta [§]	8(1)(a)	41	37
Shirish Chandra Murmu [®]	8(1)(a)	21	20
Revathy Iyer	8(1)(b)	22	22
Sachin Chaturvedi	8(1)(b)	23	23
Satish Kashinath Marathe	8(1)(c)	36	36
Swaminathan Gurumurthy	8(1)(c)	16	3
Anand Gopal Mahindra	8(1)(c)	18	14
Venu Srinivasan	8(1)(c)	25	25
Pankaj Ramanbhai Patel	8(1)(c)	23	23
Ravindra H. Dholakia	8(1)(c)	42	42

Name of the Member	Position	Number of Meetings Held	Number of Meetings Attended
II. Board for Financial Supervision			
Sanjay Malhotra	Chairman	12	12
Swaminathan J.	Vice-Chairman	12	12
M. Rajeshwar Rao*	Member	6	4
T. Rabi Sankar	Member	12	9
Poonam Gupta [§]	Member	11	10
Shirish Chandra Murmu [®]	Member	6	6
Satish Kashinath Marathe	Member	12	8
Sachin Chaturvedi	Member	12	8
Ravindra H. Dholakia	Member	12	7
Revathy Iyer	Member	12	11

III. Board for Regulation and Supervision of Payment and Settlement Systems (BPSS)

Board for Regulation and Supervision of Payment and Settlement Systems was active till May 8, 2025 and has been replaced by the Payments Regulatory Board with effect from May 9, 2025, with the issuance of Gazette Notification dated May 6, 2025, by the Department of Financial Services, Government of India. No meetings of the BPSS were held between April 1, 2025 and May 8, 2025.

*: Deputy Governor till October 8, 2025.

§: Took charge as Deputy Governor on May 2, 2025.

®: Took charge as Deputy Governor on October 9, 2025.

**Table XI.3: Attendance in the Meeting of the Sub-Committees
of the Board during April 1, 2025 – March 31, 2026**

Name of the Member	Position	Number of Meetings Held	Number of Meetings Attended
1	2	3	4
I. Audit & Risk Management Sub-Committee (ARMS)			
Revathy Iyer	Chairperson	7	7
Sachin Chaturvedi	Member	7	3
Venu Srinivasan^	Member	Nil	Nil
Pankaj Ramanbhai Patel	Member	7	1
Swaminathan J.	Member	7	7
II. Building Sub-Committee (BSC)			
Pankaj Ramanbhai Patel	Chairman	2	2
Anand Gopal Mahindra	Member	2	2
III. Human Resource Management Sub-Committee (HRM-SC)			
Anand Gopal Mahindra	Chairman	1	1
Pankaj Ramanbhai Patel	Member	1	1
IV. Information Technology Sub-Committee (IT-SC)			
Sachin Chaturvedi	Chairman	3	3
Satish Kashinath Marathe	Member	3	3
V. Strategy Sub-Committee (S-SC)			
Revathy Iyer	Chairperson	2	2
Anand Gopal Mahindra	Member	2	Nil
Swaminathan J.®	Member	Nil	Nil
Poonam Gupta&	Member	Nil	Nil
T. Rabi Sankar\$	Member	2	2
Venu Srinivasan*	Member	Nil	Nil

^: Member till April 4, 2025.

®: Member till May 1, 2025.

&: Member w.e.f. May 2, 2025 till October 8, 2025.

\$. Member w.e.f. October 9, 2025.

*: Member till January 23, 2026.

Table XI.4: Attendance in the Meeting of Standing Committee of the Central Board of Directors in *lieu* of Local Board/s during April 1, 2025 – March 31, 2026*

Name of the Member	Position	Number of Meetings Held	Number of Meetings Attended
1	2	3	4
Eastern Area			
Sachin Chaturvedi ^{\$}	Chairperson	2	2
Revathy Iyer ^{**}	Member	2	2
Satish Kashinath Marathe	Member	2	2
Western Area			
Revathy Iyer	Chairperson	2	2
Satish Kashinath Marathe	Member	2	2
Sachin Chaturvedi [#]	Member	2	2
Northern Area			
Revathy Iyer	Chairperson	2	2
Satish Kashinath Marathe	Member	2	2
Sachin Chaturvedi [#]	Member	2	1
Southern Area			
Revathy Iyer	Chairperson	2	2
Satish Kashinath Marathe	Member	2	2
Sachin Chaturvedi [#]	Member	2	2

*: Standing Committee of the Central Board is functioning in *lieu* of Eastern, Western, Northern and Southern Area Local Boards.

\$: Chairperson *w.e.f.* July 15, 2025.

** : Chairperson till July 14, 2025.

#: Member *w.e.f.* May 2, 2025.

XII

THE RESERVE BANK'S ACCOUNTS FOR 2025-26

The Reserve Bank's balance sheet size as on March 31, 2026, increased by 20.6 per cent year on year. Income for the year increased by 26.4 per cent and expenditure increased by 102.4 per cent. The year ended with an overall surplus of ₹2,86,588.46 crore as against ₹2,68,590.07 crore in the previous year, showing an increase of 6.7 per cent.

XII.1 The balance sheet size increased by ₹15,71,699.15 crore, i.e., 20.6 per cent from ₹76,25,421.93 crore as on March 31, 2025, to ₹91,97,121.08 crore as on March 31, 2026. Increase on assets side was due to rise in domestic investments, gold and foreign investments by 44.9 per cent, 63.8 per cent and 7.9 per cent, respectively. On liabilities side, revaluation accounts, notes issued, deposits and other liabilities increased by 63.4 per cent, 11.8 per cent, 11.6 per cent and 21.1 per cent, respectively. Domestic assets constituted 29.1 per cent and foreign currency assets, gold (including Gold Deposit and gold held in India), loans and advances to financial institutions outside India, constituted 70.9 per cent of total assets as on

March 31, 2026, as against 25.7 per cent and 74.3 per cent, respectively, as on March 31, 2025.

XII.2 A provision of ₹1,09,379.64 crore was made and transferred to Contingency Fund (CF). No provision was made towards Asset Development Fund (ADF). Trends in income, expenditure, net income and surplus transferred to the Central Government are given in Table XII.1.

XII.3 Independent Auditors' Report, Balance Sheet and Income Statement for the year ended March 31, 2026 along with Schedules, Statement of Significant Accounting Policies and supporting Notes to Accounts are given in ensuing paragraphs.

Table XII.1: Trends in Income, Expenditure, Net Income and Surplus Transferred to the Central Government

(Amount in ₹ crore)

Item	2021-22	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6
a) Income	1,60,112.13	2,35,457.26	2,75,572.32	3,38,308.09	4,27,684.15
b) Total Expenditure ¹	1,29,800.68 ²	1,48,037.04 ³	64,694.33 ⁴	69,714.02 ⁵	1,41,091.69 ⁶
c) Net Income (a-b)	30,311.45	87,420.22	2,10,877.99	2,68,594.07	2,86,592.46
d) Transfer to funds ⁷	4.00	4.00	4.00	4.00	4.00
e) Surplus transferred to the Central Government (c-d)	30,307.45	87,416.22	2,10,873.99	2,68,590.07	2,86,588.46

Notes: 1. Include provisions towards CF and ADF.

2. Includes a provision of ₹1,14,567.01 crore and ₹100 crore towards transfer to CF and ADF, respectively.

3. Includes provision of ₹1,30,875.75 crore towards transfer to CF.

4. Includes provision of ₹42,819.91 crore towards transfer to CF.

5. Includes a provision of ₹44,861.70 crore towards transfer to CF.

6. Includes a provision of ₹1,09,379.64 crore towards transfer to CF.

7. Each year an amount of ₹1 crore each has been transferred to the National Industrial Credit (Long Term Operations) Fund, the National Housing Credit (Long Term Operations) Fund, the National Rural Credit (Long Term Operations) Fund and the National Rural Credit (Stabilisation) Fund.

INDEPENDENT AUDITORS' REPORT

To,

The President of India

Report on Audit of Financial Statements of the Reserve Bank of India

Opinion

We, the undersigned Auditors of the Reserve Bank of India (hereinafter referred to as the "Bank"), do hereby report to the Central Government upon the Balance Sheet of the Bank as on March 31, 2026, the Income Statement read with Schedules and Significant Accounting Policies as at and for the year ended on that date (hereinafter referred to as "Financial Statements"), which have been audited by us.

In our opinion and to the best of our information and according to explanations given to us and as shown by the books of accounts of the Bank, the Balance Sheet read with Schedules and Significant Accounting Policies is a full and fair Balance Sheet containing all necessary particulars and is properly drawn up in accordance with the requirements of the provisions of the Reserve Bank of India Act, 1934 ("the RBI Act, 1934") and Regulations framed thereunder, as amended, so as to exhibit true and correct view of the state of affairs of the Bank as on March 31, 2026 and its results of operations for the year ended on that date.

Basis for Opinion

We conducted our audit of the aforesaid Financial Statements in accordance with the Standards on Auditing ("SAs") issued by the Institute of Chartered Accountants of India ("ICAI"). Our responsibilities under those Standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the Code of Ethics issued by the ICAI together with the ethical requirements that are relevant to our audit of the Financial Statements under the provisions of the Reserve Bank of India Act, 1934 and Regulations framed thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.

Information Other than the Financial Statements and Auditor's Report Thereon

The Management is responsible for the other information. The other information comprises the information included in the Notes to Accounts but does not include the Financial Statements and our auditors' report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Bank's Management and Those Charged with Governance for the Financial Statements are responsible for the preparation of the Financial Statements that give a true and correct view of the state of affairs and results of operations of the Bank in accordance with the requirements of the provisions of the RBI Act, 1934 and Regulations framed thereunder and the accounting policies and practices followed by the Bank. This responsibility also includes maintenance of adequate accounting records for safeguarding of the assets of the Bank and preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and design, implementation and maintenance of internal control relevant to the preparation and presentation of the Financial Statements that give a true and correct view and are free from material misstatement, whether due to fraud or error. The Management is also responsible for assessing the Bank's ability to continue as a 'Going Concern' and using the 'Going Concern' basis of accounting. As per the RBI Act, 1934, the Bank can be liquidated only by the Central Government by order and in any other manner as it may direct.

Those Charged with Governance are also responsible for overseeing the Bank's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the

aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements. Reasonable assurance includes aforesaid concepts of materiality and use of test-checks in line with the Standards on Auditing.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal financial control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management.
- Conclude on the appropriateness of Management's use of the Going Concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a Going Concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report.
- Evaluate the overall presentation, structure, and content of the Financial Statements, are drawn up in accordance with the requirements of the provisions of the RBI Act, 1934 and Regulations framed thereunder and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with Those Charged with Governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide Those Charged with Governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matters

- (a) We report that we have called for information and explanations from the Bank considered necessary for the purpose of our audit and such information and explanations have been given to our satisfaction.
- (b) We also report that the Financial Statements include the accounts of twenty-five accounting units of the Bank which have been audited by Statutory Branch Auditors. The Independent Auditors' Report on Financial Information of these accounting units has been furnished to us and our opinion on the Financial Statements, in so far as it relates to the amounts and disclosures included in respect of these accounting units, are based solely on the report of such auditors.

Our opinion is not modified in respect of these matters.

For Sorab S. Engineer & Co.
Chartered Accountants
(ICAI Firm Registration No. 110417W)

Peshwan N. Anklesaria
Partner
Membership No. 131394
UDIN: 26131394VUUAKO2879

For Kalyaniwalla & Mistry LLP
Chartered Accountants
(ICAI Firm Registration No. 104607W/W100166)

Daraius Z. Fraser
Partner
Membership No. 042454
UDIN: 26042454PJZBLW8066

Place: Mumbai

Date: May 22, 2026

**RESERVE BANK OF INDIA
BALANCE SHEET AS ON MARCH 31, 2026**

(Amount in ₹ crore)

Liabilities	Schedule	2024-25	2025-26	Assets	Schedule	2024-25	2025-26
Capital		5.00	5.00	Assets of Banking Department (BD)			
Reserve Fund		6,500.00	6,500.00	Notes, Rupee Coin, Small Coin	6	11.26	11.72
Other Reserves	1	242.00	244.00	Gold-BD	7	4,31,624.80	7,06,162.36
Deposits	2	17,17,404.03	19,16,692.11	Investments-Foreign-BD	8	14,32,572.10	15,32,082.73
Risk Provisions				Investments-Domestic-BD	9	15,58,573.83	22,58,591.14
Contingency Fund		5,42,426.96	5,68,333.19	Bills Purchased and Discounted		0.00	0.00
Asset Development Fund		22,974.68	22,974.68	Loans and Advances	10	4,34,710.24	4,77,218.69
Revaluation Accounts	3	13,26,793.43	21,68,530.23	Investment in Subsidiaries	11	2,063.60	2,063.60
Other Liabilities	4	3,21,248.79	3,89,074.99	Other Assets	12	78,039.06	96,223.96
Liabilities of Issue Department				Assets of Issue Department (ID) (As backing for Notes Issued)			
Notes Issued	5	36,87,827.04	41,24,766.88	Gold-ID	7	2,36,537.54	3,88,147.13
				Rupee Coin		328.76	468.22
				Investments-Foreign-ID	8	34,50,960.74	37,36,151.53
				Investments-Domestic-ID	9	0.00	0.00
				Domestic Bills of Exchange and other Commercial Papers		0.00	0.00
						36,87,827.04	41,24,766.88
Total Liabilities		76,25,421.93	91,97,121.08	Total Assets		76,25,421.93	91,97,121.08

Sangeeta Lalwani
Chief General Manager-In-Charge

Rohit Jain
Deputy Governor

Shirish Chandra Murmu
Deputy Governor

Poonam Gupta
Deputy Governor

Swaminathan J
Deputy Governor

Sanjay Malhotra
Governor

RESERVE BANK OF INDIA

INCOME STATEMENT FOR THE YEAR ENDED MARCH 31, 2026

(Amount in ₹ crore)

INCOME	Schedule	2024-25	2025-26
Interest	13	2,10,687.64	2,35,579.79
Other Income	14	1,27,620.45	1,92,104.36
Total		3,38,308.09	4,27,684.15
EXPENDITURE			
Printing of Notes		6,372.82	4,875.20
Expenditure on Remittance of Currency		151.02	170.82
Agency Charges	15	3,669.56	4,880.05
Employee Cost		9,146.71	10,136.31
Interest		2.44	2.71
Postage and Telecommunication Charges		106.43	120.41
Printing and Stationery		24.24	23.40
Rent, Taxes, Insurance, Lighting, etc.		274.65	300.13
Repairs and Maintenance		177.55	191.55
Directors' and Local Board Members' Fees and Expenses		4.80	5.85
Auditors' Fees and Expenses		7.24	8.42
Law Charges		17.67	24.04
Depreciation		623.63	779.20
Miscellaneous Expenses		4,273.56	10,193.96
Provisions		44,861.70	1,09,379.64
Total		69,714.02	1,41,091.69
Available Balance		2,68,594.07	2,86,592.46
Less:			
(a) Contribution to:			
(i) National Industrial Credit (Long Term Operations) Fund		1.00	1.00
(ii) National Housing Credit (Long Term Operations) Fund		1.00	1.00
(b) Transferable to NABARD:			
(i) National Rural Credit (Long Term Operations) Fund ¹		1.00	1.00
(ii) National Rural Credit (Stabilisation) Fund ¹		1.00	1.00
(c) Others		0.00	0.00
Surplus payable to the Central Government		2,68,590.07	2,86,588.46

1. These funds are maintained by the National Bank for Agriculture and Rural Development (NABARD).

Sangeeta Lalwani
Chief General Manager-In-Charge

Rohit Jain
Deputy Governor

Shirish Chandra Murmu
Deputy Governor

Poonam Gupta
Deputy Governor

Swaminathan J
Deputy Governor

Sanjay Malhotra
Governor

SCHEDULES FORMING PART OF BALANCE SHEET AND INCOME STATEMENT

(Amount in ₹ crore)

		2024-25	2025-26
Schedule 1:	Other Reserves		
	(i) National Industrial Credit (Long Term Operations) Fund	34.00	35.00
	(ii) National Housing Credit (Long Term Operations) Fund	208.00	209.00
	Total	242.00	244.00
Schedule 2:	Deposits		
	(a) Government		
	(i) Central Government	5,000.85	5,000.48
	(ii) State Governments	42.48	43.41
	Sub total	5,043.33	5,043.89
	(b) Banks		
	(i) Scheduled Commercial Banks	9,26,001.43	7,53,866.83
	(ii) Scheduled State Co-operative Banks	8,439.50	6,922.12
	(iii) Other Scheduled Co-operative Banks	11,606.14	9,859.62
	(iv) Non-Scheduled State Co-operative Banks	6,569.07	7,347.63
	(v) Other Banks	38,872.35	32,128.28
	Sub total	9,91,488.49	8,10,124.48
	(c) Financial Institutions Outside India		
	(i) Repo-Foreign	1,11,579.53	1,61,992.51
	(ii) Cash Margin-Foreign	1,092.49	2,793.34
	Sub total	1,12,672.02	1,64,785.85
	(d) Others		
	(i) Administrators of RBI Employee PF A/c	4,902.84	5,339.62
	(ii) Depositor Education and Awareness Fund	97,545.12	1,12,564.29
	(iii) Balances of Foreign Central Banks	348.37	1,030.26
	(iv) Balances of Indian Financial Institutions	10,159.58	13,027.35
	(v) Balances of International Financial Institutions	501.14	579.31
	(vi) Mutual Funds	1.32	1.32
	(vii) Others	4,94,741.82	8,04,195.74
	Sub total	6,08,200.19	9,36,737.89
	Total	17,17,404.03	19,16,692.11
Schedule 3:	Revaluation Accounts		
	(i) Currency and Gold Revaluation Account (CGRA)	13,02,964.89	21,68,530.23
	(ii) Investment Revaluation Account-Foreign Securities (IRA-FS)	0.00	0.00
	(iii) Investment Revaluation Account-Rupee Securities (IRA-RS)	16,843.35	0.00
	(iv) Foreign Exchange Forward Contracts Valuation Account (FCVA)	6,985.19	0.00
	Total	13,26,793.43	21,68,530.23
Schedule 4:	Other Liabilities		
	(i) Provision for Forward Contracts Valuation Account (PFCVA)	0.00	43,403.23
	(ii) Provision for Payables	4,088.31	7,682.46
	(iii) Gratuity and Superannuation Fund	36,470.57	39,405.30
	(iv) Surplus Payable to the Central Government	2,68,590.07	2,86,588.46
	(v) Bills Payable	0.09	6.80
	(vi) Miscellaneous	12,099.75	11,988.74
	Total	3,21,248.79	3,89,074.99
Schedule 5:	Notes Issued		
	(i) Notes held in the Banking Department	11.19	11.67
	(ii) Notes in Circulation	36,86,799.39	41,23,983.55
	(iii) CBDC-W	0.00	0.00
	(iv) CBDC-R	1,016.46	771.66
	Total	36,87,827.04	41,24,766.88

		2024-25	2025-26
Schedule 6:	Notes, Rupee Coin, Small Coin		
	(i) Notes	11.19	11.67
	(ii) Rupee Coin	0.06	0.04
	(iii) Small Coin	0.01	0.01
	Total	11.26	11.72
Schedule 7:	Gold		
	(a) Banking Department		
	(i) Gold	4,17,205.49	7,02,679.17
	(ii) Gold Deposit	14,419.31	3,483.19
	Sub total	4,31,624.80	7,06,162.36
	(b) Issue Department		
		2,36,537.54	3,88,147.13
	Total	6,68,162.34	10,94,309.49
Schedule 8:	Investments-Foreign		
	(i) Investments-Foreign-BD	14,32,572.10	15,32,082.73
	(ii) Investments-Foreign-ID	34,50,960.74	37,36,151.53
	Total	48,83,532.84	52,68,234.26
Schedule 9:	Investments-Domestic		
	(i) Investments-Domestic-BD	15,58,573.83	22,58,591.14
	(ii) Investments-Domestic-ID	0.00	0.00
	Total	15,58,573.83	22,58,591.14
Schedule 10:	Loans and Advances		
	(a) Loans and Advances to:		
	(i) Central Government	0.00	0.00
	(ii) State Governments	32,688.09	32,506.59
	Sub total	32,688.09	32,506.59
	(b) Loans and Advances to:		
	(i) Scheduled Commercial Banks	2,53,663.00	2,56,062.00
	(ii) Scheduled State Co-operative Banks	0.00	0.00
	(iii) Other Scheduled Co-operative Banks	0.00	0.00
	(iv) Non-Scheduled State Co-operative Banks	0.00	0.00
	(v) NABARD	0.00	0.00
	(vi) Others	36,426.09	26,190.46
	Sub total	2,90,089.09	2,82,252.46
	(C) Loans and Advances to Financial Institutions Outside India		
	(i) Reverse Repo-Foreign	1,11,579.53	1,61,992.51
	(ii) Cash Margin-Foreign	353.53	467.13
	Sub total	1,11,933.06	1,62,459.64
	Total	4,34,710.24	4,77,218.69
Schedule 11:	Investment in Subsidiaries/Associates		
	(i) Deposit Insurance and Credit Guarantee Corporation (DICGC)	50.00	50.00
	(ii) Bharatiya Reserve Bank Note Mudran (P) Ltd. (BRBNMPL)	1,800.00	1,800.00
	(iii) Reserve Bank Information Technology (P) Ltd. (ReBIT)	50.00	50.00
	(iv) National Centre for Financial Education (NCFE)	30.00	30.00
	(v) Indian Financial Technology & Allied Services (IFTAS)	33.60	33.60
	(vi) Reserve Bank Innovation Hub (RBIH)	100.00	100.00
	Total	2,063.60	2,063.60

THE RESERVE BANK'S ACCOUNTS FOR 2025-26

		2024-25	2025-26
Schedule 12:	Other Assets		
	(i) Fixed Assets (net of accumulated depreciation)	2,512.81	6,378.96
	(ii) Accrued Income (a + b)	64,001.01	83,380.28
	a. on loans to employees	479.85	550.63
	b. on other items	63,521.16	82,829.65
	(iii) Swap Amortisation Account (SAA)	0.00	0.00
	(iv) Revaluation of Forward Contracts Account (RFCA)	6,985.19	0.00
	(v) Miscellaneous	4,540.05	6,464.72
	Total	78,039.06	96,223.96
Schedule 13:	Interest		
	(a) Domestic Sources		
	(i) Interest on holding of Rupee Securities	85,524.67	1,17,739.57
	(ii) Net Interest on LAF Operations	-4,739.82	-8,681.73
	(iii) Interest on SDF	-5,844.65	-10,599.55
	(iv) Interest on MSF Operations	464.22	118.31
	(v) Interest on Loans and Advances	1,922.77	1,787.94
	Sub total	77,327.19	1,00,364.54
	(b) Foreign Sources		
	(i) Interest Income from Foreign Securities	97,006.66	1,07,678.67
	(ii) Net Interest on Repo/ Reverse Repo Transactions	158.59	129.42
	(iii) Interest on Deposits	36,195.20	27,407.16
	Sub total	1,33,360.45	1,35,215.25
	Total	2,10,687.64	2,35,579.79
Schedule 14:	Other Income		
	(a) Domestic Sources		
	(i) Exchange	0.00	0.00
	(ii) Discount	0.00	0.00
	(iii) Commission	4,131.64	4,523.37
	(iv) Rent Realised	9.00	14.05
	(v) Profit/ Loss on sale and redemption of Rupee Securities	1,105.16	886.45
	(vi) Depreciation on Rupee Securities inter-portfolio transfer	-69.50	-45.49
	(vii) Amortisation of premium/ discount on Rupee Securities	-2,681.71	-5,024.58
	(viii) Profit/ Loss on sale of Bank's Property	2.16	13.32
	(ix) Provision no longer required and Miscellaneous Income	-353.40	-703.05
	Sub total	2,143.35	-335.93
	(b) Foreign Sources		
	(i) Amortisation of premium/ discount on Foreign Securities	13,686.63	16,354.18
	(ii) Profit/ Loss on sale and redemption of Foreign Securities	661.64	3,503.49
	(iii) Exchange gain/ loss from Foreign Exchange Transactions	1,11,143.38	1,68,906.37
	(iv) Miscellaneous Income	-14.55	3,676.25
	Sub total	1,25,477.10	1,92,440.29
	Total	1,27,620.45	1,92,104.36
Schedule 15:	Agency Charges		
	(i) Agency Commission on Government Transactions	3,531.76	4,605.81
	(ii) Underwriting Commission paid to the Primary Dealers	15.78	86.34
	(iii) Sundries (Handling charges and turnover commission paid to banks for Relief/ Savings Bonds subscriptions; SBLA, etc.)	6.47	11.18
	(iv) Fees paid to the External Asset Managers, Custodians, Brokers, etc.	115.55	176.72
	Total	3,669.56	4,880.05

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES FOR THE YEAR ENDED MARCH 31, 2026

(a) General

1.1 The Reserve Bank was established under the Reserve Bank of India Act, 1934 (RBI Act, 1934) “to regulate the issue of Bank notes and the keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage”.

1.2 The RBI Act, 1934 requires that the issue of Bank notes should be conducted by the Reserve Bank in an Issue Department which shall be separated and kept wholly distinct from the Banking Department. The assets of the Issue Department shall not be subject to any liability other than the liabilities of the Issue Department. The assets of the Issue Department shall consist of gold coins, gold bullion, foreign securities, rupee coins and rupee securities to such aggregate amount as is not less than the total of the liabilities of the Issue Department. The RBI Act, 1934 requires that the liabilities of the Issue Department shall be an amount equal to the total of the amount of the currency notes of the Government of India and Bank notes in circulation.

(b) Significant Accounting Policies

2.1 Convention

The Financial Statements are prepared in accordance with the RBI Act, 1934 and notifications issued thereunder, in the form, prescribed by the Reserve Bank of India General Regulations, 1949. These are based on historical cost except where it is modified to reflect revaluation and/or amortisation. The accounting policies followed in preparing financial statements

are consistent with those followed in the previous year unless otherwise stated.

2.2 Revenue Recognition

- a) Income and expenditure are recognised on accrual basis except penal interest charged from banks which is accounted for only when there is certainty of realisation. Dividend income on shares is recognised on accrual basis when the right to receive is established.
- b) Balances unclaimed and outstanding for more than three clear consecutive accounting years in certain transit accounts including Drafts Payable Account, Payment Orders Account, Sundry Deposit Account-Miscellaneous-BD, Remittance Clearance Account, Earnest Money Deposit Account and Security Deposit Account are reviewed and written back to income. Claims, if any, are considered and charged against income in the year of payment.
- c) Income and expenditure in foreign currency are recorded at exchange rates prevailing on the day.
- d) Exchange gains/ losses on sale of foreign currencies and gold are accounted for using the weighted average cost method for arriving at the cost.

2.3 Gold & Foreign Currency Assets and Liabilities

Transactions in gold and foreign currency assets and liabilities are accounted for on settlement date basis.

a) Gold

Gold (including Gold Deposit) is revalued on a daily basis at ninety (90) per cent of the London Bullion Market Association (LBMA)

gold price in US dollar and Rupee-US dollar market exchange rate. Unrealised valuation gains/ losses are accounted for in Currency and Gold Revaluation Account (CGRA).

b) Foreign Currency Assets and Liabilities

All foreign currency assets and liabilities (excluding foreign currency received under swaps that are in the nature of repos and contracts where the rates are fixed contractually) are translated on a daily basis at the prevailing market exchange rates. Unrealised gains/losses arising from such translation of foreign currency assets and liabilities are accounted for in CGRA.

Foreign securities, other than Treasury Bills (T-Bills), Commercial Papers and certain 'Held to Maturity' securities [such as investments in notes issued by the International Monetary Fund and bonds issued by India Infrastructure Finance Company (IIFC), UK which are valued at cost] are marked-to-market on a daily basis. Unrealised gains/losses on revaluation are recorded in 'Investment Revaluation Account-Foreign Securities' (IRA-FS). Credit balance in IRA-FS is carried forward to subsequent accounting year. Debit balance in IRA-FS, if any, on the balance sheet date, is charged to Contingency Fund (CF) and the same is reversed on the first working day of the following accounting year.

Foreign T-Bills and Commercial Papers are carried at cost as adjusted by daily amortisation of discount/premium. Premium/discount on foreign securities is amortised daily. Profit/loss on sale of foreign securities is recognised with respect to the amortised book value.

c) Forward/ Swap Contracts

Forward contracts entered into by the Reserve Bank are revalued on a half-yearly basis. Mark-to-market net gain is credited to 'Foreign Exchange Forward Contracts Valuation Account' (FCVA) with contra debit to 'Revaluation of Forward Contracts Account' (RFCA) and mark-to-market net loss is debited to FCVA with contra credit to 'Provision for Forward Contracts Valuation Account' (PFCVA). On maturity of the contract, actual gain or loss is recognised in the income account and unrealised gains/ losses previously recorded in FCVA, RFCA and PFCVA are reversed. At the time of half-yearly revaluation, balance in FCVA and RFCA or PFCVA as on that day is reversed and fresh revaluation is done for all outstanding forward contracts.

Debit balance in FCVA, if any, on the balance sheet date, is charged to the CF and reversed on the first working day of the following year. The balance in RFCA and PFCVA represents net unrealised gains and losses, respectively, on valuation of forward contracts.

In case of swaps at off-market rates that are in the nature of repo, the difference between future contract rate and the rate at which the contract is entered into is amortised over the period of the contract and recorded in income account with contra entry in 'Swap Amortisation Account' (SAA). Amounts recorded in SAA are reversed on maturity of underlying contracts, the amounts received under these swaps are not subject to periodic revaluation.

FCVA forms part of 'Revaluation Accounts', PFCVA forms part of 'Other Liabilities' and RFCA and SAA form part of 'Other Assets'.

d) Repurchase Transactions

The Reserve Bank participates in foreign Repurchase transactions (Repo and Reverse Repo) as part of Reserve Management operations. Repo transactions are treated as borrowing of foreign currencies and are shown under 'Deposits'. Reverse Repo transactions are treated as lending of foreign currencies and are shown under 'Loans and Advances'.

e) Transactions in Derivatives

Transactions in derivatives like Interest Rate Futures, Currency Futures, Interest Rate Swaps and Overnight Indexed Swaps undertaken as part of Reserve Management operations are marked-to-market periodically and resultant gain/loss is booked in income account.

f) Security Lending Transactions

The Reserve Bank participates in Security Lending transactions as part of Reserve Management operations. The securities lent remain a part of the Reserve Bank's Investments and continue to be amortised, accrue interest and are marked-to-market.

2.4 Transactions in Exchange Traded Currency Derivatives (ETCD)

ETCD transactions undertaken by the Reserve Bank, as part of its intervention operations, are marked-to-market on a daily basis and resultant gain/ loss is booked in income account.

2.5 Domestic Investments

- a) Rupee Securities and Oil Bonds, except T-Bills and those mentioned in (d), are marked-to-market as on the last business day of each week ending Friday and the

last business day of each month. Unrealised gains/losses on revaluation are recorded in 'Investment Revaluation Account-Rupee Securities' (IRA-RS). Credit balance in IRA-RS is carried forward to the subsequent accounting year. Debit balance in IRA-RS, if any, on the balance sheet date, is charged to CF and the same is reversed on the first working day of the following accounting year. On sale/redemption of Rupee Securities/Oil Bonds, valuation gain/loss thereof, lying in IRA-RS, is transferred to income account. Rupee Securities and Oil Bonds are also subjected to daily amortisation.

- b) T-Bills are carried at cost as adjusted by daily amortisation of discount/premium.
- c) Investments in shares of subsidiaries are valued at cost.
- d) Rupee Securities and Oil Bonds earmarked for various staff funds [like Gratuity and Superannuation Fund, Provident Fund, Leave Encashment Fund, Medical Assistance Fund (MAF)], Depositor Education and Awareness (DEA) Fund and Payments Infrastructure Development Fund (PIDF) are treated as 'Held to Maturity' and held at amortised cost.
- e) Transactions in domestic investment are accounted for on settlement date basis.

2.6 Liquidity Adjustment Facility (LAF) Repo/ Reverse Repo, Marginal Standing Facility (MSF) and Standing Deposit Facility (SDF)

LAF Repo and MSF are treated as lending and shown under 'Loans and Advances'. LAF Reverse Repo and SDF are treated as deposits and shown under 'Deposits—Others'.

2.7 Fixed Assets

Fixed Assets are stated at cost less depreciation, except art and paintings and freehold land which are held at cost.

2.7.1 Fixed Assets other than Land and Buildings

- a) Fixed Assets, costing up to ₹1 lakh (except easily portable electronic assets like laptop/ e-book reader) are charged to income in the year of acquisition. Easily portable electronic assets, such as laptops, *etc.* costing more than ₹10,000 are capitalised and depreciation is calculated on monthly *pro-rata* basis at the applicable rate.
- b) Individual items of computer software costing more than ₹1 lakh are capitalised, and depreciation is calculated on monthly *pro-rata* basis at applicable rates.
- c) Depreciation on fixed assets acquired and capitalised during the accounting year would be reckoned on a monthly *pro-rata* basis from the month of capitalisation and effected on a half-yearly basis at prescribed rates depending upon the useful life of assets applied.
- d) Depreciation on fixed assets is provided on 'straight-line' basis depending on the useful life of an asset in the following manner:

Asset Category	Useful life (Rate of Depreciation)
1	2
Electrical installations, UPS, Motor Vehicles, Furniture, Fixtures, CVPS/ SBS Machines, <i>etc.</i>	5 years (20 per cent)
Computers, Servers, Micro-processors, Printers, Software, Laptops, e-book reader/ i-Pad, <i>etc.</i>	3 years (33.33 per cent)

- e) Depreciation is provided on half-year end balances of fixed assets on monthly *pro-rata* basis. In case of additions/deletions of assets, depreciation is calculated on monthly

pro-rata basis including the month of addition/ deletion of such assets.

- f) Depreciation on subsequent expenditure:
 - i) Subsequent expenditure incurred on an existing fixed asset which has not been fully depreciated in the books of accounts, is depreciated over remaining useful life of the principal asset.
 - ii) Subsequent expenditure incurred on modernisation/addition/overhauling of an existing fixed asset, which has already been fully depreciated in the books of accounts, is first capitalised and thereafter, depreciated fully in the year in which the expenditure is incurred.

2.7.2 Land and Buildings: Accounting treatment in respect of land and buildings is as follows:

- a) Land
 - i. Land acquired on leasehold basis for a period of more than 99 years is treated as on perpetual lease basis. Such leases are considered as freehold properties and accordingly, not subjected to amortisation.
 - ii. Land acquired on lease up to 99 years is amortised over the period of lease.
 - iii. Land acquired on a freehold basis is not subject to any amortisation.
- b) Buildings
 - i. The life of all buildings is assumed as 30 years and depreciation is charged on a 'straight-line' basis over a period of 30 years. In respect of buildings constructed on lease hold land (where the lease period is less than 30 years) depreciation is charged on 'straight-line' basis over the lease period of the land.

ii. *Impairment of buildings:* For assessment of impairment, buildings are classified into two categories, as under:

- *Buildings which are in use but have been identified for demolition in future or will be discarded in future:* The value in use of such buildings is the aggregate of depreciation for the future period up to the date it is expected to be discarded/demolished. The difference between the book value and aggregate of depreciation so arrived at, is charged as depreciation.
- *Buildings which have been discarded/vacated:* These buildings are shown at realisable value (net selling price if the asset is likely to be sold in future) or scrap value less demolition cost (if it is to be demolished). If the resultant amount is negative, then the carrying value of such buildings is shown at ₹1. The difference between book value and realisable value (net selling price)/ scrap value less demolition cost is charged as depreciation.

2.8 Employee Benefits

- a) The Reserve Bank contributes monthly at a determined rate to Provident Fund for eligible employees and these contributions are charged to income in year to which it relates.
- b) Other liability on account of long-term employee benefits is provided based on an actuarial valuation under 'Projected Unit Credit' method.

NOTES TO ACCOUNTS

XII.4 LIABILITIES OF THE RESERVE BANK

XII.4.1 Capital

The Reserve Bank was constituted as a private shareholders' bank in 1935 with an initial paid-up capital of ₹5 crore. The Reserve Bank was nationalised with effect from January 1, 1949 and its entire ownership remains vested with the Government of India. The paid-up capital continues to be ₹5 crore.

XII.4.2 Reserve Fund

The original Reserve Fund of ₹5 crore was created in terms of Section 46 of the RBI Act, 1934 as contribution from the Central Government for currency liability of the sovereign government taken over by the Reserve Bank. Thereafter, an amount of ₹6,495 crore was credited to this fund out of gains on periodic revaluation of gold up to October 1990, taking it to ₹6,500 crore. The fund has since been static as unrealised gain/loss on account of valuation of gold and foreign currency is being booked in Currency and Gold Revaluation Account (CGRA) under the head 'Revaluation Accounts'.

XII.4.3 Other Reserves

This includes National Industrial Credit (Long Term Operations) Fund and National Housing Credit (Long Term Operations) Fund.

a) *National Industrial Credit (Long Term Operations) Fund*

This Fund was created in July 1964, in terms of Section 46C of the RBI Act, 1934 with an initial corpus of ₹10 crore. Reserve Bank made annual contributions to the Fund for financial assistance to eligible financial institutions. Since 1992-93, ₹1 crore is being

contributed each year to the Fund. The balance in the Fund is ₹35 crore as on March 31, 2026.

b) National Housing Credit (Long Term Operations) Fund

This Fund was set up in January 1989, in terms of Section 46D of the RBI Act, 1934 for extending financial accommodation to the National Housing Bank (NHB). The initial corpus of ₹50 crore has been enhanced by subsequent annual contributions by the Reserve Bank. Since 1992-93, ₹1 crore is being contributed each year to the Fund. The balance in the Fund is ₹209 crore as on March 31, 2026.

Note: Contribution to other Funds

Two other Funds constituted in terms of Section 46A of the RBI Act, 1934, viz., National Rural Credit (Long Term Operations) Fund and National Rural Credit (Stabilisation) Fund are maintained by the National Bank for Agriculture and Rural Development (NABARD) for which, ₹1 crore each is transferred to NABARD every year.

XII.4.4 Deposits

These represent balances maintained with the Reserve Bank by banks, the Central and State Governments, All India Financial Institutions such as, Export Import Bank (EXIM Bank), NABARD, etc., Foreign Central Banks, International Financial Institutions, balances in Administrators of RBI Employee Provident Fund, DEA Fund, amount outstanding against Reverse Repo, SDF, MAF, PIDF, etc. Total deposits increased by 11.6 per cent from ₹17,17,404.03 crore as on March 31, 2025, to ₹19,16,692.11 crore as on March 31, 2026.

a. Deposits-Government

The Reserve Bank acts as the banker to the Central Government in terms of Sections 20 and 21, and as banker to State Governments by mutual agreement in terms of Section 21A of the RBI Act, 1934. Accordingly, the Central and State Governments maintain deposits with the Reserve Bank. The balances held by the Central and State Governments were ₹5,000.48 crore and ₹43.41 crore, respectively, as on March 31, 2026, as compared to ₹5,000.85 crore and ₹42.48 crore, respectively, as on March 31, 2025.

b. Deposits-Banks

Banks maintain balances with the Reserve Bank as Cash Reserve Ratio (CRR) and for meeting payment and settlement obligations. Deposits-banks declined by 18.3 per cent from ₹9,91,488.49 crore as on March 31, 2025 to ₹8,10,124.48 crore as on March 31, 2026, mainly on account of CRR reduction from 4 per cent to 3 per cent of Net Demand and Time Liabilities during the year.

c. Deposits-Financial Institutions Outside India

The balance under the head increased by 46.3 per cent from ₹1,12,672.02 crore as on March 31, 2025 to ₹1,64,785.85 crore as on March 31, 2026, reflecting the outstanding repo transactions.

d. Deposits-Others

‘Deposits-Others’ consist of balances of Administrators of RBI Employee Provident Fund, DEA Fund, Foreign Central Banks, Indian and International Financial Institutions, MAF, PIDF, amount outstanding under Reverse Repo, SDF, etc. ‘Deposits-Others’ increased by 54 per cent from ₹6,08,200.19 crore as on March 31, 2025 to ₹9,36,737.89

crore as on March 31, 2026, primarily due to increase in deposits under SDF and Reverse Repo by Government of India (GoI).

XII.4.5 Risk Provisions

The Reserve Bank makes risk provisioning in terms of Section 47 of the RBI Act, 1934. Risk provisions maintained by the Reserve Bank comprise Contingency Fund (CF) and Asset Development Fund (ADF). These risk provisions, along with Capital and Reserve Fund, are components of the Reserve Bank's Available Realised Equity (ARE) under the Economic Capital Framework¹ (ECF) adopted by the Reserve Bank. Details of Capital and Reserve Fund have been given in earlier paragraphs. Details of the two risk provisions are as under:

a. Contingency Fund (CF)

This is a specific provision meant for meeting unexpected and unforeseen contingencies, including depreciation in value of securities, risks arising out of monetary/ exchange rate policy operations, systemic risks and any risk arising on account of special responsibilities enjoined upon the Reserve Bank. As on March 31, 2026, amounts of ₹90,833.07 crore, ₹30,603.99 crore and ₹43,403.23 crore were charged to CF on account of debit balances in Investment Revaluation Account (IRA) - Foreign Securities, Investment Revaluation Account (IRA) - Rupee Securities and Foreign Exchange Forward Contracts Valuation Account (FCVA), respectively. The charge to CF is reversed on first working day of the following accounting year. Further, an amount of ₹1,09,379.64 crore was

also provided towards CF to maintain the Available Realised Equity at the level of 6.5 per cent of the size of the balance sheet. Accordingly, balance in CF as on March 31, 2026 was ₹5,68,333.19 crore as compared to ₹5,42,426.96 crore as on March 31, 2025.

b. Asset Development Fund (ADF)

Asset Development Fund was created in 1997-98 and the balance therein represents provision specifically made till date towards investments in subsidiaries and associate institutions and to meet internal capital expenditure. No provision was made towards ADF in the year 2025-26. As on March 31, 2026, the balance in ADF at ₹22,974.68 crore remained the same as on March 31, 2025 (Table XII.2).

XII.4.6 Revaluation Accounts

The unrealised marked-to-market gains/ losses are recorded in revaluation heads, viz., Currency and Gold Revaluation Account (CGRA), Investment Revaluation Accounts (IRA) and Foreign Exchange Forward Contracts Valuation Account (FCVA). Details of the same are given here:

a. Currency and Gold Revaluation Account (CGRA)

The major market risks faced by the Reserve Bank are currency risk, interest rate risk and movement in gold prices. Unrealised gains/ losses on valuation of Foreign Currency Assets (FCA) and Gold are not taken to income account and instead accounted for in CGRA. Net balance in CGRA, therefore,

¹ Based on the Report of the Expert Committee to Review the Extant Economic Capital Framework of the Reserve Bank of India, the ECF was adopted by the Central Board of the Reserve Bank in August 2019. Subsequently, the Bank undertook an internal review of the framework, and the revised framework was approved by the Central Board in May 2025.

**Table XII.2: Balances in Capital, Reserve Fund and Risk Provisions
[Available Realised Equity (ARE)]**

(₹ crore)

As on	Capital	Reserve Fund	Balance in CF	Balance in ADF	ARE	ARE as a per cent of balance sheet
1	2	3	4	5	6 = (2+3+4+5)	7
March 31, 2022	5.00	6,500.00	3,10,986.94 [@]	22,974.68 ^{\$}	3,40,466.62	5.5
March 31, 2023	5.00	6,500.00	3,51,205.69 ^{\$\$}	22,974.68	3,80,685.37	6.0
March 31, 2024	5.00	6,500.00	4,28,621.03 [*]	22,974.68	4,58,100.71	6.5
March 31, 2025	5.00	6,500.00	5,42,426.96 [^]	22,974.68	5,71,906.64	7.5
March 31, 2026	5.00	6,500.00	5,68,333.19 ^{^^}	22,974.68	5,97,812.87	6.5

[@] : Increase in CF is the net impact of provision of ₹1,14,567.01 crore and charging of the debit balance in IRA-FS amounting to ₹94,249.54 crore.
^{\$} : Increase in ADF is due to provision of ₹100 crore on account of investment in RBIH.
^{\$\$} : Increase in CF is the net impact of provision of ₹1,30,875.75 crore and charging of debit balances of ₹1,65,488.93 crore and ₹19,417.61 crore, in IRA-FS and IRA-RS, respectively.
^{*} : Increase in CF is the net impact of provision of ₹42,819.91 crore and charging of debit balances of ₹1,43,220.82 crore and ₹7,090.29 crore, in IRA-FS and IRA-RS, respectively.
[^] : Increase in CF is the net impact of provision of ₹44,861.70 crore and charging of debit balance of ₹81,366.87 crore in IRA-FS.
^{^^} : Increase in CF is the net impact of provision of ₹1,09,379.64 crore and charging of debit balance of ₹90,833.07 crore, ₹43,403.23 crore and ₹30,603.99 crore in IRA-FS, FCVA and IRA-RS, respectively.

varies with the size of the asset base, its valuation and movement in the exchange rate and price of gold. CGRA provides a buffer against exchange rate/ gold price fluctuations. It can come under pressure if there is an appreciation of rupee *vis-à-vis* major currencies or a fall in price of gold. When CGRA is not sufficient to fully meet exchange losses or gold price losses, it is replenished from CF. The balance in CGRA increased from ₹13,02,964.89 crore as on March 31, 2025 to ₹21,68,530.23 crore as on March 31, 2026 mainly due to depreciation of rupee against major currencies and increase in price of gold.

b. Investment Revaluation Account-Foreign securities (IRA-FS)

Foreign dated securities are marked-to-market on a daily basis and unrealised gains/losses therefrom are accounted for in IRA-FS. The balance in IRA-FS decreased from ₹(-)81,366.87 crore as on March 31, 2025 to

₹(-)90,833.07 crore as on March 31, 2026 due to hardening of yields across the yield curve in major jurisdictions. As per the extant policy, debit balance of ₹90,833.07 crore in IRA-FS was adjusted against the CF on March 31, 2026 which was reversed on the first working day of the following accounting year. Accordingly, balance in IRA-FS as on March 31, 2026 was Nil.

c. Investment Revaluation Account-Rupee Securities (IRA-RS)

Rupee Securities and Oil Bonds (with exception as mentioned under Significant Accounting Policies) are marked-to-market as on the last business day of each week ending Friday and the last business day of each month and the unrealised gains/losses arising therefrom are accounted for in IRA-RS. The balance in IRA-RS decreased from ₹16,843.35 crore as on March 31, 2025, to ₹(-) 30,603.99 crore as on March 31, 2026 due to hardening of yields across the curve.

As per the extant policy, debit balance of ₹30,603.99 crore in IRA-RS was adjusted against the CF on March 31, 2026 which was reversed on the first working day of the following accounting year. Accordingly, balance in IRA-RS as on March 31, 2026 was Nil.

d. Foreign Exchange Forward Contracts Valuation Account (FCVA)

Marking to Market of outstanding forward contracts as on March 31, 2026 resulted in net unrealised loss of ₹43,403.23 crore, which was debited to FCVA with contra credit to Provision for Forward Contracts Valuation Account (PFCVA) as compared to net unrealised gain of ₹6,985.19 crore as on March 31, 2025. As per the extant policy, the debit balance of ₹43,403.23 crore in FCVA was adjusted against the CF on March 31, 2026 which was reversed on the first working day of the following year. Accordingly, balance in FCVA as on March 31, 2026 was Nil.

XII.4.7 Other Liabilities

‘Other Liabilities’ increased by 21.1 per cent from ₹3,21,248.79 crore as on March 31, 2025 to ₹3,89,074.99 crore as on March 31, 2026, primarily due to increase in Provision for Forward

Contracts Valuation Account and surplus payable to the Central Government.

i. Provision for Forward Contracts Valuation Account (PFCVA)

Marked-to-market net loss on outstanding forward contracts was credited to PFCVA as explained above. The balance in PFCVA as on March 31, 2026 was ₹43,403.23 crore, as against ‘Nil’ balance as on March 31, 2025.

Balances in Revaluation Accounts and PFCVA for the last five years are given in Table XII.3.

ii. Provision for Payables

This represents year-end provisions made for expenditure incurred but not defrayed and income received in advance/payable, if any. The balance under this head increased by 87.9 per cent from ₹4,088.31 crore as on March 31, 2025 to ₹7,682.46 crore as on March 31, 2026.

iii. Surplus Payable to the Central Government

Under Section 47 of the RBI Act, 1934, after making provisions for bad and doubtful debts, depreciation in assets, contribution to staff and superannuation funds and for all matters for which provisions are to be made by or

Table XII.3: Balances in Currency and Gold Revaluation Account (CGRA), Investment Revaluation Account-Foreign Securities (IRA-FS), Investment Revaluation Account-Rupee Securities (IRA-RS), Foreign Exchange Forward Contracts Valuation Account (FCVA) and Provision for Forward Contracts Valuation Account (PFCVA)

(₹ crore)

As on	CGRA	IRA-FS	IRA-RS	FCVA	PFCVA
1	2	3	4	5	6
March 31, 2022	9,13,389.29	0.00	18,577.81	2,576.90	0.00
March 31, 2023	11,24,733.16	0.00	0.00	1,354.96	0.00
March 31, 2024	11,30,793.34	0.00	0.00	170.37	0.00
March 31, 2025	13,02,964.89	0.00	16,843.35	6,985.19	0.00
March 31, 2026	21,68,530.23	0.00	0.00	0.00	43,403.23

under the Act or that are usually provided by bankers, the balance of the profits of the Reserve Bank is required to be paid to the Central Government. Under Section 48 of the RBI Act, 1934, the Reserve Bank is not liable to pay income tax or super tax on any of its income, profits or gains. Accordingly, after adjusting the expenditure including provision for CF and contribution of ₹4 crore to four statutory funds, the surplus payable to the Central Government for the year 2025-26 amounted to ₹2,86,588.46 crore (including ₹114.31 crore as against ₹228.62 crore in the previous year payable towards the difference in interest expenditure borne by the Government, consequent on conversion of special securities into marketable securities).

iv. *Bills Payable*

The Reserve Bank provides remittance facilities for its constituents through issue of Demand Drafts (DDs) and Payment Orders (POs), besides electronic payment mechanism. The balance under this head represents unclaimed DDs/POs. The amount outstanding under this head increased from ₹0.09 crore as on March 31, 2025 to ₹6.80 crore as on March 31, 2026.

v. *Miscellaneous*

This is a residual head representing items such as interest earned on earmarked securities, amounts payable on account of leave encashment, medical provisions for employees, global provision, etc. The balance under this head decreased from ₹12,099.75 crore as on March 31, 2025 to ₹11,988.74 crore as on March 31, 2026.

XII.4.8 Liabilities of Issue Department-Notes Issued

Liabilities of Issue Department reflect quantum of currency notes in circulation. Section 34(1) of the RBI Act, 1934 requires that all bank notes issued by the Reserve Bank since April 1, 1935, and currency notes issued by the Government of India before the commencement of operations of the Reserve Bank, be part of the liabilities of the Issue Department.

'Notes Issued'² increased by 11.8 per cent from ₹36,87,827.04 crore as on March 31, 2025, to ₹41,24,766.88 crore as on March 31, 2026. The value of bank notes in circulation in digital form CBDC-R, i.e., e₹-Retail (e₹-R) stood at ₹771.66 crore as on March 31, 2026, as compared to ₹1,016.46 crore as on March 31, 2025.

The value of bank notes in circulation in digital form CBDC-W, i.e., e₹-wholesale (e₹-W) stood at Nil as on March 31, 2026 and as on March 31, 2025. e₹-W is being used for settling large value transactions among financial institutions. Owing to the auto-redemption feature exercised by the participating banks and non-banks, balances in e₹-W are redeemed back to the underlying current account at the end of the day and, therefore, the balances need not be construed to reflect the transaction volumes and values.

Earlier, an amount of ₹10,719.37 crore, representing the value of Specified Bank Notes (SBNs) not paid was transferred to 'Other Liabilities' as on June 30, 2018. The Reserve Bank has made payments to the extent of ₹5.42 crore towards exchange value of SBNs to eligible tenderers during the year ended March 31, 2026, and the cumulative payment made against the head stands at ₹51.84 crore.

² Include bank notes in physical and digital form.

XII.5 ASSETS OF THE RESERVE BANK

XII.5.1 ASSETS OF BANKING DEPARTMENT

i) Notes, Rupee Coin, Small Coin

This head represents the bank notes, one-rupee notes, rupee coins of ₹1, 2, 5, 10 and 20 and small coins kept for meeting day-to-day requirements of banking functions conducted by the Reserve Bank. The balance as on March 31, 2026 was ₹11.72 crore as against ₹11.26 crore as on March 31, 2025.

ii) Gold-Banking Department (BD)

As on March 31, 2026, total gold held by the Reserve Bank was 880.52 metric tonnes as compared to 879.58 metric tonnes as on March 31, 2025, reflecting an increase of 0.94 metric tonnes of gold in the year.

Of the 880.52 metric tonnes, 312.32 metric tonnes of gold is held as an asset of the Issue Department as compared to 311.38 metric tonnes as on March 31, 2025. The remaining 568.20 metric tonnes, same as on March 31, 2025 (Table XII.4) is treated as an asset of the Banking Department.

Table XII.4: Physical holding of Gold

	As on March 31, 2025	As on March 31, 2026
	Volume in metric tonnes	Volume in metric tonnes
1	2	3
Gold held as backing for Notes Issued (held in India)	311.38	312.32
Gold (including Gold Deposit) held as asset of Banking Department (held in India and abroad)	568.20 [#]	568.20 [*]
Total	879.58	880.52
[#] : 200.60 metric tonnes held in India and 367.60 metric tonnes held abroad.		
[*] : 367.73 metric tonnes held in India and 200.47 metric tonnes held abroad.		

The value of gold (including Gold Deposits) held as an asset of Banking Department increased by 63.6 per cent from ₹4,31,624.80 crore as on March 31, 2025 to ₹7,06,162.36 crore as on March 31, 2026. This increase is due to increase in price of gold and depreciation of INR *vis-à-vis* USD.

iii) Bills Purchased and Discounted

The Reserve Bank can undertake purchase and discounting of commercial bills under the RBI Act, 1934. No such activity was undertaken in the year 2025-26. Consequently, there was no such asset in the books of the Reserve Bank as on March 31, 2026.

iv) Investments-Foreign-Banking Department (BD)

Foreign Currency Assets (FCA) of the Reserve Bank include: (i) deposits with other central banks; (ii) deposits with the Bank for International Settlements (BIS); (iii) deposits with commercial banks overseas; (iv) investments in foreign T-Bills and securities; and (v) Special Drawing Rights (SDR) acquired from the Government of India (GoI).

FCA is reflected under two heads in the balance sheet: (a) 'Investments-Foreign-BD' shown as an asset of Banking Department, and (b) 'Investments-Foreign-ID' shown as an asset of Issue Department.

'Investments-Foreign-ID' are FCA, eligible as per Section 33(6) of the RBI Act, 1934, used for backing of Notes Issued. The remaining of FCA constitutes 'Investments-Foreign-BD'.

The position of FCA for the last two years has been given in Table XII.5.

Table XII.5: Details of Foreign Currency Assets (FCA)

(₹ crore)

Particulars	As on March 31	
	2025	2026
1	2	3
I Investments-Foreign-BD*	14,32,572.10	15,32,082.73
II Investments-Foreign-ID	34,50,960.74	37,36,151.53
Total	48,83,532.84	52,68,234.26

*: Includes shares in BIS and Society for Worldwide Interbank Financial Telecommunications (SWIFT) and SDR transferred from GoI valued at ₹15,619.92 crore as on March 31, 2026 compared to ₹13,361.50 crore as on March 31, 2025.

Notes: 1. The Reserve Bank has agreed to make resources available under the IMF's New Arrangements to Borrow (NAB). Effective January 1, 2021, India's commitment under NAB stands at SDR 8.88 billion (₹1,14,364.00 crore/ US\$ 12.06 billion). As on March 31, 2026, no investments are outstanding under NAB.

2. The Reserve Bank has agreed to invest up to an amount, the aggregate of which shall not exceed US\$ 5 billion (₹47,415.65 crore), in the bonds issued by India Infrastructure Finance Company (UK) Limited. As on March 31, 2026, the Reserve Bank has invested US\$ 0.40 billion (₹3,793.25 crore) in such bonds.

3. During the year 2013-14, the Reserve Bank and GoI entered into a MoU for transfer of SDR holdings from GoI to RBI in a phased manner. As on March 31, 2026, SDR 1.18 billion (₹15,236.92 crore/ US\$ 1.61 billion) were held by the Reserve Bank.

4. With a view to strengthening regional financial and economic cooperation, the Reserve Bank has agreed to offer an amount of US\$ 2 billion both in foreign currency and Indian Rupee under SAARC Swap Arrangement to SAARC member countries. As on March 31, 2026, amount lent under SAARC and ACU currency swap arrangements stood at US\$ 1.25 billion (₹11,837.16 crore).

5. The nominal value of foreign securities posted as collateral and margin in repurchase and IRF transactions was ₹1,85,563.08 crore/ US\$ 19.57 billion and the nominal value of those received under reverse repurchase transactions was ₹1,83,158.73 crore/ US\$ 19.31 billion as on March 31, 2026.

6. The nominal value of foreign securities lent under Security Lending arrangement was ₹1,13,685.01 crore/ US\$ 11.99 billion as on March 31, 2026.

7. The Notional amount of IRF contracts and currency futures contracts was US\$ 3.62 billion and US\$ 1.40 billion, respectively. The notional amount of futures contracts is used to compute daily margin payable/receivable and does not necessarily require settlement.

8. The notional amount payable/receivable as part of cross-currency forwards/swaps (other than USD-INR deals) was US\$ 4.14 billion.

v) Investments-Domestic-Banking Department (BD)

Investments comprise dated Government Rupee Securities, State Government Securities and Oil Bonds. The Reserve Bank's domestic securities holdings rose by 44.9 per cent, increasing from ₹15,58,573.83 crore on March 31, 2025 to ₹22,58,591.14 crore as of March 31, 2026. The increase was mainly on account of net purchase of government securities in the portfolio.

A part of Investments-Domestic-BD is also earmarked for various staff funds, DEA Fund and PIDF as explained in para 2.5(d). As on March 31, 2026, ₹1,61,895.59 crore (face value) was earmarked for the said funds.

vi) Loans and Advances

a) Central and State Governments

Reserve Bank extends short-term financial accommodation in the form of Ways and Means Advances (WMA) and Overdraft (OD) to the Central Government and in the form of WMA, OD and Special Drawing Facility (SDF) to States/Union Territories in terms of Section 17(5) of the RBI Act, 1934. The WMA limit, for the Central Government, is fixed in consultation with GoI. The WMA limit for States/Union Territories are fixed based on the recommendations of an Advisory Committee constituted

by the Reserve Bank. The Central Government did not avail WMA as on March 31, 2026 and March 31, 2025, respectively. The loans and advances to State Governments decreased from ₹32,688.09 crore as on March 31, 2025 to ₹32,506.59 crore as on March 31, 2026.

b) Loans and advances to Commercial Banks, Co-operative Banks, NABARD, and others

- *Loans and advances to Commercial and Co-operative Banks:*

These include amounts outstanding as Repo under Liquidity Adjustment Facility (LAF), Marginal Standing Facility (MSF) and special liquidity facility to banks. The amount outstanding increased by 0.9 per cent from ₹2,53,663.00 crore as on March 31, 2025 to ₹2,56,062.00 crore as on March 31, 2026 due to increase in funds availed by banks under Repo operations.

- *Loans and advances to NABARD:*

The Reserve Bank can extend loans to NABARD under Section 17(4E) of the RBI Act, 1934. No loans and advances were outstanding as on March 31, 2026, same as on March 31, 2025 and accordingly, balance in this account was Nil.

- *Loans and advances to others:*

The balance under this head represents loans and advances

to National Housing Bank (NHB), Small Industries Development Bank of India (SIDBI) and liquidity support provided to Primary Dealers (PDs). The balance under this head decreased by 28.1 per cent from ₹36,426.09 crore as on March 31, 2025 to ₹26,190.46 crore as on March 31, 2026.

c) Loans and advances to Financial Institutions Outside India

Balances under the head increased by 45.1 per cent from ₹1,11,933.06 crore as on March 31, 2025 to ₹1,62,459.64 crore as on March 31, 2026, reflecting the outstanding reverse repo transactions.

vii) Investment in Subsidiaries/Associates

The position of investment in subsidiaries/associate institutions as on March 31, 2026 is given in Table XII.6. Total holding as on March 31, 2026 was ₹2,063.60 crore, same as on March 31, 2025.

viii) Other Assets

‘Other Assets’ comprise fixed assets (net of depreciation), accrued income, Swap Amortisation Account (SAA), Revaluation of Forward Contracts Account (RFCA) and miscellaneous assets. Miscellaneous assets mainly comprise of loans and advances to staff, amount spent on projects pending completion, security deposit paid, etc. The amount outstanding under ‘Other Assets’ increased by 23.3 per cent from ₹78,039.06 crore as on March 31, 2025 to ₹96,223.96 crore as on March 31, 2026.

Table XII.6: Holdings in Subsidiaries/ Associates

(₹ crore)

	2024-25	2025-26	Per cent holding as on March 31, 2026
1	2	3	4
a) Deposit Insurance and Credit Guarantee Corporation (DICGC)	50.00	50.00	100
b) Bharatiya Reserve Bank Note Mudran (P) Ltd. (BRBNMPL)	1,800.00	1,800.00	100
c) Reserve Bank Information Technology (P) Ltd. (ReBIT)	50.00	50.00	100
d) National Centre for Financial Education (NCFE)	30.00	30.00	30
e) Indian Financial Technology & Allied Services (IFTAS)	33.60	33.60	100
f) Reserve Bank Innovation Hub (RBIH)	100.00	100.00	100
Total	2,063.60	2,063.60	

a. Swap Amortisation Account (SAA)

As on March 31, 2026, as well as on March 31, 2025, the balance in SAA was Nil as there were no outstanding contracts of swaps which were in nature of repo at off-market rate.

b. Revaluation of Forward Contracts Account (RFCA)

RFCA had 'Nil' balance as on March 31, 2026 as against ₹6,985.19 crore on March 31, 2025.

XII.5.2 Assets of Issue Department

The eligible assets of the Issue Department held as backing for Notes Issued consist of gold coins, gold bullion, foreign securities, rupee coins, rupee securities and domestic bills of exchange and other commercial papers. The Reserve Bank holds 880.52 metric tonnes of gold as on March 31, 2026 (Table XII.4), of which 312.32 metric tonnes are held as backing for Notes Issued. The value of gold held as an asset of Issue Department increased by 64.1 per cent from ₹2,36,537.54 crore as on March 31, 2025 to ₹3,88,147.13 crore as on March 31, 2026. This increase in the value of gold during the year is on account of, increase

in price of gold and depreciation of INR *vis-à-vis* USD.

Investments-Foreign-ID increased by 8.3 per cent from ₹34,50,960.74 crore as on March 31, 2025 to ₹37,36,151.53 crore as on March 31, 2026, consequent upon increase in notes issued.

The balance of Rupee Coins held by the Issue Department increased by 42.4 per cent from ₹328.76 crore as on March 31, 2025 to ₹468.22 crore as on March 31, 2026.

FOREIGN EXCHANGE RESERVES

XII.6 Foreign Exchange Reserves (FER) comprise Foreign Currency Assets (FCA), Gold (including Gold Deposit), Special Drawing Rights (SDR) holdings and Reserve Tranche Position (RTP). SDR holdings acquired from Gol form part of the Reserve Bank's balance sheet and are included under 'Investments-Foreign-BD'. SDR holdings remaining with Gol and RTP, which represents India's quota contribution to IMF in foreign currency, is not a part of the Reserve Bank's balance sheet. The position of FER as on March 31, 2025 and March 31, 2026 in Indian Rupees and US dollar, which is the numéraire currency for the Reserve Bank's FER, has been given in Tables XII.7 (a) and (b).

Table XII.7(a): Foreign Exchange Reserves (Rupee)

(₹ crore)

Components	As on		Variation	
	March 31, 2025	March 31, 2026	Absolute	Per Cent
1	2	3	4	5
Foreign Currency Assets (FCA)	48,50,833.99 [^]	52,37,366.94 [#]	3,86,532.95	8.0
Gold (including Gold Deposit)	6,68,162.34 [@]	10,94,309.49 [*]	4,26,147.15	63.8
Special Drawing Rights (SDR)	1,55,289.18	1,76,589.25	21,300.07	13.7
Reserve Tranche Position (RTP) in IMF	37,855.07	45,595.61	7,740.54	20.4
Foreign Exchange Reserves (FER)	57,12,140.58	65,53,861.29	8,41,720.71	14.7

[^]: Excludes (a) SDR Holdings of the Reserve Bank amounting to ₹13,024.49 crore, which is included under the SDR holdings; (b) Investment of ₹3,418.74 crore in bonds issued by IIFC (UK); and (c) ₹16,255.62 crore lent under SAARC and ACU currency arrangements.

[#]: Excludes (a) SDR Holdings of the Reserve Bank amounting to ₹15,236.92 crore, which is included under the SDR holdings; (b) Investment of ₹3,793.25 crore in bonds issued by IIFC (UK); (c) ₹11,837.16 crore lent under SAARC and ACU currency arrangements, and (d) RBI's contribution of ₹53.32 crore to funding of Nexus Global Payments.

[@]: Of this, Gold valued at ₹2,36,537.54 crore is held as an asset of Issue Department and Gold (including Gold Deposit) valued at ₹4,31,624.80 crore is held as an asset of Banking Department.

^{*}: Of this, Gold valued at ₹3,88,147.13 crore is held as an asset of Issue Department and Gold (including Gold Deposit) valued at ₹7,06,162.36 crore is held as an asset of Banking Department.

ANALYSIS OF INCOME AND EXPENDITURE**INCOME**

XII.7 The components of Reserve Bank's income are 'Interest' and 'Other Income' including: (i) Discount, (ii) Exchange, (iii) Commission, (iv) Amortisation of premium/ discount on Foreign and Rupee Securities, (v) Profit/ Loss on sale and redemption of Foreign and Rupee Securities,

(vi) Depreciation on Rupee Securities inter-portfolio transfer, (vii) Rent Realised, (viii) Profit/ Loss on sale of Bank's property, (ix) Provision no longer required, and (x) Miscellaneous Income. Certain items of income such as interest on LAF Repo, Repo in foreign security and exchange gain/ loss from foreign exchange transactions are reported on net basis.

Table XII.7(b): Foreign Exchange Reserves (USD)

(US\$ billion)

Components	As on		Variation	
	March 31, 2025	March 31, 2026	Absolute	Per cent
1	2	3	4	5
Foreign Currency Assets (FCA)	567.56 [*]	552.28 ^{**}	-15.28	-2.7
Gold (including Gold Deposit)	78.18	115.40	37.22	47.6
Special Drawing Rights (SDR)	18.17	18.62	0.45	2.5
Reserve Tranche Position (RTP) in IMF	4.42	4.81	0.39	8.8
Foreign Exchange Reserves (FER)	668.33	691.11	22.78	3.4

^{*}: Excludes (a) SDR Holdings of the Reserve Bank amounting to US\$ 1.52 billion, which is included under SDR holdings; (b) US\$ 0.40 billion invested in bonds of IIFC (UK); and (c) US\$ 1.90 billion lent under the SAARC and ACU currency swap arrangements.

^{**}: Excludes (a) SDR Holdings of the Reserve Bank amounting to US\$ 1.61 billion, which is included under SDR holdings; (b) US\$ 0.40 billion invested in bonds of IIFC (UK); (c) US\$ 1.25 billion lent under the SAARC and ACU currency swap arrangements; and (d) RBI's contribution of US\$ 0.005 billion to funding of Nexus Global Payments.

Earnings from Foreign Sources

XII.8 The income from foreign sources increased by 26.6 per cent, from ₹2,58,837.55 crore in the year 2024-25 to ₹3,27,655.54 crore in the year 2025-26. The rate of earnings on foreign currency assets was 6.4 per cent in the year 2025-26 as compared to 5.3 per cent in the year 2024-25 (Table XII.8).

Earnings from Domestic Sources

XII.9 Net income from domestic sources increased by 25.9 per cent from ₹79,470.54 crore in the year 2024-25 to ₹1,00,028.61 crore in the year 2025-26 mainly on account of increase in interest on holding of Rupee Securities (Table XII.9).

XII.10 Interest income on holding of Rupee Securities (including Oil Bonds) increased from ₹85,524.67 crore in the year 2024-25 to ₹1,17,739.57 crore in the year 2025-26.

XII.11 Net Interest Income from Liquidity Adjustment Facility (LAF)/ Marginal Standing Facility (MSF)/ Standing Deposit Facility (SDF) operations decreased from ₹(-)10,120.25 crore in the year 2024-25 to ₹(-)19,162.97 crore in the year 2025-26.

XII.12 Profit on sale and redemption of Rupee Securities decreased from ₹1,105.16 crore in

the year 2024-25 to ₹886.45 crore in the year 2025-26.

XII.13 Amortisation of Premium/Discount on Rupee Securities (including Oil Bonds) resulted in net income of ₹(-)5,024.58 crore in the year 2025-26 which is lower than ₹(-)2,681.71 crore in the year 2024-25.

XII.14 There was no income from holding of discounted instruments (T-Bills) in the year 2025-26, same as the year 2024-25.

XII.15 Interest on loans and advances

a. Central and State Governments:

Interest income on loans and advances extended to Central and State Governments, taken together, decreased by 8.4 per cent from ₹1,259.20 crore in the year 2024-25 to ₹1,153.80 crore in the year 2025-26. The interest income from the Central Government decreased by 98.6 per cent from ₹20.16 crore in the year 2024-25 to ₹0.28 crore in the year 2025-26. Interest income from State Governments decreased by 6.9 per cent from ₹1,239.04 crore in the year 2024-25 to ₹1,153.52 crore in the year 2025-26. The decline in overall interest income is attributed to decrease in Repo Rate, and less availment of financial accommodation by the Central and State Governments through WMA/ OD.

Table XII.8: Earnings from Foreign Sources

(₹ crore)

Item	2024-25	2025-26	Variation	
			Absolute	Per cent
1	2	3	4	5
Foreign Currency Assets (FCA)	48,83,532.84	52,68,234.26	3,84,701.42	7.9
Average FCA	48,73,053.30	50,99,520.01	2,26,466.71	4.6
Earnings from FCA (interest, discount, exchange gain/loss, capital gain/ loss on securities, etc.)	2,58,837.55	3,27,655.54	68,817.99	26.6
Earnings from FCA as per cent of average FCA	5.3	6.4	1.1	20.8

Table XII.9: Earnings from Domestic Sources

(₹ crore)

Item	2024-25	2025-26	Variation	
			Absolute	Per cent
1	2	3	4	5
Earnings (I+II+III+IV)	79,470.54	1,00,028.61	20,558.07	25.9
I. Earnings from Rupee Securities and discounted instruments				
i) Interest on holding of Rupee Securities (including Oil Bonds)	85,524.67	1,17,739.57	32,214.90	37.7
ii) Profit/Loss on sale and redemption of Rupee Securities	1,105.16	886.45	-218.71	-19.8
iii) Depreciation on Rupee securities inter-portfolio transfer	-69.50	-45.49	24.01	34.5
iv) Amortisation of premium/discount on Rupee securities (including Oil Bonds)	-2,681.71	-5,024.58	-2,342.87	-87.4
v) Discount	0.00	0.00	0.00	0.0
Sub total (i+ii+iii+iv+v)	83,878.62	1,13,555.95	29,677.33	35.4
II. Interest on LAF/MSF/SDF				
i) Net Interest on LAF Operations	-4,739.82	-8,681.73	-3,941.91	-83.2
ii) Interest on SDF	-5,844.65	-10,599.55	-4,754.90	-81.4
iii) Interest on MSF operations	464.22	118.31	-345.91	-74.5
Sub total (i+ii+iii)	-10,120.25	-19,162.97	-9,042.72	-89.4
III. Interest on other loans and advances				
i) Government (Central & States)	1,259.20	1,153.80	-105.40	-8.4
ii) Banks & Financial Institutions	564.32	516.47	-47.85	-8.5
iii) Employees	99.25	117.67	18.42	18.6
Sub total (i+ii+iii)	1,922.77	1,787.94	-134.83	-7.0
IV. Other Earnings				
i) Exchange	0.00	0.00	0.00	0.0
ii) Commission	4,131.64	4,523.37	391.73	9.5
iii) Rent Realised, Profit or Loss on sale of Bank's Property, Provision no longer required and Miscellaneous Income	-342.24	-675.68	-333.44	-97.4
Sub total (i+ii+iii)	3,789.40	3,847.69	58.29	1.5

b. Banks & Financial Institutions:

Interest income from loans and advances to banks and financial institutions decreased by 8.5 per cent from ₹564.32 crore in the year 2024-25 to ₹516.47 crore in the year 2025-26.

c. Employees:

Interest income from loans and advances to employees increased by 18.6 per cent from ₹99.25 crore in the year 2024-25 to ₹117.67 crore in the year 2025-26.

XII.16 Commission: This income increased by 9.5 per cent from ₹4,131.64 crore in the year 2024-25 to ₹4,523.37 crore in the year 2025-26, on account of increase in management commission received for servicing of outstanding Central Government and State Government loans, and increase in floatation charges of issuances.

XII.17 Rent Realised, Profit/ Loss on sale of Bank's property, Provision no longer required and Miscellaneous Income: Earnings from these income heads decreased from ₹(-)342.24 crore in the year 2024-25 to ₹(-) 675.68 crore in the year 2025-26.

EXPENDITURE

XII.18 The Reserve Bank incurs expenditure in the course of performing its statutory functions by way of agency charges/ commission, printing of notes, expenditure on remittance of currency, besides employee related and other expenses. Total expenditure of the Reserve Bank increased by 102.4 per cent from ₹69,714.02 crore in the year 2024-25 to ₹1,41,091.69 crore in the year 2025-26 (Table XII.10).

i) Interest

During the year 2025-26, an amount of ₹2.71 crore was paid as interest to Dr. B.R. Ambedkar Birth Centenary Year Fund and RBI Employees' Benevolent Fund, which was ₹27 lakh higher than interest payment of ₹2.44 crore for the year 2024-25. This increase in interest payment was due to increase in Fund balances.

ii) Employee Cost

The total employee cost increased by 10.8 per cent from ₹9,146.71 crore in the year 2024-25 to ₹10,136.31 crore in the year 2025-26 mainly on account of higher contribution to various Staff Superannuation Funds in the current year, due to pension revision.

iii) Agency Charges/ Commission**a. Agency Commission on Government Transactions**

The Reserve Bank discharges the function of banker to governments through agency banks. The Reserve Bank pays commission to agency banks at prescribed rates for undertaking government's receipts and payments. Net agency commission payment increased by 30.4 per cent from ₹3,531.76 crore in the year 2024-25 to ₹4,605.81 crore in the year 2025-26, due to increase in agency commission rates, w.e.f. April 1, 2025.

b. Underwriting Commission paid to Primary Dealers

The expenditure on account of underwriting commission paid to Primary Dealers (PDs) increased from ₹15.78 crore in the year 2024-25 to ₹86.34 crore in the year 2025-26. The increase in underwriting commission during the current year may be attributed to the prevailing market conditions amidst intensification of geopolitical risks.

Table XII.10: Expenditure

(₹ crore)

Item	2021-22	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6
i. Interest	1.77	1.92	2.19	2.44	2.71
ii. Employee Cost	3,869.43	6,003.93	7,890.11	9,146.71	10,136.31
iii. Agency Charges/Commission	4,400.62	4,068.62	3,976.31	3,669.56	4,880.05
iv. Printing of Notes	4,984.80	4,682.80	5,101.40	6,372.82	4,875.20
v. Provisions	1,14,667.01	1,30,875.75	42,819.91	44,861.70	1,09,379.64
vi. Others	1,877.05	2,404.02	4,904.41	5,660.79	11,817.78
Total (i+ii+iii+iv+v+vi)	1,29,800.68	1,48,037.04	64,694.33	69,714.02	1,41,091.69

c. Sundries

This includes expenses incurred on handling charges, turnover commission paid to banks for Relief/ Savings Bonds subscriptions/ repayments and commission paid on Securities Borrowing and Lending Arrangement (SBLA), *etc.* The commission paid under this head increased from ₹6.47 crore in the year 2024-25 to ₹11.18 crore in the year 2025-26.

d. Fees paid to the External Asset Managers, Custodians, Brokers, etc.

Expenditure under the head increased from ₹115.55 crore in the year 2024-25 to ₹176.72 crore in the year 2025-26.

iv) Printing of Notes

The expenditure incurred on note printing during the year 2025-26 was ₹4,875.20 crore as against ₹6,372.82 crore during the previous year due to reduced indent of bank notes for the year 2025-26.

v) Provisions

The ECF requires Contingent Risk Buffer (CRB) to be maintained in the range of 4.5 per cent to 7.5 per cent of the size of the balance sheet. The Central Board approved that CRB may be maintained at 6.5 per cent of the size of the balance sheet of the Reserve Bank for the year 2025-26. Accordingly, a provision of ₹1,09,379.64 crore was made and transferred to CF during the year (Table XII.2).

vi) Others

Other expenses comprise expenditure on remittance of currency, printing and stationery, audit fees and related expenses, miscellaneous expenses, *etc.*, which increased by 108.8 per cent from ₹5,660.79 crore in the year 2024-25 to ₹11,817.78 crore in the year 2025-26.

Contingent Liabilities

XII.19 Total contingent liabilities of the Reserve Bank amounted to ₹1,159.19 crore, the main component of it being partly paid shares of Bank for International Settlements (BIS), denominated in SDR, held by the Reserve Bank. The uncalled liability on these shares was ₹1,148.95 crore as on March 31, 2026. The balances are callable at three months' notice by a decision of the BIS Board of Directors.

Prior Period Transactions

XII.20 For the purpose of disclosure, prior period transactions of ₹1 lakh and above only have been considered. The prior period transactions under expenditure and income amounted to ₹460.44 crore and ₹0.19 crore, respectively.

Payment to Micro and Small Enterprises under the Micro, Small & Medium Enterprises Development Act, 2006

XII.21 The following table sets forth the cases of delayed payments of the principal amount or interest due thereon to Micro and Small Enterprises:

Previous Year's Figures

XII.22 Figures for the previous year have been rearranged, wherever necessary to make them comparable with the current year.

THE RESERVE BANK'S ACCOUNTS FOR 2025-26

(₹ crore)

Particulars	2024-25		2025-26	
	Principal	Interest	Principal	Interest
1	2	3	4	5
i. the principal amount and the interest due thereon remaining unpaid to any supplier as at March 31;	-	-	-	-
ii. the amount of interest paid by the buyer in terms of Section 16, along with the amount of the payment made to the supplier beyond the appointed day during the accounting year;	0.0057	0.0004	1.61	0.01
iii. the amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Act;	-	-	-	-
iv. the amount of interest accrued and remaining unpaid at the end of the accounting year;	-	-	-	-
v. the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under Section 23.	NA	NA	NA	NA
-: Nil. NA: Not Applicable.				

Auditors

XII.23 The Statutory Auditors of the Reserve Bank are appointed by the Central Government in terms of Section 50 of the RBI Act, 1934. The accounts of the Reserve Bank for the year 2025-26 were

audited by M/s Sorab S. Engineer & Co., Mumbai and M/s Kalyaniwalla & Mistry LLP, Mumbai, as the Statutory Central Auditors and M/s Lodha & Co. LLP, Kolkata, M/s S. Viswanathan LLP, Chennai and M/s Walker Chandiok & Co. LLP, New Delhi as the Statutory Branch Auditors.

ANNEX

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS: APRIL 2025 TO MARCH 2026¹

Date of Announcement	Policy Initiative
Monetary Policy Department	
April 9, 2025	The monetary policy committee (MPC) decided to reduce the policy repo rate by 25 basis points (bps) from 6.25 per cent to 6.00 per cent. The MPC decided to change the stance from neutral to accommodative.
June 6, 2025	- The MPC decided to reduce the policy repo rate by 50 bps from 6.00 per cent to 5.50 per cent. The MPC also decided to change the stance from accommodative to neutral. - Cash reserve ratio (CRR) was reduced by 100 bps to 3.00 per cent in four equal tranches of 25 bps each with effect from the fortnights beginning September 6, October 4, November 1, and November 29, 2025.
December 5, 2025	The MPC decided to reduce the policy repo rate by 25 bps from 5.50 per cent to 5.25 per cent. The MPC also decided to continue with the neutral stance.
Financial Inclusion and Development Department	
July 11, 2025	A clarification was issued that loans against voluntary pledge of gold and silver as collateral by borrowers, sanctioned by the banks up to the collateral free limit, will not be construed as a violation of extant instructions to waive collateral security in respect of agricultural loans and loans to micro and small enterprises (MSEs) up to specified limits.
December 1, 2025	The National Strategy for Financial Inclusion (NSFI) 2025-30 was released on December 1, 2025. It lays down five strategic objectives (<i>Panch-Jyoti</i>) towards elevating the state of financial inclusion in the country and a menu of 47 action points to achieve them.
January 13, 2026	The continuation of the modified interest subvention scheme (MISS) for short term loans to agriculture and allied activities availed through <i>kisan</i> credit card (KCC) during 2025-26 was notified.
February 9, 2026	With a view to facilitating improved access to formal credit, supporting entrepreneurial activity, and strengthening last mile credit delivery for MSEs with limited collateral, the limit for collateral free loans to MSEs was enhanced from ₹10 lakh to ₹20 lakh, effective April 1, 2026.
Financial Markets Regulation Department	
May 8, 2025	To provide greater flexibility for investment by foreign portfolio investors (FPIs), the short-term investment limit and the concentration limit for investments by FPIs in corporate debt securities under the general route were withdrawn.
June 16, 2025	In view of the notable developments in the technology landscape and an increase in product diversity, the regulatory framework for electronic trading platforms was reviewed and a revised Master Direction – Reserve Bank of India (Electronic Trading Platforms) Directions, 2025 was issued.
August 12, 2025	With a view to enhance suite of instruments for investments by persons resident outside India (PROIs) that maintain a special rupee vostro account (SRVA) for international trade settlement in Indian Rupees (INR), investment of their rupee surplus balance in the aforesaid account was permitted in central government securities (including treasury bills).
September 22, 2025	To widen the access to the non-deliverable derivative contract (NDDC) market, standalone primary dealers (SPDs) authorised as Authorised Dealer Category-III (AD Cat-III), were permitted to transact in NDDCs involving the INR.
October 3, 2025	PROIs that maintain an SRVA for international trade settlement in INR were permitted to invest their rupee surplus balance in the aforesaid account in non-convertible debentures/bonds and commercial papers issued by an Indian company with a view to enhance the suite of instruments for such investment.

¹ The list is indicative in nature and details are available on the Reserve Bank's website.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
November 11, 2025	'Master Direction – Reserve Bank of India [Repurchase Transactions (Repo)] Directions, 2025' was updated to include municipal debt securities as eligible securities for repo transactions.
December 8, 2025	With a view to supporting the risk management needs of the broader financial system, and to foster greater transparency, the regulatory framework for interest rate derivatives was reviewed and a revised 'Master Direction – Reserve Bank of India (Rupee Interest Rate Derivatives) Directions, 2025' was issued.
February 6, 2026	In order to enhance the predictability about the availability of investment limits under the voluntary retention route (VRR) for FPI investment in debt, the investment limits for VRR were subsumed under the investment limit for the General Route for FPI investment in debt. FPIs that have availed retention periods longer than the minimum retention period stipulated for VRR were given the option to exit the VRR after the end of the minimum retention period.
February 18, 2026	With a view to obtaining a comprehensive overview of over-the-counter (OTC) derivative markets by facilitating global aggregation of transactions and prescribing a framework for implementation of unique transaction identifier (UTI), guidelines were issued mandating UTI for all transactions in OTC derivative markets.
March 27, 2026	'Master Direction on Unique Identifiers in Financial Markets' were issued, consolidating the instructions on legal entity identifier and UTI to improve accessibility of regulatory instructions and ease of doing business. - To curb undue volatility in INR, the ADs were mandated to maintain their net open positions involving INR (NOP-INR) in the onshore deliverable market within US\$ 100 million at the end of each business day, effective April 10, 2026.
Financial Markets Operations Department	
June 30, 2025	Consequent upon the extension of call money market timings to 7:00 PM, the Reserve Bank revised the operating timings for the standing deposit facility (SDF) and the marginal standing facility (MSF) from 5:30 PM-11:59 PM to 7:00 PM -11:59 PM, with effect from July 1, 2025.
September 30, 2025	The Reserve Bank revised its liquidity management framework based on the recommendations of the Internal Working Group set up to review the liquidity management framework as well as comments/feedback received from stakeholders and members of the public.
Foreign Exchange Department	
April 22, 2025	The provision for linking of compounding amount that may be imposed in the compounding order (issued for a second or subsequent compounding application) to the earlier non-complied compounding order and enhancing the same by 50 per cent (as was provided for in the earlier guidelines) was deleted.
April 23, 2025	Exporters were allowed to realise and repatriate full export proceeds of goods exported to <i>Bharat</i> Mart within nine months from the date of sale of goods from the warehouse. They were also permitted to open/hire warehouses and remit funds for initial as well as recurring expenses to set-up and continue business operations of its offices, subject to reasonableness and without pre-conditions.
April 24, 2025	The compounding matrix (indicating broadly the amount to be imposed through compounding) was amended and suitable guidelines were issued for levying a smaller amount for compounding of contraventions in exceptional circumstances/facts involved in a case and in wider public interest. Consequently, the compounding authority was allowed to cap the amount imposed (per rule/regulation contravened) at ₹2,00,000 for such cases.
April 29, 2025	The criterion for track record in import/export of diamonds/coloured gemstones/diamond and coloured gemstones studded jewellery/plain gold jewellery was increased from two to three years <i>vide</i> amendment to Schedule II of Foreign Exchange Management (Foreign Currency Accounts by a Person Resident in India) Regulations governing the opening and maintenance of Diamond Dollar Account/s.

Date of Announcement	Policy Initiative
June 11, 2025	Government of India notified through an amendment in Foreign Exchange Management (Non-Debt Instruments) Rules, that an Indian company, engaged in a sector or activity prohibited for foreign direct investment (FDI), may issue bonus shares to its pre-existing shareholders who are PROIs, provided that the shareholding pattern of such shareholders does not change pursuant to such issuance.
June 13, 2025	Importers were permitted to make advance remittance for import of shipping vessel, without bank guarantee or an unconditional, irrevocable standby letter of credit, up to US\$ 50 million, subject to certain conditions.
June 24, 2025	Tugs, tugboats, dredgers, and vessels going out of India for providing offshore support services were exempted from filing export declaration.
August 5, 2025	AD banks were permitted to open Special Rupee Vostro Accounts (SRVAs) of overseas correspondent banks without referring to the Reserve Bank for approval.
October 1, 2025	- To facilitate merchanting traders to manage their merchanting trade transactions (MTTs) efficiently, it was decided to increase the time period for outlay of foreign exchange in case of MTT, from four to six months. - To facilitate timely closure of entries in Export Data Processing and Monitoring System (EDPMS) and Import Data Processing and Monitoring System (IDPMS); and to reduce compliance burden on small exporters and importers, AD banks were advised to: - Reconcile and close entries (including outstanding entries) in EDPMS and IDPMS portals, of value equivalent to ₹10 lakh per entry/bill or less, based on a declaration provided by the concerned exporter that the amount has been realised or by the importer that the amount has been paid; - Accept any reduction in declared value or invoice value of the shipping bills/bills of entry, based on declaration by concerned exporter or importer; and - Review charges levied for handling these small-value export and import transactions, keeping in view the revised procedure/relaxations mentioned above and ensure that the same are commensurate with the services rendered and to not levy any penal charges (penalty) for delays in adherence to any regulatory guidelines.
October 3, 2025	It was decided that besides the already permitted investment channels, surplus balances in the SRVAs may be invested in non-convertible debentures/bonds and commercial papers issued by an Indian company also, in terms of applicable guidelines and limits.
October 6, 2025	- AD banks, including their branches outside India, were permitted to lend in INR to PROIs which are resident of Bhutan, Nepal, or Sri Lanka, including a bank in these jurisdictions, for cross-border trade transactions. - Indian exporters were permitted to retain export proceeds in foreign currency-denominated account opened in International Financial Services Centre (IFSC), for up to three months (effective October 9, 2025) from the existing stipulation of one month.
November 13, 2025	- The following relaxations were undertaken: - Time period for realisation and repatriation of full export value of goods/software/services exported from India was extended from nine months to fifteen months, from the date of export from India; and - Time period for shipment of goods was extended from one year to three years from the date of receipt of advance payment or as per agreement, whichever is later.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
December 3, 2025	Direct submission of 'Liberalised Remittance Scheme (LRS) daily return' effective January 1, 2026, by AD Category-II banks/entities and Full-Fledged Money Changers (FFMCs) has been enabled, by providing them access to the CIMS ² portal. Consequently, they have discontinued submitting the LRS transactions through AD Category-I banks.
December 8, 2025	- On a review of the extant export/import of currency framework, it was decided to allow a person, not being a citizen of Pakistan or Bangladesh, to: - Take or send out of India to Nepal or Bhutan, and bring into India from Nepal or Bhutan, currency notes of Government of India and Reserve Bank of India notes for any amount in denominations up to ₹100; - Take out of India to Nepal or Bhutan, notes of denominations above ₹100 up to a total limit of ₹25,000; and - Bring into India from Nepal or Bhutan, notes of denominations above ₹100, up to a total limit of ₹25,000.
January 10, 2026	Through rationalisation of the Foreign Exchange Management Act (FEMA) guarantees framework, the universe of guarantees enabled under automatic route has been expanded. While the previous framework did not have any enabling provision for guarantees issued by a non-resident entity, primary conditions for a guarantee transaction between a principal debtor and a surety, under the rationalised regime, are that the underlying transaction should not be prohibited under FEMA, 1999, and the surety and the debtor, wherever their residential statuses are different, are eligible lender and borrower under the extant borrowing/lending framework. Further, a comprehensive reporting on a quarterly basis has been introduced for all guarantees – issued, modified and invoked.
January 15, 2026	Foreign Exchange Management (Export and Import of Goods and Services), Regulations, 2026 were published. The regulations will come into effect from October 1, 2026.
February 9, 2026	The External Commercial Borrowings (ECB) Framework has been rationalised by, <i>inter alia</i> , expanding the universe of eligible borrowers and recognised lenders, linking borrowing limits with the borrower's financial strength and stipulation of uniform minimum average maturity period requirement. It also involves removal of cap on the cost of borrowing for ECB, liberalisation of the end-use restrictions and simplification of reporting requirements.
Department of Regulation	
April 9, 2025	<i>Draft Securitisation of Stressed Assets Directions, 2025</i> : To enable regulated entities (REs) to securitise stressed loan exposures, supplementing the mechanism under the SARFAESI ³ Act, 2002, the draft framework was issued for public comments.
April 21, 2025	<i>Basel III Framework on Liquidity Standards – Liquidity Coverage Ratio (LCR) – Review of Haircuts on High Quality Liquid Assets (HQLA) and Review of Composition and Run-off Rates on Certain Categories of Deposits</i>⁴: The guidelines revised run-off rates for certain category of deposits and introduced haircuts for Government Securities denominated as level 1 HQLA. <i>Deposit Accounts of Minors</i>: Revised and harmonised instructions on opening of and operation in deposit accounts of minors by banks were issued. In terms of these instructions, minors of any age can open and operate savings and term deposit accounts through his/her natural or legal guardian or with mother as guardian. Minors above the age of 10 years may open and operate savings/term deposit accounts independently, if they so desire.

² Centralised Information Management System.

³ Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest.

⁴ Now consolidated under Reserve Bank of India (Commercial Banks – Asset Liability Management) Directions, November 28, 2025.

Date of Announcement	Policy Initiative
May 7, 2025	<i>Framework for Formulation of Regulations</i> : Laid down broad principles for formulation, amendment, and review of regulations ⁵ by the Reserve Bank ensuring a standardised, transparent, and consultative approach. Key processes include (i) public consultation; (ii) issuance of general statement of response to the public comments received; (iii) impact analysis (to the extent feasible); and (iv) periodic review.
May 8, 2025	<i>Reserve Bank of India (Digital Lending) Directions, 2025</i> ⁶ : Existing and new instructions were consolidated, mandating REs to ensure that lending service providers (LSPs) display all loan offers to borrowers when multiple lenders are involved. Further, a public directory of Digital Lending Apps (DLAs) was introduced to help borrowers verify their link with REs.
May 22, 2025	Discussion Paper on Capital Raising Avenues for Primary (Urban) Co-operative Banks' was issued for public consultation.
June 6, 2025	<i>Non-Banking Financial Companies - Microfinance Institutions (NBFC-MFIs) Qualifying Asset</i>: Criteria revised from 75 per cent of their total assets to 60 per cent of total assets (netted off by intangible assets) to allow NBFC-MFIs to diversify their assets. <i>Lending Against Gold and Silver Collateral Directions, 2025</i>: Guidelines were issued to: (i) put in place a harmonised regulatory framework across various REs; (ii) address concerns relating to prevailing lending practices and provide clarity on certain aspects; and (iii) strengthen the conduct-related aspects.
June 12, 2025	<i>Amendment to Master Direction on Know Your Customer (KYC)</i>: Periodic updation of KYC eased, particularly for individual customers, including the <i>Pradhan Mantri Jan Dhan Yojana</i> (PMJDY) account holders. REs to allow all transactions in accounts of low-risk individual customers and ensure updation of KYC within one year of its due date or up to June 30, 2026, whichever is later. Prior intimation and reminders to customers mandated; and services of business correspondents (BCs) permitted for KYC updation. <i>Inoperative Accounts/Unclaimed Deposits in Banks - Revised Instructions (Amendment) 2025</i>: was issued for public comments on May 23, 2025. Accordingly, a circular on 'Inoperative Accounts/Unclaimed Deposits in Banks - Revised Instructions (Amendment) 2025' was issued on June 12, 2025. Subsequently, the same was consolidated under Reserve Bank of India (Responsible Business Conduct) Directions, 2025; issued Regulated Entity-wise on November 28, 2025.
June 19, 2025	<i>Project Finance Directions, 2025</i> ⁷ : Introduces a principle-based regime for resolution of stress in project finance exposures which include flexibility to defer the date of commencement of commercial operations (DCCO) without any asset classification downgrade. Also prescribes enhancing due diligence requirements including mandatory obtention of clearances before financial closure to minimise project execution risk; minimum share of lenders to enhance skin in the game and stipulation of a common loan agreement amongst lenders.
June 20, 2025	<i>Review of PSL Norms for Small Finance Banks</i> : Revised to 60 per cent of adjusted net bank credit (ANBC) or credit equivalent of off-balance sheet exposures (CEOBE), whichever is higher from existing 75 per cent.

⁵ For the purpose of this Framework, "Regulations" include all regulations, directions, guidelines, notifications, orders, policies, specifications, and standards as issued by the Reserve Bank in exercise of the powers conferred on it by or under the provisions of the Acts and Rules.

⁶ Now consolidated under Reserve Bank of India (Credit Facilities) Directions, issued Regulated Entity-wise on November 28, 2025.

⁷ Now consolidated under Reserve Bank of India (Income Recognition, Asset Classification and Provisioning) Directions, Reserve Bank of India (Resolution of Stressed Assets) Directions, Reserve Bank of India (Credit Facilities) Directions issued Regulated Entity-wise on November 28, 2025.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
July 2, 2025	<i>Pre-payment Charges on Loans Directions, 2025</i> : Harmonised framework on levy of pre-payment charges on loans sanctioned to individuals and MSEs.
July 10, 2025	<i>CareEdge Global IFSC Limited (CGIL) Rating</i> : CGIL was accredited for rating of non-resident corporate exposures arising out of IFSC vide RBI circular ⁸ . The geographic restriction on rating of exposures arising out of IFSC was relaxed with effect from January 9, 2026.
July 29, 2025	<i>Investment in Alternative Investment Funds (AIFs) Directions, 2025</i> ⁹ : Revised guidelines cap individual contribution of an RE to 10 per cent of the corpus (20 per cent collectively across REs). Certain flexibility provided to REs to invest in AIFs with downstream investment in debtor companies.
August 6, 2025	<i>Co-Lending Arrangements Directions, 2025</i>: Framework expanded beyond priority sector loans and revised directions issued to provide a broad-based framework for co-lending. <i>Non-Fund Based Credit Facilities Directions, 2025</i>: Harmonised and principle-based framework for issuance of non-fund-based facilities such as guarantees, letters of credit and co-acceptances. Liberalises partial credit enhancement (PCE) related aspects including the exposure limits per RE, list of eligible REs permitted to issue PCE and their capital requirements.
August 14, 2025	<i>Compliance with Hon'ble Supreme Court Order (April 30, 2025)</i>: REs were advised to ensure compliance with the directives of the Supreme Court dated April 30, 2025 related to general accessibility of financial services for persons with disabilities (PwDs). <i>Amendment to Master Direction on KYC</i>: Focus on inclusiveness and easing the processes of KYC and updation of KYC for customers with special needs, including PwDs. REs were mandated to ensure that their customer acceptance policies shall not result in denial of banking/financial facility to members of public, especially those who are financially or socially disadvantaged, including the PwDs. REs to ensure non-denial of services, record reasons for rejection, and avoid exclusion in video-based customer identification process (V-CIP), including flexible 'liveness check' requirements.
September 17, 2025	<i>Regulatory Review Mechanism</i> : Regulatory Review Cell constituted w.e.f. October 1, 2025, within the Department of Regulation, with the mandate to review each regulation issued by the Reserve Bank in a comprehensive, objective, and systematic manner, at least once in every 5-7 years. Further, to strengthen the stakeholder engagement in the regulatory process and leverage industry expertise on a continued basis, an Independent Advisory Group on Regulation (AGR) comprising of six external experts has been formed, effective October 1, 2025.
September 26, 2025	<i>Settlement of Claims in Respect of Deceased Customers of Banks Directions, 2025</i> : Provides a harmonised framework and standardised documents for settlement of claims by banks in respect of deposit accounts, safe deposit locker and articles in safe custody of a deceased customer and minimises the difficulties faced by the nominees, survivors, and legal heirs.
September 29, 2025	<i>Lending Against Gold and Silver Collateral (1st Amendment) Directions, 2025</i>: Permits scheduled commercial banks as also Tier 3 and Tier 4 urban co-operative banks (UCBs) to extend working capital loans to any borrower who requires gold as a raw material in manufacturing or industrial processing, beyond jewellers.

⁸ Now consolidated under Reserve Bank of India (Prudential Norms for Capital Adequacy) Directions, issued Regulated Entity-wise on November 28, 2025.

⁹ Now consolidated under Reserve Bank of India (Undertaking of Financial Services) Directions, issued Regulated Entity-wise on November 28, 2025.

Date of Announcement	Policy Initiative
September 29, 2025	<i>Interest Rate on Advances (Amendment Directions), 2025:</i> Allows reduction in spread components other than 'credit risk premium', at intervals shorter than once in three years for customer retention, on justifiable grounds, in a non-discriminatory manner, and in terms of the bank's policy for floating rate loans. Borrowers given option to switch over to a fixed rate at the time of reset, as per RE's Board approved policy.
September 30, 2025	<i>Scheme for Facilitating Accelerated Payout - Inoperative Accounts and Unclaimed Deposits:</i> Introduced for one year (October 1, 2025 to September 30, 2026) to incentivise banks for reactivation of inoperative accounts and return of unclaimed deposits lying with DEA Fund through differential payouts based on period of inoperativeness and amount of unclaimed deposits/inoperative accounts.
October 7, 2025	<i>Scheduled Commercial Banks - Capital Charge for Credit Risk – Standardised Approach Directions, 2025:</i> Draft proposed enhancements in risk sensitivity through granular risk weights for exposures to corporates, micro, small, and medium enterprises (MSMEs) and real estate, revised credit conversion factors, inclusion of transactors in retail category where transactors are credit cards with timely repayments during the previous 12 months, and suitable adjustments to the risk weights applied to loans rated by credit rating agencies, depending on the default history of such loans for each rating agency, and due diligence by banks. The final Directions with suitable revisions based on stakeholder's feedback were issued on April 27, 2026 and are effective from April 1, 2027. <i>Scheduled Commercial Banks and AIFI - Asset Classification, Provisioning and Income Recognition Directions, 2025:</i> Draft introduces expected credit loss (ECL) framework for provisioning and income recognition, aligning with international best practices and proposed to be applicable from April 1, 2027. The final guidelines have since been issued on April 27, 2026.
October 28, 2025	<i>Nomination Facility in Deposit Accounts, Safe Deposit Lockers and Articles Kept in Safe Custody with the Banks Directions, 2025:</i> Implements revised nomination related provisions and rules notified by the Government of India under the Banking Laws (Amendment) Act, 2025 and the Banking Companies (Nomination) Rules, 2025, respectively.
November 14, 2025	<i>Trade Relief Measures Directions, 2025:</i> Provides relaxation to exporters, including, <i>inter alia</i> , moratorium period on all loans falling within the specified period and enhancement in maximum credit for pre-shipment and post-shipment credit.
November 28, 2025	<i>Consolidation of Master Directions:</i> 237 Master Directions were issued by Department of Regulation on 'as-is' basis with seven new entity-wise Master Directions on 'Digital Banking Channels Authorisation'. These 244 instructions have been issued separately for 11 types of regulated entities and are cohesively organised across various regulatory areas.
December 4, 2025	<i>Amendment Directions for Gold Metal Loans (GML):</i> Amendments to instructions pertaining to GML Scheme were issued to commercial banks¹⁰. <i>Withdrawal of Guidelines on Enhancing Credit Supply for Large Borrowers through Market Mechanism:</i> Earlier guidelines dated August 25, 2016, were withdrawn with effect from January 1, 2026. Banks mandated to have systems to monitor and address the risks emanating from their exposures to ultra-large borrowers who are excessively leveraged and have substantial borrowings from the banking system.

¹⁰ Excluding payments banks, local area banks and regional rural banks.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
December 4, 2025	• <i>Commercial Banks - Concentration Risk Management Amendment Directions, 2025</i>: Effective April 1, 2026, instructions on intragroup transactions and exposures (ITE) were rationalised against the backdrop of the large exposure framework (LEF), and the scope of credit risk mitigation (CRM) benefit emanating from funds placed by foreign banks (operating in branch mode) with the Reserve Bank was enhanced Further, in line with LEF instructions, credit conversion factors and CRM offsets were extended for computation for ITE, and these limits were linked to Tier 1 capital. • <i>Amendment Directions on Credit Information Reporting</i>: Mandates more frequent submission of credit information by credit institutions to credit information companies, effective July 1, 2026. • <i>Branch Authorisation Directions</i>: Harmonise and consolidate the instructions/guidelines related to permission for place of business, change of name and scheduling for primary UCBs and state co-operative banks (StCBs) and district central co-operative banks (DCCBs). • <i>Basic Savings Bank Deposit (BSBD) Account</i>: Revised instructions provide following additional facilities to be provided free of charge, without any requirement of minimum balance: ○ Cheque book with minimum twenty-five cheque leaves per year; ○ Internet and mobile banking facility; and ○ Passbook or monthly statement of account in <i>lieu</i> of passbook, either in print or by e-mail, as per request of the account holder.
December 5, 2025	<i>Undertaking of Financial Services Directions, 2025</i> : Updated framework on ring-fencing banks' core activities from non-core financial services for various REs.
December 11, 2025	• <i>Amendment Directions on Maintenance of Cash Credit Accounts, Current Accounts and Overdraft (OD) Accounts</i>: Withdraws the earlier restrictions placed on maintenance of cash credit accounts with banks. Allows banks having minimum 10 per cent share, either in banking system's aggregate exposure to a borrower or in banking system's aggregate fund-based exposure to a borrower, to maintain current accounts and overdraft accounts without restrictions. Banks not meeting the above eligibility criteria can maintain current accounts or OD accounts only in the nature of collection accounts. • <i>Definition of 'Fortnight'</i>: Pursuant to the enactment of the Banking Laws (Amendment) Act, 2025, the definition of 'Fortnight' for the purpose of CRR and statutory liquidity ratio (SLR) maintenance and reporting by banks was amended from "the period from Saturday to the second following Friday, both days inclusive" to "the period from the first day to the fifteenth day of each calendar month or sixteenth day to the last day of each calendar month, both days inclusive", with effect from December 15, 2025.
December 29, 2025	<i>Amendment to RE-wise KYC Directions, 2025</i> : Delineates the customer identification process (CIP) and other customer due diligence (CDD) procedure related responsibilities of the REs, uploading the customers' KYC records on CKYCR ¹¹ <i>vis-à-vis</i> the REs downloading the same from CKYCR.
January 1, 2026	<i>Risk Weighting Framework for Exposure of NBFCs to Infrastructure Projects</i> : Risk weights prescribed for infrastructure exposures that meet certain high-quality conditions and repayment thresholds were rationalised.

¹¹ Central Know Your Customer Records Registry.

Date of Announcement	Policy Initiative
January 5, 2026	<i>Amendment Directions on Lending to Related Parties</i> : Introduces scale-based materiality thresholds, beyond which exposures to related parties require approval of the Bank Board or its designated Committee, alongside enhanced governance, and disclosure requirements. To address the risks arising from reciprocal or <i>quid pro quo</i> lending arrangements between banks, the Directions introduces the concept of 'Reciprocally Related Person'.
January 8, 2026	Draft 'Reserve Bank of India (Urban Co-operative Banks - Governance) Amendment Directions, 2026' and draft 'Reserve Bank of India (Rural Co-operative Banks - Governance) Amendment Directions, 2026' were issued for public/stakeholders' comments. These prescribed a mandatory three-year cooling-off period after 10 years of continuous tenure before a director can rejoin the same bank's Board.
January 13, 2026	Discussion Paper on 'Licensing of Urban Co-operative Banks (UCBs)' was issued for public/stakeholders' comments.
January 27, 2026	Draft 'Commercial Banks - Relief Measures in Areas Affected by Natural Calamities Directions, 2026' was issued for public comments. The final directions were issued on April 29, 2026.
February 6, 2026	The draft amendment directions on 'Reserve Bank of India (Non-Banking Financial Companies – Branch Authorisation)' were issued. The final directions were issued on April 15, 2026.
February 10, 2026	- With a view to exempt eligible 'NBFCs not availing public funds and not having customer interface (including 'Type I NBFCs')' from registration requirement with the Reserve Bank, subject to certain conditions, the draft 'Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Amendment Directions, 2026' were issued for public comments on February 10, 2026. The final directions were issued on April 29, 2026. - Draft amendment directions were issued rationalising the definition and aggregate limits of unsecured advances, enhanced loan limits for single borrower unsecured advances, specified certain disclosure requirements and deregulated the tenor and moratorium requirements for housing loans for Tier 3 and Tier 4 UCBs among others. The final directions were issued on April 29, 2026.
February 11, 2026	<i>Draft Agency Business and Referral Services</i>: Clarifies the distinction between agency and referral activities; and strengthens disclosure requirements to ensure customers are clearly informed of the RE's role and absence of risk assumption. Reinforces governance, due diligence, and oversight requirements to prevent mis-selling and contain contingent risks. <i>Draft Amendment Directions on Advertising, Marketing and Sales of Financial Products and Services by Regulated Entities</i>: Proposes to prevent mis-selling, dark patterns and compulsory bundling of financial products and services by REs (their own as well as third-party's) while ensuring explicit customer consent, suitability assessment, responsible conduct of DSAs/DMAAs and effective customer protection and compensation mechanisms.
February 12, 2026	<i>Draft Amendment Directions on Conduct of Regulated Entities in Recovery of Loans and Engagement of Recovery Agents</i> : Proposes to harmonise the instructions across all the REs to ensure fair treatment of borrowers, prevention of harsh recovery practices and to strengthen the framework relating to due diligence, Code of Conduct, monitoring and accountability of banks and recovery agents in recovery related activities.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
February 13, 2026	<i>Draft Directions on Bank Lending to Real Estate Investment Trusts (REITs)</i>: Draft proposes to allow commercial banks to extend direct financing to listed REITs at the trust level. Existing guidelines on lending to Infrastructure Investment Trust (InvITs) are also proposed to be harmonised for parity with prudential safeguards proposed for lending to REITs. <i>Default Loss Guarantee (DLG) Clarification</i>: Allows NBFCs to consider DLG cover for determining provisions under the ECL framework across all stages, subject to the requirements as laid down under Indian Accounting Standards (IndAS) which require, <i>inter alia</i>, the DLG arrangement to be integral to the contractual terms of the loan and not being recognised separately. NBFCs also need to comply with the disclosure requirements under IndAS 1. <i>Rural Co-operative Banks Clarification</i>: Clarifies income recognition norms - accrual basis for standard assets and cash basis for non-performing asset (NPAs).
February 26, 2026	Directions on 'Private Placement of Equity Shares by NUCFDC (Umbrella Organisation for Primary Co-operative Banks)' was issued.
March 6, 2026	<i>Draft Amendment Directions for 'Review of Framework of Limiting Customer Liability in Digital Transactions'</i> : Proposes to strengthen customer protection in electronic banking transactions by clearly defining the categories of transactions and liability standards. Further, compensation mechanism in case of small value fraudulent electronic banking transactions is proposed to be introduced.
March 10, 2026	<i>Dividend Framework</i>: Revised prudential norms on 'Declaration of Dividend and Remittance of Profits' to enable the banks with higher net profits, lower net NPAs and higher cushion in terms of capital adequacy, declare higher dividends. The new directions shall come into effect from FY 2026-27. <i>Amendment Directions on 'Counterparty Credit Risk - Add-on factors for computation of Potential Future Exposure'¹²</i>: Clarified that banks acting as clearing members in equity and commodity derivatives on SEBI-recognised exchanges are required to maintain capital charge for counterparty credit risk. Further, the add-on factors for potential future exposure (PFE) under the current exposure method (CEM) for interest rate, exchange rate, and gold contracts were revised to largely align with Basel Committee on Banking Supervision (BCBS) guidelines. <i>'Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Second Amendment Directions, 2026'</i> was issued.
March 16, 2026	<i>Financial Statements - Presentation and Disclosures Amendment Directions, 2026</i> : The disclosure requirements pertaining to Deposit Insurance and Credit Guarantee Corporation (DICGC) insurance premium were aligned with the 'Risk Based Premium (RBP) Framework'. With effect from April 1, 2026, the banks are required to disclose in the annual report that 'deposit insurance premium as applicable was paid to DICGC within the prescribed timelines' or otherwise.
March 30, 2026	<i>Amendment Directions on Capital Market Exposure</i> : These directions: (i) provide an enabling framework for commercial banks (excluding SFBs) to finance acquisitions by Indian corporates; (ii) rationalise the limits for lending by banks to individuals against shares, units of REITs, InvITs, etc; and (iii) put in place a more principle-based framework for lending to capital market intermediaries.

¹² Now consolidated under Reserve Bank of India (Commercial Banks - Prudential Norms on Capital Adequacy) Directions, 2025 dated November 28, 2025.

Date of Announcement	Policy Initiative
March 31, 2026	<i>Trade Relief Measures Directions, 2026</i> : Given the continuing disruptions to global trade due to the West Asia crisis, the credit period for pre-shipment and post-shipment export credit disbursed till June 30, 2026 has been extended to 450 days.
FinTech Department	
April 9, 2025	The Reserve Bank allowed 'Theme Neutral' applications as part of the 'On Tap' facility under the Regulatory Sandbox.
August 13, 2025	Report of the Committee to develop a 'Framework for Responsible and Ethical Enablement of Artificial Intelligence (FREE-AI) in the Financial Sector' was placed on the Reserve Bank's website.
October 23, 2025	The Reserve Bank launched the fourth edition of its Global Hackathon – 'HaRBInger -Innovation for Transformation' with the theme 'Secure Banking: Powered by Identity, Integrity and Inclusivity'.
Department of Supervision	
February 6, 2026	The Reserve Bank announced the launch of Mission <i>SAKSHAM</i> ¹³ (<i>Sahakari Bank Kshamta Nirman</i>) for primary UCBs - a sector wide capacity building and certification framework. The capacity building of the sector would be implemented through a large number of physical training programmes as well as a scalable learning platform, to cover about 1.4 lakh participants, across all functions.
Consumer Education and Protection Department	
October 7, 2025	The State Co-operative Banks and District Central Cooperative Banks were brought under the ambit of the Reserve Bank – Integrated Ombudsman Scheme, 2021, effective November 1, 2025.
January 14, 2026	To provide meaningful and timely resolution of customer grievances, six Master Directions on Internal Ombudsman, specific to each category of regulated entity, were issued.
January 16, 2026	Based on the operational experience, stakeholder feedback, and global best practices, the Reserve Bank undertook a comprehensive review of the Reserve Bank – Integrated Ombudsman Scheme, 2021. The revised Reserve Bank - Integrated Ombudsman Scheme, 2026 was notified, which will come into force from July 1, 2026. The revised Scheme is expected to strengthen the Reserve Bank Ombudsman framework and bring about further efficiency in complaints resolution.
Internal Debt Management Department	
March 27, 2025	The ways and means advances (WMA) limit for the Government of India (GoI) for H1:2025-26 (April to September 2025) was fixed at ₹1,50,000 crore.
June 12, 2025	The Reserve Bank introduced Separate Trading of Registered Interest and Principal of Securities (STRIPS) in state government securities.
September 26, 2025	The WMA limit for the GoI for H2:2025-26 (October 2025 to March 2026) was fixed at ₹50,000 crore.
January 5, 2026	The Reserve Bank of India entered into an agreement with the Government of National Capital Territory of Delhi (GNCTD), under sub-section(1) of Section 21A of the Reserve Bank of India Act, 1934, to carry on the general banking business of GNCTD and manage its rupee public debt.
January 9, 2026	The WMA limit of GNCTD was set at ₹890 crore, taking the aggregate WMA limit of all the states/UTs to ₹61,008 crore.

¹³ Mission *SAKSHAM* was subsequently launched on April 28, 2026.

CHRONOLOGY OF MAJOR POLICY ANNOUNCEMENTS

Date of Announcement	Policy Initiative
Department of Currency Management	
April 25, 2025	The existing procedure for receiving the applications for opening, shifting and closure of Currency Chests (CCs) by banks was revised. Accordingly, all applications for opening, shifting and closure of CCs are now received only through PRAVAAH ¹⁴ portal on RBI website under relevant forms.
April 28, 2025	All banks and White Label ATM Operators (WLAOs) have been mandated to ensure that their ATMs dispense ₹100 and/or ₹200 denomination banknotes on a regular basis.
July 1, 2025	The scope of services covered under the Citizen's Charter was reviewed to include services of providing exchange of notes received through Postal Covers, Triple Lock Receptacles (TLRs) and notes that cannot withstand normal handling.
September 10, 2025	Indian Currency Microsite (https://indiancurrency.rbi.org.in) was launched replacing the earlier 'Paisa Bolta Hai' microsite. The microsite provides members of the public a platform to access information on Indian banknotes. It also has a dedicated section for information on exchange of banknotes.
September 29, 2025	Keeping in view the broader increase in cost of establishing and operating CCs, the service charge levied by CCs for deposits made by non-CC branches was enhanced, with effect from October 1, 2025.
Department of Payment and Settlement Systems	
June 27, 2025	To protect bank customers from frauds perpetuated through Aadhaar Enabled Payment System (AePS) due to identity theft or compromise of customer credentials, the Reserve Bank issued directions for streamlining the process for onboarding of AePS touchpoint operators and strengthening fraud risk management.
August 13, 2025	Continuous clearing and settlement on realisation was introduced in the cheque truncation system. Phase 1 of the transition was implemented on October 4, 2025.
September 15, 2025	The consolidated Master Direction on 'Regulation of Payment Aggregator (PA)' was issued by the Reserve Bank for regulation of PA-Physical, PA-Online and PA-Cross Border (PA-CB) business. Through this Direction, PA-physical was also brought under the regulatory ambit. Further, the authorisation requirements for PA entities were rationalised.
September 25, 2025	'The Reserve Bank of India (Authentication Mechanisms for Digital Payment Transactions) Directions, 2025' were issued to enable the payments ecosystem to leverage the technological advancements for implementing alternative authentication mechanisms. The directions provide broad principles which need to be complied with by all the participants in the payment chain, while using a form of authentication.

¹⁴ Platform for Regulatory Application, Validation And AuthOrisation.

APPENDIX TABLE 1: MACROECONOMIC AND FINANCIAL INDICATORS

Item	Average 2003-04 to 2007-08 (5 years)	Average 2009-10 to 2013-14 (5 years)	Average 2014-15 to 2018-19 (5 years)	2023-24	2024-25	2025-26
1	2	3	4	5	6	7
I. Real Economy						
I.1 Real GDP at Market Prices (% change)*	7.9	6.7	7.4	7.2	7.1	7.6
I.2 Real GVA at Basic Prices (% change)*	7.7	6.3	7.0	7.2	7.3	7.7
I.3 Foodgrains Production (Million Tonnes)**	213.6	248.8	269.8	332.3	357.7	348.7
I.4 a) Food Stocks (Million Tonnes)***	18.6	50.1	44.6	60.7	74.9	93.9
b) Procurement (Million Tonnes)	39.3	61.3	66.5	78.7	82.1	78.5
c) Off-take (Million Tonnes)	41.5	57.0	61.5	67.7	64.9	66.4
I.5 Index of Industrial Production (% change)	11.2	4.6	4.0	5.9	4.0	4.1
I.6 Index of Eight Core Industries (% change)	5.9	4.9	4.3	7.6	4.5	2.7
I.7 Gross Domestic Saving Rate (% of GNDI at Current Prices)*	33.6	33.9	31.2	32.3	34.2	-
I.8 Gross Domestic Investment Rate (% of GDP at Current Prices)*	35.2	38.0	33.1	34.5	34.3	-
II. Prices						
II.1 Consumer Price Index (CPI) Combined (average % change)#	-	-	4.5	5.4	4.6	2.1
II.2 CPI-Industrial Workers (IW) [average % change]	5.0	10.3	4.9	5.2	3.4	3.1
II.3 Wholesale Price Index (WPI) [average % change]##	5.5	7.1	1.3	-0.7	2.3	0.7
III. Money and Credit###						
III.1 Reserve Money (% change)	20.4	12.1	10.7	5.6	4.3	6.0
III.2 Broad Money (M ₃) [% change]	18.6	14.7	9.5	11.6	9.4	15.3
III.3 a) Aggregate Deposits of Scheduled Commercial Banks (% change)	20.2	15.0	9.5	13.5	10.3	16.2
b) Bank Credit of Scheduled Commercial Banks (% change)	26.7	16.7	9.6	20.2	11.0	17.1
IV. Financial Markets						
IV.1 Interest Rates (%)						
a) Call/Notice Money Rate	5.6	7.2	6.7	6.6	6.5	5.4
b) 10-year G-sec yield	7.0	8.0	7.6	7.2	6.9	6.5
c) 91-Days T-bill yield	5.8	7.1	7.0	6.8	6.6	5.5
d) Weighted Average yield of Central Government Borrowings	7.2	8.1	7.7	7.2	7.0	6.7
e) Commercial Paper	7.7	8.4	7.8	7.4	7.4	6.6
f) Certificates of Deposit	8.9 [†]	8.2	7.5	7.2	7.2	6.3
IV.2 Liquidity (₹ lakh crore)						
a) LAF Outstanding~	-	-	-	0.6	1.3	3.2
b) MSS Outstanding~~	-	-	-	-	-	-
c) Average Daily Call Money Market Turnover	0.2	0.3	0.3	0.2	0.2	0.3
d) Average Daily G-sec Market Turnover	0.1	0.4	0.8	0.9	1.1	1.2
e) Variable Rate Repo~	-	-	-	1.0	2.7	2.7
f) Variable Rate Reverse Repo~	-	-	-	0.0	0.0	0.0
g) MSF~	-	-	-	0.9	0.1	0.0
h) SDF~	-	-	-	2.5	4.1	5.9
V. Government Finances						
V.1 Central Government Finances (% of GDP) [§]						
a) Revenue Receipts	10.0	9.2	8.6	9.1	9.2	9.4
b) Capital Outlay	1.6	1.6	1.5	2.6	2.6	2.5
c) Total Expenditure	14.9	15.0	12.8	14.8	14.1	13.9
d) Gross Fiscal Deficit	3.7	5.4	3.7	5.5	4.8	4.4
V.2 State Government Finances ^{§§}						
a) Revenue Deficit (% of GDP)	0.3	-0.1	0.2	0.3	0.6	0.2
b) Gross Fiscal Deficit (% of GDP)	2.7	2.3	2.7	2.9	3.5	3.3
c) Primary Deficit (% of GDP)	0.3	0.6	1.0	1.2	1.8	1.5

APPENDIX TABLE 1: MACROECONOMIC AND FINANCIAL INDICATORS (Concl'd.)

Item	Average 2003-04 to 2007-08 (5 years)	Average 2009-10 to 2013-14 (5 years)	Average 2014-15 to 2018-19 (5 years)	2023-24	2024-25	2025-26
1	2	3	4	5	6	7
VI. External Sector						
VI.1 Balance of Payments [@]						
a) Merchandise Exports (% change)	25.3	12.2	1.6	-3.2	0.1	2.4
b) Merchandise Imports (% change)	32.3	9.7	2.7	-4.9	6.2	5.7
c) Trade Balance/GDP (%)	-5.5	-9.1	-6.2	-7.0	-7.6	-8.7
d) Invisible Balance/GDP (%)	5.2	5.8	4.8	6.2	7.0	7.7
e) Current Account Balance/GDP (%)	-0.3	-3.3	-1.4	-0.7	-0.6	-1.1
f) Net Capital Flows/GDP (%)	4.7	3.8	2.7	2.6	0.4	0.0
g) Reserve Changes (BoP basis) [US \$ billion] [(Increase -)/Decrease (+)]	-40.3	-6.6	-28.2	-63.7	5.0	30.8
VI.2 External Debt Indicators ^{@@}						
a) External Debt Stock (US\$ billion)	156.5	359.0	500.6	668.9	736.4	765.5
b) Debt-GDP Ratio (%)	17.8	20.9	21.4	19.2	19.8	20.4
c) Import Cover of Reserves (in Months)	14.0	8.5	10.3	11.3	11.0	10.8
d) Short-term Debt to Total Debt (%)	13.6	21.3	18.6	19.1	18.3	19.7
e) Debt Service Ratio (%)	8.3	5.6	7.7	6.7	6.6	5.8
f) Reserves to Debt (%)	113.7	84.8	76.2	96.6	90.8	89.8
VI.3 Openness Indicators (%) [@]						
a) Export plus Imports of Goods/GDP	30.7	41.0	32.0	32.2	31.1	31.9
b) Export plus Imports of Goods & Services/GDP	41.3	53.2	43.7	47.0	46.7	48.1
c) Current Receipts plus Current Payments/GDP	47.1	59.4	49.4	54.6	54.8	56.5
d) Gross Capital Inflows plus Outflows/GDP	37.3	50.4	45.2	46.1	59.0	78.3
e) Current Receipts & Payments plus Capital Receipts & Payments/GDP	84.4	109.8	94.6	100.7	113.8	134.8
VI.4 Exchange Rate Indicators						
a) Exchange Rate (Rupee/US Dollar)						
End of Period	43.1	51.1	65.6	83.4	85.6	94.7
Average	44.1	51.2	65.6	82.8	84.6	88.3
b) 40-Currency REER (% change)	3.1 [^]	0.8	1.8	0.9	1.5	-7.5
c) 40-Currency NEER (% change)	1.7 [^]	-4.9	0.2	-0.5	0.3	-6.9
d) 6-Currency REER (% change)	5.7 [^]	2.3	2.0	-0.1	1.0	-6.7
e) 6-Currency NEER (% change)	2.6 [^]	-5.1	-1.1	-2.7	-1.5	-6.9

- : Not Available/Not Applicable.

* : Data from 2023-24 to 2025-26 are at 2022-23 base year series. Data prior to 2023-24 are at 2011-12 base year series. Data for gross domestic investment rate reported here are based on the commodity-flow (asset-based) approach.

** : Data for 2025-26 are for *kharif* and *rabi* crops only as per second advance estimates for agriculture production.

*** : Data pertain to stocks as on March 31 for all years.

: Data for CPI-Combined for 2025-26 has been computed as average of monthly inflation rates where inflation rates for April-December 2025 are based on the old base (2012=100), while inflation from January 2026 onwards corresponds to the revised base (2024=100).

: The data for WPI for 2025-26 are provisional.

: Data for 2025-26 for reserve money pertain to March 30, 2026 and that of money supply relate to March 31, 2026.

† : Data in column 2 pertains to April 13, 2007 to March 28, 2008.

~ : Outstanding as on March 31.

~~ : Outstanding as on last Friday of the financial year.

\$: The ratios are based on latest GDP figures of 2011-12 base. Data for 2025-26 are revised estimates.

\$\$: Data pertains to all states and union territories (UT) with legislatures. Data for 2024-25 and 2025-26 are revised estimates and budget estimates, respectively.

@ : Data for 2025-26 are provisional and pertain to April-December 2025, unless indicated otherwise. Data for GDP from 2023-24 to 2025-26 are at 2022-23 base year and for periods prior to 2023-24 are at 2011-12 base year.

@@ : Data for 2025-26 are provisional and pertain to end-December 2025.

^ : Data are average of period 2005-06 to 2007-08.

Notes : 1. For Index of Industrial Production, data in columns 2, 3 and 4 are at 2011-12 base year.

2. Base year for Consumer Price Index (All India) is 2012=100 till December 2025 and 2024=100 from January 2026 onwards; base year for WPI is 2011-12=100 for annual data and 2004-05=100 for average of 5 years inflation; base for CPI-IW is 2001=100 till August 2020 and 2016=100 from September 2020 onwards.

3. For Average Daily G-sec Market Turnover, outright trading turnover is in central government dated securities (based on trading days).

4. LAF positive value means absorption.

5. Base year for 6- and 40-currency NEER/REER indices is 2015-16=100. REER figures are based on CPI.

Sources: RBI, National Statistics Office (NSO), Ministry of Agriculture & Farmers Welfare, Ministry of Commerce and Industry, Food Corporation of India (FCI), Labour Bureau, and Budget documents of the central and state governments.

APPENDIX TABLE 2: GROWTH RATES AND COMPOSITION OF REAL GROSS DOMESTIC PRODUCT

(At 2022-23 Prices)

(Per cent)

Item	Growth Rate				Share		
	Average 2018-19 to 2022-23	2023-24	2024-25	2025-26*	2023-24	2024-25	2025-26*
1	2	3	4	5	6	7	8
GDP at Market Prices (Expenditure Side)							
1. Private Final Consumption Expenditure	5.2	5.8	5.8	7.7	56.4	55.7	55.7
2. Government Final Consumption Expenditure	2.8	0.6	6.5	6.6	10.4	10.3	10.2
3. Gross Fixed Capital Formation	6.2	7.3	6.4	7.1	32.4	32.2	32.0
4. Change in Stocks	88.4	116.9	1.7	10.4	1.3	1.3	1.3
5. Valuables	4.3	-9.3	1.9	-15.8	1.2	1.1	0.9
6. Net Exports	21.1	17.0	8.6	-5.6	-2.0	-1.7	-1.7
a) Exports	8.3	0.7	6.6	6.5	22.6	22.5	22.2
b) Less Imports	5.3	-1.0	5.3	6.4	24.6	24.2	23.9
7. Discrepancies	-66.2	-	229.8	41.1	0.4	1.2	1.5
8. GDP	4.4	7.2	7.1	7.6	100.0	100.0	100.0
GVA at Basic Prices (Supply Side)							
1. Agriculture, Livestock, Forestry and Fishing	4.6	2.6	4.2	2.4	19.2	18.6	17.7
2. Industry	2.6	11.3	8.7	9.5	20.0	20.3	20.6
<i>of which:</i>							
a) Mining and Quarrying	-0.5	2.4	11.7	4.1	2.0	2.1	2.0
b) Manufacturing	2.7	12.7	9.3	11.5	15.4	15.7	16.2
c) Electricity, Gas, Water Supply and Other Utility Services	5.4	10.7	2.9	1.5	2.6	2.5	2.3
3. Services	5.1	7.4	7.8	8.7	60.8	61.1	61.7
<i>of which:</i>							
a) Construction	6.5	9.9	7.3	7.1	9.1	9.1	9.0
b) Trade, Hotels, Transport, Communication and Services Related to Broadcasting, Storage	4.1	10.1	6.6	10.1	14.1	14.0	14.3
c) Financial, Real Estate, IT, Professional Services and Ownership of Dwellings	6.4	5.5	10.0	9.9	24.9	25.5	26.1
d) Public Administration, Defence and Other Services	4.1	6.8	5.0	5.8	12.7	12.5	12.2
4. GVA at Basic Prices	4.4	7.2	7.3	7.7	100.0	100.0	100.0

*: Second advance estimates of national income for 2025-26.

-: Not Applicable.

Note: Data for average growth rates from 2018-19 to 2022-23 are based on GDP base year of 2011-12.

Sources: NSO and RBI staff estimates.

APPENDIX TABLE 3: GROSS SAVINGS

(Per cent of GNDI)

Item	2022-23	2023-24	2024-25
1	2	3	4
I. Gross Savings	29.3	32.3	34.2
I.1 Non-financial Corporations	8.5	9.8	9.9
I.1.1 Public Non-financial Corporations	1.3	1.6	1.5
I.1.2 Private Non-financial Corporations	7.2	8.2	8.4
I.2 Financial Corporations	3.3	3.4	3.4
I.2.1 Public Financial Corporations	1.7	1.8	1.8
I.2.2 Private Financial Corporations	1.6	1.6	1.6
I.3 General Government	-2.2	-1.1	-0.3
I.4 Household sector	19.7	20.2	21.3
I.4.1 Net Financial Saving	5.2	5.8	7.0
<i>Memo: Gross Financial Saving</i>	11.2	12.1	11.8
I.4.2 Saving in Physical Assets	13.8	13.9	13.6
I.4.3 Saving in the Form of Valuables	0.6	0.6	0.7

GNDI: Gross National Disposable Income.

Notes: 1. Net financial saving of the household sector is obtained as the difference between gross financial savings and financial liabilities during the year.

2. Data are based on GDP base year of 2022-23.

Source: NSO.

APPENDIX TABLE 4: INFLATION, MONEY AND CREDIT

(Per cent)

Inflation									
Item	Rural			Urban			Combined		
	2023-24	2024-25	2025-26	2023-24	2024-25	2025-26	2023-24	2024-25	2025-26
1	2	3	4	5	6	7	8	9	10
Consumer Price Index (All India)+	5.6	5.0	1.8	5.1	4.1	2.4	5.4	4.6	2.1
Other Price Indices	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
1. Wholesale Price Index (2011-12=100)									
All Commodities	2.9	4.3	1.7	1.3	13.0	9.4	-0.7	2.3	0.7
Primary Articles	1.4	2.7	6.8	1.7	10.2	10.0	3.5	5.2	-1.1
of which: Food Articles	2.1	0.3	8.4	3.2	4.1	7.3	6.6	7.3	-2.3
Fuel and Power	8.2	11.5	-1.8	-8.0	32.5	28.1	-4.7	-1.3	-2.9
Manufactured Products	2.7	3.7	0.3	2.8	11.1	5.6	-1.7	1.7	2.3
Non-food Manufactured Products	3.0	4.2	-0.4	2.2	11.0	5.8	-1.4	0.7	1.9
2. CPI- Industrial Workers (IW)	3.1	5.4	7.5	5.0	5.1	6.1	5.2	3.4	3.1
of which: CPI- IW Food	1.5	0.6	7.4	5.8	4.7	6.1	7.3	6.0	1.0
3. CPI- Agricultural Labourers (AL)[@]	2.2	2.1	8.0	5.5	4.0	6.8	7.1	5.7	1.2
4. CPI- Rural Labourers (RL)[@]	2.3	2.2	7.7	5.5	4.2	7.0	6.9	5.7	1.3
Money and Credit									
	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26 [^]
Reserve Money (RM)	27.3	14.5	9.4	18.8	13.0	7.8	5.6	4.3	6.0
Currency in Circulation	37.0	16.8	14.5	16.6	9.8	7.8	3.9	6.1	11.9
Bankers' Deposits with RBI	3.9	6.4	-9.6	28.5	25.4	6.1	10.2	-3.3	-18.4
Currency-GDP Ratio ^{\$}	10.7	11.3	12.2	14.4	13.3	12.9	12.1	11.7	12.1
Narrow Money (M₁)	21.8	13.6	11.2	16.2	10.7	6.9	7.3	8.1	22.3
Broad Money (M₃)	9.2	10.5	8.9	12.2	8.8	9.0	11.6	9.4	15.3
Currency-Deposit Ratio	14.4	15.4	16.3	17.2	17.4	17.3	15.9	15.4	14.9
Money Multiplier Ratio	5.8	5.6	5.5	5.2	5.0	5.1	5.4	5.7	6.1
GDP-M ₃ Ratio ^{\$}	1.2	1.2	1.2	1.1	1.2	1.2	1.2	1.2	1.1
Scheduled Commercial Banks									
Aggregate Deposits	6.2	10.0	7.9	11.4	8.9	9.6	13.5	10.3	16.2
Bank Credit	10.0	13.3	6.1	5.6	9.6	15.0	20.2	11.0	17.1
Non-food Credit	10.2	13.4	6.1	5.5	9.7	15.4	20.2	11.0	16.9
Credit-Deposit Ratio	75.5	77.7	76.4	72.4	72.2	75.8	80.3	80.8	81.4
Credit-GDP Ratio ^{\$}	50.5	51.7	51.6	55.2	50.4	52.4	56.7	57.4	61.8

+ : The inflation for 2025-26 has been computed as average of monthly inflation rates where monthly inflation rates for April-December 2025 are based on the old base (2012=100), while inflation from January 2026 onwards correspond to the revised base (2024=100).

@ : Data for CPI-AL/RL for 2025-26 has been computed as average of monthly inflation rates where inflation rate for April 2025 is based on the old base (1986-87=100), while inflation from May 2025 onwards corresponds to the revised base (2019=100).

[^] : Data for reserve money pertain to March 30, 2026, while that of money supply relate to March 31, 2026.

\$: GDP data from 2022-23 onwards are based on base year of 2022-23. GDP refers to GDP at current market prices.

Notes: 1. Data refers to y-o-y change in per cent unless specified otherwise.

2. Base year for Consumer Price Index (All India) is 2012=100 till December 2025 and 2024=100 from January 2026 onwards, whereas base for CPI-IW is 2001=100 till August 2020 and 2016=100 from September 2020 onwards.

3. Base for CPI-AL and CPI-RL is 1986-87=100 till April 2025 and 2019=100 from May 2025 onwards.

Sources: RBI, NSO, Labour Bureau and Ministry of Commerce and Industry.

APPENDIX TABLE 5: FLOW OF FINANCIAL RESOURCES TO COMMERCIAL SECTOR

(₹ crore)

Item	2023-24	2024-25	2025-26 P
1	2	3	4
1 Non-Food Bank Credit	22,95,121	18,08,036	29,19,166
2 Flow from Non-Banks (2.1+2.2)	12,63,721	18,15,417	17,85,210
2.1 Domestic Sources	10,20,302	14,90,681	12,66,319
2.1.1 Equity Issuances by Non-Financial Entities	1,35,008	3,81,161	3,62,328
2.1.2 Corporate Bond Issuances by Non-Financial Entities	1,67,374	1,97,795	3,22,114
2.1.3 Hybrid Instruments (REITs/ InvITs) by Non-Financial Entities	39,024	31,442	30,076
2.1.4 Commercial Paper Issuances by Non-Financial Entities	19,712	18,819	7,948
2.1.5 Credit by Housing Finance Companies (HFCs) [Net of Bank Borrowings]	1,41,816	1,27,865	13,089
2.1.6 Credit by RBI-regulated All India Financial Institutions (AIFIs)	73,386	99,501	87,672
2.1.7 Credit by Non-Banking Financial Companies (NBFCs) [Net of Bank Borrowings]	4,43,982	6,34,097	4,43,092
2.2 Foreign Sources	2,43,419	3,24,736	5,18,891
2.2.1 External Commercial Borrowings by Non-Financial Entities	27,916	19,089	22,741
2.2.2 ADR/GDR Issues by Non-Financial Entities	-	-	-
2.2.3 Short-term Credit from Abroad	-6,741	58,859	1,35,813*
2.2.4 Foreign Direct Investment to India	2,22,244	2,46,788	3,60,337
3 Total Flow of Resources (1+2)	35,58,842	36,23,453	47,04,376
Memo Items:			
I Non-Food Bank Credit	1,65,63,961 (21.3)	1,83,71,998 (10.9)	2,12,91,163 (15.9)
II Non-Bank Credit	77,57,256 (4.2)	88,86,394 (14.6)	1,01,09,295 (13.3)
III Outstanding Credit (I+II)	2,43,21,217 (15.3)	2,72,58,392 (12.1)	3,14,00,458 (15.0)

P: Provisional. REITs: Real Estate Investment Trusts. InvITs: Infrastructure Investment Trusts. ADR: American Depository Receipt.
GDR: Global Depository Receipt.

-: Nil.

*: Data for short-term credit from abroad for 2025-26 are up to December.

Notes: 1. Credit extended by banks, NBFCs and HFCs is inclusive of personal loans.

2. Data on all items are presented on net basis, except equity and hybrid instruments which are on gross basis.

3. All India Financial Institutions (AIFIs) include National Bank for Agriculture and Rural Development (NABARD), National Housing Bank (NHB), Small Industries Development Bank of India (SIDBI), Export-Import Bank of India (EXIM Bank), and National Bank for Financing Infrastructure and Development (NaBFID). Credit extended by AIFIs exclude refinancing to SCBs, NBFCs, HFCs, and direct loans to domestic and foreign governments/institutions.

4. Data pertaining to HDFC Limited, which merged with HDFC Bank effective from July 1, 2023, is included under credit by Housing Finance Companies prior to its merger while it is included under bank credit post-merger.

5. Outstanding credit excludes issuances of equities and hybrid instruments under domestic sources and foreign direct investment in equities under foreign sources.

6. Figures in parentheses are y-o-y growth rates.

Sources: RBI, SEBI, AIFIs and RBI staff estimates.

APPENDIX TABLE 6: KEY FISCAL INDICATORS

(As per cent of GDP)

Year	Primary Deficit	Revenue Deficit	Primary Revenue Deficit	Gross Fiscal Deficit	Outstanding Liabilities [@]	Outstanding Liabilities ^{\$}
1	2	3	4	5	6	7
Centre[^]						
1990-91	4.0	3.2	-0.5	7.6	54.6	60.6
1995-96	0.8	2.4	-1.7	4.9	50.3	58.3
2000-01	0.9	3.9	-0.7	5.5	54.6	60.4
2009-10	3.2	5.2	1.9	6.5	55.4	57.3
2010-11	1.8	3.2	0.2	4.8	51.6	53.2
2011-12	2.8	4.5	1.4	5.9	51.7	53.5
2012-13	1.8	3.7	0.5	4.9	51.0	52.5
2013-14	1.1	3.2	-0.2	4.5	50.5	52.2
2014-15	0.9	2.9	-0.3	4.1	50.1	51.4
2015-16	0.7	2.5	-0.7	3.9	50.1	51.5
2016-17	0.4	2.1	-1.1	3.5	48.4	49.5
2017-18	0.4	2.6	-0.5	3.5	48.3	49.5
2018-19	0.4	2.4	-0.7	3.4	48.5	49.6
2019-20	1.6	3.3	0.3	4.6	51.3	52.5
2020-21	5.7	7.3	3.9	9.2	61.4	62.6
2021-22	3.3	4.4	1.0	6.7	58.0	58.9
2022-23	3.0	4.0	0.5	6.5	57.1	58.1
2023-24	2.0	2.5	-1.0	5.5	56.8	57.6
2024-25	1.4	1.7	-1.7	4.8	55.7	56.5
2025-26 (RE)	0.8	1.5	-2.1	4.4	55.6	56.1
2026-27 (BE)	0.7	1.5	-2.1	4.3	55.0	55.6
States[*]						
1990-91	1.8	0.9	-0.6	3.3	22.2	22.2
1995-96	0.8	0.7	-1.1	2.6	20.8	20.8
2000-01	1.8	2.5	0.1	4.2	28.1	28.1
2009-10	1.2	0.4	-1.4	3.0	26.4	26.4
2010-11	0.4	-0.2	-1.8	2.1	24.4	24.4
2011-12	0.4	-0.3	-1.9	2.0	23.2	23.2
2012-13	0.4	-0.3	-1.8	2.0	22.6	22.6
2013-14	0.7	0.0	-1.5	2.2	22.3	22.3
2014-15	1.1	0.3	-1.2	2.6	22.0	22.0
2015-16	1.5	0.0	-1.6	3.0	23.7	23.7
2016-17	1.8	0.2	-1.4	3.5	25.1	25.1
2017-18	0.7	0.1	-1.6	2.4	25.1	25.1
2018-19	0.8	0.1	-1.6	2.4	25.3	25.3
2019-20	0.9	0.6	-1.1	2.6	26.6	26.6
2020-21	2.1	1.9	-0.1	4.1	31.0	31.0
2021-22	1.0	0.4	-1.4	2.8	29.1	29.1
2022-23	1.0	0.2	-1.5	2.7	28.2	28.2
2022-23	1.0	0.2	-1.5	2.7	28.2	28.2
2023-24	1.2	0.3	-1.4	2.9	28.1	28.1
2024-25	1.5	0.3	-1.2	3.0	...	...
2025-26 (RE)	1.9	0.4	-1.1	3.5	...	...
2026-27 (BE)	1.4	-0.1	-1.6	3.0	...	...

... : Not Available.

RE: Revised Estimates.

BE: Budget Estimates.

@ : Includes external liabilities of the centre calculated at historical exchange rates.

\$: Includes external liabilities of the centre calculated at current exchange rates.

^ : GDP for 2026-27 is sourced from the Union Budget 2026-27. It may be noted that the new GDP series (2022-23 base year) is not available for 2026-27 and for the financial years prior to 2022-23.

* : Data till 2023-24 pertain to all states and union territories (UT) with legislatures. Data for 2024-25, 2025-26 and 2026-27 are accounts, revised estimates and budget estimates, respectively for 24 States/UT which have presented their full budgets.

Notes: 1. Negative sign (-) indicates surplus in deficit indicators.

2. GDP figures used in this table are the latest available figures based on 2011-12 series.

3. States' key fiscal indicators for 2024-25, 2025-26 (RE) and 2026-27(BE) are expressed as a per cent of GSDP.

4. Columns 6 and 7 are outstanding figures as at end-March of respective years.

Sources: Budget documents of central and state governments, Status paper on government debt, Quarterly report on public debt management and RBI staff estimates.

APPENDIX TABLE 7: INDIA'S OVERALL BALANCE OF PAYMENTS

(US\$ million)

	2021-22	2022-23	2023-24	2024-25	2025-26 (P)
1	2	3	4	5	6
A. CURRENT ACCOUNT					
1 Exports, f.o.b.	4,29,164	4,56,073	4,41,443	4,42,082	3,33,369
2 Imports, c.i.f.	6,18,623	7,21,364	6,86,354	7,29,028	5,84,992
3 Trade Balance	-1,89,459	-2,65,291	-2,44,911	-2,86,947	-2,51,623
4 Invisibles, Net	1,50,694	1,98,236	2,18,800	2,63,887	2,21,385
a) 'Non-factor' Services <i>of which</i> :	1,07,516	1,43,283	1,62,752	1,88,836	1,56,273
Software Services	1,09,540	1,31,284	1,42,074	1,59,612	1,32,419
b) Income	-37,269	-45,923	-49,736	-48,340	-37,170
c) Private Transfers	81,230	1,01,776	1,06,631	1,24,556	1,03,212
5 Current Account Balance	-38,766	-67,055	-26,111	-23,060	-30,238
B. CAPITAL ACCOUNT					
1 Foreign Investment, Net (a+b)	21,809	22,834	54,233	4,523	-1,276
a) Direct Investment	38,587	27,986	10,152	959	3,040
b) Portfolio Investment	-16,777	-5,152	44,081	3,564	-4,316
2 External Assistance, Net	5,366	5,521	7,460	6,258	1,010
3 Commercial Borrowings, Net	8,135	-3,790	-86	15,912	6,700
4 Short Term Credit, Net	20,105	6,539	-833	7,154	15,318
5 Banking Capital <i>of which</i> :	6,669	20,980	40,543	-9,794	1,028
NRI Deposits, Net	3,234	8,989	14,702	16,163	11,122
6 Rupee Debt Service	-71	-68	-72	-70	-63
7 Other Capital, Net*	23,794	6,928	-11,833	-7,359	-22,644
8 Total Capital Account	85,807	58,943	89,411	16,625	72
C. Errors & Omissions	459	-1024	402	1,402	-653
D. Overall Balance [A(5)+B(8)+C]	47,501	-9,135	63,702	-5,032	-30,818
E. Monetary Movements (F+G)	-47,501	9,135	-63,702	5,032	30,818
F. IMF, Net	0	0	0	0	0
G. Reserves and Monetary Gold (Increase -, Decrease +)	-47,501	9,135	-63,702	5,032	30,818
<i>of which</i> : SDR Allocation	-17,862	0	0	0	0
Memo: As a ratio to GDP*					
1 Trade Balance	-6.0	-8.2	-7.0	-7.6	-8.7
2 Net Services	3.4	4.4	4.6	5.0	5.4
3 Net Income	-1.2	-1.4	-1.4	-1.3	-1.3
4 Current Account Balance	-1.2	-2.1	-0.7	-0.6	-1.1
5 Capital Account, Net	2.7	1.8	2.6	0.4	0.0
6 Foreign Investment, Net	0.7	0.7	1.5	0.1	0.0

P : Data are provisional and pertain to April-December 2025.

& : Includes delayed export receipts, advance payments against imports, net funds held abroad, and advances received pending issue of shares under FDI.

* : Data for GDP from 2022-23 to 2025-26 are at 2022-23 base year and for 2021-22 are at 2011-12 base year.

Notes: 1. Gold and silver brought by returning Indians have been included under imports, with a contra entry in private transfer receipts.

2. Data on exports and imports differ from those given by DGCI&S on account of differences in coverage, valuation, and timing.

Source: RBI.

Owner: Reserve Bank of India, Mumbai

Printed and Published by Jang Bahadur Singh, Director, on behalf of the Reserve Bank of India, Shahid Bhagat Singh Road,
Fort, Mumbai - 400 001 and Printed at Jayant Printery LLP, 352/54, Girgaum Road, Murlidhar Temple Compound,
Near Thakurdwar Post Office, Mumbai - 400 002.